# Aether Inds (AETHER)

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# Call: Jun 2023



Aether Industries Limited
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May 12, 2023

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To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400001, MH.

Scrip Code: 543534 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai-400051, MH.

Symbol: AETHER
Dear Madam / Sir,

Subject: Transcript of the Earning Conference Call

In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Monday, May 8, 2023, on the financial performance of the Company for the Fourth Quarter and Financial Year ended on March 31, 2023, is enclosed herewith.

We request you to kindly take the information on your records.

Thank you.

For Aether Industries Limited

Chitrarth Rajan Parghi
Company Secretary & Compliance Officer
Mem. No.: F12563

Encl.: As attached


"Aether Industries Limited
Q4 FY '23 Earnings Conference Call"
May 08, 2023

MANAGEMENT : DR. AMAN DESAI – PROMOTER AND WHOLE TIME
DIRECTOR – AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER AND WHOLE TIME

DIRECTOR – AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER –
AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR
RELATIONS – AETHER INDUSTRIES LIMITED

MODERATOR : MR. NILESH GHUGE – HDFC SECURITIES



Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '23 Earnings Conference Call of Aether Industries Limited, hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you and over to you.
Nilesh Ghuge: Thank you, Yashsvi. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the result for the quarter and financial year 2022-'23. From Aether Industries, we have with us today Dr. Aman Desai, Promoter and Whole Time Director, Mr. Rohan Desai, Promoter and Whole Time Director, Mr. Faiz Nagariya, Chief Financial Officer and Ms. Shubhangi Desai, Executive IR.
Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the earnings call for Q4 and FY '23. Over to you Shubhangi.
Shubhangi Desai: Good evening everyone and thank you Nilesh for the brief introduction. Last Saturday on May 6, 2023, our board has approved the results for the fourth quarter of fiscal year '23 and year ended on March 31, 2023. And we have released the same to the stock exchanges as well as updated the same on our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of Aether and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise.
Dr. Aman Desai will begin by sharing the ongoing expansions and strategies of the company going forward. Then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Mr. Rohan Desai will talk on a high-level overview of Aether's business.
Now, I hand over the call to Dr. Aman Desai to share the updates. Over to you, Dr. Aman.
Aman Desai: Thank you, Shubhangi. Good afternoon, everybody. In spite of it being a Monday, I do hope that everybody is doing well and I'm happy to connect with you all to discuss the performance of our company for the quarter 4 and the full year of fiscal year '22- '23. We have in January 2023 launched our site 3 for the production, which is a greenfield production site for our new products. Trial runs had started in January 2023 and commercial production has also begun since January


2023 end of month. We will stepwise start-up production of five new advanced pharmaceutical intermediates in this new site 3. All five products will be manufactured for the first time in India by Aether.
We have also recently got the possession of the sites 3+ and sites 3++, which are land plots adjacent to site 3, where we will be beginning -- where we will be launching three new products for agrochemicals. This will expand our site 3 to essentially d

ouble its original size and these
three new products for agrochemicals, which will be in addition to the five new products, which are advanced pharma intermediates that we are manufacturing at site 3.

The land parcel for the next greenfield manufacturing site, which is site 4, has also been increased from 8,000 square meters to 18,000 square meters in the recent months. Documentation for the possession of all the plots and the amalgamation into a large extended site 4 is already going on. Our plans towards the next two greenfield manufacturing sites, namely the aforementioned site 4 in Surat and the site 5, the large production site in site 5 in Panoli, are all advancing well and various activities are going on for these sites 4 and site 5 towards the planning, including initial civil construction, product selection, regulatory approval and overall design of these two new sites.

The reason for the large capex is primarily on the backing of robust inquiries and outsourcing opportunities which we have been receiving and which we remain confident in our abilities to grab these opportunities and work with world class multinational innovators across the sectors in the chemical industry.

The growth in our CRAMS business model is continuously on the rise in the current fiscal year and the demand for the products in contract manufacturing is also increasing quarter-on-quarter. We have also recently made a few public announcements in this regard, which reflect this continuous growth, which include partnerships with Polaroid in Germany, Otsuka in Japan and Saudi Aramco in Saudi Arabia, the last one which I'll speak shortly about as well.

We remain upbeat and positive on this business model for future outlook. As in the last quarter, we continue to see a significant upwards trend in inquiries, customer additions, previous contract renewals and actual business being translated into revenues in both the business models of CRAMS and contracts / exclusive manufacturing.

The biggest announcement in this quarter which came from our end was the letter of intent signed with Saudi Aramco Technologies Company. The letter of intent captures the preliminary terms between Saudi Aramco and Aether of a detailed licensing agreement towards the manufacturing and commercialization at Aether of the Converge polyols technology and product series. The manufacturing process for which has been previously jointly developed and validated at pre-commercial scale by Saudi Aramco and Aether.

New customers added during this quarter are 13 in number, which all are added in the large-scale manufacturing business model. We have two returning customers with whom we have done business previously before two years in the CRAMS business model and they have come up with new molecules to be developed under the same CRAMS business model. This shows



that the trust that we have built with these customers across all the business model returns for repeated business.

R&D expenditure for the 12 months of fiscal ‘23 stood at 7.5% of the total revenues. This includes revenue-plus capital expenditures. The strength of the R&D team has increased from 164 in March ‘22 to 233 in March ‘23. Our three business models continue to be robust and we are seeing growth in all business models, large-scale manufacturing business model, which was seen contributing less in the first three quarters of fiscal ‘23 due to the pharma sector being down overall has contributed well in the last quarter of fiscal ‘23 as new products are launched in site 3 in the large-scale manufacturing business model which are of high value and have significant demand in the market. The pipeline in R&D as always is backed for future molecules with plans to launch these molecules in the upcoming years in the site 3+, site 3++, site 4 and site 5 greenfield manufacturing sites.

With that, I request our CFO

, Faiz Nagariya, to share the financial highlights of Q4 of fiscal ‘23.

Faiz, over to you.

Faiz Nagariya: Thank you, Dr. Aman and good evening all of you. The total revenue of the company was INR6,676 million in the financial year ‘23, which has led to an increase of 12% in the total revenue financial-year-on-financial-year-wise. The EBITDA has grown at 16% on FY-o-FY basis from INR1751 million to in -- in financial year ‘22 to INR2,028 million in financial year 23, thereby resulting in EBITDA margins of 30.4% in financial year ‘23. That increased from INR1,089 million in financial year ‘22, which was 18.2%, to INR1,304 million in financial year ‘23, which is 19.5%, being 19.7% more compared to the last financial year.

The company's planning for capex of INR 7,500 million over FY ‘24 and FY ‘25 for site 3+, site 3++, site 4 and site 5, along with R&D and pilot plant expansions. We have taken an enabling resolution for raising additional equity in our board meeting for taking care of the capex plan over financial year ‘24 and financial year ‘25, for which the approval of the shareholders is awaited.

Now I will request Mr. Rohan Desai to talk on high level overview of Aether’s business. Over to you, Rohan.

Rohan Desai: Thank you Faiz for the financial highlights. In terms of the demands, we have continued to see good growth in quarter 4, which has started in quarter 3, compared to the first half of the financial year. We are seeing strong demand for our products and expect the demand growth to continue and are not seeing any signs of slowdown for our customers in the west. For our products, the end product price have been fairly stable across the board. Average selling price of our product which was INR1,450 per kilo in financial year 2022 have gone up to INR1,766 per kilo in financial year 2023.

On the raw materials front, we are seeing the prices getting stabilized, which will aid to our margins going forward. As mentioned by Aman, we are seeing great traction from the customers based out of Europe and US respectively for the CRAMS business. With the utility crisis in Europe, we have seen significant increase in opportunities for the CRAMS business. This to a



certain extent has been demonstrated by our recent announcements with respect to our partnerships with Polaroid and an increase in business with our existing agrochemical customers.

Coming to the three independent business models in financial year 2023, we have seen 52% of our total top line coming from large-scale manufacturing business model, where we anticipate good growth in the future due to the launch of new products in the greenfield manufacturing site 3. 13% of our total top line comes out of contract research and manufacturing services business model and our third business model that is contract / exclusive manufacturing contributed to 34% of our total top line.

We have achieved a good balance between large-scale manufacturing business model, CRAMS and contract / exclusive manufacturing, which does not make us dependent on any single business model. Our sales mix stands at pharma 42%, agrochemical 35%, material science 5%, high performance photography 6%, coating 3% and others including oil and gas at 9%. Our export stands at 69%, which includes exports to SEZ and new units in India and domestic sales stands at 31%. Export outside the geography of India accounts for 41% of our total revenue from operations. We believe that with the launch of new products, building up the new capacities, seeing the increasing demand from marquee clients across the sectors and geographies and renewal of existing contracts, we are certain to deliver good growth going forward.

We are also excited about the growth at Aether and with the commencement of the capex for site 3++, site 4, site 5 and we are confident of our new products launches, which are in our pipeline.

Tha

nk you and back to you Shubhangi.

Shubhangi Desai: Thank you, Mr. Rohan. We would now request the moderator to open line for question-and-answer.

Moderator: Thank you very much. Move on to the next question from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: Thanks. Congratulations for a good set of numbers. So I just wanted to know what is your current order book as of now?

Management: The order book stands at INR 312 crores as of quarter 4 ending.

Jainam Ghelani: And can we divide it segment wise? Like, how much would be CRAMS? How much would be manufacturing?

Management: We have not done that but we can share that information with you.

Jainam Ghelani: Okay sir. And so what are the utilization levels for this quarter and for FY ‘23?

Management: So total utilization is around 71% for the FY ‘23.

Jainam Ghelani: Thank you. That's it from me.



Moderator: Thank you. We have a question from the line of Noel Vaz from Union Asset Management. Please go ahead.

Noel Vaz: Yes, so I just had one question about the equity raise that we are planning for about INR 750-odd crores. Could we have some kind of color as to what exactly the capex will be going towards and which particular segments? I presume this would be for site 4 and site 5, is that correct and some more details on that front?

Management: So we are planning the capex in three sites, site 3++, which is recently acquired which doubles the capacity of site 3, site 4 and site 5. This will be in the tune of approximately INR 200 crores to INR 250 crores per site. We are talking about three sites at this moment and it is a mix of contracts with exclusive manufacturing and large-scale manufacturing. As we are working on the multi-purpose plant, we do not differentiate between the large scale and the contract

manufacturing and so it is hard to differentiate this whole investment in two terms. So we will be investing in multi-purpose plants in all these three sites and as we see which products will be fitting into which site is what we are planning right now. And we will be designing and we will be updating you in the upcoming quarters.
Noel Vaz: Okay, thank you. So just to confirm one more thing, just a follow-up. So the margin profile, asset turns should be roughly very similar to what we are doing right now…
Management: Absolutely.
Management: On maturity.
Noel Vaz: Yes, thank you for that. One other question I had was regarding working capital. So working capital has still remained a bit on the stress side at the end of FY '23. Could we have some more color on this?
Management: Yes, so you are right that the debtors' days have gone up a bit and that is because of the few customers, huge, very big multinationals, they have delayed some payments, which they had done in the past also but then they released the payments. Again, the payments which were pending in the March have come in the April month and May month also. And we are hoping that the data cycle will subside and it will be within the range of 120 days, 122 days by this fiscal year end. There are no there are no provisions or no bad debts provisioning is required because all the customers are good with us and the payments are flowing properly.
Noel Vaz: Okay, so if we have received some payments in April May, do we have some kind of rough indication as to how much is it reduced?
Management: It is reduced by at least 10 days or so recently. Because some customers also do not pay on 31, March that is the strategy maybe and so the payments then flow in month of April that has been the strategy we have seen since last two, three years also.
Noel Vaz: Okay, thank you. And lastly just one specific question on fourth quarter numbers. So OpEx for other expenses in fourth quarter has decreased potentially by a little bit. I mean is there any particular reason for this?



Management: No, there is no specific reason for that but only thing is because the revenue if you see in the fourth quarter was the highest of all the four quarters. Based on that only and the expenditures have been remained the same. There are no major, it will be very less deduction that is because of the electricity because our solar power plant started giving us full optimization in the last quarter, which started in from July but then it was coming up and it started giving more outputs in the third quarter and the fourth quarter it was fully giving us the output. So that is helped us reduce the electricity cost and also steam prices we were able to bring them down considerably in the last quarter.
Noel Vaz: Okay, thank you. That's all from my side.
Moderator: Thank you. We have a next question from the line of Niraj Thacker from Profit Tantra Financial Services. Please go ahead.
Niraj Thacker: Yes, thanks for taking my question. Sir, in previous calls we have mentioned like, we want to balance out all the three business models basically. So my specific question is with respect to CRAMS, where it is now 13% and has the highest margin. So sir any idea like, how much time it will take to scale CRAMS to around 33% of the portfolio? And second question was with respect to like, do we need any additional investment for CRAMS to scale-up or investment in site 3+ or and expansion in site 4 and site 5 will also aid in CRAMS business scaling up?
Management: So Niraj, can you repeat the last part of the question, please? Sorry.
Niraj Thacker: So since we are planning to scale it to 33% of the portfolio from currently 13%, so current investments what we are doing in site 3+ and in site 4 and site 5. Will that investment also will aid in scaling up the CRAMS model or how or it will need any additional investment separately?
Management: Okay, understood. Thanks Niraj for the question. Let me clarify that a little bit. The CRAMS business model comes -- the revenues come from the revenues of the projects done in the R&D and the pilot plant and when the molecules and the products and projects from the CRAMS business model go into the manufacturing assets, these transfer into the contract manufacturing/exclusive manufacturing business model bucket.
And, so as a whole you can consider the CRAMS and the contact manufacturing business models as one for example. Because in the crams they are in the R&D and the pilot plant and the contract manufacturing they go into the manufacturing assets and so since the revenues were coming from different sites, site 1 which is the R&D and pilot plant, we have bundled that into the crams business model and the site other sites for production sites into the exclusive manufacturing umbrella we have bundled that into the exclusive manufacturing business model so in terms of diversification of the pie you should essentially consider large-scale manufacturing as one business model and the combined crams and contract manufacturing as the second business

model business model in which case we have already achieved the 50-50 split that we want because right now today if you look at our numbers 52% is the large-scale manufacturing business model and 35 plus 13 which is 48%, 49% are the combination of the crams and exclusive manufacturing business model, so that is one aspect of looking at it.


And the second aspect of looking at it is that since the crams comes from the R&D and the pilot plant to which are typically smaller projects higher value and higher EBITDA margins as you have pointed out correctly, but the top line revenues the larger revenues come always from the per kilo large-scale manufacturing. And so the crams business model will never be able to compete with the contract manufacturing and large-scale manufacturing business

models in
terms of the top line.
And so our ultimate goal is to have a 40-40-20 split of the large-scale manufacturing business model contract manufacturing business model and the crams business model. So in essence we want to take the 13% gradually up over the next few years to 15% 17% and 20% and for which to address the second part of your question we will be looking at maintaining the R&D spend as a percentage of the overall revenues as the revenues go up to be consistent at the 7% to 8% level typically and we'll be investing into the R&D and the pilot plant assets which will help to grow the crams business model from the 13% today to 15% to 17% to 20% in the future. So hopefully I answered your question Neeraj.
Moderator: Thank you. We have our next question from the line of Pratik Oza from Systematix. Please go ahead.
Pratik Oza: Yes. Thank you for the opportunity. So, I just had one question any of the products between manufacture does it does it have its application in the oncology segment in pharma?
Management: No, currently not the previous advance intermediates that we make have no application in the onco market. We do have a packed pipeline, which I would like to divulge at this point. But the current manufacturing assets do not have any application in oncology.
Moderator: We have a next question from the line of Ridhima Goyal from Acquaint Bee Ventures. Please go ahead.
Ridhima Goyal: Hi. Thank you for giving me this opportunity. I just have one question. As I'm looking at your past performances we were we were growing our top line like more than 30%, 35% as we were very at the nascent stage, so that was it was easier for us to grow at a faster pace. But now looking into FY ‘23 we have grown just 10%. So I just wanted to know like why is this happening? And what would be the growing growth rate for us both top line and bottom line?
Management: Yes so thank you for this question. What we have we have grown over the period of time since last three four years is because of the assets which are already on the ground. The second we were using capacities close to 80% previously and we have de-bottlenecked and currently using the sets at 70%. The site 3 came online in December January period, so we only had three months to deliver out of that product and we had to stabilize the site also. Going forward you will see site 3 in full action and it will give its attain its mature state in 18 months period from now.
So we were not able to grow in essence because we did not have assets on the ground and that is the reason why we are going for a capex plan as we speak. Also looking towards the business segments, pharma was not performing well so we lost quite a few top line in the pharma intermediates also in this current year and which has also again regained shape as we speak. And


so pharma was globally down and hence this result was also affected in a way. So our targets were slightly ambitious this year but we were not able to perform as per our internal expectation.
Ridhima Goyal: Okay. And one more question I wanted to ask, sorry continuing with the existing question what is the growth we are expecting for next two years then?
Management: So next two years we will be looking at interesting growth. So we have invested on site 3+ close to INR200 crores which will attain 60% efficiencies during this period of time and also the pharma is already showing sense. So I believe you can just guess estimate this number by yourself and figure it out. I mean, I'm sorry I would not like to put the number on this. But the results for the next year would be far more better than this this year.
And in terms of the EBITDA and PAT we have already shown a nice PAT number in terms of the percentage and in terms of the EBITDA percentage and we would like to build it up from there from here.
Ridhima Goyal: Okay and the

second question which I wanted to ask was just a clarification you said INR 200
cores to INR 250 crores of capex per site right to total three sites. So we can assume around INR
600 crores of capex in how much time?
Management: Yes. So we have put up an enabling resolution of INR7,500 million and we are looking at this
capex to be deployed in two financial years this financial year and the next financial year.
Ridhima Goyal: Okay and what would be the asset turn we can assume for this capex?
Management: We have been able to deliver asset turn of 1.8x to 2x and we'll look to build up from this and
we'll target minimum of 2x and we'll like to build it up from here.
Ridhima Goyal: Okay and this capex will take like how much time to reach to its optimum utilization level, like
after two years, when will it reach to the utilization level?
Management: 18 months.
Moderator: Thank you. We have our next question from the line of Prabhjakar Venkataraman an Individual
Investor. Please go ahead.
Prabhjakar V.: Congratulations for the good numbers my question is the capex which you are planning for the
next 18 months, now will it be in the short-term create a dent on your profit and how do you
propose to overcome that? Because you already the current year growth rate is come down,
really three four years? Thanks.
Management: Sir, sorry we were not able to clearly listen to you sir. Can you please repeat the question?
Prabhjakar V.: No the current capex you're planning INR 70 crores of capital rising in various main mode that
is towards the capex and that capex, it's going to take 18 months…
Moderator: We have our next question from the line of Priyank Chheda from Vallum Capital. Please go
ahead.



Priyank Chheda: Yes. Hi sir, I wanted to clarify the INR750 crores capex that you said can you split it up between
site + site 4 and 5 would it be INR200 crores each?
Management: Yes. So in the range of INR200 crores to INR250 crores each, that is what the plans are. Site
3++ is in the range of INR200 crores as of today site 4 and site 5 are being designed and being
formalized as we speak and so it would be in the ballpark of INR 200 crores to INR 250 crores
and that would be the first phases of site 4 and site 5. However, site 3++ would be completely
closed for further capex after investing INR 200 crores.
Prabhjakar V.: Right so now we have gone online with site 3, right? So there was a site 3+ also right?
Management: Yes site 3+ and ++ both are right now being expanded further which is the which will double
the capacity of site 3.
Prabhjakar V.: Got it. So we have spent INR200 crores in site 3+ and we are spending another INR200 crores
in site 3++. I hope and my understanding is correct?
Management: No Priyank let me just correct you. We have invested INR 200 crores odd on site 3 only and site
3+ and ++. So site 3 is equal to INR200 crores of investment, which you have already completed
site 3++ and site 3+ which is -- which will enable this capacity is on the land space to be doubled
up will entail a further investment of INR200 crores and site 4 and 5 are being currently planned
and worked on but the approximate first phase of investment in site 4 and site 5 will be in the
tune of INR200 crores so INR250 crores each.
Prabhjakar V.: Got it, that was clear. And so we added 3,500 tons in site 3, so with site + and ++ coming up we
would add another INR3,500 crores.
Management: Yes. Typically yes.
Moderator: Mr. Priyank Chedda are you through with your question. Mr. Chedda we will move on to our
next question from the line of Satadru Chakraborty an individual investor. Please go ahead.
Satadru Chakraborty: Yes. Hello good evening. Okay one question on the bookkeeping the inventory numbers for
fiscal year '23 are roughly up by 50% any flavor on why this is and how can we clear this and
do you plan to take an inventory

right down next year or how should we look into this?
Management: Yes the inventory has increased because we have continuously launched new products
throughout the year in financial year '23. And for the new products we always also for the all
products we keep inventory of critical raw materials in our inventory for at least five months
plus and so new products have been also we are putting more inventories on. And that is the
only reason and the we will bring down the inventories gradually once the products are properly
you know launched in the market. And we will stabilize that them to at least four and a half to
five months down the line.
Satadru Chakraborty: Okay thanks. Another question on the five new molecules you guys launched in Q4 can you
throw a bit of flavor on what kind of molecules what kind of APIs these are if they are APIs and
how should we the markets for these molecules?

Management: So these molecules were written down in the RHP also they were carbamazepine oxcarbazepine dolutegravir intermediate, ambroxol intermediate and another one the fifth one was at the agrochemical intermediate called bifenthrin alcohol. So these are the five intermediates which we have five chemicals for which we have launched the intermediates for the APIs and agro and product, which we have launched the intermediate for.
Satadru Chakraborty: Okay and then the last question that I had is the relationship with Otsuka Pharmaceuticals, which has been mentioned in the presentation as well. If I read it correctly, you guys have mentioned roughly INR51 crores of revenue per year around 300 metric tons so that's around INR 1,700 per ton and then what I also read it this is a 10 year supply agreement any flavor on what kind of chemicals is this is this amongst the ones that you just mentioned and whatever you can mention about this agreement will be helpful?
Management: Yes so if you read the RHP again there's a hint over there we have formed the association where we were competing with each other and now we have formed the association on that product and the other product was an identical product of the same, on the same line, on the same chemistry and that was also given to us so this agreement is for the period of 10 years and then will be automatically renewed every one year after 10 years of completion and the revenues who are INR 51 crores to start with per annum and which will which will enable us to grow beyond that as the demand grows of the second molecule also.
Moderator: Thank you. We have our next question from the line of Inderjeet Singh from HDFC securities. Please go ahead.
Inderjeet Singh: Hi Rohan, Aman, Faiz thanks a lot congratulations on good set of numbers and a couple of questions I have one on site 3 can you just tell us what was the kind of utilization in site 3 quarter four and by a FY ‘24 and what we think would be the stable state utilization rate in this in the site?
Management: But currently we are in the quarter one with where we started in January, middle of January and we stabilized we have reached us capacity utilization on the on the total streams as 30% only as you see and by the end of this financial year we look at 60%, 65% percent would be our target to utilize the whole all the streams at 60%, 65% level.
Inderjeet Singh: So was there a meaningful contribution in top line in quarter four from site 3 and can we quantify it?
Management: We can quantify it, but we have not quantified it at the moment. But it was approximately INR 30 crores, INR 35 crores.
Management: INR 30 crores let's assume that.
Inderjeet Singh: Got it third is that the realization on site 3 is this similar to what we are kind of making on a on a full year basis of around 1,700 odd levels or this is higher than our average numbers?
Management: This will be higher in number for sure.



Inderjeet Singh: Got it and coming to your expansion plans, is it safe to assume that site 3+ and ++ would start to kind of contribute to revenues from early FY ’24?
Management: Yes that is that will be the target to start towards the end of ’24. So that we can have some benefit in terms of the top line contribution for the FY ’24.
Inderjeet Singh: Got it and we have a product already kind of in the pipeline for that?
Management: Yes.
Inderjeet Singh: Last question from my side is if I look at our R&D expenditure as a percentage of sales we are already one of the highest in the Spec-Chem industry that's 7.5% would this continue to increase or now it will stabilize at these kind of levels given that our revenue is also likely to come back on a very strong growth over the next couple of years. So in absolute terms even at stable seven and a half percent that would entail a fairly significant rise in R&D.
Management: Yes interesting question we have already budgeted seven percent this year also in terms of the 7% of our total revenue. So that's going to increase also
Moderator: Thank you. We have our next question from the line of Yash Shah from Investec. Please go ahead.
Yash Shah: Hi sir, my first question was regarding our realization just to clarify the did you see that our realization for FY ‘23 was 1,766 yes.
Management: Yes
Yash Shah: Okay. Sir last quarter we had mentioned that for nine months our realization was around more than INR 1,900, so this quarter have you witnessed a significant fall in our selling price?
Management: Just a minute. No the last quarter the realization was around INR 1,600 not INR 1,900 rupees
Yash Shah: It was 1,600. Got it, sorry my bad. So but this quarter have we basically taken price decrease

have you like passed on the lower prices to the customer?
Management: The correction of the prices has all already started so as the raw materials have decreased. You will be seeing the original levels of before which were prevailing before one year. I mean so that will happen but also the margins will remain intact and in fact the margins will start growing because of that. So you will see a certain correction, but it will not affect the overall business of Aether because we had not shown a great increase in terms of the margin in the last one year also, in terms of the pricing. So it will only come to the original level it will not dip beyond the original level.
Yash Shah: So it is safe to assume that even if the price is increases in the future we should be able to maintain more than 30% of the margins?
Management: Yes


Yash Shah: Right got it. Sir my second question was regarding the three big contracts, we've gotten in the last financial year from Aramco from Otsuka and from Polaroid. So are we going to have dedicated plants for all of them. My understanding is that we'll have multi-purpose plant but then for a bigger contract like Aramco, are we going to have a dedicated plant?
Management: Yes, so interesting question. So Polaroid is more towards the Crams which is the R&D and the pilot plant segment the Otsuka is more towards existing products in our portfolio and the Saudi Aramco is towards commercialization of the new technology and so the Polaroid will most likely come from a mixture of the current assets in the pilot plant and new assets that we have already planned for so in essence from the multi-purpose new pilot plant coming in. The Otsuka will be from the existing assets and the Saudi Aramco as it progresses forward will be dedicated production assets built for the Saudi Aramco technology but anything that we do take up in the manufacturing assets is focused on our core competencies and so across the core competencies all plants are fungible and multi-purpose in nature and so even the Saudi Aramco plants that w

e
do build it will be a multi-purpose plant across the core competencies involved in that technology
Yash Shah: Got it. Sir so another question which I had was last quarter we announced that we are going to basically make three agro intermediate products. What will be the realization of those products blended realization will it be in the same range as the 5 pharma intermediates which we had announced?
Management: North of INR 2,000 for sure so it would be an interesting set of numbers in terms of per kilo, but we would only like to deluge right now that it would be about INR 2,000 a kilo.
Yash Shah: Okay about INR 2,000 a kilo. Got it, last question sir for FY24 how do we see our business mix changing I mean this year we had 42% coming from pharma and 35% coming from agro do we expect it to remain the same for the next financial year as well
Management: No pharma will slightly increase for sure yes because we are launching five products in it out of that four products are in the pharma side. So hence the pharma will take a lead again but however in the long term it will again balance out with three new products in the agro side also.
Yash Shah: Got it. Got it sir thank you for answering all my questions and all the best.
Moderator: Thank you. We have our next question from the line of Noel Vaz from Union Asset Management. Please go ahead.
Noel Vaz: Yes, actually just one small follow-up three has there been any expectation as to what kind of form the equity rates will be taking?
Management: You are not audible can you please repeat?
Noel Vaz: Yes, regarding the equity rates do we have any ideas to how we are I mean what exactly is the instrument under which we are planning to raise the issue or what is the case?
Management: So we have to reach the minimum level of 75% in terms of the dilution we have only diluted 13% as of today. So 12% is still due which has to be done in next two years period approximately


and so we'll be looking for this dilution and as per the SEBI guidelines by going for a primary raise only we do not want to go into any OFS at this moment because we are seeing a lot of expansion plans and we are a bit of the of the opportunities out here and so we will only release dilution in the company.
Noel Vaz: Okay thank you
Moderator: Thank you we have our next question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Hi, good afternoon all and thanks for taking my question. I got few of them first on the capex

guidance and the revenue opportunity which we say we have already spent INR200 crores on the site 3 we plan to spend another INR 650 crores in 3++ 4 and 5 so all put together what we are looking at is the close to capex of INR 900 crores to in INR 1,000 crores and if I put the 2x kind of an asset turn at the peak of it which you said we will achieve to 18 months once this plant are up so two years for the plant and 18 months so what we are basically looking at is FY27 we could potentially be able to generate a revenue which is in excess of INR 2,500 crores to INR 2,600 crores is that the right understanding.
Management: Yes, that would be I think the right calculation.
Sanjesh Jain: Got it. Just to understand this because this is quite a steep jump can you help us understand. Which all the segment in terms of application we are looking at I know it's very difficult and it's way too far but just what is at least our intent in terms of mix between the pharma agro material science including photography and everything how would you intend to have this mix say three four years down the line.
Management: Yes, thank you Mr. Jain, excellent question. So the mix which we try to dream of, or we want to achieve is 40% pharma, 40% agro and 20% material science. 20% material science would include oil and gas high performance photography, electronic chemical

s and so on so forth. That
is a part of it. Yes so Mr. Jain so you would prefer a three equal distribution on this three-business model. However 40-40 and 20 would be the right target for at this moment.
Sanjesh Jain: Got it. You were telling that material is slightly difficult can you elaborate on that? I think that's where we dropped off.
Management: No material science is not difficult material science would we would prefer that material science also grows at equal pace. But that segment it is quite a interesting segment and it takes slightly more gestation time as compared to pharma and agro.
Sanjesh Jain: Got it. On the pharma and agro side do we intend to remain at say intermediate stage or we are also intending to say move in the value chain in terms of producing API and AI which have a much larger realization when you compare to the intermediate do we intend or are we working to move up in the value chain until that stage?
Management: No so our focus is specialty chemicals and its intermediate only, so we do not want to go into the AI or API segment or formations in the near future.


Sanjesh Jain: Got it, fair enough. Just dwelling a little bit more there on the agro and pharma, have we really identified the number of product and how many products are in the pipeline, say for the next two to three years? And at what stages are we in these products? And how does it look like in terms of portfolio versus what we have today? Will it be higher realization, lower realization? And particularly in the pharma side, what are the key areas of focus in terms of diagnosis or the therapeutic area?
Management: So in the way our pipeline of the products in R&D is 29, they are into scale-ups and into on bottom class that is in R&D. So that is a pipeline. It is a mix of agrochemicals and material science and pharmaceutical intermediates only. We are looking at this pipeline in the terms of next two years of commercialization, two to three years of commercialization. So we will be commercializing these products if they are successful in scale-up in the large-scale manufacturing business under the large-scale business model in the next two to three years. What was the second part of the question, sir?
Sanjesh Jain: So these 29 products what will be the addressable market size today what will be these 29 products in terms of market today to understand the scale of this product?
Management: We do not have that number on hand at the moment but it's northward of INR 3,000 crores, INR 4,000 crores the market size.
Sanjesh Jain: Got it. Fair enough, last question from my side for you i'm stretching a little bit here. On the near term we said that we anticipate to run this the plant three at 60% utilization in FY24 and we also anticipate some growth in the pharma side as well which normalizing from the low base of FY23. If I back work it if we are looking at the top line in FY '24 anywhere in the range of INR 950 crores to INR 1,000 crores. Will it be a fair assumption?
Management: I would not like to comment on that but, I'm sure.
Sanjesh Jain: Arithmetically that's how it comes I hope arithmetically I am right right?
Management: We'll try our level best to come to that number.
Sanjesh Jain: Got it. Fair enough and nice hearing you best of luck.
Management: Thank you Mr Jain.
Moderator: Thank you. We have our next question from the line of Rohit Ohri from Progressive Shares Please go ahead.
Rohit Ohri: Hi Aman, Rohan, and Faiz few questions from my side. Post this expansion of site 3, site 3++ and site 4, you will still be having quite a lot of ample amount of free land. So, is it that this is

just the phase one of expansion of around INR 800 crores or something and should we be looking at another round of expansion maybe in the same numbers or so?
Management: Yes, you are right now.
Rohit Ohri: With

the same kind of asset turn on that we should in FY27-28?


Management: Yes, we are envisaging the same asset turn on all the products.
Rohit Ohri: Okay in that case what would be the debt profile like because you are almost debt free today so will you be looking at some sort of fundraising or will it be you know consistently maintaining the debt free status.
Management: Rohit, we have to achieve minimum shareholding pattern of 75% so we have to further dilute by 12% we have put up an enabling resolution of INR 7,500 million only at this moment so we still have a chance to further dilute in the next two years' time and so to reach the 75% holding levels and we prefer to put all this 12% as a primary in Aether so we have a good opportunity over here to invest all this amount whatever you get into this length parcels which we are we are owning and build up from there.
Rohit Ohri: So any thoughts on the board with the dividend distribution policy as a reward for the shareholders any thoughts on that?
Management: Currently we are in the growing mode we are in the investing mode so we would not prefer to give dividend at the moment.
Rohit Ohri: Okay last questions it's a pair for the new products that is related to Otsuka and Enison with the two products so will you be maintaining the blended margins of 29-30 kind of a range that we have, or you will be aiming at something higher than that with the new product profiles.
Management: Absolutely we'll be maintaining the margins, or we'll try to grow up how about this March on the same the production.
Rohit Ohri: Okay. And last question on the Saudi Aramco, the converge and the case or for the polyols. If you can just elaborate a little bit on what exactly Aether will be doing and what will be our contribution as to what sort of products are these or what sort of processing is required for the case products or for the polyols? If you can just elaborate just two, three lines related to that.
Management: Yes, so this is a joint partnership, joint development effort that has been going on for quite a few years now. And also, we had consent from them to publish their names as a customer. And this is a joint technology development that we have done for the process to manufacture these converge polyols. And going forward, this will involve the manufacturing at Aether and commercialization of the converge polyols technology and the applications would be differentiated and applied polyols for the case industry. And so not going after the base polyols that form the fundamentals of the case industry, but going after the applied and differentiated polyols, which as a function of the polyols that we are making from this technology, will provide potentially enhanced properties, as well as up to 40% carbon dioxide by weight. And so potentially it could be very interesting from a sustainability perspective and also give differentiated and applied properties in the case industry.
Rohit Ohri: And have we identified some more clients or customers to whom we intend to sell these products to?


Management: Absolutely. If you look at the letter of intent that we have made, there's a potential another joint press release coming up in the next few months with another multinational company partner who is going to potentially launch a new product based on this technology. And so it would be a three-way joint press release between Saudi Aramco, Aether, and this multinational customer X on the launch of this new technology, a new product launch involving this technology.
Rohit Ohri: So this target, which the previous participant was talking about, of around 2,000 probably seems to be slightly more conservative and you can grow more aggressively if all the things fall in place for you, probably reach at 4,000 crores or something by

28 or so?
Management: Sir, I'll send a box of sweets to your office. Jokes apart, we have, as we've always said, the fundamentals of the company are very sound. We are expanding in the right manner and approach in the R&D pilot plant and production with a practical, pragmatic approach and the pieces have been set quite well. And so we are quite upbeat and positive in our outlook for the quarters and the years to come. The years to come will be much more interesting.

Rohit Ohri: Okay, that makes a lot of sense. Thank you, sir. Thanks for answering the question. Thanks a lot.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.
Management: Thank you, everyone, for joining the call. We hope that we have covered most of your questions. If you still have any further questions, please feel free to reach us. Stay safe and have a great day ahead. Thank you.
Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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# Call: Jul 2023


Aether Industries Limited
Registered Office: Plot No. 8203, GIDC Sachin, Surat -394230, Gujarat, India.
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July 31, 2023

Ref. No.: AIL/SE/ 55/2023-24

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400001, MH.

Scrip Code: 543534 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400051, MH.

Symbol: AETHER
Dear Madam / Sir,

Subject: Transcript of the Earning Conference Call

In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Wednesday , July 2 6, 202 3, on the financial performance of the Company for the First Quarter of Financial Year 2023 -24 ended on June 30 , 2023, is enclosed herewith .

We request you to kindly take the information on your records.

Thank you.

For Aether Industries Limited

Chitrarth Rajan Parghi
Company Secretary & Compliance Officer
Mem. No.: F12563

Encl.: As attached



"Aether Industries Limited Q1 FY -24 Earnings Conference Call"

July 26, 2023

MANAGEMENT : DR. AMAN DESAI – PROMOTER & WHOLE -TIME DIRECTOR , AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI - PROMOTER & WHOLE -TIME

DIRECTOR , AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARI YA – CHIEF FINANCIAL OFFICER ,
AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE (IR), AETHER
INDUSTRIES LIMITED

MODERATORS : MR. NILESH GHUGE – HDFC SECURITIES LIMITED


Moderator : Ladies and gentlemen good day and welcome to the Aether Industries Q1 FY24 Earnings Conference Call hosted by HDFC Securities .
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is be ing recorded.
I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities Limited . Thank you and over to you sir.
Nilesh Ghuge : Thank you Yusuf . Good afternoon , all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the Results for the Quarter Ended June 2023.
From Aether Industries we have with us today Dr. Aman Desai – Promoter and Whole -Time Director , Mr. Rohan Desai - Promoter and Whole -Time Director , Mr. Faiz Nagari ya – Chief Financial Officer and Ms. Shub hangi Desai – Executive (IR).
Without further ado , I will now handover the floor to Ms. Shub hangi Desai to begin with the earning call for Q 1 FY24. Over to you Shub hangi.
Shubhangi Desai: Today on July 26 , 2023, our Board has approved the financial results for the first quarter of fiscal year 2024 and we have released the same to the stock exchanges as well as updated the same on our website. Please note that this conference call is being recorded and the transcript o f the same will be made available on the website of Aether Industries Limited and exchange. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied , rebroadcasted, or attributed in press or media without specific and writte n consent of the company.
Let me draw your attention to the fact that on this call , our discussion will include certain forward -looking statements which are predictions , projections, or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. A ether Industries Limited or its officials do not undertake any obligation to publicly update any forward -looking statements whether as a result of future events or otherwise. Dr. Aman Desai will begin by shari ng the ongoing expansions and strategy of the company going forward. Then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Mr. Rohan Desai will share a broad overview of Aether's business. Now I shall handover the call to Dr. Aman Desai for his opening remarks. Over to you Dr. Aman.

Aman Desai: Thank you Shub hangi. Good evening and a warm welcome to everybody on this call. I hope everybody's doing well and I'm very happy to connect with all of you once again and discuss the performance of our company for the first quarter of the fiscal 2024.
To begin with in terms of strategy and expansions ; all our expansion plans are advancing well as charted, and the strategies laid out for our growth trajectory are firmly in its pla ce. Despite the current headwinds which we believe are temporary , we stand strong on our core competencies of class apart infrastructure , state of art technology , a focus on core chemistries and technologies and integrated systems. We have been investing s trategically in these areas as well continuous investments in the human capital at Aether as well as research and development emphasize their pivotal role in the sustained growth of our company.
We have successfully raised R s. 7,500 million or Rs. 750 crore s through Qualified Ins

titutional
Placements or QIP by issuing 80 .12 lakh equity shares , 36 qualified institutional buyers which would be deployed for funding CAPEX for Site 3, Site 5, meeting working capital requirements and general corporate purpose s. The agro sector is currently witnessing an inventory reset year which has hampered both , our large -scale manufacturing as well as our contract exclusive manufacturing business model . Foraying of the Chinese competition and restarting of the

Chinese indu stry into a few of our products in the pharma sector has also impacted us. But for the most part I do believe that we have been able to reasonably come through in this quarter because of our strong portfolio as well as the diversity in our business model a s well as the end industry application sectors . In the material science and oil and gas sectors we are I do believe pioneers in the country in terms of tying up with the innovators of these fields in their R &D platforms going on towards commercialization a nd we have also made a few important announcements in this regard in this quarter which I'll speak shortly about.

In the CRAMS business model , we continue to see good growth which helps us to continuously collaborate with the elite technocrats across the borders and the contribution of large scale manufacturing has remained dominant in this quarter which is on the backdrop of the commercialization of new products in the new sites that we have upcoming that we have launched in this quarter and the last quar ter. There is definitely a slowdown in the agro sector in this year as the agro companies are now destocking in a significant manner, but this is a cyclical event just like the pharma companies were undergoing in the last year. We do believe firmly this is a short -term phenomenon and the things will settle out in the third and the fourth quarters of this fiscal year. Demand certainly has been hit back in this quarter due to aggressive Chinese dumping but as is always the case , with this Chinese dumping scen ario China will not be able to sustain this as there are various other geological and economic factors in play in China which does portray a good future for the Indian specialty chemical market beyond the current temporary headwinds.



A major development that came along from our side during this quarter was the execution of a letter of intent with one of the three major global oil field services companies based in the US. This L OI, letter of intent paves the way for the execution of a strategic supply agre ement between the two companies within a few months of the L OI execution. The L OI specifies four strategic products of this new customer that will be contract manufactured by A ether as the first set of products. The individual volumes of these four product s as is mentioned in the L OI totals to 16,000 metric tons per year with a significant revenue potential to the north of R s. 300 crores per year from the fiscal ‘25 which is the next fiscal. And we do hope to see some contribution of this in the last quarte r of this fiscal year as well. These products will be supplied to the global energy and oil and gas locations of this customer including a significant supply with in India which will be in support of the ‘Make in India’ movement. This project is being under taken by us at Site 4 under Aether Specialty Chemicals Limited which is 100% wholly owned subsidiary of Aether and the project work has already begun and is actually in full swing as we speak today.

Another important announcement that we did during this q uarter was the signing and the finalization of the licensing agreement with Saudi A ramco Technologies Company for the commercialization of the sustainable converge poly ols technology. After working collaboratively over the last many years in the C RAMS busi ness model , we are now proceeding t

owards the commercialization of these sustainable polyols, and we are very excited to be starting off on this path.

We continue to make robust investments towards R &D. Our R &D expenses for the first quarter stood at R s 124.6 million i.e. 7.6% of our total revenues for the quarter were going towards R &D expenses. The strength of the R &D team grew from 233 in Quarter 4 of fiscal ’23 to 262 in Quarter 1 fiscal ’24 that is this quarter. As always , the pipeline in R &D is fully backed up for future molecules with plans to launch these molecules in the upcoming years in the Site 3+, Site 3++, S ite 4 and Site 5 greenfield manufacturing sites in the business model s of large scale manufacturing as well as exclusive /contractual manufa cturing. In this quarter itself we have exhibited the most important specialty chemical trade shows globally which are the Chem Expo show in Mumbai , the Chem spec Europe show in Switzerland , the CP HI show in Japan , Tokyo and the Chemicals America Show in Sav annah , USA which gave us significant insights as always on the prospects of opportunities , the growth going forward as well as continued meetings and tie ups with some of our most important customers in USA , Europe and Japan.

We are as always committed to what we have said in the past and will continue to deliver. We see a good turnaround in the third and the fourth quarters of this fiscal year and are hopeful to close that the fiscal year with good numbers and margins along with the various other developm ents which we've always talked about, and which are in the pipeline.



With that I would like to conclude speaking and I will now request our CFO – Faiz to touch upon the financial highlights for the period under review.

Faiz Nagariya: Thank you Dr. Aman and good evening , everybody.
I'm glad to inform you that the total revenue of the company stood at INR 1,638 million in the first quarter of fiscal year ‘24, reflecting flattish when compared to Quarter 1 of fiscal year ‘23. EBITDA has also been flattish year-on-year basis from INR 486 million to INR 47 5 million thereby resulting in EBITDA margins of 29% in Q 1. The PAT for Q 1 for financial year ‘24 stood at INR 302 million which has also been flattish year-on-year based on Q 1 of financial year ‘23. PAT has been 18% as a percentage of the total revenues. The d ebtor cycle of the company is still st retched but we have been able to bring down the d ebtors marginally from 145 days as on 31st March 2023 to 139 days as on June 30 , 2023. We are continuously work ing on this area and are confident to bring it down much better by FY 2024 end. Now I would request Mr. R ohan Desai to share a broad overview of Aether 's business. Over to you.
Rohan Desai: Thank you F aiz.
The entire chemical industry is currently facing tough times with various segments experiencing stock corrections , especially agrochemical segments. Chinese companies have been dumping material into India after reopening their production facilities following the COVID lockdown and the Chinese currency ha s also devalued significantly to aid in their dumping activities. Despite these challenges there is a hope for demand normalization as orders are in hand to be supplied from quarter third of this fiscal year which is expected to bring things back to normal. While raw material prices have stabilized o n the lower side benefiting the company with reduced COGS. The selling price of all the finished products have also corrected quite a bit. It has been for the first time in the history of the company that we have seen reduction in the average realization o f the price of the product s which has gone down up to R s. 100 per kilo as compared to the last quarter and the current quarter. With the new products that we have launched in the Site 3, the increase in turnover of th

ese product s will help us to achieve th e realization much better in the quarters to come.
To save on major overheads like electricity costs , the company has installed 16 MW solar power plant providing optimum output for three units of Aether Industries Limited . For further discussions for a h ybrid power plant , deal is already in advanced stages which is projected to cover 80% to 85% of the total electricity cost of all these three units w ith plans to increase the capacity for future expansion. Continuous discussions with steam service provider s have led to a decrease by 17% in the steam utility cost in the last 6 to 8 months.

Coming to the three independent business models ; in Quarter 1 of financial year 2024 , we have seen 63% of our total top line coming from large scale manufacturing busines s model , 16% of our total top line coming from contract research and manufacturing services business model and our third business model which is contract ual exclusive manufacturing contributed to 20% of our total top line. As always , we remain committed to delivering value to our shareholders and investors . With short term challenges persisting we firmly believe in the resilience of our business and the underlining fundamentals that have allowed us to thrive in the past.
We are confident that these qualities coupled with adaptability will guide us through the trying period and position us for sustained growth in the future. Thank you and back to you Shubha ngi.
Shubhangi Desai: Thank you Mr. Rohan. We shall now request the moderator to open the forum for question and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Noel Vaz from Union Asset Management.
Noel Vaz: I just had one question. So , what I wanted to know is regarding the new molecules which are expected to come up in Site 3. I think you had mentioned that the realization should be better than the current realization that the company enjoys. So which particular segment which w ould this be c oming from?
Management : They are coming from p harma segments. You are talking about Site 3, they are coming from pharma segments only , pharmaceutical segments.
Noel Vaz: And expected revenue would be how much approx. ?
Management: Expected revenue of Site 3 at maturity which will be achieved in 2 years will be 400 crores.
Noel Vaz: Also , one o f the question s, so I had a series of questions about the polyol segment. I just wanted to know what exactly is the realization that we are aiming for in that particular segment? Because I just had some doubts for that , so realizations and capacity is what exactly are we looking at right now?
Management: So as low as $8 and as high as $13 per kilo.
Moderator: The next question is from the line of Shatadru Chakr aborty from Chakra borty Family office .
Shatadru Chakraborty: My first question is really a bookkeeping question. The cost of material consumed , this is up 18% year -on-year and then the effective tax rate that has really gone down year -on-year as well as quarter -on-quarter. I just wanted to understand what exactly is happening. Is it inventory

destocking that is happening? Is it raw material which is costing us more and why do we see so much fluctuation in the tax rates?
Management: I will take the qu estion for the tax rate. The tax rate if you see , we have just installed the solar power plant last year which was commissioned in July, but the plant started to give out the output s from October. The installation taken in October. So , half year depreciation was taken , this year the full year depreciation is taken, and the revenue is low this time in the first quarter , so it's 161 crores and expenses have gone up. So , the resulted PBT and

the actual tax payable which comes is less , so the average tax has gone down because of the capitalization of the solar powe r plant wherein the depreciation is 40% as per income tax. The deferred tax liability also went down because of the increase in the gross block of the depreciation as per Income Ta x Act.
Shatadru Chakraborty: So, the tax rate per se what you're saying is in Q 2-Q3 this will be slightly back up again in the 22%-23%.
Management: Yes, it will come back as the revenue will increase the tax rate will come back. It will come back to arou nd 23 %-24% for sure.
Shatadru Chakraborty: And then the question really on the increase in the cost of material consumed , can you response to that?
Management: The increase in cost of raw materials consumed is basically a factor of the raw materials whic h are used which were purchased at a higher price in the second quarter which are used now because we keep an inventory of 5 months and then the prices started going down. So those are now being used in the second quarter from now. So , we'll see a reductio n in the raw materials consumed cost also. The major thing is the recoveries which we are having which have shown a decline which is the reason for the increase in the raw material cost. But now as we go in the second quarter , the raw material cost will st ill be going down because we have inventories which are purchased at the rock bottom prices of the raw materials which were purchased recently.
Rohan Desai: Mr. Chakraborty this Rohan over here. The raw material prices have reduced in last 60 days approximately and there was a drastic fall which has happened which was unseen before in Aether 's history. So , it was quite drastic and hence the raw material prices have almost reached the rock bottom as we speak. As the inventory starts depleting you will see the benefits out of the lower cost raw material .
Shatadru Chakraborty: Makes sense. So , then I think Q 2-Q3 we might see some of this play out. My second question really is on the contr act manufacturing segment. I see numbers down year -on-year and quarter -on-quarter, and you mentioned that the agriculture sector has been relatively weak. I just want to understand , get your color and you said Chinese yuan has depreciated a lot , so their i mports

are cheaper and so on and so forth. I understand that . But my real question is , I know that you have lost price, but have you also lost volumes and how do you see the sector at least in the rest of this year? Because I understand that the agricultur e sector recovery is probably not going to happen as much as we expect.
Management: So, we were anticipating the contract renewal to happen in the Quarter 1 which has been deferred to Quarter 2. Hence that's the only change which we are seeing right now. This moreover related with the destocking issues going on in the agrochemical sector. So , the demand is there but they are all destocking at this moment and getting their inventories corrected. We are believing today that the demand s will be back, and the contract will be completed in Q2, and we will see a full force of our molecules coming back in demand in Q 3 and Q 4 on the agrochemical side.
Moderator: The next question is from the line of Viplav Srivasta v from In Cred Capital .
Viplav Srivastav : My question was regarding the large -scale manufacturing division of the company. So just want to get a hang of stuff , so the new products which the company was supposed to launch , the intermediates and other API s. So, have they started contributing to the top line or what is the percentage contribution?
Management: Yes, it has started contributing to the top line as we speak. So , all the products have been launched commercially an d they are already a iding to the sales. However , with the soft er demand it is not picking up as per w

hat we were looking for. But in Q 2-Q3-Q4 we see it coming up back into action. They are not agrochemical intermediates ; they are pharmaceutical intermediat es.
Viplav Srivastav: So just a follow up question. On the Dolutegravir where we are intermediates which are supposed to be making so Gil ead has launched a drug called BIKTARVY which has rapidly gained market share in US , it has 50% market share. So , will it be a competition for our

intermediate as far as the demand for the intermediate is concerned ?
Management: Not on the shorter period of time but over a longer period of time how it sees the acceptability in the market is to be seen . But in the shor ter term we do not see this as a big trouble for us.
Viplav Srivastav : And one last question ; regarding the large -scale manufacturing , we make the intermediate for Methoxy fenozide which is a Pyr ethroid and Pyrethroid p rices have been coming down since the beginning of the year. So , is it just a price decrease or we are also seeing volume decline as far as MM BC is concerned , so is the intermediate for the Methoxyfenozide?
Management: The volume has not declined. We are seeing the same level or some added demand which is coming up as a forecast. Only thing is it is being deferred from Q 1 to Q2. The discussions have been differed because of the addition stock which they were holding, and they wanted to destock

and correct the inventory positions at their en d. So , we are not seeing any problems on Methoxy fenozide molecule . On volume wise it is stable or increasing as per the value. Yes , it will correct in terms of the value because all the raw materials have been decreased substantially. So, we have to adjust the price accordingly.
Moderator: Next question is from the line of Akul Broach wala from Ocean Dial Asset Management.
Akul Broachwala: Specifically taking this question on Site 3. You mentioned that over next 2 years once this matures , you expect 400 crores of revenue. You mentioned that we've already launched three products and are there any further pipeline products which we plan to launch this calendar year and basically what ’s the timeline to scale this up in order to achieve this s ort of revenues within this span of time? Is it completely that within 6 months or so you're able to ramp up the production and supply it or what's the strategy behind this?
Management: So, sites, there are two different sites , Site 3, and Site 3++. Site 3 has five molecules. All five molecules have been launched. Site 3++ has three new molecules which are moreover on the agro site and two of agro and one more of material science which will be launched in the due course of time as the site comes online. Th e site will come online in next 12 to 14 months. As of now that is what we are seeing. I believe you are talking about Site 3++, r ight?
Akul Broachwala: I was referring to actually Site 3 only where you've launched five products. I further wanted to understand whether there are any further pipeline products which you plan to launch over next couple of quarters or so or is this what Site 3 will constitute overall ?
Management: The S ite 3 will constitute five products and we are looking as the businesses of the agrochemical sector is changing and stock correction is happening, we will see the opportunity of the asset utilization and maybe launch one or two products in Q 2 and Q 3.
Akul Broa chwala: And the supplies to Otsuka is also part of Site 3 or will it happen from other side ? Just wanted the clarity on that.
Management: Otsuka's product is coming from Site 2.
Moderator: We'll move to our next question from the line of Simar from N egen Capital Service.
Simar: In terms of the room for growth , we do have an international lever as well as the product mix. So how do you see the growth for the next year or so?
Manag

ement: We could not hear you properly Mr. S imar. Can you just repeat this question please ?

Simar: In terms of the he adroom for growth we do have an international lever as well as the product mix. So , could you say how much do you see the growth for the next financial year as well as like a year or so?
Management: Before Q 1 we were anticipating a robust growth happening in this financial year. Just in the last 60 days the price crashed of all the raw materials. Most of the raw materials are available at all time low , even solvents and everything is crash ed to the rock bottom. So , we are trying pushing out that right now to take it quarter -on-quarter basically and we believe that in Q 3 and Q 4 will be back to normal. That's what our belief is, and our understanding is. And I think we will be able to come back to the original state more or less with this ne w LOI signing which we have done and with the new 2 or 3 product launches which we are anticipating to do in the upcoming quarters to come. So , I don't have a number, but we believe that we will more or less reach the target which we had projected in the starting of the year. Does this answer help you?
Simar: Yes, I got it. Thank you for this. I have another question. With the business mix , do you expect the number to be remaining the same the pharma contributing upwards of 50% and agro around 20% to 30%?
Management: No actually we expect that the agro and the others will pick up more in the next two quarters as compared to the first two quarters. The absolute number of the pharma will remain th e same. But we are currently seeing a historical 5-year cycle of agrochemical industry where it's at its

resetting here and inventory restocking here. And so that's why in this quarter especially you've seen the agro components being quite small and we ant icipate that to come back reasonably well in the third and the fourth quarters and so if the agro numbers going up the pharma will remain where it is and especially with the oil field services company contribution coming in the last quarter of this fiscal year, we anticipate the oil and gas and material science ’s sector to also go up in the last quarter. We do anticipate continuing to equalize continuously these various portfolios that we are into.

Simar: And if I can slip in one last question. So , with re spect to the contracts from Aramco , Otsuka, and Polaroid , can you elaborate how much of growth that would be contributing to the revenue or the EBITDA margins in the next 5 years?

Management: The EBITDA margins will be in the 29 -30 range. That is what we are projecting at the moment. Anything abo ve that would be good to have. We are targeting good margins in pol yols business . To start with on Otsuka which are the primary two products which we are already manufacturing , we are seeing the EBITDA levels to be at the large -scale manufacturing EBITDA levels only. So, you will not see a bump up on that part. In oil field services business LOI which we have done , we see the EBITDA margins to be at 28% to 30% also and in terms of the Polaroid contract





research and manufacturing services we see approximately (+50%) EBITDA margin which is categorized as C RAMS for us.

Moderator: Next question is from the line of S hatadru Chakrab orty from Chakrab orty Family Office.

Shatadru Chakraborty: This time I really want to conve rge on basically the two potential future drivers , starting with the oil field company. You just mentioned the EBITDA margin and said that the revenues will potentially start either the last quarter of this financial year or definitely in ‘25. I was just kind of thinking what kind of blended realization are we expecting for this and if you could also throw a bit more light on what kind of molecule it is an

d also in the light of your funnel where you mentioned that is it really the first time manufactured i n India? Does it have four steps? So , whatever you could add on the molecule itself will be very helpful.

Management: So, this is one of the top three oil field services company in the US and they are in the oil field services area and what we're going to be supplying them with is across four molecules itself we have a combined volume of almost 1300 metric tons per month. So, this is a high-volume area. This is a good fit to our core competencies of high-pressure technology and continuous flow technology and so that's why it's of interest to us. In addition to of course being the strategic association with one of the top three leading oil field services company in the US. And being in the non-pharma , non-agro sector which is our continued goal to diversify because of the high volume obviously the average utilization is low and so we're talking about a $3 to $5 per kilo range on a per kilo basis. But if you multiply those numbers into the volumes that I just mentioned it's a potential to be a game changer for the company. And what we've always given guidance is that we are actively looking at various opportunities and various areas of i nnov ation , partnership with such companies where we are talking about such game changing areas for Aether, so that kind of sp eaks to the average realization part of your question. In terms of the molecules these are used in oil field services. But beyond that I'm afraid the confidentiality agreements just from sharing more information. But as is mentioned in the L OI the Strategic Supplier Agreement is being currently constructed between the two companies and we are hopeful that we'll be able to disclose the name of the company as well as more details once this strategy agreement is finalized in the next few months. A nd as you mentioned it could be potentially game changing for us and we are hopeful that we'll be seeing contributions in the last quarter of this fiscal year and with the full contribution with the new site in Site 4 in the next fiscal year.

Shatadru Cha kraborty: A similar question on the converge polyols agreement also that you signed. So here since you have not guided to any start date whatsoever. So , I was just curious what do you think of when you can potentially record revenue for this? Because I kno w there are some contracting pieces also left and any idea of what kind of volumes and what kind of realizations are you potentially





looking at this segment , also maybe some light on I probably think you cannot throw some light on the molecule itself but a nything apart from that will be helpful.

Management: We are setting up two KTA plants as we speak. That is a production line which will have a manufacturing capacity of 2 KTA for Converge polyo ls. We potentially see a sale of approximately 500 tons in next financial year , half KTA that is . Then full KTA in the subsequent year and the 2 KTA in the third year.

Shatadru Chakraborty: And just last question from my side. Site 5 per se for which you have also now gotten some money from the QI P placement that you did, in the document itself it's mentioned 330 crores of CAPEX and I believe you mentioned sometime before that this will be a mix of contract manufacturing in CRAMS . I was just wondering is this exactly the Converge pol yols business that you're trying to do here and similar questions then anything that you can share on the asset? I think the realization which you already mentioned .
Management: Site 5 will not initially have Conver ge. We have not planned that over there. We have planned large scale manufacturing business model molecules and contractual exclusively manufacturing molecules in the first stage in Site 5. Usually , the asset turns at maturity is approximately 2

X
and we are targeting 2X at this moment.
Moderator: Next question is from the line of K rishan Parwani from JM Financial.
Krishan Parwani: Just had two small clarifications I would say. So , the first is I think you mentioned about 2 to 3 new product launches. Just wanted to understand under which business segment would these be?
Management: Two are in agrochemicals , they are intermediates of agrochemicals and one is the intermediate of material science.
Krishan Parwani: And this would be in this fiscal and you don't see a challenge ?
Management: That is in next fiscal because the plant is being built up. Site 3++.
Krishan Parwani: So, this fiscal there is no new product addition. I mean it is more like a ramp up of whatever new product t hat you have launched in the last 5 to 6 months , correct?
Management: Yes. But now we are projecting that we will go for earlier launch of two molecules out of these three. And if the assets permit us and if the installation is not up to the mark.
Krisha n Parwani: And just one last clarification is that we are already in the month of July and right in the month gone by you see any hopes of bettering the run rate in second quarter versus what you have seen in first quarter. Just wanted to understand where do we stand in terms of recovery?

Management: Q2 is a good challenge to have. If we can b etter in Q2 it will give us a good momentum in Q 3 and Q 4. So that's the target. Q 3-Q4 we are looking at as per our understanding and estimates and discussing with the various customers which we have on contract services and manufacturing and large -scale manufacturing we feel we will be back to normal levels and with the inventory of raw materials coming in at all time low it will also aid to the margin. So Q 2 will be a challenging one for sure. But however , we are trying our best to make it a better one than this Q1.
Krishan Parwani: I'll just pitch in one last one. So whatever run rate we saw in 4Q ‘23 in terms of the top line , probably 3Q ‘24 and 4Q ‘24 could be much better than that. Is that a safe statement?
Management: Yes.
Moderator: The n ext question is from the line of Vip lav Srivast av from InCred C apital.
Viplav Srivastav : Just wanted to understand one thing. So , a lot of value of Aether comes from a strong R &D team , right? I mean its research and development team is very well accredited. So just want to understand that what differentiates your R &D team from your peers in terms of recruitment from where you recruit or what type of compensation you pay? How is your R &D team differentiated ? I'm asking this because a lot of the value which Aether caters to is from this R &D. s o that's why I just want to know this. So , if you can throw some light on this.
Management: We are built on R &D and the init ial focus , the first 3-4 years of the company especially we did only R &D and built on that fundamental base and we've continued to build on that. R &D remains the face of the company. R &D remains the focus of the company. As you found out almost 8% of the r evenues go towards R &D and we foresee that continuing in the next quarters to come , in the next years to come. Even as the absolute sales go up the percentage of the R &D spend will remain the same. So , the absolute R &D spend will continue to increase. So t hat remains the focus of the company and that is what differentiates us. I think a big plus point especially for Aether has been that the promoter family and the top management is a great mix of techno - commercial excellence and so there's absolute technica l excellence in the promoter family itself in terms of organic chemistry and chemical engineering which helps us really drive from the top and focus on this R &D aspect of the focus of the company which makes us not depende

nt on
key critical decision making on any other person outside of the promoter family which I think is a huge advantage to the company with such R &D focus. So other than that, we have a team of I think more than 250 R &D scientists and engineers. We have eight research groups led by PhD seasoned , PhD organic chemists who all report into the management. Viplav , I don't know why I lost you, but did you hear any part of my answer?
Viplav Srivastav : Yes, I heard you ha ve 250 strong R&D te am till that point.

Management: We basically to conti nue to invest into R &D. R &D remains the bedrock of the company. We have a global technology leadership team as well that's helping us on a continuous daily basis. We lead from the top. Now, w e have more than 250 scientists and engineers, and we are continu ously adding more to the team. We have eight independent research groups led by PhD synthetic organic chemists who are completely independent and lead the entire projects from paper all the way up to commercialization. We invest in top -notch analytical equ ipment across R&D. I n terms of recruitment , since we lead from the top, we don't need to recruit competency, capability or product knowledge. We build these ourselves from the ground up. So, which means we basically recruit a fundamentally good understandi ng of chemistry and chemical engineering, which is relatively easier to get and cheaper to get as well, if I may add. And so that kind of differentiates us as well in terms of the total spend that we have on, for example, our manpower and the R &D budget. A nd so, it keeps us in line, which helps us to kind of invest money elsewhere into equipment, facilities, and capabilities. We are on the way to doubling further our R&D, hopefully by next year or the year after that, where we are going to launch an entirely new R&D building adjacent to the current R &D building with essentially doubling of the infrastructure and the manpower. We have v ery firm plan s for R &D going forward.
Moderator: The next question is from the line of Noel Vaz from Union Asset Manag ement.
Noel Vaz: I wanted to just cover about Site 3+. So , I think there are five mo lecules coming , two from Material Science, three from Agrochem.
Management: You are talking about Site 3+?
Noel Vaz: Yes.
Management: Two are Agrochemical intermediates. One is material science intermediate.
Noel Vaz: So, the Agrochem molecules, these are associated with crop protection or which particular segment?
Management: Yes, crop protection.
Noel Vaz: The end application, are they going towards generic, or could we have some more detail or color on that?
Management: One I think is generic now, and another is under patent.
Moderator: Next question is from the line of Mr. Sanj esh Jain from ICICI Securities.

Sanjesh Jain: First question on the Agrochemical side, one of your larger peers has said that the problem may persist for a few more quarter s, while we remain optimistic of seeing the revival from Q 2. Did that we commit with the newer product the basis, or is that what helping us for a faster way in the Agrochemical, number one . Number two on the currency side, that Chinese Yuan has depreciated, and Indian currency has …
Sanjesh Jain: Second, on the currency side, now that the Chinese Yuan has depreciated while Indian currency has remained stable, do you think this cou ld play a slight spoil sport in our margin assumption? And the last question is on the guidance. In the previous call when we spoke, we were hopeful of doing close to 1000 crores of top line this year. Do you see any challenge for that? Do you see it could be pushed by a quarter or so?
Management: On the R MB side, there has been devalued , the R MB devalued ai

d to the sales of China,
basically. So, they are able to dump at a more better pricing even because the R MB has devalued. So that has helped them. Now i t has stabilized, I believe. So, we are tracking it on a daily basis. If it appreciates, the prices of all the raw materials will automatically start correcting. That is what our understanding and assumption is. There are multiple factors, but th is is one of the factors where in two weeks' time the y were able to correct the price by 2 % to 3 % is just because their currencies were devaluating as compared to US Dollars. In terms of the guidance, 1,000 crores was something which I don't know. We have never give n the forward numbers to you or to anybody else. But with the start of this year, we had targeted certain numbers and we have fallen back on this in terms of quarter one. But we think that with Q 3 and Q4 being stronger, we will reach in the nearby range .
Sanjesh Jain: And on the agrochemical cycle ?
Management: Agrochemical cycle , yes, some of the peers have suggested that the whole year would be troublesome for agrochemical si de. But there are a lot of products, and a lot of products play differently in the agro side. So, we have very limited products. As such , we have three to four products as we speak only on the agro side. And we see the demand coming back in Q 3 and Q 4 for sure. It's more of a destocking issue only it's not more related to the climate or something like that.
Moderator: Next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: My question is related to a little more broader level. I just wanted to know clearly in terms of the agrochemical cycle, there seems to be a down cycle setting in and basically, it's being driven around through China, especially with all the raw materials, basically the inputs in the intermediate's prices crashing down and hence also finished goods prices also correcting. So, I just want from you a sense of in terms of what's the competitive intensity in terms of Indian



specialty chemical companies as compared to the Chinese peers. Do you see this China resurgence, what is happening also affecting the sentiment for specialty chemicals, Indian special ty companies as well on ground ?

Management: So, the prices have corrected very sharply in terms of China dumping and then the demand also not there. So, both had a multiple effect onto the prices of all the raw materials and the finished products also. But we understand that this has reached the bottom as we speak. It cannot be sustained at this level throughout the whole year. And so, we think that it will come back, it will start correcting and it will come back to its normal level in Q 2 and maybe towards the end of Q 2 or in the start of Q 3. That's what our understanding is. And then once it is back, I believe this will remain stable throughout the next financial year. So, the whole Indian specialty chemical story has not lost its importance just because t he Q 1 of various companies have been affected because of this price correction. So, if you see the last financial year also Q 1 was a tough one for the pharmaceutical focused companies. But towards the end of the last financial year also, everything came ba ck to normal, and everybody was quite positive on the pharmaceutical side. So, the same thing is happening in the agrochemical side, and this will also come back to its normal course in the quarters to come.

Jason Soans: My question was basically with the Chinese resurgence which was not there till probably 1.5 to 2 years. So, they are coming back strongly. So, I just wanted to know how is the momentum on the ground just in terms of China -plus-one, Europe -plus-one. Just if you are seeing any material change in the outlook. That's what I wanted to know.

Management: The outlook of the people has not changed. So, the

procurement teams are still believing that if they are selecting an Indian source, they would still stick to the Indian source. But obviously, if you see the ground reality, they also have pressure to perform and to deliver a product to their customers at a competitive price. So, if you are able to match the Chinese price, then you would obviously be the selected or the priority option for any procu rement person through India or throughout the world.

Moderator: Next question is from the line of Rohan Gupta from Nuvama .

Rohan Gupta: Only one question . Our business model is primarily identifying the opportunities o r the products where there is no manuf acturer i n India and probably offering a better costing compared to other suppliers, primarily in China. That was the business model, and we were fairly doing well in that in identifying multiple products. What you just mentioned, sir, with the currency de preciation in Chinese Yuan much sharper than Indian and increased manufacturing, you can say that aggression of these Chinese manufacturers, it has impacted us in last two quarters and probably maybe in a couple of quarters more. Why we think that this is just only short -term phenomena if the manufacturers in China remain aggressive and with the government support. I sn't it our



business model is more susceptible to the Chinese supplies and in terms of our ability to protect the margin or gain market share .

Management: Our business model is not based on selling at a Ll price lower than Chinese price. It is always to match the Chinese price, not go into a rat race of price decrease against China. The currency devaluation plus aggressiveness has been across the board. So, it's not only as Aether's product but as everybody's , every chemical product has seen this phenomenon where the product was dumped, and the price s have corrected quite a lot. Most of the raw materials or basic commodities have seen a rock bottom price which has not been seen since the last ten years also. And Chinese are selling below without margins to start with coupled with no demand. This has been fueled at a higher level where they are becoming very aggressive and impatient. But this is not going to last long, and this is going to be applied for everybody else. So, it's not only Aether, which is going to suffer, and the rest of the companies are going to make money, but it's going to be affecting everybody out here. And this is not a sustainable model. So, it's not going to sustain for quite a long time. You cannot sell at a loss for a period of one year and not make any money and just keep on du mping material. And even if it happens with one product, also it's okay. It's not going to happen with all 20 products which we are supplying to which we are competing with Chinese t oo. So, I don't see a problem lasting long. But let's see how it turns up

in Q2, Q3, Q4.
Moderator: Next question is from the line of Shreyal Doke, individual investor.
Shreyal Doke: My question only is regarding , you mentioned about the R &D, and can you please help me to know on how many patents did you have in last six months and what was last year total patents you have done?
Management: We are in the process development area and so typically we do not patent, we typically keep it as a trade secret because process patent enforcement in the Indian Asian regime is very difficult and so we typically tend to veer towards the preference of keeping a good trade secret. But having said that, we have done three patent applications combined with our customers over the last couple of years and these are in the works especially, but then we are inventors on that. But the patents will be owned by the customers because these are from the CRAMS for the separating also.
Shreyal Doke: Just one more question is you mentioned about purchasing with one of th

e Europe plants starting
with the small one. So, can you please help us to know?
Management: You mean acquisitions . We are still in preliminary discussions with various people in the US as well as Europe and the idea is to be going for R &D capabilities and footprints. Either extending our competencies or getting into new competencies or a new client base would be the focus,

especially in the R &D area. It would be a small acquisition, but just preliminary discussion still ongoing, nothing i s finalized yet and of course if and when we get to a finalization, we'll be keeping all investors well informed.
Moderator: Next question is from the line of Rohit Nagaraj from Centrum Broking.
Rohit Nagaraj: One question and one clarification. So, one qu estion , basically, last year we had got impacted because of the pharma slowdown, this year probably because of agro slowdown. Obviously, these are the issues which are not in our hand, but what steps or what lessons that we have learned from this in terms of maybe the inventories that we keep or the contract that we sign, the other factors which are impacting the business on a whole way. So, are there any steps that we have taken? That's the first question. And on the clarification front, we've said that al l the raw material prices are coming down and we will be able to protect the margins. But mathematically speaking, obviously the EBITDA margins would look better, but the per kg margins, whether they will decline and will that have an impact on the absolut e EBITDA. Thank you.
Management: So, I'll take the second question first. The absolute EBITDA, as the selling price decreases, this absolute EBITDA also will decrease. So, what we have to do is to change the product mix or focus on high value products more in this time to come and then once the whole environment stabilizes, try and increase the price. So currently yes, that is what , absolutely because will be affected if the top line is affected .
Management: With regards th e first question in the lessons le arned and the learnings and the pathways going forward , it's a great question Rohit and we do believe firmly that the answer is what we have always said actually we have been focusing on this answer well before these problems in the current quarters have h it, which is diversification of the business model and the diversification of the industry spectrum and the focus on the R &D. And so, R &D has to remain the focus. The R&D pipeline has to be full with products and opportunities and areas of innovation and t he focus has to be on diversification, not on pharma, not on agro, but in the other fields of material sciences and the additives and the flavor and fragrances and the oil and gas especially that we are focusing on currently. And so the current sustained f ocus is, of course, we are going to retain our hold on the pharmaceutical import substitutes and the focus on the agrochemical products that we are in , in addition to the relationships that we have curated v ery carefully over the last few years in the Agro chemical Innovator space, but also with an increasing focus on the oil and gas sector and the material sciences sector, which kind of speaks if you look at the announcements that we have made in the last quarter itself, you will get all the Indian non phar ma sectors and so diversifying out our business model further, diversifying out our industry applications further and focusing on innovation, R &D as the fundamental base of the company is going to be the answer. And as you've seen I think we have fared bet ter as compared to the

Spec -Chem market because of the current headwinds and I think that is because of the diversification that we have in terms of the R &D and the areas that we are in.
Mode

rator: Ladies and gentlemen, we will take this as the last questi on for the day. I would now like to hand the conference over to the management for the closing comments.
Shubhangi Desai: Thank you everyone for participating in the call. We hope that we have addressed the majority of your questions. If you still have any further questions, please feel free to reach out to us and have a great day. Thank you.
Moderator: Thank you on behalf of HDFC Securities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Nov 2023


Aether Industries Limited
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November 4, 2023

Ref. No.: AIL/SE/76/2023-24

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400001, MH.

Scrip Code: 543534 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai-400051, MH.

Symbol: AETHER
Dear Madam / Sir,

Subject: Transcript of the Earning Conference Call

In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Tuesday, October 31, 2023, on the financial performance of the Company for the Second Quarter and First Half Year of Financial Year 2023-24 ended on September 30, 2023, is enclosed herewith.

We request you to kindly take the information on your records.

Thank you.

For Aether Industries Limited

Chitrarth Rajan Parghi
Company Secretary & Compliance Officer
Mem. No.: F12563

Encl.: As attached



"Aether Industries Limited
Q2 FY24 Earnings Conference Call"

October 31, 2023

MANAGEMENT : DR. AMAN DESAI – PROMOTER & WHOLE-TIME

DIRECTOR, AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER & WHOLE-TIME
DIRECTOR, AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER,
AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE IR, AETHER
INDUSTRIES LIMITED
MODERATOR : MR. NILESH GHUGE – HDFC SECURITIES LIMITED


Moderator: Ladies and gentlemen, good day and welcome to Aether Industries Q2 FY24 Earnings Conference Call hosted by HDFC Securities.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities Limited. Thank you and over to you, sir.
Nilesh Ghuge: Thank you, Yusuf. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries Conference Call to discuss the Results for the Quarter Ended September 2023.
From Aether Industries, we have with us today Dr. Aman Desai - Promoter and Whole-Time Director; Mr. Rohan Desai - Promoter and Whole-Time Director; Mr. Faiz Nagariya - Chief Financial Officer and Ms. Shubhangi Desai - Executive IR.
Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the earning call for Q2 FY24. Over to you, Shubhangi.
Shubhangi Desai: Good evening, everyone, and thank you, Nilesh for the brief introduction. Today on October 31, 2023, our Board has approved The Financial Results for the 2nd Quarter and Half Year Ended on September 30, 2023, and we have released the same to the stock exchanges as well as updated the same on our website. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and exchanges.
Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the Company.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements whether as a result of future events or otherwise.

Mr. Rohan Desai will begin by sharing Aether's business outlook, then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Dr. Aman Desai will share the ongoing expansions and strategy of the Company going ahead.
Now, I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Mr. Rohan.
Rohan Desai: Thank you, Shubhangi. Good evening and warm welcome to everyone. I hope everybody is doing well and I am pleased to connect with you all to discuss the performance of our Company for the 2nd Quarter of current Financial Year 2024.
The inventory destocking in agrochemical sector has reduced and we are seeing orders coming back for our products from the customers in this sector. We see the trend improving in the agrochemical sector, which we had anticipated few before few quarters.
The specialty chemical business has enabled us to withstand the challenges faced by the sector and we have witnessed recovery in the overall business with improved margins aided by the reduction in the raw material prices. The average selling price has been at the similar levels in quarter 2 as it was in quarter 1 which is approximately Rs. 1,600 per kilo.
We expect a revival of business with China dumping reducing on month-on-month basis. With res

pect to the China dumping story, we have seen a depreciation in Chinese currencies, which is helping Chinese manufacturers. Also, incentives and subsidies provided by the Chinese government are also helping the Chinese manufacturers for the exports and these incentive subsidies as a percentage has increased several times in the calendar year of 2023.

Coming to the Aether's business segment, we are seeing contribution of 66% of the total topline from large scale manufacturing, 18% from contractual / exclusive manufacturing and 15% from contract research and manufacturing services business model during the half year of financial year 2024. Our exports accounted for 34% and our domestic sales accounted for 66%.

With that, I will conclude speaking and I would request our CFO, Faiz Nagariya to touch upon the financial highlights for the period under review.

Faiz Nagariya: Thank you, Rohan, and good evening everybody. I am glad to present the Financial Results of Aether Industries Limited for Q2 and H1 of Financial Year '24. The total revenue of the Company stood at Rs. 3,431 million in half year Financial Year '24 as against Rs. 3,127 million in half year Financial Year '23, resulting in an EBITDA of INR 1,085 million in half year 24 as against INR 919 million in half year Financial Year '23 which is the growth of 18% in the comparing period. The EBITDA margin stood at 32% in HFY24 as against 29% in HFY23. The





PAT amounted to INR 680 million in half Financial Year '24 as against INR 578 million in half Financial Year '23, which is also a result of growth in 18% of the PAT in the comparing period. The PAT margin stood at 20% in half financial year 24 as against 18% in half Financial Year '23.

Now, the comparison between the Q2 of current financial year and Q2 of last financial year, the revenue of the Company stood at INR 1,793 million in the Q2 of Financial Year '24 as against Rs. 1,466 million in Q2 of Financial Year '23, resulting in EBITDA of Rs. 612 million in Q2 of Financial Year '24 as against Rs. 433 million in Q2 of Financial Year '23 which is the huge growth of 41% in the comparing periods. The EBITDA margin stood at 34% in Q2 of Financial Year '24 as against 30% in Q2 of Financial Year '23. The PAT has also increased and it is Rs. 378 million in Q2 of Financial Year '24 as against INR 272 million in the Q2 of Financial Year '23, resulting in an overall growth, again a good one 39% in the comparing period. The PAT margin stood at 21% in Q2 of Financial Year '24 against 19% of Q2 of finance year 23.

The debtor cycle of the Company still stays, but we have been able to bring down the debtors marginally from 145 days as on 31st March 23 to 139 days as on September 30, 2023 and we are continuously working on this and expect to improve the ratios much better by end of Financial Year '24. Our inventory days have increased more due to demand from agrochemical customers which came back and for the delivery of this material to be done in Q3 and Q4 of Financial Year '24 and hence the raw material was procured and also the production in process has been high. The overall raw material inventory has been 5 months only. The increase in inventory days is attributable to Site-IV, which will be up and running in the last quarter of Financial Year '24 for which the validation quantities are being manufactured to be dispatched in Q3 and Q4 of Financial Year '24.

Now, I would request Dr. Aman Desai to share updates on Aether's ongoing expansion plan and strategies going forward.

Aman Desai: Thank you, Faiz for the financial highlights. Good evening, everybody and I hope this finds everybody doing well. I will speak today about our strategies specifically our CAPEX and expansion plans going forward.

Our strategies and CAPEX plans for our Greenfield manufacturing Sites 3++, Site-IV and Site-V have been advancing well as previously anno

unced and laid out. We continue to advance our CAPEX plans on all fronts in an aggressive manner. CAPEX on Site-III+ and 3++ is underway as planned with the machineries and equipment being procured and all the regulatory approvals been applied for already. Upon commercialization of the Site-III+ and 3++ production of 3-5 products in the fields of agrochemicals and pharmaceuticals has been planned. These Sites 3+





and 3++ are planned to be commissioned and operational by Q3 of fiscal year 2025. We expect the plant to be stabilized by Q1 of FY26.

CAPEX on our upcoming Site-IV is also progressing as planned with the ongoing civil work and procurement of equipment. With the commissioning to begin shortly, this Site-IV is expected to be operational by the end of this current financial year. This Site-IV will be initially dedicated entirely to contract/ exclusive manufacturing and the initial construction and plant direction is going to align with our strategic agreement recently announced with the leading oil field services Company based in the US. Secondary construction in near future on Site-IV will be towards the recently announced commercialization agreement with Saudi Aramco Technologies Company on the novel Converge polyols platform.

At manufacturing Site-V, we have applied for all the necessary regulatory approvals along with beginning the fencing and the initial civil work. Planning towards Site-V is accelerating now. This is the Panoli site with the vision of a massive industrial estate with more than 16 production blocks, each production block to be ground +4 structures with more than 500 reactors combined in the 15 production blocks. This Site-V will incorporate global best practices towards sustainability, carbon neutrality, and renewable energy-based resources. This Site-V will also be designed and built well above global engineering technology and safety design standards and will represent the ultimate face of Aether’s production capabilities and will be a milestone step in Aether’s transition to a major global specialty chemical manufacturer.

We continue to make significant investments towards R&D. R&D expenses for the first half of fiscal year 24 stood at Indian Rs. 273 million i.e. 8% of our total revenues for the first half of fiscal year 24. The strength of R&D team grew from 262 in Q1 fiscal year 24 to 270 in Q2 fiscal year 24. Our major expansion project of the new pilot plant at the land which was procured on long lease is in full momentum with ongoing procurement of equipment along with the corresponding commissioning activities. These pilot plant expansions builds upon what is already, in all probability, the largest pilot plant in the world. We have further initiated an additional expansion of our R&D infrastructure with a brand new R&D center to be built over the next 1-2 years to complement our existing R&D center. Needless to say, such aggressive expansion of R&D and pilot client footprints, which are the workhorses of our CRAMS business model is firmly on the backing of numerous inquiries and additional tie ups with the top echelon of global innovators across the industry spectrum. Various contracts are in the pipeline for this and these are being executed as we speak.

We are in process of further enhancing our technical team by employing CXO level people, the announcement of which we will be doing in the next quarters to come. These additions will add significant value to our Company's core competencies and capabilities, and we will be able to accelerate our vision of being a leading global specialty chemical manufacturer.



The fundamental base of Aether remains strong and uniquely positioned and we continue to augment this base with our aggressive expansion in infrastructure across R&D, pilot plant and pro

duction by attracting and retaining the best scientific and engineering minds globally through our 3 different business models of large scale manufacturing, exclusive or contract manufacturing, and CRAMS and with our focus on competencies and capabilities applicable across the industry spectrum.

So, with that, thank you all for your time and attention today and back to you, Shubhangi.

Shubhangi Desai: Thank you, Dr. Aman. We shall now request the moderator to open the forum for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Vipraw Srivastava from Incred Capital. Please go ahead.

Vipraw Srivastava: I had a couple of questions, just want to understand that has the newer product portfolio wherein you have launched molecules like for Dolutegravir and all that, have they started contributing to topline or it will happen later in this financial year?

Management : Yes, they have started contributing to their topline.

Vipraw Srivastava: So, just want to understand, then why is the average selling price not going up? I mean they have a higher realization, right compared to the existing portfolio?

Management : Yes, because all the overall product portfolio has seen a decrease of approximately 25% in terms of the selling price. So, you are not seeing that average going up, rather it is stable and releasing, but this approximately reduced from 2 quarters, it has reduced by Rs. 100 approximately.

Vipraw Srivastava: Just one more question, so your agreement with Otsuka for MEP so last year according to the annual report, the volumes which we did was 560 metric ton, so we should see a significant improvement from this, right for this year because we are also manufacturing for Otsuka?

Management : Yes, the volumes will increase on gradual basis. There are two molecules which are maintaining, one was mentioned in the RHP and the other was not mentioned in the RHP, so both have started contributing. In the Q2 we have dispatched certain quantities already and as they are migrating from the existing in-house manufacturing capabilities, it is taking slightly more time for the approvals, but it is going on very well and we expect this to fully migrate by the end of 2025.

Vipraw Srivastava: And last question, so for Bifenthrin and Methoxyfenozide, these faced some pricing pressures in last quarter, so has the situation improved or how is it faring up these two molecules?

Management: The Bifenthrin is still facing pricing pressure, especially because of the Chinese aggressive dumping. In case of the Methoxyfenozide, the pricing has stabilized quite a bit and is on the upward trend currently.
Moderator: Thank you. Next question is from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.
Satadru Chakraborty: It is very hearty to see the margin profiles for one of the best and also finally some positive cash flow from ops, I just had two questions, so on the blended realization, we spoke earlier to the 1600 per kg and I believe last quarter crude prices were down and then Chinese antidumping was there, I believe you mentioned the antidumping still continues, but crude prices are now really high up, so I was very curious as to recheck some more light on what exactly is happening to your raw material and your finished product prices assuming that Chinese dumping continues for the rest of the year and if crude moves up or down by 10%-20%, are we saying that this is completely inelastic and we cannot really increase our realization or how do you look at it?
Management : So, it is too early to tell Mr. Chakraborty to comment on this. What we are seeing is that because of the Chinese currency devaluing and being at US dollar $1 is equal to 7.32 RMB right now which is fairly stable and not appreciating in any manner, we are

still facing this problem and it
will still continue that the pricing will still have a pressure in Q3 because it is the end of their financial year. The December is the financial year ending for Chinese. So, both that I believe the pricing will tend to change and there would be some appreciation of the prices which will happen. There are certain raw materials which have improved because of the crude going North, however, the prices of our competition and of our finished products are fairly stabilized now and bottomed out. So, I don't think it will reduce further in any ways but let us wait and see this quarter.
Satadru Chakraborty: My second question is really around the inventories, so I probably must say this, the receivables and payables picture looked very good, much better than the previous quarters, I think the inventory is stabilizing, but I heard on the commentary from Fiaz that the agrochemical customers are asking for more, so anything that you can add what exactly is causing this and when do we expect this to start clearing in the next 2 quarters or how are we looking at this in general?
Management : Yes, so in my commentary, as I said that in the first quarter agrochemicals was down and the orders were there, but they delayed the delivery. So, the manufacturing took place in the quarter 2 and the finished goods and the material in process is high in this quarter and in this third and fourth quarter, we will be supplying this quantity to this agrochemical customers, so we expect that the inventories will go down of course and then because it will be a continuous process of the purchase that are coming from them and we will be supplying them on a continuous basis.



So, we will not be required to hold more inventories and they will come down. Another reason is the Site-IV which is coming up is for which the validation quantities are being supplied from our Aether Industries and for that raw material is being procured and the quantities are being manufactured because in the third and fourth quarter, we have to send the validation quantities to the US based Oil & Gas Company.
Moderator: Thank you. Next question is from the line of Rohan Gupta from Nuvama. Please go ahead.
Rohan Gupta: Sir, first question is on your initial comment, you mentioned that you have started witnessing growth coming back from the agrochemical customers and quite confident in second-half, however, the contradictory statement like that you mentioned the Chinese dumping still continues and the pricing pressure will continue at least till year end, so if the inventories in the systems and the Chinese dumping continues and inventories are still at a high level, how we are expecting growth coming back from the customers in agrochemicals?
Management : Rohan, let me clarify, we are very small, our contribution of agro is lesser than pharma as of today and we are operating on exclusive manufacturing, contract manufacturing in the agrochemical space whereas we are operating on large scale manufacturing in pharmaceutical space. So, we have received this contract, so we are limiting the statement of the demand of agrochemical coming back for Aether basically, not for the whole world or rest of the people around. So, we have received that orders and we are just communicating that and the contracts from that has to be delivered in the next 2 quarters. So, that is the reason why we have said this statement.
Rohan Gupta: So, our new product launches is primarily focused on agrochemicals and over next 3-4 quarters we were supposed to see multiple products coming in, do you see that any delays happening from your customers, any spillover in any of this product being catered to the customers, any delays?
Management: No, we don't anticipate any delays in either the new launches or in the existing contracts that we

have and we also anticipate to b

e making a couple of announcements shortly in this upcoming
quarter related to the Site-IV specifically and the launch of a couple of partnerships and a couple of programs that we are talking about.

Rohan Gupta: Just another question is on your average realization, though you mentioned it has roughly maintained at Rs. 1,600, however, on your old products it has come down by roughly 20% to 25%, it is just only the new high value-added product has contributed and maintained the realization at Rs. 1,600. Our business model is more related to the China supplies and the product, which are first time made in India, but definitely are facing the pricing pressure from China, so in our old product basket and if the realizations have come under pressure by 20%-



25%, is it in line with the cost coming down in the similar or there is a margin pressure on our existing or old product basket? Have we not seen these new product launches, do we expect that there would have been margin pressure otherwise?

Management : No, we are not seeing the margin being in pressure at the moment because the raw materials have also moved in the same direction. Also, this 25% is on blended products. That is the new launches and the old product portfolio. We have prepared a very detailed summary for the whole product analysis, and we can discuss this on an offline basis, which can showcase you that on the blended basis approximately 22% to 25% reduction has happened in terms of the selling prices.

Rohan Gupta: Rohan, if you can give some number, what was the volume growth for the quarter on Q-o-Q basis? Any indication on that?

Management : Rohan, the volume has approximately been at least same. It is the same as it was. It is the same it will because if you see the revenues have been on the same line and the quantity is also same because average price is same. There is very little increase, not so much increase also. There is no deduction as such. I was saying Q-o-Q.

Rohan Gupta: I was asking Q-o-Q only. Just one small clarification and I will come back in queue. There is a significant increase in employee cost, so any one-offs are there or it is a normal growth rate which we are expecting?

Management : There is a normal growth rate because when we are preparing the first quarter results at certain times, the annual increments and everything is pending. So, we do a kind of a provision and then there is actual increment which happens, then we have also done another ESOPS granted at the end of month of May. The impact has not come in the first quarter that much, so that has come in the 2nd Quarter more. That is one of the things and then other provisions which are increased because of the increment. So, this is the normal trend, there is no abnormality in that.

Moderator: Thank you. Next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: Sir, couple of questions, the first one being that if we see the gross margins have gradually moved from 48%-49% to around 50 to 53 kinds of range right now, do you anticipate that going forward you will reach around 55%-56% in the next 2-3 years?

Management : Yes, of course. That is our target and this is our benchmark for us and that is why when you heard Rohan and Aman speaking, the raw material price is also gone down along with the finished goods also and we anticipate that this will help us increase our margin going forward



because the finished goods prices are now on the bottom and we see when the China dumping story and we would see a revival in the finished product prices also. So, we should increase from here.

Rohit Ohri: In terms of Aether and fluorination, if you would like to say something, I know that you are taking some baby steps, but if you would like to share if you are working towards some

specialized chemistry over here in this domain for fluorination?

Management: You meant fluorination, right?

Rohit Ohri: Yes.

Management: So, our intention is to enter solely into metal fluoride with KF and the likes, and not to enter into HF or F2 and so we are very specific about which fluorination you would like to do as per our competencies and because it is a whole different world of fluorination and so we are very clear about what we will do and what we will not do.

Rohit Ohri: So, have you allocated, or it will go in Site-III++ or will it go in Site-V?

Management : No, it will go into Site-III++ as well as go into Site-V.

Rohit Ohri: Dr. Aman, currently we are at 8 x 8 by when do you think will be 10 x 10?

Management: It is work in progress. In fact, we have at least three more capabilities that we are working on right now in addition to fluorination and it is a constant endeavor on our end to expand this and also subtract this, take away things which are not contributing as much we do. It is a continuously running endeavor and it is a work in progress, yes.
Rohit Ohri: My last question before I follow on into the queue, post the signing of the LOI we were working on some 2-3 products, and do you think that you will be able to launch them this year or will there be a spillover next year?
Management: This I am assuming you mean this by the oilfield services agreement that we made a couple of months ago and that is anticipated to be as I mentioned in my commentary that about 25% of Site-IV is being erected and commissioned currently exclusively for that particular customer scheduled to be launched by the last quarter of this fiscal year, so by January, February, March and we anticipate business revenues starting off, cautiously optimistic about being significant but starting off for sure in the last quarter of this fiscal year.

Rohit Ohri: But the issues related to the MENA region or tension or the conflict that has not affected the order which we were working on further, as you know approximate estimation of Rs. 300 crores of 1600 metric tons which we had kind of projected earlier?
Management : None and these are initial anticipated volumes only for the initial set of products. We hope that this partnership will be much deeper than that, but no impact from those events that are currently happening.
Moderator: Thank you. Next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.
Rohit Nagraj: So, my first question is on the demand side, so earlier, Rohan explained that on the pharma front and agrochemicals front, we have firm orders from customers, so generally just a generic question, generally, how much of our quantities are contracted on a yearly basis for each of our segments where we have a relatively higher visibility? And are these calendar year contracts for 1 year or maybe more than 1 year or so?
Management: So, we have on the contractual exclusive manufacturing, we have multiyear contracts which take the minimum quantity uptake, there is no take off pay in that contract, however there is an indication that this much minimum quantities will be procured from Aether and that is how we run by it every year, we renegotiate the pricing based on the current trends of the raw materials and we take the orders and so we have that visibility on contractual exclusive manufacturing. On the large-scale manufacturing previous year, we had good visibility and order book, which we are currently not taking a big order from the customers because of the pricing changing quite drastically which then leads to renegotiation with the customers. So, currently, till the pricing of the raw material stabilizes and the finished product stabilizes, we are not taking long orders or do it. That is our idea where we are not taking huge hits on any kind of raw material inventory or in process inve

ntory. So, that is the strategy which we are using right now, Rohit does that answer your question?
Rohit Nagraj: Yes, second question is, basically we have been hearing that on the industry side, there has been a pain in terms of the inventory destocking and all, however, you explained that we are having some orders at hand, but do you foresee that the inventory destocking or inventory issue may crop up if the customers are not able to release their inventory at their hand, which has been a problem from past several quarters, so any such indications that you are getting on the agrochemical side particularly?
Management: No, so we have limited products on the agrochemical side, and we are not seeing this kind of issue in our products. We are not speaking about general terms. General terms would be true

because a lot of people are still giving a commentary on that issues are still on going and we do not deny that. We are just talking about our basket of products.
Moderator: Thank you. Next question is from the line of Chirag Shah from Dalal & Broacha. Please go ahead.
Chirag Shah: Now this was regarding the shareholding pattern, sir, do we have any timeline by which we need to comply with the minimum shareholding of 75%?
Management: Yes, we have time till May ‘25. So, we have still 1.5 years more to go. So, we have still some time to go for that.
Chirag Shah: So, by May 2025, we need to be at 75%, correct?
Management: Correct.
Moderator: Thank you. We have our next follow up question from the line of Vipraw Srivastava from Incred

Capital. Please go ahead.
Vipraw Srivastava: I just had one follow up, so regarding the intermediate for Dolutegravir, so this drug by Gilead called BIKTARVY which is capturing market share in US, so are you guys seeing any drop off sales because of that has repeatedly losing market share or how is the market shaping up on the ground?
Management: We have seen a drop off 40% on the demand side, but that was well expected on this product.
Vipraw Srivastava: Drop off how much, please come again?
Management 40%.
Vipraw Srivastava: In price?
Management: Price is approximately 20%-25% lesser.
Vipraw Srivastava: So, let us say demand was 100 previously, now at 60, right?
Management: Yes.
Moderator: Thank you. Next question is from the line of Inderjeet Singh Bhatia from HDFC Securities. Please proceed.

Inderjeet Singh Bhatia: Couple of questions from my side, first is if I look at the CRAMS contribution that has kind of come down, is it because products have kind of migrated out of CRAMS into more large-scale manufacturing or do you see there is some bit of softness in that business model?
Aman Desai: No, the levels have come down a little bit, but it is more or less the same and this is a solid business model. We are very upbeat and robust about this business model, and we anticipate quite a bit of additional projects and programs to be started here as well and so not at all concerned about this business model that they are very upbeat and very positive about this one.
Inderjeet Singh Bhatia: Second question is on this oil services kind of contract that we have, we expect full-fledged implementation next year, right?
Aman Desai: We expect full-fledged implementation in the next fiscal year, yes. In the last quarter of this fiscal year, we will be commissioning the plant and moving the plant and we are actually in the receipt and are carrying out the trial orders across the products right now as we speak and so the idea is to have reasonable transactions and revenues in the last quarter of this fiscal year, but definitely full-fledged in the next fiscal year, yes.
Inderjeet Singh Bhatia: So, Aman, since this is like an entry into a new segment, new industry for us, is there an expectation that this will lead

to kind of more products from the same client which can come through in say FY25 later part? Or we are likely to see more customers from the same industry kind of approach us, which is also likely to kind of come through in the next 1-2 years?
Aman Desai: Most certainly yes for the first part of the question, so we expect to see addition. So, this was expected to be only the first 4 products or 3 products that we mentioned in the letter of interest with this particular customer and the intention and ongoing discussions already with this particular customer about additional products to be added to this basket and so as soon as in the fiscal year 25, we should be able to see additional products to be added. In terms of the second additional customer in this space that remains to be same, but this is one of the top most oil field services Company based in the US and we are very happy to be in a strategic, exclusive kind of arrangement contract manufacturing with this customer.
Moderator: Thank you. Next question is from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.
Dhruv Muchhal: Just to clarify, you mentioned the realizations are down 25%, this is Y-o-Y basis, right, the whole business?
Management: Yes, Y-o-Y basis.
Dhruv Muchhal: So, if you are still doing 17%, so that is because all driven by volumes?

Management: Yes, it is all driven by volumes.
Dhruv Muchhal: And see about 50% of our business is pharma and you mentioned that probably, it is only agro which is more impacted in terms of, what we understand at least is impacted because of this inventory issue and all those things, but still the realization is about 25%, so it seems the pharma business is also seeing some reduction in terms of probably, I am not sure why, just trying to understand this, is this because of the crude price recorrection, also there is some higher intensity from Chinese even in the pharma segment?
Management: Yes, obviously, the dumping is happening across the industry spectrum, so pharma is also facing the same problem.
Dhruv Muchhal: So, it is not only inventory issue that we see in the agri, it is also because of new capacities are probably are not sure, they are getting more aggressive because of incentives and other things,

Chinese?
Management: Yes.
Moderator: Thank you. We have our next follow up question from the line of Rohit Ohri from Progressive Shares. Please go ahead.
Rohit Ohri: In terms of the geographic break up, if we see we currently having around 66% from the domestic business, do you expect this to be maintained going forward or do you think that the domestic buy would be arrested here?
Management: No, moving forward, we would see more of export coming in and the pie will be again the same as 50:50, which was in the past.
Rohit Ohri: And in terms of developments for the businesses apart from Spain, Italy, Germany, are you looking at some Southeast Asian countries that comes from the annual report where you say that you are looking at Singapore, Malton, Norway and South Korea which have got really strong growth trajectory, so have you been able to kind of get some orders from these regions?
Management: Yes, so basically we are focusing on certain fields which involve Korea, Taiwan being powerhouses in those specific fields as well as the oil field services area that we are discussing and there is some presence in Singapore as well that we are currently evaluating and so there are two different sides of the industry spectrum, two different industry applications that we are currently evaluating which are located in these regions and very promising discussions going on. So, there is discussion going on, not significant business revenue transacted yet, but hopeful for it to initiate in the near future.

Moderator: Thank you. As there a

re no further questions from the participants, I now hand the conference over to the management for the closing comments.
Shubhangi Desai: Thank you everyone for participating in the call. We hope that we have addressed almost all of your questions. If you still have any further questions, please feel free to reach out to us. Have a great day ahead. Thank you.
Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

# Call: Feb 2024


Aether Industries Limited
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February 6, 2024

Ref. No.: AIL/SE/100/2023-24

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400001, MH.

Scrip Code: 543534 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai-400051, MH.

Symbol: AETHER
Dear Madam / Sir,

Subject: Transcript of the Earning Conference Call

In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Wednesday, February 1, 2024, on the financial performance of the Company for the Third Quarter and Nine Months ended on December 31, 2023, is enclosed herewith.

We request you to kindly take the information on your records.

Thank you.

For Aether Industries Limited

Chitrarth Rajan Parghi
Company Secretary & Compliance Officer
Mem. No.: F12563

Encl.: As attached



"Aether Industries
Q3 FY2024 Earnings Conference Call"

February 01, 2024

ANALYST: MR. NILESH GHUGE - HDFC SECURITIES LIMITED

MANAGEMENT : DR. AMAN DESAI – PROMOTER AND WHOLE TIME
DIRECTOR – AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER AND WHOLE TIME
DIRECTOR – AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER –
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 Moderator : Ladies and gentlemen, good day, and welcome to the Aether Industries post results Conference Call hosted by HDFC Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note, that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities Limited. Thank you, and over to you, Sir!

Nilesh Ghuge : Thank you Sagar. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries Conference Call to discuss the results for the quarter ended December 2023. From Aether Industries, we have with us today Dr. Aman Desai - Promoter and Whole-Time Director; Mr. Rohan Desai - Promoter and Whole-Time Director; Mr. Faiz Nagariya – Chief Financial Officer and Ms. Shubhangi Desai - Executive IR. Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the earning call for 3Q FY2024. Over to you, Shubhangi.

Shubhangi Desai : Thank you Nilesh. Good evening everyone. Today on February 01, 2024 our Board has approved the financial results for the third quarter ended on December 31, 2023 and we have released the same to the stock exchanges as well as updated the same on our website. Please note that this conference call is being recorded and a transcript of the same will be made available on the website of Aether Industries Limited and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted, or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements which are predictions, projections or other estimates about future events. These estimate reflect management's current expectations on future performance of the company. Please note that these estimates involves several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements whether as a result of future events or otherwise, Mr. Rohan Desai will begin by sharing Aether's business outlook then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Dr. Aman Desai will share the ongoing expansions and strategy of the company going forward. Now I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Mr. Rohan.



 Rohan Desai : Good evening everyone. Before I begin with the business performance, I would like to throw some light on the unfortunate event that affected us during this quarter. On November 29th 2023 a fire broke out in one of the plants of our manufacturing site two, which was brought under control. The reason for the accident at site two was 15,000 litres storage tank which leaked from the bottom value, stored solvent started flowing, which had the flashpoint of minus 17 degree ce

ntigrade led to a vapor cloud formation. There was a moment of the vapor cloud formation internally in the intermediate building plant two and nearby tanks in the same plant. Unknown ignition resulted to vapor cloud explosion with fire and impacted both plant and the tank farm areas, total 11 fatalities have been registered and 23 people were injured in the unfortunate accident who have now been discharged successfully. While the loss that we have incurred due to the fire is currently being assessed we want to assert that we are fully covered with the loss of asset, stock as well as loss of profit. The sales and the dispatch of material has remained unaffected as the orders were catered from our inventory as well as most of our customers have remained supportive towards us. Operations have resumed at our manufacturing unit two, that is site two. We have received GPCB that is Pollution Control Board partial closure revocation order for the unaffected plant and the plants have resumed normalcy with continued efforts to raise our operations to their maximum capacity. We strive to timely restart the affected plant in the highly compliant and safe manner. With respect to Aether's business model, we have seen 57% contribution of our total top line coming from large scale manufacturing business segment, 27% from contract / exclusive manufacturing as a result of renewal of the agrochemical contract that is agrochemical intermediate contract about which I had mentioned in my remarks in Q2 of FY2024 call and 14% which has coming from contract research and manufacturing services business model during the Q3 of financial year 2024. Our exports revenue stood at 40% and our domestic sales stood at 60%. Demand from our agrochemical customers is coming back on the backdrop of gradual reduction in the stocking positions at their end. We are currently seeing an increase in volume from our non agrochemical products where there is a demand from our customers. However, the intense dumping by the Chinese competition, we have witnessed price erosion. We are currently witnessing price of our products stabilizing at the current levels. Order pipeline is robust and all our customers are positive and looking forward to us coming back to normalcy in a short period of time. We are confident of showing a growing trend in the next financial year onwards. With that I would conclude and I would request our CFO Faiz Nagariya to touch upon the financial highlights for the period under review.

Faiz Nagariya : Thank you Rohan and good evening everybody. The total revenue of the company stood at Rs.1682 million in the Q3 of FY2024 as against Rs.1705 millions in Q3 of FY2023



resulting in EBITDA of Rs.378 million in Q3 of FY2024 as against Rs.507 million in Q3 of FY2023, a reduction of 26% in the comparing period. EBITDA margins stood at 22% in Q3 FY2024 as against 30% in Q3 of FY2023. The PAT amounted to Rs.191 million in Q3 FY2024 as against Rs.350 million in Q3 of FY2023 resulting in reduction of 46% in the comparing period. The PAT margin stood at 11% in Q3 FY2024 against 21% in Q3 FY2023. The main reason for the reduction in the revenue is attributed to the current fire accident wherein the production at our manufacturing facility 2 was stopped for a month. The reduced revenue and other exceptional expenses related to the fire accident like compensation to the families of the deceased, penalty to the GPCB, medical treatment expenses of the workers who are hospitalized and increased insurance premium of our IAR policy have resulted in the reduction in EBITDA margins eventually. One time cost is approximately Rs.70 million for the quarter. We would be having the impact of approximately Rs.30 million on account of increase in insurance claim due to the fire accident in this financial year 2024. Due to the fire accident at manufacturing facility two
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ew production could not be done in the entire December 2023. Now I would request Dr. Aman Desai to share updates on Aether's ongoing expansion plan consecutively going forward.

Aman Desai : Thank you Faiz for the financial highlights. The well-being of our employees is of foremost importance to us and I do want to start with expressing my most sincere condolences, solidarity and gratitude towards the employees and the victims of our recent fire accident. We have taken significant actions to ensure the best treatment to the victims and we have extended lifelong support to the families of the injured and the deceased. Also, we have been extending complete and transparent cooperation with all the regulatory bodies. We have comprehensively undertaken the legal investigation and root cause analysis of the incident and the accident and identified numerous immediate and ongoing corrective and preventive actions which will help us to ensure that such an accident will never, ever happen again at Aether. Despite the various headwinds, the planning and execution of the project work of our Greenfield capex at the manufacturing site 3+ and 3++ is ramping up with the beginning of civil work, machinery and equipment being procured along with all the regulatory approvals in place. These sites 3+ and 3++ are expected to commence operations in Q3 or Q4 of fiscal year 2025 as per plan. Capex on our upcoming site 4 which is also on the verge of completion is expected to be commissioned by February 2024 next month. This site 4 will be initially dedicated entirely to contract / exclusive manufacturing and the initial construction and plant erection is going to align with our strategic agreement recently previously announced with the leading oil - field services company in the US.



As we had guided earlier as well, further structural expansion on Site 4 will be towards the recently announced commercialization agreement with Saudi Aramco Technologies

Company on the novel Converge Polyol platform in the near future. Capex plaining towards site 5 at Panoli is at full pace as well, with the vision of massive industrial estate with more than 16 production blocks, each production block being ground plus four structures with more than 500 reactors combined. As we have guided, the site 5 will incorporate global best practices towards safety, sustainability, carbon neutrality and renewable energy based resources. During the quarter under review, we have announced the execution of a strategic agreement with a major global lithium-ion battery producer thereby announcing our entry in the electrolyte additives and battery space. We have been developing products in this field since a long time now, but we had decided to make it public only once we secured a substantial commercial contract with the global major and this agreement captures that. Thereby along with this the commercialization of the sustainable converge polyols and multiple ongoing projects as well as research at Aether I can ascertain that we have established Aether as a premier India based provider of sustainable and carbon nuclear chemistry solutions across the industry spectrum. We continue to make significant investments towards R&D. Our R&D expenses for the nine months of fiscal year 2024 stood at Rs.509 million which is 10% of the total revenues for the nine month fiscal year 2024. The spread of the R&D team at the same period stood at 277. Our major expansion project of the new pilot plant at the land which is procured on long lease is in full fledge nearing completion with the installation of machineries and the final piping and commissioning going on. Needless to say, such aggressive expansion of our Indian pilot plant footprint which are the workhorses of our CRAMS business model as always firmly on the backing of numerous inquiries and additional tie ups with topi

cal learns of global innovators across the industry spectrum and various contracts are in the pipeline for being executed. With that thank you very much for your attention and time today and back to you Shubhangi.

Shubhangi Desai : Thank you Dr. Aman. We shall now request the moderator to open the forum for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : Thanks for the opportunity. So my first question is what have been the immediate actions that we have taken after the unfortunate event and any customer audits have happened after the event and what has been the general feedback from our customers? Thank you.

 Aman Desai: So we have a comprehensive corrective and preventive action plan that has been identified which includes significant changes in the already strong preventive maintenance programme. It is a solvent leakage which is the root cause, leak detection was already in place at the various sections of the plant including inside the plant as well as the main tank, but unfortunately not at this particular position and so we have now improved our comprehensive leak detection policy and programme in place. We have changed several codes that we are working by. We were quite proud of the safety systems that we had established at Aether and this accident has shown that there is a clear gap and failure in the safety systems because accidents will happen but the safety system should prevent loss of life and this has not happened in the accident, so this has clearly showed a gap in the system that existed and so we are doing a thorough review. We have initiated a full-scale hazardous operations review of all operations across all sites and operations were restarted in every single site only after the completion of a thorough HAZOP review. You will see the announcements in the coming days to come, but we have also completed as well as initiated significant hierarchy changes in the technical departments and you will see this in the coming days and these are just a few of the numerous plans that have been planned out. As I mentioned before this call in a different meeting that a very detailed investigation analysis presentation and preventive action plan presentation also ready and so this is a just a few of top things that have come of head to answer to your first part of question, second part is audit so the leading oil field services company that is currently in tie up exclusively with us for site four they have audited site two which is the affected site two in the recent weeks and which has been partially open site two the non-affected blocks. So they have reaudited this site two successfully finished, all the compliance from the audit is successfully finished as of today as well and this was a quite a major audit that has happened. We have presented detailed investigation reports to almost all of our key customers in all the business models and these are presentations that go on for more than two hours on the very topic of the accident. All customers have showcased solidarity and support. Everybody wants to know what happened and why it happened and what we are doing to ensure this never happens again and I think we have been successful in addressing that concern quite well with the very detailed work and presentation and corrective implementation plan that we have laid out. In terms of the orders, orders have flowed in as per the regularly expected cadence. We have not seen drop of the orders and I think the commentary that Rohan addressed to a bit. So I think that addresses all your questions Rohit. Thanks.

Rohit Nagraj : Thanks for answering that comprehensive question with detailed answers. Second question on the EV battery related contract front.

So how does it complement our chemistry skills?

You said that we have been working for a while on this and is there any possibility of

 supplies of similar material to Indian manufacturers whenever their capacities come up and just a little bit more in terms of when the commercial supplies will be expected that overall potential from this particular product whether it is a single product or multiple product and particular application in the battery. Thank you.

Aman Desai: Thanks Rohit. Whenever anybody asks me about competencies is music to my ears and so I can pick up the next one hour talking about the competencies and the fit in the products that we have, so the electrolyte additives field is a very large field. Battery field is a very large field and there are many, many, many components that go into a battery. There are many components. There are more than 12 components that go into an electrolyte formulation and there are about 67 additives that are used commonly and not as commonly in that there are many salts that are also present. So we have been very clear in our approach, in all the molecules we have chosen, there has to be a competency fit and so the molecules that we have chosen are small organic molecules. They are electrolyte additives which have a good fit to our competencies some of which include ethylene oxide chemistry, the KF, the fluorination chemistry that we want to get into and of course continuous reaction technology is being applied in all every one of the electrolyte adhesive that we are doing, so yes we have been very selective and we have only a few of the electrolyte relatives which are small organic molecules and showcase could fit to our competencies whether and there are multiple, we have selected a few of them, they are small organic molecules. So we have been clear we will not go after salts, we will not go after the inorganic chemicals because they are not good competence that is number one. Number two Indian manufacturers, of course, yes, this is not an exclusive tie up, but this is a very broad field with a very, very, very promising future and aggressive market predictions of where these volumes and tonnages of these various molecules will end up. There are several big Indian players who already announced their plans. There are several global players who announced the plans in the US, Korea and rest assured we are reaching out and already talking with many of these global players as well as domestic Indian players. In terms of commercial supply and the initiation of the commercial supply of these molecules we expect initial commercial volumes and supplies to start off within this calendar year 2024 with significant volumes and production and commercial manufacturing starting in calendar year 2025. But we expect the initial commercialization trial orders, validation orders and it is not a trivial quantity to be done in 2024 itself.

Rohit Nagraj : Thanks a lot for answering the question. Thank you.

 Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : Good afternoon, Sir. First I will ask the bookkeeping question probably then go on more broader questions. This quarter our gross profit margin is at 41% was there any loss of material also which has led to a drop in the margin in this quarter that is number one. Number two on the bookkeeping is that there has been a restatement in the cost line item for the last quarter both employee costs and other expenses, can you explain what has led to the restatement of the historical number which is the Q1 number. These are two bookkeeping question and then probably I will take the rest of it.

Faiz Nagariya: So I will take the second question first. The regrouping what happened is in the last q

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the director’s remuneration was erroneously shown in the employee cost and so we had to change it to the other expenses. That is the thing which we had done. So we have brought it down with other expenses and make it more compatible with the other quarters. For the first question, we have still not provided for any loss of stock because the assessment of loss is still going on. If you see the financials, you can see the changes in inventories has dropped significantly because as in the commentary also Rohan said that we have sold the goods from our finished goods inventories and there was no production in the site 2 which was contributing around 65% to our revenues and production also was taking place more there so the changes in inventory has gone down which has resulted into the gross margin going down. Going forward as the production increases, we will have the finished goods and semi finished goods inventories coming back this will again be back to square.

Sanjesh Jain : Now I got it that is why the other expense is also down because it is largely captured before the finished goods. Right Sir.

Faiz Nagariya: Yes.

Sanjesh Jain : Got it and that is very clear now. Rohan, on the competitive intensity you did touch upon in your opening remarks that there is an increased competitive intensity from the Chinese can you allude more? How is the competitive intensity in the product that we manufacture? Have we faced any rising competitive intensity from Chinese particularly in our pharma side of our business?

Rohan Desai : On majority of our products, we are the only source in India. Most of the competition comes out of China, 80% is coming out of China, 10% from Japan and 10% from Europe.



 We are not seeing any increase sources coming from China or being added from China at this moment. However, because of the currency devaluation and the government incentives and the export benefits which the Chinese competition is getting, they had become more approximately 20-30% from the start of the correction and that is what we are facing right now. So we are at the bottom out position at the moment. I do not see a further decline happening on the prices of our products.

Sanjesh Jain : Got it. Second, on the agrochemical side of the business, this quarter we saw a sharp decline. This was more like pushing the inventory from the Q4 and hence the recovery for next quarter will be higher or we generally had a lower inventory so lower sales in agrochemical.

Rohan Desai: There are two parts of it. One was stock correction price. So you are comparing Q3 to Q3 or you are comparing Q2 to Q3.

Sanjesh Jain : Last year Q3 to this year Q3.

Rohan Desai: That is because of the price correction. We are manufacturing three intermediates out of which two intermediates have seen a drastic price correction because of the Chinese competition entering into that space and hence the volume are robust on that basis, but the prices have been corrected significantly.

Sanjesh Jain : Okay so the drop in the revenue is largely because of pricing. We held the volume share right.

Rohan Desai: Yes, volume share we have. We have not changed in that position. The change significantly is because of the price correction.

Sanjesh Jain : Got it. One last question from my side before I join back in the queue. We were in the process of commercializing site 3+, site 4 and site 5 we are now planning. So what is the capacity we anticipate to add from all these three sites when they are fully commissioned, say three years down the line?

Rohan Desai: Say four, five years down the line there could be tremendous capacity. We are talking about thousands of tonnes of capacity.



 Sanjesh Jain : Just from the gross block perspective, if you can help us understand what is the gross block for e

ach of these three sites?

Aman Desai: We share the excitement, depending on the product that you choose. For example if its electrolyte additive pans out the way the people all over the world claim it would pan out we are talking individual electrolyte additive would be literally thousands of tonnes of requirements. So if you could go on the converge polyols and pan out the way we think it would also be a very significant volume and tonnage. And so it depends on the products, it depends on the number of steps within the product and it depends upon the complexity of the product. In terms of the gross block I think Faiz can answer that.

Faiz Nagariya : So the gross block for site 3++ would be around 200 Crores. Currently site five first phase which we are doing the gross block would be around 75 to 85 Crores and site five the first phase is around 500 Crores and fully operational after five to six years down the line it should be around 2200 Crores approximately on Panoli site.

Sanjesh Jain : Fair enough. That is quite clear and thanks for answering all my questions and best of luck

for the coming quarters.
Moderator: Thank you. The next question is from the line of Prolin who is an individual investor. Please go ahead.
Prolin: Hi team. Thank you for taking my question and sincere solidarity on the loss of life and people at your company. I have two questions. The first one is that in contract manufacturing in the past you have alluded to the fact that the margins in those businesses or in that segment is similar to our large scale manufacturing. So I just wanted to understand from the working capital side of it how is the working capital in the contract manufacturing business different from our large scale manufacturing? And a related question would be will this margin profile be any different in case we are able to get a pharma contract there right because right now if I am not wrong we do not have a pharma contract under the contract manufacturing. So will the margin profile be different and just to understand how should one look at the working capital intensity of contract manufacturing business?
Rohan Desai: So let me just differentiate in a way where we are saying that we are only making generic intermediate right now. We are not making a patentable product intermediate at this moment in contract / exclusive manufacturing. When we do enter into that which we will be


 there in short period of time the margins will improve drastically on contract / exclusive manufacturing. However at this moment contract / exclusive manufacturing and our large scale manufacturing margins are almost in the similar line and only differentiated by 100 basis points.
Prolin: Sure on the working capital side of it?
Faiz Nagariya: The working capital cycle for the contract manufacturing is currently similar because these products are generic products and we are supplying to current customers and we are billing on the same credit terms which are there to the customers so the payment is similar for them and as we do move ahead and have more specific or better products in these things, we will be able to use the cycle in this contract manufacturing.
Prolin: Okay so what I understand it correctly both margins and working capital cycle will improve as we move from generic to slightly more specialized intermediary, is that a fair summarization of the answer?
Faiz Nagariya: Yes.
Prolin: Okay thank you for that? The second question would be on this polyol contract, right? Can you help us understand where does this contract lie in your 8 by 8 matrix, right, in terms of chemistry and technology and now that we have been successful in getting that contract how will it benefit in terms of expanding our 8 by 8 matrix or fortifying or strengthening some of the components of our 8 by 8 matrix if you can talk about competencies, especially for this polyol contract, that would be very helpful?
Aman Desai: Yes, great question again so originally the project started off with Saudi Aramco Technology company some years ago on proving a key piece of operation in the overall process to make this converge polyols and that was based upon continuous reaction technology which is number one in the 8 by 8 matrix on the technology side of our competency and so continuous reaction technology is featured in the manufacturing of the converge polyols and in the chemistry side it is catalysis and high pressure chemistry and these are the originals which are still present in the manufacturing of polyol and we have a very good client existing and very good matrix that we build 10 years ago. What I will add to in terms of additional competencies in the future will be a solid comprehensive understanding and expertise in the manufacturing of polyols, so that gives us entry into the field of polymers which is very exciting if you think about all the potential that exists in the


 specialty polymers world, it is very exciting and this kind of gives us a hand holding segue into understanding this world and getting experience in the manufacturing of polymers and so polymerization will be a new competency that we can add as a result of these polyols.
Prolin: Great. Just one last question if I may? Can you give us some revenue visibility of this contract because in the press release which we had released back in June of 2023, we had mentioned that each product has a potential of around 1300 odd metric tonnes per month so what should be the starting revenue and when should it start hitting and what could be the peak revenues from this contract?
Aman Desai: So there was some confusion there. I think there is 1300 tonnes per month that we mentioned was the LOI done with the oil fields services company and that is a different

contract and agreement and announcement as compared to the one with Saudi Aramco Technologies Company. I do not believe we have publicly speculated on the tonnage for the Saudi Aramco Technologies Company converge polyols platform and so there are two different things. So to address the visibility on the revenues, I am afraid that this is not a platform and we will not be able to provide any visibility towards the revenues or the tonnage in the future. Sorry.

Prolin: And not also on timeline in terms of when should this revenue start hitting us in terms of P&L?

Aman Desai: So if you think about, the oil field services 1300 tonnes per month that you mentioned, we fully expect full and almost full contribution of that in the FY2025, i.e., the quarter starting from April 2024 in three months from now. We expect to be getting contributions from site four, which is being designed for the commercialization of the contract with the oil field services company which is the LOI mentioning the 1300 tonnes per month and so with that the visibility is for sure the next fiscal year, the next quarter and for the Saudi Aramco Technologies company, the commercialization has already started in this quarter. It is smaller. It is not significant more of the middle yet, but commercialization and manufacturing has already started and we hope it will pick up soon.

Prolin: Great. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.



 Priyank Chheda: Thanks for the opportunity. Sir my question is on the site three so if you can help me what is the utilization that we are running today? I reckon that we had spent around Rs.200 Crores and we had reached around 30% in the first half so what is the utilization over there? That is the question number one and follow up on that site three plus we did plan to start the commercia

lization so if you can help me by when is that project coming up?

Rohan Desai: So we are currently at 42% capacity utilization of site 3 and site 3+ and site 3++ both combined together, I mean the remaining part of the site will be commercialized by September 2024.

Priyank Chheda: By September 2024 and over there also?

Rohan Desai: September 2024 we will start commercialization and it will take three months to stabilize the plant.

Priyank Chheda: Got it and capacities is roughly around 3500 tonnes probably we have spent Rs.200 Crores and I correct?

Rohan Desai: Yes.

Priyank Chheda: Got it. Sir so the second question is on the site two, while we did have a very unfortunate incident? Can you help me which product got impacted in this site? I reckon that we had two products that we were manufacturing for Otsuka, Japan? Has that been shifted to some other sites on the site one or somewhere because that is not reflecting on the loss of sales? You have been maintaining the quarter on quarter trajectory of sales so has there been any loss of sales from site two which product were impacted and about the two products that we were manufacturing?

Rohan Desai: So I would not bifurcate the products over here because these transcripts are publicly available and our Chinese competition can get this information very easily. So I am sorry to not give you that information on the particular product but talking about Otsuka, there are two products which we were existingly manufacturing it in our large scale manufacturing platform and so we have joined and have association with Otsuka on the existing products which are manufactured in site two and as we had good amount of stock lying with us this was not affected and secondly, we have got a partial revocation of site two already, so this product which we are talking about, which is with regards to Otsuka, is already back online.



 Priyank Chheda: Got it, so to the key take away is that there was no loss of sales per se from the site two, right? That is the key message that we should take it?

Rohan Desai: No, no, obviously there was a loss of sales because the two products were almost at very nominal stock level, so which we could not produce for approximately two months. That was a loss of sales which was there and second was that we were not producing for a period of the closure which we had received and hence we are selling out of the stock basically that material. So if you see the stock position you will see that our stock positions have reduced drastically and hence it is not impacting much on the top line. However, it has impacted on

gross margins.
Priyank Chheda: No, I understand. So would it be possible to quantify what quantum of sales did we lose which would get recompensated because we have got a partial revocation in the current quarter the production should start and as and when the rectifications are done so anything that you would like to quantify on loss of sales for the two?
Rohan Desai: We have the internal targets, but we would not like to lead you at what were the projected sales of Q3. We had internal targets which we cannot lead you to it, but we lost considerable amount of sales, let me tell you that.
Priyank Chheda: Got it. If you can help me with the realization per kilo for Q3 or for nine months, it would be great?
Rohan Desai: 1514, that is 1514 is the Q3 average realization per kilo.
Priyank Chheda: And for nine months this translates into?
Rohan Desai: 1570.
Priyank Chheda: Got it. Just a last question on site four, where the oil field contract lies? The commencement of the construction has started in July 2023 by when would this get commissioned?
Aman Desai: We will start commissioning next month in February and so we are going quite aggressive on that site and we are going to start commissioning in February with the expectations of

full contributions in the next fiscal year.
Priyank Chheda: And Sir just to verify the realizations for this product where at around \$3 to \$4 per kilo and that has remained stable right even in the right current market scenario?


 Aman Desai: Yes. That has remained stable. The current market scenario is going to not affect this contract.
Priyank Chheda: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.
Siddharth Gadekar: Sir I just wanted to understand that fundamentally anything has changed in the overall chemical or the specialty chemical business like where we were sitting in 2022 when we were evaluating projects and where we are today? Has anything changed or it is just the destocking?
Aman Desai: Nothing has changed. In the macro part of the world if you take a step back when we were in the midst of COVID, we thought the world would end but then if we took a step back and we realized that life goes on. So jokes apart, nothing has really changed if you step back and look at the global perspective. I have always maintained that this is a golden decade for the Indian Spec - Chem industry. I still believe this is a golden decade for the Indian Spec - Chem industry and will remain so but if you like go into the micro at this, in this current day and month, China is extremely aggressive in their pricing strategy. Destocking is happening and inventory levels look very high because of the COVID time closures and the inflation that took place subsequently and the stocking that happened all over the world as the result of which inventories build up even further that is currently being aggressively destocked by China and they are truly dumping in a very aggressive fashion. So that is current state of affairs. But if you take a step back and look at from a yearly perspective, I do not see any problems in all the tailwinds that were there. They should come back I believe in 2024 to an extent in 2025.
Siddharth Gadekar: So initially like if we were estimating ROC of 20% or 25% for the project even beyond the destocking we should get there? That is a fair understanding or they could it could end up somewhere lower now in this cycle?
Faiz Nagariya: Currently for the ROC levels in the mode where we are doing lots of capex which is coming up and things happening.


 Siddharth Gadekar: I am asking on a project basis like when you are evaluating a project on a certain ROC and even beyond the destocking, should we get to that those levels or might be lower than what we were thinking?
Faiz Nagariya: We should get to those levels.
Siddharth Gadekar: Sir secondly in terms of China, we are hearing that even now China has been aggressively investing in the downstream and in the specialty or complex products? How true is that and how should we look at them as a competition even in the complex chemistries and products?
Rohan Desai: They are formidable force and they are the best in what they do in the spec - chem space or the commodity space or the API or AI space. So we should not discount China in any way

possible and we should consider this threat very seriously and take proper care that when
we select the product which falls into core competency, we should do our techno
commercial studies very, very properly and seriously and that is what we do.
Siddharth Gadekar: So in our product basket, if we want to understand like across the products that we are
manufacturing, is it fair to assume that we would be one of the lowest cost producers in the
world that is why we are competitive even at these prices?
Rohan Desai: We might be lowest cost producers in the world, but in most of the products, we are the
only manufacturer of this particular product in India and that gives us a

good advantage as
compared to our competition in China where you have a source which is reliable. Indian
source which is reliable, auditable and holds up to the values of the business basically.
Siddharth Gadekar: Okay Sir got it. So basically I think the key take away that beyond the destocking maybe
like one to two quarters down the line, we should see some gradual normalization and
CY2025 is where we should be back to the normal levels is that a fair assumption?
Rohan Desai: Yes.
Siddharth Gadekar: Okay Sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Rohit Ohri from Progressive Shares.
Please go ahead.


 Rohit Ohri: One or two questions, which is related to Novoloop and the circular plastics? If you can
take us through what is the role that Aether will play over here and what sort of an
arrangement is done over there?
Aman Desai: Thanks for that. It is a very interesting project that we have started in exclusive relationship
with Novoloop, California. They have a very interesting and novel technology of degrading
polymers waste into the crude basic monomers and then upcycling and useful polymers and
this kind of a circular economy, but even an upcycling economy. So the current
arrangement is that if there is, we have a process in place which is basic and elementary and
in their labs and if there is the exclusive partner with which they are validating the process.
One is scaling up the process. Two is in the pilot plant is the current phase and the current
press release was about and three then in the future potentially partnering towards further
scaling up and commercialization as well and the partnership is sound. We are aligned on
the interests and the competencies and it was a very interesting field but again a new field
for Aether. It is adding significantly to the basket of sustainable processes and products and
areas of rejecting into diversifying away from the AG and the Pharma core of our business,
which is a strong focus for ourselves and so it is that way, it is very interesting. So the
current press release was more on the side of Novoloop and so we kind of made the best
release that backing up on that. But they were in fact they were presenting in the World
Economic Forum in Davos this particular case study and their technology and they wanted
to give press release before that and so we kind of helped them out in that and it is very
interesting when this will end up, but potentially go all the way towards commercialization.
Rohit Ohri: This pilot plant is at which site from Aether’s end?
Aman Desai: Site one, the new pilot plant that we are building. We are building an entire state-of-the-art
fully automated manufacturing skill. Again going back to the various questions on this call,
core competencies and so it is continuous reaction technology and polymerization which is
very, very, very unique and very interesting technology that they have kind of innovated on
and we are going to bring to commercial realization.
Rohit Ohri: Dr. Aman if you can just take us through that, what sort of revenue potential do you see or
what sort of investments do you feel because it is a promising business and promising
chemistry going forward? What sort of competition is there or something on the market size
or the margins profile, if you all can share that?


 Aman Desai: The market size, you could imagine the PET waste that happens in the world is hundreds of
thousands of tonnes and there are select few companies. In fact we are working with a, I
cannot name them. We are working with some other company as well in the US based on
very similar field of upcycling and circular economy of polymers and so it is newly
developing field and we are firmly in partnership with the front runners of this field and

the
market potential is tremendous. Every single plastic that you touch currently is going to
waste and you throw in plastic polymers in the recycle bin at the airport but actually it is

actually only about 10% to 15% of that what is thrown into the recycle bin is actually recycled or upcycled. The rest of it is actually goes to waste and so I am just looking at some Google number here and upper Google search which shows plastic waste management market in the world and it is claiming to be $35 billion in 2021 and so $45 billion in 2029 and so that it is too early to say anything but it is a very interesting field. We are working with all the major players right now Novoloop is one of them that we have publically announced and I think we are going to focus on this as well in the coming future and the potential is tremendous. We are taking about thousands of tonnes and as far as we know, we are the only people in India doing this, but in partnership with such companies.
Rohit Ohri: Do you think that these kind of businesses will kind of put a little bit of dent on the margin profile which was earlier 28% or we were scaling up to 32% to 33%?
Aman Desai: The realization will be small but the margins and EBITDA we will be gradual and going up and so we will not compromise as a business policy and from the fundamental philosophy of the company and the family we will not compromise on the margin levels and the EBITDA levels as it is possible in the forex going forwards. The realizations may be small so for example we had a speaker that mentioned previously about $3 to $4 of realization as compared to Rs.1600 or almost $18 of the current average realization that we have today so we will compromise on the realization because that depends on the field that we get in but we will possibly try not to compromise on the margins and the EBITDA.
Rohit Ohri: Okay that is it from my side. Thank you Dr. Aman. Thanks a lot.
Moderator: Thank you. The next question is from the line of Indrajeet Bhatia from HDFC Securities. Please go ahead.
Indrajeet Bhatia: Just a couple of questions. One is on this if you could just explain this margin? I think there was a comment by Rohan I think that gross margins got impacted if you could just explain


 the mechanics as to how exactly this played out and second is do we expect to kind of go back to our usual 20% net profit margins back say from Q4 or next year onwards?
Faiz Nagariya: Yes Indrajeet Faiz here. As Rohan said in his commentary that we were able to achieve the sales in the Q3 mainly because of the finished goods inventory which we had for the materials which were required by the customers and finished goods inventory where were all sold off and if you see the change in inventories due to the finished goods has gone down drastically and that has impacted the margins because there is no production which has happened. Only the sales has happened, inventories which was Rs.25 Crores in the last quarter has come down to Rs.3 Crores which has impacted the margin Rs.55 Crores which could have been better number if the site was working properly in December month also so that could have changed the numbers drastically. The main reason that it is because of the finished goods which have been sold off and the change in inventory has gone down a lot and the reduced number in the sales and regarding the profit margins we definitely were banking on the 20% was our bench mark but still is the bench mark to grow from there gradually. We would definitely be willing to bring this back in Q4 from next year of course we should. That is the target again for us.
Indrajeet Bhatia: Was there any among the other cost is there any kind of inventory related cost or damages to inventory, damages to finished goods is any of that kind of cost also booked into the P&L this time around?
Faiz Nagariya: No. Cu

rrently if you see the foot notes I have mentioned clearly that loss assessment is going on and currently we have not taken any impact of sites or stocks or profit loss in this current quarter. Once the assessment is over and we are submitting the final claim to the insurance company we will take you through the number then only we will be taking the impact in books of accounts.
Indrajeet Bhatia: Sure and typically the turnaround time by insurance company to kind of pay us damages would be six months?
Faiz Nagariya: Yes it is six months but we have been providing the required information and data to them so we should try that we are able to close this thing within three to four months.
Indrajeet Bhatia: Got it. Thank you. Best of luck.


 Moderator: Thank you. Ladies and gentlemen that was last question for today. I would now like to hand the conference over to the management for closing comments.
Shubhangi Desai: Thank you everyone for participating in the call. We hope that we have addressed majority of your questions. If you still have any further unanswered questions, then please feel free

to reach out to us. Have a great day ahead. Thank you very much.
Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: May 2024

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. May 24, 2024 Ref. No.: AIL/SE/16/2024-25 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Tuesday, May 21, 2024, on the financial performance of the Company for the Fourth Quarter and Financial Year ended on March 31, 2024, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

Page 1 of 14 “Aether Industries Limited Q4 & FY24 Earnings Conference Call” May 21, 2024 MANAGEMENT: DR. AMAN DESAI – PROMOTER & WHOLE-TIME DIRECTOR, AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER & WHOLE-TIME DIRECTOR, AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER, AETHER INDUSTRIES LIMITED MS. SHUBHANGI DESAI – EXECUTIVE IR, AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Aether Industries Limited Q4 FY24 Earnings Conference Call hosted by HDFC Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you and over to you, sir. Nilesh Ghuge: Thank you, Neerav. Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries Conference call to discuss the Result for the Quarter and Financial Year Ended March 2024. From Aether Industries, we have with us today Dr. Aman Desai – Promoter and Whole Time Director; Mr. Rohan Desai – Promoter and Whole Time Director; Mr. Faiz Nagariya – Chief Financial Officer; and Ms. Shubhangi Desai – Executive IR. Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the Earnings Call for 4Q FY24 and Financial Year ‘24. Over to you, Shubhangi. Shubhangi Desai: Thank you, Nilesh. Good evening one and all. Today on May 21, 2024, our Board has approved the Financial Results for the 4th Quarter and Financial Year Ended on March 31, 2024, and we have released the same to the Stock Exchanges as well as updated the same on our Website. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, re-broadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management’s current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements whether as a result of future events or otherwise.
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Mr. Rohan Desai will begin by sharing Aether’s business outlook, then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Dr. Aman Desai will share the ongoing expansions and strategy of the company going forward. Now I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Sir. Rohan Desai: Thank you, Shubhangi. Ladies and gentlemen, thank you for joining us today. I want to address our recent Quarterly Performance, which was unfortunately impacted by the significant fire accident. The foremost priority of the company immediately after the accident was towards the injured and for the family members of the deceased and we have done our very best for them and their families. Coming to the business: While this event has certainly present challenges, we want to assure you that we are fully committed to addressing the situation and mitigating its effect. Our team is working tirelessly to rebuild what is lost, get the production streams online in phase wise manner after getting necessary statutory approvals and ensure the safety of our employees and facility. During the start of this quarter, we had announced that we had restarted 50% of the facility post this accident. This came online in phased-wise manner and hence the effect is seen in our performance. Our

swift response and effective crisis management systems minimize the disruption of our supplies and enable us to meet our commitments to our customers to the best of our abilities. The other half of the affected site 2 is expected to be operational soon with all the safety protocols in place. We are expecting to receive revocations of the closure order of site 2 to resume operations to the extent of 75% and 100% of the environmental clearance capacity shortly. We have taken several one-time hits on our books which has impacted our bottom line. We appreciate your patience and support as we navigate through this challenging time together. There have been several positive developments in this quarter. We had announced the successful piloting of recycling and upcycling of plastics with our customer Novoloop. Also, we had announced the appointment of our new CTO by Aether, Dr. James Ringer, who has taken up this role after already been here with us for 3 plus years. We have also invested in 15 megawatts of solar power plant, which will make us 95% sustainable on renewable electrical energy in three sites. And last but not least, we have commercialized site 4 which starts the production line for oil field drilling services businesses. Dr. Aman will be sharing more information on the above in the short period of time. Inspite of the pricing pressure and the fire accident at site two, we have been able to sustain the market of our products and we are seeing a good inflow of orders through our existing molecules. Our large-scale manufacturing business model contributed to 59% of the total sales in this



quarter, CRAMS contributed to 14% and contract/exclusive manufacturing was at 26%. Robust growth in all these three business segments is expected in the current financial year 2024-25. We will have the site to fully schedule operational by quarter one of 2024-25 wherein we are expecting the revocation order for site 2 to come anytime from the authorities. Now let us discuss on the growth outlook from here on. We have commissioned our site 4 which is under 100% wholly-owned subsidiary, Aether Specialty Chemicals Limited. This has been created largely for one of the top three biggest oil field services company. We had announced the letter of intent with this company in the recent past, leading to the creation of this site and we expect to be announcing the finalized strategic supply agreement with this customer shortly. Production and the supply of the product from site 4 to these customers will be increasing in phases with the first phase beginning from quarter one of financial year 2024-25 while the coming quarters, we anticipate a very significant revenue contribution from site 4 in this oil field services domain. Site 3, which was commercialized in January 2023, has seen pricing pressures also and we have not been able to get the desired results, but we expect the pricing pressures to ease out soon and we will get the desired results in financial year 2024-25. Commercialization of site 3++ and launch of 3 to 5 products in site 3++ under the LSM model in quarter four of financial year 2024-25 is on track. Commissioning of the new 15 MW solar power plant will be adding to saving of electricity expenses, which will be done in 3 phases. Phase 1 will come online in the end of May 2024, second phase will start online by July 2024 and the last phase will start in September 2024. Each phase will be of 5 megawatts capacity. We have also successfully expanded and commissioned the pilot plant. This will further lead to enhancement and faster scale up of newly developed products in R&D which are to be launched in the near future. This expanded pilot plant also helps us in expanding our CRAMS business model in a significant footing. I would now request Faiz to take you through all the financial highlights of the company. Over to you, Faiz. Faiz Nagariya: Thank you, Rohan. Good evening, ev

erybody. Here we present the Financial Results of Aether Industries Limited for Q4 and Financial Year ‘24. The total revenue of the company in standalone stood at Rs. 6,399 million in Financial Year ‘24 as against Rs. 6,676 million in financial year 23 resulting in EBITDA of Rs. 1,619 million in Financial Year ‘24 as against Rs. 2,028 million in financial year 23. EBITDA margins stood at 25% in FY24 as against 30% in FY23. The PAT amounted to Rs. 881 million in FY24 as against Rs. 1,304 million in FY23. The PAT margins stood at 14% in FY ‘24 against 20% in FY ‘23.



The consolidated financials are here with the total revenue of the company stood at Rs. 6,373 million in Financial Year ‘24 as against Rs. 6,676 million in financial year 23 resulting in EBITDA of Rs. 1,577 million in Financial Year ‘24 as against Rs. 2,028 million in financial year 23. EBITDA margins stood at 25% in FY ‘24 as against 30% in FY ‘23. The PAT amounted to Rs. 825 million in FY24 as against Rs. 1,304 million in FY ‘23. The PAT margins stood at 13% in FY24 as against 20% in FY23. The loss in Q4 is attributed to deferred tax provision in Aether Speciality Chemicals Limited due to the operations started in March ‘24 and capitalization of various fixed assets that is Rs. 11.03 million. Otherwise, there is a PBT of Rs. 5.6 million and there is a cash profit as well. The main reason for the reduction in the revenues in Aether Industries is attributable to the fire accident at our site 2 in November 2023, wherein the production at our manufacturing facility 2 was stopped for couple of months. The reduced revenues and other exceptional expenses related to the accident like compensation paid to the families of the deceased, penalty payment to GPCB, medical treatment expenses of the workers who are hospitalized and increased insurance premium of our IAR policy have resulted in the reduction in the EBITDA and PAT margins eventually. The amount of such one-time cost is approximately Rs. 70 million for the quarter. We incurred an incremental impact of approximately Rs. 30 million on account of increase in insurance premium due to the fire accident in this Financial Year ‘24. Further, we have also incurred a loss of Rs. 138.97 million on account of damage of inventories in process and finished goods which were either in the reactors, in the equipment and on the shopfloor when the fire accident happened. The loss of fixed asset is being assessed as various equipments are being inspected and the outcome are expected to be released by the end of this month. We have though submitted our first claim of Rs. 1000 million to the insurance company towards stocks, fixed assets, loss of profit etc. and we have applied for an on-account payment of Rs. 210 million to the insurance company, which has been approved and we expect payment in due course in few days. Acceptance of one account payment also entitles that our claim is accepted by the insurance company, which will be settled in the next few months. Due to the fire accident at manufacturing facility two that is plant 2 majorly affected, new production could not be done in the entire December 2023 and January 2024 and hence this also led to the reduction in the finished goods and semi-finished goods inventories resulting in our reduced margins as well. Though when we received the partial revocation orders from authorities, we started building up stocks of RM, manufacturing started resulting in increasing stocks of SFG as the production is going on for various products. I will stop here and request Dr. Aman Desai to share updates on Aether’s expansion plans and strategies going forward.



Dr. Aman Desai: Good evening, everybody. Despite the unfortunate turn of events in this fiscal year impacting our quarterly and overall performance, our team’s resilience and dedication have allowed us to navigate through this dif

ficult situation. Our swift response and effective crisis management system have minimized the disruption of our supply chain and enabled us to meet our commitments to our customers. In January, the unaffected plants of our fire impacted site 2 resumed operations after an initial closure by the GPCB. The other half of the affected site 2 is expected to be operational very soon with all the safety protocols in place. We're expecting to receive revocation of the closure order of site 2 to resume operations to the extent of 75% of our capacity in the next coming days. With that, let me put forth the strategic developments that have been executed and which remain the key drivers during the period under review. We announced the first commercialization of the novel Converge polyol technology which we have developed in collaboration with Saudi Aramco and this first commercialization was led by one of the largest US based adhesives manufacturer H.B. Fuller. This builds on the numerous years of joint work done so far on the Converge platform with Saudi Aramco Technologies Company. As we speak, we are continuously working to widen the array of Converge Polyols application in the case industry, we are upbeat on the fact that this successful product launch by H.B. Fuller is the first of many with an aim to serve the customers by providing sustainable solutions. As these first launches of the Converge polyol technology begin, we are hoping now to see a rapid growth in the commercialization and sales of these novel and sustainable Polyols. We are also proud to partner with Novoloop for a first of its kind Lifecycling process, creating a pathway for circular plastic future. This technology provides an economical and sustainable solution for hard to recycle plastics. This project is a plan to unfold in phases with an initial startup of operations already commenced in the first quarter of the fiscal year 25 at the newly built pilot plant dedicated to the project. Novoloop's novel technology has immense potential, and we are excited to begin preliminary discussions with Novoloop already towards the full scale commercialization at Aether of this technology in the very near future. In the recent past, we have announced partnerships with Polaroid of Netherlands and Otsuka of Japan. Both these partnerships remain robust. We continue to be the exclusive research development and supply partner for Polaroid, digital and instant photography platforms. This upcoming fiscal year will see substantial revenue contributions coming up for the first time from our partnership with Otsuka, thus transforming the work done over the last several years and building this partnership into a substantial commercial business. We also recently announced the execution of an agreement with a major global lithium-ion battery producer, thereby giving an announcement for our foray into specialized electrolyte additive products. We have partially commercialized these products already and expect full commercialization in our upcoming sites 3++ and site 5. Additionally, this partnership is



developing quite well and we expect additional benefits from this partnership, which we will also announce in due course of time. R&D and pipeline assets, infrastructure and manpower continue to increase quarter-on-quarter even in the accident affected quarters. This reflects on the continued fullness of our R&D pipeline with numerous projects across all business models. Even with the recent setbacks, our CRAMS portfolio has in fact grown year-on-year and we anticipate the upcoming fiscal year will see a significant expansion of this CRAMS portfolio with new projects and new customers being added across the industry spectrum and a few of these products making the golden transition from the CRAMS portfolio to the contract/exclusive manufacturing portfolio. We had also given guidance on the hierarchical changes that we are plannin

g to bring about, especially in the wake of the accident in line with that, we have announced Dr. James Ringer as our CTO who has already been associated with us since the last 3 years as a Business Development Leader for the Americas. He is a very well recognized R&D professional with the career spanning more than 30 years at the Dow Chemical Company in the USA at an R&D Director level. He will be jointly overseeing the R&D and technology verticals of the company. Under his leadership, we look forward to maneuvering to greater heights in strategic innovation and technical leadership in cementing our place as a premier partner for chemical development, scale up and manufacturing across the industry spectrum. We have commissioned successfully our site 4 under our 100% wholly-owned subsidiary, Aether Specialty Chemicals. This has been created largely for one of the world's three biggest oil field services company in the US. We had announced a letter of intent with this company in the recent past leading to the creation of this site 4 and we expect to be announcing the finalized strategic supply agreement with this customer in the coming weeks or even days. Production and supply of products from this site 4 to this particular customer will increase in phases with the first phase beginning in this first quarter of fiscal 2025. By the coming quarters, we anticipate very significant revenue contribution from this site 4 in the oil field services domain. CAPEX at our Greenfield manufacturing site 3++ and site 5 is advancing well with all the regulatory approvals in place and the civil work going on as planned and the machinery and equipment also being installed in site 3++. We anticipate the commissioning of site 3++ by the end of this upcoming fiscal year, we are going to launch several exciting new products in this site 3++ for both the large scale manufacturing business model as well as the contract/exclusive manufacturing business models. These products are always made and offered by us for the first time in India, have the genesis in our core chemistry and technology competencies and have been painstakingly developed in R&D labs and mid production ready in our pilot plant. The products and the planning for this site 3++ include some of these new electrolyte additives and two large molecules moving from the CRAMS portfolio to the contract/exclusive manufacturing portfolio and pipeline molecules under our large-scale manufacturing business model made by us for the first time in India. Site 5 is developing quite well from the civil logic perspective. It is



a mega production site with 16 production blocks and is shaping up very well to become the true face of production of Aether Industries with world class engineering, technology and safety and sustainable systems. At the very end, I do want to touch upon the tragic and unfortunate accident in our manufacturing facility in site 2 in the last quarter. As Rohan had mentioned at the start of this call, the topmost priority of the company, our management and our family have been towards the injured and the families of the deceased. We have tried our very best to stand by them and we will continue to do so for the lifetime of these immediate families. This was the major accident, we responded by undertaking comprehensive and systemic changes in the safety protocols and processes of the company. Each and every single operation being conducted in R&D, pilot plant and production for all the sites in the company have been reviewed for safety and only then our operations have been resumed. We have spent several weeks drawing up an elaborate corrective and preventive action plan which focuses equally on the short term, the medium term and the long term. This plan has already been implemented and validated for the short-term actions and is being implemented with utmost seriousness for the medium term and long term ac tions. Vigorous implementation of this plan remains the company's top most priority and it is also my personal topmost priority as a company, as a family and as the person leading the operations, we are and I am committed to ensuring that such an event will never, ever happen again at Aether Industries. Finally, I do want to express our deepest gratitude to all our colleagues, our stakeholders and other valued investors in their continued faith and trusting us and I assure you that we are working tirelessly to ensure that we deliver value to you and live up to your promise and potential. Shubhangi, back to you. Shubhangi Desai: Thank you, Dr Aman. We shall now request the moderator to open the forum for question and answer. Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead. Rohit Nagraj: So, first question is in terms of competition from China, we've been hearing across the Board that there has been competition from China, which has cropped up over the last couple of years. So, have we faced any competition? And because of the incident, is there any irreversible market share loss that we are experiencing, that's the first question, thank you. Rohan Desai: Thank you. On the pricing side, yes, we are seeing a lot of pressure from China because the raw materials have also reduced and obviously they are back to their original state. So, we are facing good competition in terms of pricing. However, we have only lost a certain market share in



certain products because of our inability to produce because we have only 50% of our production plant which is online. So, that product is where we have lost some market share. But we are very, very confident that we will regain this market share in Q1 and Q2 respectively, and we will go back to our original state. We have commitments from the customers and their readiness from the customer side and their willingness to buy from Aether so we are not worried on the existing molecules and we are already taking lot of orders with anticipation of restarting of the plant as per our internal timelines. Rohit Nagraj: Sure, that's helpful. Second question, in terms of your CAPEX, so if you could just give us a timeline as to when commercialization of this project will happen and what kind of revenue that we are expecting over a period of time. So, maybe at peak utilization based on the current CAPEX and how the trajectory would move maybe in FY26-27 in terms of overall revenues? Rohan Desai: Alright, so we're talking about site 3++. To start with, site 3++ is Rs. 200 crores of investment and it is expected to come online and stabilize in Q4 of this financial year 2024-25. Site 4 is already up and running, and we are seeing the outputs and the sales happening in phase wise manner where it is being ramped up in this current quarter that is Q1 of 2024-25 and it will attain its full potential in Q2 and Q3 respectively of this current Financial Year ‘24-25. And talking about site 5, we are estimating all getting online in the phase wise manner where the first phase will get online in December of 2025 which will stabilize in the last quarter of 2025-26 and potential will start unlocking in 26-27 for that site. This is expansion of Rs. 500 crores of capital investment. Out of which, Rs. 300 crores will be productive assets and Rs. 200 crores will be non-productive assets. That is the accessories and the infrastructure around which we need to build up for 16 production blocks. Does this answer your question Rohit? Rohit Nagraj: Sure. Just one small clarification in terms of the usable asset base, what would be the asset terms that we are looking at? Rohan Desai: At maturity, after a period of 2 years of stabilization of the plant, we are looking at 2x of the investment done in the plant. Moderator: Thank you. Next question is from th

e line of Dhruv Shah from Dalal & Broacha Stock Broking. Please go ahead. Dhruv Shah: So, my first question is with respect to your CRAMS business. If I look at your full year revenue, that has been kind of flattish, can you justify what is the reason behind this flattish growth? Dr Aman Desai: Yes. So, on the wake of the accident, quite a few of the projects were put on hold and there's almost a period of overall, I believe 2 months where we put a lot of things on hold because as I mentioned in my speech, we have done a thorough safety review of every single operation and



every single project and for that matter, we have put quite a few projects on hold and quite a few of the bigger projects were put on hold for a longer time for these safety reviews. And so we are looking at least one quarter where we were delayed by our deliverables and milestones and all of these projects, and so in fact, we were hoping to have a showcase, a significant growth on the CRAMS year-on-year. But in spite of this setback of 2 to 3 months, we've still grown on the CRAMS by a couple of percentages I believe and I think that reflects on how strong the pipeline was. Dhruv Shah: Thank you. So, my second question was what was your average selling price per Kg for the full year? Faiz Nagariya: Average selling price per Kg was Rs. 1,509. Dhruv Shah: And, sir, like, what is your outlook on this? Are you seeing any improvement in prices because the prices have been falling only right? So, are there any green shoots that you are observing in terms of prices? Rohan Desai: Currently for Q1 and Q2, no, we are not expecting any price to be correcting, but we are seeing a good demand at least to start with, which is a very positive note and with the demand we hope that from Q2 onwards, the pricing will go towards the North. Dhruv Shah: Sure, sir and my last question was with respect to your agrochem sector. So, what is the scenario over there? Are there any improvements over there because I think so earlier you had mentioned that some deals were delayed, not cancelled. So, are they back with us or they still not with us yet? Rohan Desai: Yes. So, we are not the major agro player as such. We hold approximately 30%-35% of our sales comes out of 4 products which are in agro and we are not seeing demand trouble in these 4 products. However, the pricing pressure is still true for all these 4 products. Dhruv Shah: Sure, sir. And just one last question, if I could squeeze in, sir, there has been some significant increase in your non-current borrowings. So, can you please mention what that is regarding? Faiz Nagariya: Non-current borrowings are the working capital limits which we are enjoying with the banks. So, these are towards, CC, PCFC and LC limits, which we're using from the bank. Moderator: Thank you. Next question is from line of Inderjit Bhatia from HDFC Securities. Please go ahead. Inderjit Bhatia: First question is would you want to kind of put a number as to how much of revenues we lost in in the previous quarter because of this unfortunate accident? Is there some assessment of that?



Rohan Desai: We lost almost close to Rs. 150 crores to Rs. 200 crores of revenue, which we are assuming in two quarters, I mean 4 months. There are many aspects, we lost one quarter in site 4 also which we were anticipating that as a revenue which was oil field drilling services which was also delayed because we wanted to do the safety reviews and so to check again in the existing site and the site 4 and also we had the QEHS which was kicked in by our customers which we passed with flying colors also. Inderjit Bhatia: So, this is when you say Rs. 150 crores of revenue loss. Is this revenues delayed which will all expected to come into FY25 or do you think some part of this is actually lost because those orders do not exist any longer with us because customer

might have shifted it? Rohan Desai: No. So, it has been pushed quarters back, so we are not going to recover it in this financial year for sure. Inderjit Bhatia: Got it. Second is now with you said that we are not large players in agro, but I if I recollect agro was still a fairly substantial portion of our revenues, if you could kind of just let us know as to what percentage do you think would be agro in FY25 or FY26 once all these new capacities come up? That is one and the second is in any of your existing contracts or the new contract that you have kind of got, has there been any change in pricing or any kind of extra cost that is associated either because of this accident or just generally because of say the environment changing? Rohan Desai: No. So, no additional cost has been put in by Aether or there is no discount which is being given by Aether because of the accident. We are anticipating 30% to 35% of our total topline to be agro for this financial year. Moderator: Thank you very much. Next question is from the line of Atishray Malhan from Fortress Group. Please go ahead. Atishray Malhan: I have a few questions regarding the Converge Polyol opportunity. Firstly, so you previously mentioned that the addressable market size for the Converge Polyol opportunity is about 850,000 tons per annum. Can you maybe quantify the stand in dollar terms? Rohan Desai: So, 850 KTA would be at average selling price of $3 to $5 a kilo. Atishray Malhan: So, just harping upon that point, I mean, considering that the Converge Polyols are more value-added products compared to the other polyols used in CASE application, are they being priced at a premium compared to the other polyols in the market? Rohan Desai: Yes, it is priced at a premium and it is approximately 30%-35% depending on the volume which you require. It is at 30% to 35% premium.



Atishray Malhan: Thank you. And just a quick follow up on that. So, for the various CASE applications that you're targeting, what percentage of the end use applications, total COGS would be attributable to polyols? I understand that the exact figure would be difficult to estimate, even a range would be very helpful. Rohan Desai: So, that would be difficult to estimate, I think. Moderator: Thank you. Next question is from line of Krishan Parwani from JM Financial. Please go ahead. Krishan Parwani: Just two small questions from my side. First is on the volume or revenue growth which you are targeting FY25, given some new plans are coming up and there would be certain impact in site 2 in 1Q FY25 . So, just some thoughts on there? Rohan Desai: Yes. So, Q1, we are anticipating the site to come online. So, at any time we are expecting a revocation to be circulated and so we can push and move ahead full steam ahead in site 2 and site 4 has come online. So, that will contribute quite a lot In Financial Year 2024-25. Krishan Parwani: So, at this point you're probably not putting a number to the growth guidance that you have? Rohan Desai: No, really not. Krishan Parwani: So, I was actually asking like was there any particular reason for higher working capital days in FY24 and how much of moderation we are expecting in FY25? Faiz Nagariya: So, the main reason for the increase is attributable to the inventory days wherein the working progress inventory has gone up. So, we had a fire incident and then the site 2 revocation for part was received and we started the production in February. So, there was this production going on. So, this work-in progress inventory has been higher this side and this will moderate and we will again come back to the normal scenario and normal terms by end of this financial year 25 for sure. Krishan Parwani: Perfect. So, essentially it was because of the fire incident. Understood. Faiz Nagariya: Yes, various products production was to be started, otherwise the raw material, finished goods, all the inventory days are all in contr

ol. There is no such problem. Krishan Parwani: Perfect. So, we can expect it to be a normal level once again, correct. Faiz Nagariya: Yes.



Moderator: Thank you. Next follow up question is from the line of Atishray Malhan from Fortress Group, please go ahead. Atishray Malhan: Just a couple more follow-up questions on the electrolyte additives opportunity. So, the electrolyte additives that you're currently developing, how fungible are they? Can they be used across different electrolyte salts and solutions or are they specific to a specific electrolyte salt such as say a lithium access or a phosphate? Dr. Aman Desai: Yes. Thanks for the question. Great question. We are focusing only on organic molecules, small organic molecules, electrolyte additives and that's a very specific subset of the electrolyte additives. And so we are not going after the salts. We are not going after the solvents. We are not going after the salt additives. We are going after the organic small molecule electrolyte additives only, which play to our strengths of our core competencies of chemistries and technologies. And so that's the first part of the answer. The second part of the answer is that these are commonly used. So, two out of the three that we're developing are very commonly used electrolyte additives in almost every single formulation of lithium-ion batteries and so they are going to be broadly applicable and marketable to the entire world of the lithium-ion battery formulation partners and the chemistry play and the technology play to our strengths of core competencies and therefore are fungible in our manufacturing assets. Atishray Malhan: Thank you. So, my understanding is that you plan on sending these first validation batches to the client by the end of this calendar year. Is that correct? Dr. Aman Desai: That's correct, yes, hopefully before that. Atishray Malhan: So, I mean, when do you expect the commercialization of the additives by? Dr. Aman Desai: So, the commercialization will be partially done by the end of this calendar year and the full commercialization will happen in the site 3++, which will be by the end of this fiscal year or the quarter thereafter. Moderator: Thank you. Next follow up question is from the line of Rohit Nagraj from Centrum Broking Limited. Please go ahead. Rohit Nagraj: So, we have recently elevated Dr. Ringer for the CTO position. So, what is the structure that we are working with, I mean in terms of the total staff cost, how much is the percentage for the expert and to retain them for a fairly long period of time, what is the incentive structure or probably ESOP structure that we have formulated if can just give some color on this. Thank you. Dr. Aman Desai: Yes. So, we're very excited to have Jim on the Board. And Jim's personally known to me for the last 20 years now, and with the company for three years already, and he's probably one of the

best process scientists in the world that I know. And I know quite a few. And so we are excited to have him when he joined us, obviously for good package and benefits but also because we believe in the story and of the personal connection that we shared, and he's very excited to be working with us. And so I will share the details here, but there are several aspects of the overall package that we put together for him and it includes obviously attractive ESOPs as well. He already had access to ESOPs from the development leader position that he was in, and this gives additional benefits to him as well and so we work very closely. He is at Aether for the full month every quarter and he's working in the Indian time zone partially over there in the US for coordinating with the projects over here and then partially in the US time zone for the business development activities. And so, he's already contributing immensely to all the projects and it's a parallel st

ructure to me, if you will, in terms of the R&D and technology development of the company. And so, it's very, very positive. Hopefully, that answered some of your questions. Rohit Nagraj: Right. And the similar structure is in place even for the other experts who are working from other geographies? Dr. Aman Desai: The other business development team has ESOPs and reasonably good package as compared to the Indian standards that's already in place. So, the design of the structure is done in such a way that it is expandable for the near future, if anybody wishes to join. Rohit Nagraj: And just one clarification in terms of FY25, given that the unfortunate incident has happened and probably will get the revocation order and some time, is it safe to assume we will be able to do at least similar kind of revenue run rate what we did in FY24 barring the new project, which have come in terms of the site 4 and the upcoming project? Rohan Desai: Obviously. Yes, for sure. Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments. Shubhangi Desai: Thank you everyone for participating in the call. We hope that we have addressed majority of your questions. If you still have any further questions, please feel free to reach out to us. Thank you. Moderator: Thank you very much. On behalf of HDFC Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

# Call: Jul 2024

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. July 24, 2024 Ref. No.: AIL/SE/31/2024-25 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Friday, July 19, 2024, on the financial performance of the Company for the First Quarter ended on June 30, 2024, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached


"Aether Industries Limited Post Results Conference Call" July 19, 2024 MANAGEMENT: DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES


Moderator: Ladies and gentlemen, good day, and welcome to Aether Industries Post Results Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge. Thank you, and over to you, sir. Nilesh Ghuge: Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended June 2024. From Aether Industries, we have with us today Dr. Aman Desai, Promoter and Whole Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; and Ms. Shubhangi Desai, Executive, IR. Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the Earnings Call for Q1 FY '25. Over to you, Shubhangi. Shubhangi Desai: Thank you, a warm welcome to everyone. Today, on July 19, 2024, our Board has approved the financial results for the first quarter of the fiscal year 2025 and the same has been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded and the transcript of the same... Moderator: Sorry to interrupt, ma'am, your audio is not clear. Can you please speak up a little bit? Shubhangi Desai: Okay. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise. Now Mr. Rohan Desai will begin by sharing Aether's business outlook. Then Mr. Faiz Nagariya will cover the financial highlights for the period under review, and Dr. Aman Desai will share the ongoing expansions and strategy of the company going forward. Now I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, sir. Rohan Desai: Good evening, everyone. I hope everybody is doing well, and I'm glad to connect with you all to discuss the performance of our company for quarter one. During the quarter under review, we witnessed growth in overall volumes, but the prices have been impacted due to China's dumping.

We feel the prices have already bottomed out and we are optimistic for an upswing in the business scenario with numerous inquiries pouring in, in all the three business models of Aether. The accident affected Site 2 is being revamped and is expected to be up and running 100% by August 2024 in a highly compliant and safe manner. Our greenfield capex expansion are on track. Site 4 will see a ramp up in production from Q2 of FY '24-'25 onwards with a strategic supply agreement for six products that we will manufacture for Baker Hughes. Out of the total 15 megawatt solar power plant order, initial commissi

oning of 5 megawatt solar power plant was successfully completed in quarter one, which is set to improve the bottom line of the company. The remaining 10 megawatts power plant will be commissioned in quarter two. This is a major investment which will be crucial in saving of electricity costs and further aids in improving operating margins of the company. With respect to Aether's business model, we have seen 66% contribution of the total top line coming from large scale manufacturing, 18% coming from contract/exclusive manufacturing, and 14% coming from contract research and manufacturing services business model during the quarter one. We have witnessed volume growth in all the three business models. Contract plus exclusive manufacturing is set to show a good growth from quarter two onwards, where the commercial orders towards the SSA signed with Baker Hughes will start to be manufactured and to be dispatched. Our export revenues stood at 42% of the total revenue and domestic sales stood at 58%. Today we are excited to announce that we are introducing a new business segment focused on sustainability and renewables. Aether Industries is likely the first company in the chemical industry, especially in

India to launch such a segment. This segment includes a notable initiative and partnerships. Number one, Converge polyols, the product which has up to 40% carbon dioxide by weight. This is a joint development and scale up of novel technologies for manufacture of sustainable polyol with Saudi Aramco Technologies. First commercialization and product launch has been done with H.B. Fuller and many more are in the pipeline. Technology to transform post-consumer plastic waste to high-quality virgin monomer and polymers, an active collaboration with Novoloop for pilot validations and commercialization of this technology is on the path. Our contribution towards sustainable and greener transportation, the first-time manufacturer in all in India for organic electrolyte additives backed with supply agreement with a major global lithium-ion battery producer. This is very exciting segment for us. We are working on numerous projects in this overall platform and anticipate several positive developments in the near future. Furthermore, as we need to meet the minimum shareholding pattern, we have taken an enabling resolution to raise funds, which we will propose to our shareholders in the upcoming AGM. This will further aid us for the expansion of our visionary greenfield manufacturing Site 5 and also for expansion of our R&D and pilot plant facilities.

With this, I would conclude speaking and I would request our CFO, Faiz Nagariya to touch upon the financial highlights for the period under review. Over to you, Faiz. Faiz Nagariya: Thank you Rohan and good evening, everybody. I'm glad to present the financial results of Aether Industries Limited for Q1 of financial year '25. I'll touch base upon the consolidated numbers. The total consolidated revenue of the company stood at INR1,920 million in the quarter one of financial year '25 as against INR1,291 million in quarter four of financial year '24, resulting in EBITDA of INR521 million in Q1 of financial year '25 as against INR144 million in quarter four of financial year '24, a significant increase in the comparing periods. EBITDA margin stood at 27% in Q1 of FY '25 as against 11% in Q4 of FY '24. The PAT amounted to INR299 million in Q1 of financial year '25 as against a loss of INR14 million in Q4 of financial year '24. The PAT margin stood at 16% in Q1 of financial year '25 as against loss in quarter four of financial year '25. During the quarter, we have received INR210 million from the insurance company as an on-account payment towards the insurance claim that we have submitted of total INR1,000 million. This on-account payment also envisages that the insurance company has admitted our claim. The revamping of the affected site i

s progressing as per the plan with certain delays from our regulators. Still, we anticipate 100% operations at the fire-affected site by end of September '24. Though the debtor cycle is at around 140 days, our inventory days have reduced to 160 days by end of quarter one of financial year '25, which had increased to 210 days as on the 31st March, 2024. With the commercialization of the SSA with Baker Hughes, we anticipate to have the better debtor cycle in future. Now I would request Dr. Aman Desai to share updates on Aether's ongoing expansion plans and strategies going forward. Aman Desai: Thank you, Faiz, for the financial highlights. Good evening, everybody. I'm pleased to connect with you all again. To begin with, we have been working diligently in augmenting our capabilities with our ongoing capex, integrated with the incremental additions in chemical reaction capabilities, beginning from R&D all the way to commercial scale, which is aiding us in enabling and developing innovative technologies. With our efforts to broaden our range of end use industry applications, we have successfully proved our mettle by entering again into the oilfield services area of the oil and gas sector with the execution of the strategic partnership in contract manufacturing for the first time with Baker Hughes in India. We have signed a multi-year extendable contract to manufacture six new products for Baker Hughes globally. We will be the first ones in India manufacturing these products and the supply will be to the global Baker Hughes locations with a focus on India's oil and gas sector as well. This Make in India project will be primarily executed by India's -- Aether's subsidiary, Aether Specialty Chemicals Limited. It also further strengthens our partnership with Baker Hughes and lays the groundwork for significant future collaborations, all of which have started in a preliminary manner as well.

During this quarter, we showcased at the most significant specialty chemical exhibitions, including Chemspec Europe, Chemicals America in the USA, CPHI in China and all of these gave us great insights into the prospects of the current dynamic business landscapes and helped us position our capabilities globally. We have been witnessing a significant influx of business inquiries in our CRAMS business model. The CRAMS business model has grown quarter-on-quarter. The huge influx of inquiries is on the backdrop of our expanded state-of-the-art infrastructure, cutting edge technology innovations, and core chemistry practices. Also, as the world innovators are resorted to diversify their supply chain in India, the focus of all global innovators is in India. We are very favorably positioned today to harness that potential with our capabilities and offerings. Capex at our Site 3+ and 3++ is underway as per schedule, with ongoing civil work and initiation of procurement of machinery, equipment shortly. The commissioning of Site 3++ is expected by the end of quarter four of fiscal year '25. The phase 1 expansion of the greenfield manufacturing Site 5 at Panoli is progressing well, with phase 1 development ongoing with the civil work and procurement of equipment, machineries with longer lead times. All the statutory and regulatory approvals are in place for the same as well for the Site 5. Phase 1 of Site 5 is expected to be commissioned by the end of fiscal year '26 and expansion of phase 2 is set to begin from quarter four of fiscal year '25 onwards. We have been working relentlessly to leverage the learnings from the upheaval that we faced because of the fire accident in the past year, with continuous improvements and enhancements to implement stringent safety measures, which are also progressively being vouched via numerous audits, led by our various regulatory bodies, as well as our innovators -- innovator customers across the globe. Several of them have audited our HSE practices since then

in this quarter and we have successfully passed all these audits and have reinvigorated our collaborations with these innovators. Our R&D expenses for the quarter one of fiscal year '25, which is the current quarter -- past, stood at INR143 million, i.e., 7.5% of our total revenues was R&D spending. We have successfully expanded and commissioned our pilot plant, which is now set to aid us in enhancing chemical development and scale up of our in-house molecules, as well as further expanding our CRAMS portfolio. Thank you, everybody. Looking forward to the questions and Shubhangi, back to you. Shubhangi Desai: Thank you, Dr. Aman. We shall now request the moderator to open the forum for question and answers. Moderator: Thank you very much. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi Aman, hi team. My question is on – what was the revenue contribution from Otsuka Japan project, which was expected to start in FY '25 from Site 2? I know we are running at 75% utilization, so any contribution coming up from that project? That is question number one. Rohan Desai: Yes. Hi, this is Rohan here. I'll take this question. For the quarter 1 we had zero revenue from Otsuka Chemical. We are renegotiating the pricing because of the Japanese currency is being devalued quite a lot. So we're reworking on the pricing and the business will start onwards from quarter 2 and we are seeing the projections the same as before. So it will be a good number by the end of the year. Priyank Chheda: So a renegotiation of the prices is just particularly for this project or is it for many other projects which you would like to highlight for us? And I believe that this was a 300 metric ton projects for INR1,700 per kilo as a ASP. Anything that you would like to highlight for all the -- any other projects which -- where we are facing such kind of a renegotiation? Rohan Desai: All the contracts which are perennial or five year contract every year the pricing have to be renegotiated based on various parameters which are put in under the contract. So every year the prices are renegotiated based on the current scenarios as the prices are crashing or the -- whenever the prices are going up the prices have to be renegotiated by the customers and us. So it's a general phenomenon. There is no problems at all. Priyank Chheda: Cool. Got it. Coming to the Site 3, if you can allude what is the utilization levels that we are working on right now? We were expecting to inch up the utilization from this plant with the launch of five molecules on the pharma side at the ASP of around INR2,000 per kilo. And anything that you would like to highlight on this project where we have spent around INR200 crores and we were expecting a potential revenue of around INR400 crores with additional launch of new products? Anything that has also changed over here which you would like to highlight for us? Faiz Nagariya: So the capacity utilization at Site 3 currently stands at 49% and the total revenue we have earned is around INR48 crores in the first quarter. Regarding the realizations I think so Rohan will give the details. Rohan Desai: The prices have corrected up to 30%, 35% on this product, so -- on an average. So the realizations are less at the moment, but the pricings have bottomed out already. So in the near quarters or the upcoming quarters we will see the uptrend happening on in terms of the pricing which will help us to increase the revenue share of this site. Priyank Chheda: No, we understand the prices have corrected Rohan. So the point is since long time now we are stuck at utilizations which we would not like to operate at which is suboptimal below 50. Any corrective action plan for us over here to make sure that -- even if the prices were to sustain at this level, what could be the action plan to inch up the utilizations from this plant? Rohan De

sai: We are already trying to resolve this issue by adding new products into this plant and already approvals are ongoing on with several customers on the new products which we are going to launch in this plant. So we can launch the product earlier in this plant. That is the plan as of

today. As soon as we get the approvals we'll launch the products in the existing assets and this will change the revenue model of this plant, that is Site 3. Priyank Chheda: Perfect. Coming to Site 4 anything -- did this Site 4 did contribute anything in terms of revenue in Q1 and if you can again highlight the way you highlighted for Otsuka. There are three projects which are large projects. One is of US oilfield, the second one is Aramco and the third one is Baker Hughes which we would be supplying it from Site 4. So anything changes in terms of expectations with respect to the realizations from these projects which we had thought earlier and the current status on this would be helpful? Rohan Desai: Yes. So Site 4 we have not seen any revenues coming in quarter one, because the SSA took slightly longer time because of the fire accident which happened. So the re-audit happened in the quarter 4 of the financial -- last financial year and then we had to complete the SSA agreement which took some time which was natural because of this accident. What will -- from Q2 the Site 4 will ramp up into production and dispatch and you will see the sales coming on from Site 4 from Q2 onwards and Q3 and Q4 will be on the optimum level. We are seeing top line revenues of INR200 crores, INR250 crores approximately from the Site 4 as of today, which was supposed to be approximately at the optimum level at INR400 crores. Priyank Chheda: So this means that US oilfield project which was USD3, USD4 would have also corrected. Saudi Aramco which was at say USD8 to USD10 would have also corrected when you are guiding for a revised potential revenue of INR250 crores from Site 4 versus earlier potential of INR400 crores. Is that -- what I've got correct? Rohan Desai: The pricing have not been revised in both the companies. Priyank Chheda: No. Sorry. So what I -- what I'm -- what I fail to understand is we had a potential revenue of INR400 crores from all the projects put together. Now we have a additional project of say Baker Hughes. With all this put together you are guiding for a potential revenue of INR250 crores versus the earlier -- yes. Sorry. Rohan Desai: Yes. From Site 4, we are guiding INR250 crores revenue. Priyank Chheda: Got it. So I'm just trying to understand what is the correction on this side? Is it on the realization side or is it on any of the project side or is it on the volume side? Rohan Desai: We already lost. So we were supposed to start in quarter 4 of the last financial year. We are now starting in quarter 2 of this financial year. So we have almost lost six months because of the fire accident which took place and which triggered the QEHS audit at that site also which we have successfully completed. And so we have lost time basically over there. And thereby we have lost the top line also over there because of time. Priyank Chheda: So which project did we lose out? Is it US oilfield? Rohan Desai: We lost two quarters of manufacturing and sales in quarter in Site 4 which is Baker Hughes.

Priyank Chheda: No, I get it. So we have lost the timeline, but we have not lost the projects. So what I'm again trying to correlate is the potential -- total potential revenue remains intact? Rohan Desai: Yes absolutely Priyank. We signed in Q4 of the last financial year, we signed the SSA agreement -- sorry in Q1 of this financial year that is June we signed the SSA agreement which we LODR also. Priyank Chheda: Okay. Perfect. So anyways the potential revenue of -- from this site which is the total potential revenue of say around INR400 crore s remains intact. There is a delay in the execution of the project. Rohan Desai: Yes. Faiz Nagariya: Yes. Priyank Chheda: Okay. Thank you for answering all the questions. Sir, sorry, just if you can -- just some feedback. The new segments which we have started we used to report revenue contributions from these sectors which is pharma, agro being large ones. And so we have stopped reporting those segment revenues. It would be great if we continue -- a certain data points if we have been sharing in the past if we continue over there on those same data points as a good disclosure practice would be great. Thank you. Rohan Desai: Sure. We'll do that. Moderator: Thank you. The next question is from the line of Sachin Jain from Individual Investor. Please go ahead. Sachin Jain: Rohan and Aman, first of all, congratulations for quickly ramping up Unit 2 after the fire incidents. And I see a lot of traction on innovative side and you're working with -- but I fail to understand, if I see last three, four years -- three years' financials, you're not generating operating cash flow, and one of the reason is the level of working capital which is also significantly increasing with the increase in the operation. So how do you see this working capital evolving, say, next couple of years when everything normalized? So how should we -- how should I read working capital in context of a scale up operation, say, 2027? That's my question. Faiz Nagariya: Yes. Faiz here, I will take this question. So Mr. Sachin, we already, as in the earnings call transcript also, as I spoke that our inventory levels were high on the 31st March, which we already reduced to 160 days. Even the debtor cycle is constant at 140 days. And the new projects coming up in contract manufacturing with the Baker Hughes is already announced and the ramping up is starting in this quarter. And more contract manufacturing are expected to start, and we see that debtor cycles also go down. So by '27, you can always expect the positive cash flows and working capital cycles being narrowed down more and more. Sachin Jain: Okay. [inaudible 0:26:10] days -- 140 days are going to be the normalized debtor days or you see meaningful reduction on that side?

Faiz Nagariya: Yes. Debtor side, we see a reduction by which we should come around 120 days by end of financial year '25, and by '26 we should be coming up. So 100, 110 would be normal in this current scenario of chemical industry. Going forward. Sachin Jain: Okay. And second, this 81%, you have to bring down to 75%. What are the timelines? Is it May '26? Faiz Nagariya: May '25. Sachin Jain: May '25? Okay. That's all from my side. Thank you. Moderator: Thank you. Our next question is from Priyank Chheda from Vallum Capital. Please go ahead, sir. Priyank Chheda: Yes. Hi, sorry. Thanks for the opportunity again. The SSA agreement that we have signed with Baker Hughes, if you can highlight what is the kind of capacity, volumes and the realizations from this agreement? Rohan Desai: Aman, would you like to take it up? Aman Desai: Yes, I can take this. Hopefully, I'm audible. With the -- I'm audible, right? Priyank Chheda: Yes. Clear. Aman Desai: Yes. So with the SSA that we have signed, it's on six products. And in terms of the volumes of the SSA, they are range -- that has been put in the SSA is between 15,000 tons to 19,500 tons over the six products potential annual basis. And the price points range from between $2.5 to about $5 to $6 a kilo. And so, the realization off of that, by simple calculations, is tremendous. Now these are potential volumes over the years, but these have been put down in black and white in the SSA, and the goal is to reach these volumes within a reasonable, short period of time. And these products will be made by Aether for the first time in India. These are all advanced products; in many cases, finished goods of Baker Hughes, which we will sell on their beh

alf to their global locations, including to several Indian locations. And Baker Hughes is one of the top three oilfield services companies globally and their operations extend from the US, Canada, Middle East, Africa -- a lot in Africa, Southeast Asia, India. And so it's going to be very promising and they're the initial products. And over the last few months, since the SSA has been signed, we have been already discussing several new products and several new exciting opportunities. This places us in a position to be a strategic contract manufacturing partner for Baker Hughes, their first one in fact. And so, we are in the driver's seat in terms of all the new product discussions that happen. So it should be very interesting. Hopefully, that answers your question. Priyank Chheda: Yes, it does. And does it have any product overlap with the first US oilfield products, the four strategic products for contract manufacturing of 16,000 metric ton that we had signed? Does it have a similarity or any synergies between these two products?

Aman Desai: That was the letter of intent for signing this SSA. This SSA -- this strategic supply agreement is the actual contract -- actual strategic supply agreement. The first one that we had signed was the letter of intent. In that letter of intent, we had not disclosed the name of Baker Hughes, because we were not give permission, but in the SSA, we have been. Priyank Chheda: Okay. So this is the same US oilfield company, which is now Baker Hughes, which you have disclosed after the -- after entering into a SSA. Aman Desai: Yes. Correct. Priyank Chheda: Got it. Perfect. Now on Site 3+ and 3++, where we are undergoing a capex, given the agro intermediate and the agrochemical prices where they are today, do we need to change our thought process around spending INR200 crores over there? Would it really change the ROI that we would have thought of making these two molecules, plus one another material science molecules on this site? Anything that changes for us on the capex front -- on the capex side of INR200 crores and the expected sales of INR400 crores from this site? Rohan Desai: I will take it up, Priyank. There is no change. The plan is the same, three and -- three, plus one product, which we are going to launch over there. So in spite of it falling into agro and material science segments of chemical industry, we are still confident that this product, which we will be manufacturing for the first time in India as compared -- and in competition with the companies in -- located in China and Japan, we think that we will have a good edge and good margins over there and we firmly believe that we are going to crack this product and make it successful. Priyank Chheda: Perfect. And the follow-on question is on the project Saudi Aramco, which is polyol platform. For FY '25, we were targeting around 500 metric ton, and this 500 metric ton going towards 2,000 metric ton eventually in two years. Now anything that changes on this side with respect to whatever we have lost in terms of the production days, if you highlight on this? And also, if you can touch upon the realizations, which is $8 to $10 remains same or does it -- or are there any renegotiations that have happened on this side? Rohan Desai: As you are migrating from a traditional polyol to a sustainable polyol, this migration is taking time with 80 - 100 companies where the samples have been signed and the qualification contents have been sent. So that's the only problem as of today, Priyank, on this side of the business, is that the qualifications are not happening as per our expected timelines and they are going back by two quarters or three quarters for each companies. Now each of these companies are big, multinational companies operating, like H.B. Fuller. And so, they are taking their own time to qualify. And this also requires lot of testings at their end, because the product is

going to the consumer market, which should not have any problems at their end. So we are -- this year, we will see 200 tons, 300 tons of uptick. And now, on the next year, we are saying that we'll breach the 500 metric tons mark. Priyank Chheda: And on a very larger...



Moderator: Sorry to interrupt, Mr. Chheda, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn? So our next question is from Krishan Parwani from JM Financial. Please go ahead. Krishan Parwani: Yes. Hi sir, congrats on a good set of numbers. Just couple of clarifications from my side. Firstly, on Site 4, I think you mentioned INR200 crores to INR250 crores additional revenue in '25. And in F '26, it could probably go to INR400 crores odd. Is that correct? Rohan Desai: Yes. Krishan Parwani: Okay. And on the -- secondly, I think on -- in Site 3++, you have certain, I think, agrochemicals and electrolyte additives. Is there any other product that we are missing or -- could you clarify on that? Rohan Desai: We have agrochemicals and material science products. Krishan Parwani: Okay. And the electrolyte additives is in Site 3++ or is it somewhere else? Rohan Desai: In Site 2 only. Krishan Parwani: In Site 2? Okay. Rohan Desai: Yes. Krishan Parwani: So the peak revenue potential from 3++ is, again, I think you mentioned INR400 crores, correct? Rohan Desai: INR350 crores. Krishan Parwani: INR350 crores? Noted. So that is actually coming on stream in FY '25 beside 3++ and all the work is in progress, correct? Rohan Desai: Yes. Krishan Parwani: Got it. And finally, the -- with all the capex that we have planned, so I think what would your capex, like, run rate in '25 and '26? Would it be around INR300 crores? Faiz Nagariya: Yes, it should be around INR300 crores to INR350 crores in both the years. Krishan Parwani: In both the years? Noted. And I think you also mentioned about working capital cycle. So what's our target for '25 and '26? Is it like 200 days? Faiz Nagariya: So '25 -- yes, we should be reaching around 200 days the end of '26 so that we can ramp up and make it more better by '27. Krishan Parwani: Perfect. So '27, probably you could come down to more like 4.5 months, 5 months. Is that correct? Faiz Nagariya: Yes, correct.



Krishan Parwani: Understood. No, this is very helpful, sir. I wish you all the best for the future quarters. Thank you. Rohan Desai: Thank you. Moderator: Our next question is from the line of Atishray Malhan. Please go ahead. Atishray Malhan: Hi, good… Moderator: Atishray has dropped from the queue. Our next question is from Krishan Parwani. Please go ahead. Krishan Parwani: Yes. Hi sir, sorry, just a follow-up, I missed out. So, in terms of the margin trajectory, we have seen a great improvement and PAT to 24%. So you think with the higher utilization, the margin trajectory should come back to, let's say, 29% kind of a level by FY '26, or is that achievable in '25? Faiz Nagariya: So, we see that by '26, we should be able to come back to 29%, 30% levels, for sure. Krishan Parwani: Understood. And in terms of quarterly run rate, that INR180 crores, I think Rohan sir mentioned that the prices have bottomed out. So is that fair to say -- apart from, let's say, this Baker Hughes, our base portfolio should also grow on a quarterly basis over the next couple of quarters. Is that correct? Rohan Desai: Yes. Krishan Parwani: Understood. So is it like a INR190 crores or a INR200 crores run rate seems fair on a quarterly basis? Rohan Desai: Yes. Krishan Parwani: Apart from the Baker Hughes. Rohan Desai: Yes. Krishan Parwani: Understood. Yes. No, this is very helpful. Thank you, and all the best. Rohan Desai: Thank you. Moderator: The next question is from the line of Atishray Malhan, Fortress Group. Please go ahead. Atishray Malhan: Yes. Hi, am I a

udible? Rohan Desai: Yes. Atishray Malhan: Yes. Hi, sorry about that earlier. Good evening to the team. Just a quick clarification from my end. From this Site 4, are you manufacturing anything else except for the Baker Hughes products?



Rohan Desai: No. Atishray Malhan: So that's just Baker Hughes, right? So, then I think you mentioned INR250 crores top line from Site 4 in FY '25. So that's essentially the four products from Baker Hughes, right? Rohan Desai: Six products. Atishray Malhan: Sorry? Six? Six products? Okay. Rohan Desai: Six products. Atishray Malhan: Six products, okay. And can you maybe provide an update on the Novoloop contract? When do you expect that to be commercialized by? Rohan Desai: Aman? Aman Desai: Yes. I'll take this. We are currently doing the pilot plant validation of the Novoloop technology, and that is successfully completed in terms of the first few phases. And now, we are going to do the extended integrated pilot plant validation of the Novoloop technology and that's under discussion right now. And then the -- if it all works out, if it all goes forward, we'll be looking at commercializing and doing the first demo plant in the range of 2026. And as a initial market development demo plant, it could be a 3,000 KTA -- 3,000 tons per year. And then looking at '28, '29 as a full scale commercialization, if all things go forward. Atishray Malhan: Okay. That's calendar year 2026, right? Aman Desai: Correct. Yes. Atishray Malhan: Okay. Fair enough. Thank you. And that's all from my end. Aman Desai: That's the current estimated timeline. Atishray Malhan: Okay. Fair enough. Thank you, and good luck for the forthcoming quarters. Aman Desai: Yes. Thanks a lot. Moderator: Thank you. The next question is from Priyank Chheda from Vallum Capital. Please go ahead. Priyank Chheda: Sir, what was the realization per kilo overall for Q1 and Q4, previous quarter? Rohan Desai: Yes. The Q1, the average realization is 1,307, which was 1,303 last quarter. Priyank Chheda: Okay. And Aman did mention about Novoloop project, which is right now from -- which is at the pilot scale right now. So, I guess, we are manufacturing it from Site 1, right? And if it has to commercialize at 3,000 tons, what can be the realization per kilo that we should think of in case this has to go to a commercial scale?



Rohan Desai: Aman? Aman Desai: Can you repeat the last part of the question? If it goes to commercialization -- what is the question? Priyank Chheda: So once if this product goes on a commercial scale of 3,000 tons, what can be the realization per kilo that we should think of? Aman Desai: It depends in terms of what kind of polyols and what kind of monomers we make it from it. But you could look at, say, a mid-single dollar digit value per kilo. So we're talking about $3 to $6 to $7 per kilo kind of a range. Because we're going into the polyols industry again, and that would be in the CASE industry, which is the coatings, additives, sealants, and elastomers. And so, that's what the kind of realization we'd be looking at. Again, this is the estimation. Priyank Chheda: And just on the overall -- the CRAMS business and our strategy to break this molecule from the kilo lab scale to a large scale manufacturing, we haven't heard much in last 6 months which were the products among the R&D lab, which has migrated to a large scale manufacturing or exclusive manufacturing. Anything that we are looking very soon to be announced from this migration strategy that we have? Aman Desai: Yes. That strategy is still alive. The strategy is still the core focus of all the activities that we do in CRAMS. So we do not do any single discovery research work. All our research work is based on process research and taking molecules to commercialization. And several of these die out in the way, of course, because that's a big learning

curve for the innovators. But when you work with innovators, which are global, top, leading innovators in the respective fields, HSE addition and HSE focus is a tremendous one and top priority for all these innovator customers. And so, as you can imagine, the accident had put a pause on numerous activities, numerous discussions that were going on at very advanced stages with all these innovators. And they all put up on it, they all give us time, they all come back and audit, which has happened in many innovators' cases already and which we have successfully passed already. And so, basically, everything on these terms was put on pause for almost 2 quarters, 6 months now, which are the 2 quarters we are looking at. And that's why there's basically no activity there. But now, we had two major audits last month itself. We have three major audits coming up now in the next few weeks. And we are looking at re-initiating and reengaging across all countries, and all of those discussions are happening in very positive manner and in positive way only. And we should be looking at re-initiating a lot of discussions now in this quarter and the next quarter and, I believe, good things to come, which is the focus of the consensus. And if you see the consensus and what we have announced this quarter as compared to last quarter or the last 2 quarters or the last 3 quarters, it has grown quarter-on-quarter for this quarter. And so, that's a very promising sign. And that should continue to grow.



Priyank Chheda: No, perfect. So should we expect Site 3, say, in H2 of FY'25 should reach around 65%, 70% kind of utilization, which was our earlier expectations, too, and FY'24 at 65%? While whatever the delay that has happened because of the fire, should we expect Site 3, with all the new product launches, trials, audits, Site 3, what should be the utilization that we should look forward in H2 of FY'25? Aman Desai: Rohan? Rohan Desai: 65%. Priyank Chheda: So H2 should be 65%? Rohan Desai: Yes. Priyank Chheda: Got it. Thank you. Moderator: Thank you. Our next question is from Nitin Aggarwal. Please go ahead. Nitin Aggarwal: Hi sir, thanks for taking the question. Aman, on the, just taking off from the point that you made last time that you're expecting some more valid -- customer validations and audits to quantify going forward. So having largely in the newer vertical that you've mentioned or they are spread across -- they still you're still having conversations in pharma, agrochem verticals also? Aman Desai: These are basically -- I don't know if I heard your question right, but these are across the industry sectors and not in the oil and gas, renewables, sustainability, but also in the pharma and agro. Typically, we don't do very much CRAMS research in pharma. So primarily agro, material sciences, and oil and gas. And we -- these engagements are happening across the board across the sector, and they're all moving positively forward. Nitin Aggarwal: And in the kind of conversation that you've been having, size of potential contracts that you're looking to sign, are they increasing in scope [inaudible 47:07] kind of conversation you're getting off late? Aman Desai: I didn't get the last part of your question. You're cutting off. Nitin Aggarwal: I mean, in the sense of the quantum of the size and quantum of the some of the potential transactions that you're discussing with the various partners, are we looking at much larger size contracts versus what you've done in the past, both from a complexity perspective as well as the size of the contract perspective? Aman Desai: Both, yes, because that's the aim of having these partnerships with partners, basically test the other smaller projects -- a smaller value for the smaller complexity projects. And then as the partnership develops and blooms, they trust you with more and more of the complex things and the high-value things, which is what we a

re currently doing. And so, yes, the size and the scope and the value should be increased progressively. And that's what, hopefully, we'll be showcasing to our shareholders in the quarters to come.



Nitin Aggarwal: And if we take a last one, on the -- if I assume the most of your conversations around some of these transactions will be happening around when the projects are in the pilot stages. So is there a sense for us to for instance, which you can share in terms of how many products that you're working on currently are in late stage of this pilot phase scale up? Aman Desai: That's a number we'll have to go and compute and we'll have to get back to you on that. But typically, we don't share that information, because it's -- the number doesn't matter, but it's all confidential information with customers and so, but we can compute and there are multiple -- so at any give time, we have I think, 20, 25 -- overall, 50 on a very high level, overall, 50 projects going on in R&D. Typically, half of them are in-house and half of them are external, customer-driven, and you're looking about 24, 25 customer-driven projects. And at any given time, more than half of these projects are towards late stage, final validations and final supply campaigns and tox batches, and market development quantities towards launch. Nitin Aggarwal: Got it. Thank you so much. Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments. Shubhangi Desai: Thank you, everyone, for participating in the call. We hope that we have addressed majority of your questions. If you still have any further questions, please feel free to reach out to us. Thank you. Moderator: On behalf of HDFC Securities, that concludes the conference. Thank you for joining us, you may now disconnect your lines.

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Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. July 24, 2024 Ref. No.: AIL/SE/31/2024-25 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Friday, July 19, 2024, on the financial performance of the Company for the First Quarter ended on June 30, 2024, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

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"Aether Industries Limited Post Results Conference Call" July 19, 2024 MANAGEMENT: DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Aether Industries Post Results Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge. Thank you, and over to you, sir. Nilesh Ghuge: Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended June 2024. From Aether Industries, we have with us today Dr. Aman Desai, Promoter and Whole Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; and Ms. Shubhangi Desai, Executive, IR. Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the Earnings Call for Q1 FY '25. Over to you, Shubhangi. Shubhangi Desai: Thank you, a warm welcome to everyone. Today, on July 19, 2024, our Board has approved the financial results for the first quarter of the fiscal year 2025 and the same has been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded and the transcript of the same... Moderator: Sorry to interrupt, ma'am, your audio is not clear. Can you please speak up a little bit? Shubhangi Desai: Okay. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise. Now Mr. Rohan Desai will begin by sharing Aether's business outlook. Then Mr. Faiz Nagariya will cover the financial highlights for the period under review, and Dr. Aman Desai will share the ongoing expansions and strategy of the company going forward. Now I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, sir. Rohan Desai: Good evening, everyone. I hope everybody is doing well, and I'm glad to connect with you all to discuss the performance of our company for quarter one. During the quarter under review, we witnessed growth in overall volumes, but the prices have been impacted due to China's dumping.
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We feel the prices have already bottomed out and we are optimistic for an upswing in the business scenario with numerous inquiries pouring in, in all the three business models of Aether. The accident affected Site 2 is being revamped and is expected to be up and running 100% by August 2024 in a highly compliant and safe manner. Our greenfield capex expansion are on track. Site 4 will see a ramp up in production from Q2 of FY '24-'25 onwards with a strategic supply agreement for six products that we will manufacture for Baker Hughes. Out of the total 15 megawatt solar power plant order, initial commissi

oning of 5 megawatt solar power plant was successfully completed in quarter one, which is set to improve the bottom line of the company. The remaining 10 megawatts power plant will be commissioned in quarter two. This is a major investment which will be crucial in saving of electricity costs and further aids in improving operating margins of the company. With respect to Aether's business model, we have seen 66% contribution of the total top line coming from large scale manufacturing, 18% coming from contract/exclusive manufacturing, and 14% coming from contract research and manufacturing services business model during the quarter one. We have witnessed volume growth in all the three business models. Contract plus exclusive manufacturing is set to show a good growth from quarter two onwards, where the commercial orders towards the SSA signed with Baker Hughes will start to be manufactured and to be dispatched. Our export revenues stood at 42% of the total revenue and domestic sales stood at 58%. Today we are excited to announce that we are introducing a new business segment focused on sustainability and renewables. Aether Industries is likely the first company in the chemical industry, especially in

India to launch such a segment. This segment includes a notable initiative and partnerships. Number one, Converge polyols, the product which has up to 40% carbon dioxide by weight. This is a joint development and scale up of novel technologies for manufacture of sustainable polyol with Saudi Aramco Technologies. First commercialization and product launch has been done with H.B. Fuller and many more are in the pipeline. Technology to transform post-consumer plastic waste to high-quality virgin monomer and polymers, an active collaboration with Novoloop for pilot validations and commercialization of this technology is on the path. Our contribution towards sustainable and greener transportation, the first-time manufacturer in all in India for organic electrolyte additives backed with supply agreement with a major global lithium-ion battery producer. This is very exciting segment for us. We are working on numerous projects in this overall platform and anticipate several positive developments in the near future. Furthermore, as we need to meet the minimum shareholding pattern, we have taken an enabling resolution to raise funds, which we will propose to our shareholders in the upcoming AGM. This will further aid us for the expansion of our visionary greenfield manufacturing Site 5 and also for expansion of our R&D and pilot plant facilities.



With this, I would conclude speaking and I would request our CFO, Faiz Nagariya to touch upon the financial highlights for the period under review. Over to you, Faiz. Faiz Nagariya: Thank you Rohan and good evening, everybody. I'm glad to present the financial results of Aether Industries Limited for Q1 of financial year '25. I'll touch base upon the consolidated numbers. The total consolidated revenue of the company stood at INR1,920 million in the quarter one of financial year '25 as against INR1,291 million in quarter four of financial year '24, resulting in EBITDA of INR521 million in Q1 of financial year '25 as against INR144 million in quarter four of financial year '24, a significant increase in the comparing periods. EBITDA margin stood at 27% in Q1 of FY '25 as against 11% in Q4 of FY '24. The PAT amounted to INR299 million in Q1 of financial year '25 as against a loss of INR14 million in Q4 of financial year '24. The PAT margin stood at 16% in Q1 of financial year '25 as against loss in quarter four of financial year '25. During the quarter, we have received INR210 million from the insurance company as an on-account payment towards the insurance claim that we have submitted of total INR1,000 million. This on-account payment also envisages that the insurance company has admitted our claim. The revamping of the affected site i

s progressing as per the plan with certain delays from our regulators. Still, we anticipate 100% operations at the fire-affected site by end of September '24. Though the debtor cycle is at around 140 days, our inventory days have reduced to 160 days by end of quarter one of financial year '25, which had increased to 210 days as on the 31st March, 2024. With the commercialization of the SSA with Baker Hughes, we anticipate to have the better debtor cycle in future. Now I would request Dr. Aman Desai to share updates on Aether's ongoing expansion plans and strategies going forward. Aman Desai: Thank you, Faiz, for the financial highlights. Good evening, everybody. I'm pleased to connect with you all again. To begin with, we have been working diligently in augmenting our capabilities with our ongoing capex, integrated with the incremental additions in chemical reaction capabilities, beginning from R&D all the way to commercial scale, which is aiding us in enabling and developing innovative technologies. With our efforts to broaden our range of end use industry applications, we have successfully proved our mettle by entering again into the oilfield services area of the oil and gas sector with the execution of the strategic partnership in contract manufacturing for the first time with Baker Hughes in India. We have signed a multi-year extendable contract to manufacture six new products for Baker Hughes globally. We will be the first ones in India manufacturing these products and the supply will be to the global Baker Hughes locations with a focus on India's oil and gas sector as well. This Make in India project will be primarily executed by India's -- Aether's subsidiary, Aether Specialty Chemicals Limited. It also further strengthens our partnership with Baker Hughes and lays the groundwork for significant future collaborations, all of which have started in a preliminary manner as well.



During this quarter, we showcased at the most significant specialty chemical exhibitions, including Chemspec Europe, Chemicals America in the USA, CPHI in China and all of these gave us great insights into the prospects of the current dynamic business landscapes and helped us position our capabilities globally. We have been witnessing a significant influx of business inquiries in our CRAMS business model. The CRAMS business model has grown quarter-on-quarter. The huge influx of inquiries is on the backdrop of our expanded state-of-the-art infrastructure, cutting edge technology innovations, and core chemistry practices. Also, as the world innovators are resorted to diversify their supply chain in India, the focus of all global innovators is in India. We are very favorably positioned today to harness that potential with our capabilities and offerings. Capex at our Site 3+ and 3++ is underway as per schedule, with ongoing civil work and initiation of procurement of machinery, equipment shortly. The commissioning of Site 3++ is expected by the end of quarter four of fiscal year '25. The phase 1 expansion of the greenfield manufacturing Site 5 at Panoli is progressing well, with phase 1 development ongoing with the civil work and procurement of equipment, machineries with longer lead times. All the statutory and regulatory approvals are in place for the same as well for the Site 5. Phase 1 of Site 5 is expected to be commissioned by the end of fiscal year '26 and expansion of phase 2 is set to begin from quarter four of fiscal year '25 onwards. We have been working relentlessly to leverage the learnings from the upheaval that we faced because of the fire accident in the past year, with continuous improvements and enhancements to implement stringent safety measures, which are also progressively being vouched via numerous audits, led by our various regulatory bodies, as well as our innovators -- innovator customers across the globe. Several of them have audited our HSE practices since then

in this quarter and we have successfully passed all these audits and have reinvigorated our collaborations with these innovators. Our R&D expenses for the quarter one of fiscal year '25, which is the current quarter -- past, stood at INR143 million, i.e., 7.5% of our total revenues was R&D spending. We have successfully expanded and commissioned our pilot plant, which is now set to aid us in enhancing chemical development and scale up of our in-house molecules, as well as further expanding our CRAMS portfolio. Thank you, everybody. Looking forward to the questions and Shubhangi, back to you. Shubhangi Desai: Thank you, Dr. Aman. We shall now request the moderator to open the forum for question and answers. Moderator: Thank you very much. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi Aman, hi team. My question is on – what was the revenue contribution from Otsuka Japan project, which was expected to start in FY '25 from Site 2? I know we are running at 75% utilization, so any contribution coming up from that project? That is question number one. Rohan Desai: Yes. Hi, this is Rohan here. I'll take this question. For the quarter 1 we had zero revenue from Otsuka Chemical. We are renegotiating the pricing because of the Japanese currency is being devalued quite a lot. So we're reworking on the pricing and the business will start onwards from quarter 2 and we are seeing the projections the same as before. So it will be a good number by the end of the year. Priyank Chheda: So a renegotiation of the prices is just particularly for this project or is it for many other projects which you would like to highlight for us? And I believe that this was a 300 metric ton projects for INR1,700 per kilo as a ASP. Anything that you would like to highlight for all the -- any other projects which -- where we are facing such kind of a renegotiation? Rohan Desai: All the contracts which are perennial or five year contract every year the pricing have to be renegotiated based on various parameters which are put in under the contract. So every year the prices are renegotiated based on the current scenarios as the prices are crashing or the -- whenever the prices are going up the prices have to be renegotiated by the customers and us. So it's a general phenomenon. There is no problems at all. Priyank Chheda: Cool. Got it. Coming to the Site 3, if you can allude what is the utilization levels that we are working on right now? We were expecting to inch up the utilization from this plant with the launch of five molecules on the pharma side at the ASP of around INR2,000 per kilo. And anything that you would like to highlight on this project where we have spent around INR200 crores and we were expecting a potential revenue of around INR400 crores with additional launch of new products? Anything that has also changed over here which you would like to highlight for us? Faiz Nagariya: So the capacity utilization at Site 3 currently stands at 49% and the total revenue we have earned is around INR48 crores in the first quarter. Regarding the realizations I think so Rohan will give the details. Rohan Desai: The prices have corrected up to 30%, 35% on this product, so -- on an average. So the realizations are less at the moment, but the pricings have bottomed out already. So in the near quarters or the upcoming quarters we will see the uptrend happening on in terms of the pricing which will help us to increase the revenue share of this site. Priyank Chheda: No, we understand the prices have corrected Rohan. So the point is since long time now we are stuck at utilizations which we would not like to operate at which is suboptimal below 50. Any corrective action plan for us over here to make sure that -- even if the prices were to sustain at this level, what could be the action plan to inch up the utilizations from this plant? Rohan De

sai: We are already trying to resolve this issue by adding new products into this plant and already approvals are ongoing on with several customers on the new products which we are going to launch in this plant. So we can launch the product earlier in this plant. That is the plan as of

today. As soon as we get the approvals we'll launch the products in the existing assets and this will change the revenue model of this plant, that is Site 3. Priyank Chheda: Perfect. Coming to Site 4 anything -- did this Site 4 did contribute anything in terms of revenue in Q1 and if you can again highlight the way you highlighted for Otsuka. There are three projects which are large projects. One is of US oilfield, the second one is Aramco and the third one is Baker Hughes which we would be supplying it from Site 4. So anything changes in terms of expectations with respect to the realizations from these projects which we had thought earlier and the current status on this would be helpful? Rohan Desai: Yes. So Site 4 we have not seen any revenues coming in quarter one, because the SSA took slightly longer time because of the fire accident which happened. So the re-audit happened in the quarter 4 of the financial -- last financial year and then we had to complete the SSA agreement which took some time which was natural because of this accident. What will -- from Q2 the Site 4 will ramp up into production and dispatch and you will see the sales coming on from Site 4 from Q2 onwards and Q3 and Q4 will be on the optimum level. We are seeing top line revenues of INR200 crores, INR250 crores approximately from the Site 4 as of today, which was supposed to be approximately at the optimum level at INR400 crores. Priyank Chheda: So this means that US oilfield project which was USD3, USD4 would have also corrected. Saudi Aramco which was at say USD8 to USD10 would have also corrected when you are guiding for a revised potential revenue of INR250 crores from Site 4 versus earlier potential of INR400 crores. Is that -- what I've got correct? Rohan Desai: The pricing have not been revised in both the companies. Priyank Chheda: No. Sorry. So what I -- what I'm -- what I fail to understand is we had a potential revenue of INR400 crores from all the projects put together. Now we have a additional project of say Baker Hughes. With all this put together you are guiding for a potential revenue of INR250 crores versus the earlier -- yes. Sorry. Rohan Desai: Yes. From Site 4, we are guiding INR250 crores revenue. Priyank Chheda: Got it. So I'm just trying to understand what is the correction on this side? Is it on the realization side or is it on any of the project side or is it on the volume side? Rohan Desai: We already lost. So we were supposed to start in quarter 4 of the last financial year. We are now starting in quarter 2 of this financial year. So we have almost lost six months because of the fire accident which took place and which triggered the QEHS audit at that site also which we have successfully completed. And so we have lost time basically over there. And thereby we have lost the top line also over there because of time. Priyank Chheda: So which project did we lose out? Is it US oilfield? Rohan Desai: We lost two quarters of manufacturing and sales in quarter in Site 4 which is Baker Hughes.

Priyank Chheda: No, I get it. So we have lost the timeline, but we have not lost the projects. So what I'm again trying to correlate is the potential -- total potential revenue remains intact? Rohan Desai: Yes absolutely Priyank. We signed in Q4 of the last financial year, we signed the SSA agreement -- sorry in Q1 of this financial year that is June we signed the SSA agreement which we LODR also. Priyank Chheda: Okay. Perfect. So anyways the potential revenue of -- from this site which is the total potential revenue of say around INR400 crore s remains intact. There is a delay in the execution of the project. Rohan Desai: Yes. Faiz Nagariya: Yes. Priyank Chheda: Okay. Thank you for answering all the questions. Sir, sorry, just if you can -- just some feedback. The new segments which we have started we used to report revenue contributions from these sectors which is pharma, agro being large ones. And so we have stopped reporting those segment revenues. It would be great if we continue -- a certain data points if we have been sharing in the past if we continue over there on those same data points as a good disclosure practice would be great. Thank you. Rohan Desai: Sure. We'll do that. Moderator: Thank you. The next question is from the line of Sachin Jain from Individual Investor. Please go ahead. Sachin Jain: Rohan and Aman, first of all, congratulations for quickly ramping up Unit 2 after the fire incidents. And I see a lot of traction on innovative side and you're working with -- but I fail to understand, if I see last three, four years -- three years' financials, you're not generating operating cash flow, and one of the reason is the level of working capital which is also significantly increasing with the increase in the operation. So how do you see this working capital evolving, say, next couple of years when everything normalized? So how should we -- how should I read working capital in context of a scale up operation, say, 2027? That's my question. Faiz Nagariya: Yes. Faiz here, I will take this question. So Mr. Sachin, we already, as in the earnings call transcript also, as I spoke that our inventory levels were high on the 31st March, which we already reduced to 160 days. Even the debtor cycle is constant at 140 days. And the new projects coming up in contract manufacturing with the Baker Hughes is already announced and the ramping up is starting in this quarter. And more contract manufacturing are expected to start, and we see that debtor cycles also go down. So by '27, you can always expect the positive cash flows and working capital cycles being narrowed down more and more. Sachin Jain: Okay. [inaudible 0:26:10] days -- 140 days are going to be the normalized debtor days or you see meaningful reduction on that side?



Faiz Nagariya: Yes. Debtor side, we see a reduction by which we should come around 120 days by end of financial year '25, and by '26 we should be coming up. So 100, 110 would be normal in this current scenario of chemical industry. Going forward. Sachin Jain: Okay. And second, this 81%, you have to bring down to 75%. What are the timelines? Is it May '26? Faiz Nagariya: May '25. Sachin Jain: May '25? Okay. That's all from my side. Thank you. Moderator: Thank you. Our next question is from Priyank Chheda from Vallum Capital. Please go ahead, sir. Priyank Chheda: Yes. Hi, sorry. Thanks for the opportunity again. The SSA agreement that we have signed with Baker Hughes, if you can highlight what is the kind of capacity, volumes and the realizations from this agreement? Rohan Desai: Aman, would you like to take it up? Aman Desai: Yes, I can take this. Hopefully, I'm audible. With the -- I'm audible, right? Priyank Chheda: Yes. Clear. Aman Desai: Yes. So with the SSA that we have signed, it's on six products. And in terms of the volumes of the SSA, they are range -- that has been put in the SSA is between 15,000 tons to 19,500 tons over the six products potential annual basis. And the price points range from between $2.5 to about $5 to $6 a kilo. And so, the realization off of that, by simple calculations, is tremendous. Now these are potential volumes over the years, but these have been put down in black and white in the SSA, and the goal is to reach these volumes within a reasonable, short period of time. And these products will be made by Aether for the first time in India. These are all advanced products; in many cases, finished goods of Baker Hughes, which we will sell on their beh

alf to their global locations, including to several Indian locations. And Baker Hughes is one of the top three oilfield services companies globally and their operations extend from the US, Canada, Middle East, Africa -- a lot in Africa, Southeast Asia, India. And so it's going to be very promising and they're the initial products. And over the last few months, since the SSA has been signed, we have been already discussing several new products and several new exciting opportunities. This places us in a position to be a strategic contract manufacturing partner for Baker Hughes, their first one in fact. And so, we are in the driver's seat in terms of all the new product discussions that happen. So it should be very interesting. Hopefully, that answers your question. Priyank Chheda: Yes, it does. And does it have any product overlap with the first US oilfield products, the four strategic products for contract manufacturing of 16,000 metric ton that we had signed? Does it have a similarity or any synergies between these two products?



Aman Desai: That was the letter of intent for signing this SSA. This SSA -- this strategic supply agreement is the actual contract -- actual strategic supply agreement. The first one that we had signed was the letter of intent. In that letter of intent, we had not disclosed the name of Baker Hughes, because we were not give permission, but in the SSA, we have been. Priyank Chheda: Okay. So this is the same US oilfield company, which is now Baker Hughes, which you have disclosed after the -- after entering into a SSA. Aman Desai: Yes. Correct. Priyank Chheda: Got it. Perfect. Now on Site 3+ and 3++, where we are undergoing a capex, given the agro intermediate and the agrochemical prices where they are today, do we need to change our thought process around spending INR200 crores over there? Would it really change the ROI that we would have thought of making these two molecules, plus one another material science molecules on this site? Anything that changes for us on the capex front -- on the capex side of INR200 crores and the expected sales of INR400 crores from this site? Rohan Desai: I will take it up, Priyank. There is no change. The plan is the same, three and -- three, plus one product, which we are going to launch over there. So in spite of it falling into agro and material science segments of chemical industry, we are still confident that this product, which we will be manufacturing for the first time in India as compared -- and in competition with the companies in -- located in China and Japan, we think that we will have a good edge and good margins over there and we firmly believe that we are going to crack this product and make it successful. Priyank Chheda: Perfect. And the follow-on question is on the project Saudi Aramco, which is polyol platform. For FY '25, we were targeting around 500 metric ton, and this 500 metric ton going towards 2,000 metric ton eventually in two years. Now anything that changes on this side with respect to whatever we have lost in terms of the production days, if you highlight on this? And also, if you can touch upon the realizations, which is $8 to $10 remains same or does it -- or are there any renegotiations that have happened on this side? Rohan Desai: As you are migrating from a traditional polyol to a sustainable polyol, this migration is taking time with 80 - 100 companies where the samples have been signed and the qualification contents have been sent. So that's the only problem as of today, Priyank, on this side of the business, is that the qualifications are not happening as per our expected timelines and they are going back by two quarters or three quarters for each companies. Now each of these companies are big, multinational companies operating, like H.B. Fuller. And so, they are taking their own time to qualify. And this also requires lot of testings at their end, because the product is

going to the consumer market, which should not have any problems at their end. So we are -- this year, we will see 200 tons, 300 tons of uptick. And now, on the next year, we are saying that we'll breach the 500 metric tons mark. Priyank Chheda: And on a very larger...



Moderator: Sorry to interrupt, Mr. Chheda, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn? So our next question is from Krishan Parwani from JM Financial. Please go ahead. Krishan Parwani: Yes. Hi sir, congrats on a good set of numbers. Just couple of clarifications from my side. Firstly, on Site 4, I think you mentioned INR200 crores to INR250 crores additional revenue in '25. And in F '26, it could probably go to INR400 crores odd. Is that correct? Rohan Desai: Yes. Krishan Parwani: Okay. And on the -- secondly, I think on -- in Site 3++, you have certain, I think, agrochemicals and electrolyte additives. Is there any other product that we are missing or -- could you clarify on that? Rohan Desai: We have agrochemicals and material science products. Krishan Parwani: Okay. And the electrolyte additives is in Site 3++ or is it somewhere else? Rohan Desai: In Site 2 only. Krishan Parwani: In Site 2? Okay. Rohan Desai: Yes. Krishan Parwani: So the peak revenue potential from 3++ is, again, I think you mentioned INR400 crores, correct? Rohan Desai: INR350 crores. Krishan Parwani: INR350 crores? Noted. So that is actually coming on stream in FY '25 beside 3++ and all the work is in progress, correct? Rohan Desai: Yes. Krishan Parwani: Got it. And finally, the -- with all the capex that we have planned, so I think what would your capex, like, run rate in '25 and '26? Would it be around INR300 crores? Faiz Nagariya: Yes, it should be around INR300 crores to INR350 crores in both the years. Krishan Parwani: In both the years? Noted. And I think you also mentioned about working capital cycle. So what's our target for '25 and '26? Is it like 200 days? Faiz Nagariya: So '25 -- yes, we should be reaching around 200 days the end of '26 so that we can ramp up and make it more better by '27. Krishan Parwani: Perfect. So '27, probably you could come down to more like 4.5 months, 5 months. Is that correct? Faiz Nagariya: Yes, correct.



Krishan Parwani: Understood. No, this is very helpful, sir. I wish you all the best for the future quarters. Thank you. Rohan Desai: Thank you. Moderator: Our next question is from the line of Atishray Malhan. Please go ahead. Atishray Malhan: Hi, good… Moderator: Atishray has dropped from the queue. Our next question is from Krishan Parwani. Please go ahead. Krishan Parwani: Yes. Hi sir, sorry, just a follow-up, I missed out. So, in terms of the margin trajectory, we have seen a great improvement and PAT to 24%. So you think with the higher utilization, the margin trajectory should come back to, let's say, 29% kind of a level by FY '26, or is that achievable in '25? Faiz Nagariya: So, we see that by '26, we should be able to come back to 29%, 30% levels, for sure. Krishan Parwani: Understood. And in terms of quarterly run rate, that INR180 crores, I think Rohan sir mentioned that the prices have bottomed out. So is that fair to say -- apart from, let's say, this Baker Hughes, our base portfolio should also grow on a quarterly basis over the next couple of quarters. Is that correct? Rohan Desai: Yes. Krishan Parwani: Understood. So is it like a INR190 crores or a INR200 crores run rate seems fair on a quarterly basis? Rohan Desai: Yes. Krishan Parwani: Apart from the Baker Hughes. Rohan Desai: Yes. Krishan Parwani: Understood. Yes. No, this is very helpful. Thank you, and all the best. Rohan Desai: Thank you. Moderator: The next question is from the line of Atishray Malhan, Fortress Group. Please go ahead. Atishray Malhan: Yes. Hi, am I a

udible? Rohan Desai: Yes. Atishray Malhan: Yes. Hi, sorry about that earlier. Good evening to the team. Just a quick clarification from my end. From this Site 4, are you manufacturing anything else except for the Baker Hughes products?



Rohan Desai: No. Atishray Malhan: So that's just Baker Hughes, right? So, then I think you mentioned INR250 crores top line from Site 4 in FY '25. So that's essentially the four products from Baker Hughes, right? Rohan Desai: Six products. Atishray Malhan: Sorry? Six? Six products? Okay. Rohan Desai: Six products. Atishray Malhan: Six products, okay. And can you maybe provide an update on the Novoloop contract? When do you expect that to be commercialized by? Rohan Desai: Aman? Aman Desai: Yes. I'll take this. We are currently doing the pilot plant validation of the Novoloop technology, and that is successfully completed in terms of the first few phases. And now, we are going to do the extended integrated pilot plant validation of the Novoloop technology and that's under discussion right now. And then the -- if it all works out, if it all goes forward, we'll be looking at commercializing and doing the first demo plant in the range of 2026. And as a initial market development demo plant, it could be a 3,000 KTA -- 3,000 tons per year. And then looking at '28, '29 as a full scale commercialization, if all things go forward. Atishray Malhan: Okay. That's calendar year 2026, right? Aman Desai: Correct. Yes. Atishray Malhan: Okay. Fair enough. Thank you. And that's all from my end. Aman Desai: That's the current estimated timeline. Atishray Malhan: Okay. Fair enough. Thank you, and good luck for the forthcoming quarters. Aman Desai: Yes. Thanks a lot. Moderator: Thank you. The next question is from Priyank Chheda from Vallum Capital. Please go ahead. Priyank Chheda: Sir, what was the realization per kilo overall for Q1 and Q4, previous quarter? Rohan Desai: Yes. The Q1, the average realization is 1,307, which was 1,303 last quarter. Priyank Chheda: Okay. And Aman did mention about Novoloop project, which is right now from -- which is at the pilot scale right now. So, I guess, we are manufacturing it from Site 1, right? And if it has to commercialize at 3,000 tons, what can be the realization per kilo that we should think of in case this has to go to a commercial scale?



Rohan Desai: Aman? Aman Desai: Can you repeat the last part of the question? If it goes to commercialization -- what is the question? Priyank Chheda: So once if this product goes on a commercial scale of 3,000 tons, what can be the realization per kilo that we should think of? Aman Desai: It depends in terms of what kind of polyols and what kind of monomers we make it from it. But you could look at, say, a mid-single dollar digit value per kilo. So we're talking about \$3 to \$6 to \$7 per kilo kind of a range. Because we're going into the polyols industry again, and that would be in the CASE industry, which is the coatings, additives, sealants, and elastomers. And so, that's what the kind of realization we'd be looking at. Again, this is the estimation. Priyank Chheda: And just on the overall -- the CRAMS business and our strategy to break this molecule from the kilo lab scale to a large scale manufacturing, we haven't heard much in last 6 months which were the products among the R&D lab, which has migrated to a large scale manufacturing or exclusive manufacturing. Anything that we are looking very soon to be announced from this migration strategy that we have? Aman Desai: Yes. That strategy is still alive. The strategy is still the core focus of all the activities that we do in CRAMS. So we do not do any single discovery research work. All our research work is based on process research and taking molecules to commercialization. And several of these die out in the way, of course, because that's a big learning

curve for the innovators. But when you work with innovators, which are global, top, leading innovators in the respective fields, HSE addition and HSE focus is a tremendous one and top priority for all these innovator customers. And so, as you can imagine, the accident had put a pause on numerous activities, numerous discussions that were going on at very advanced stages with all these innovators. And they all put up on it, they all give us time, they all come back and audit, which has happened in many innovators' cases already and which we have successfully passed already. And so, basically, everything on these terms was put on pause for almost 2 quarters, 6 months now, which are the 2 quarters we are looking at. And that's why there's basically no activity there. But now, we had two major audits last month itself. We have three major audits coming up now in the next few weeks. And we are looking at re-initiating and reengaging across all countries, and all of those discussions are happening in very positive manner and in positive way only. And we should be looking at re-initiating a lot of discussions now in this quarter and the next quarter and, I believe, good things to come, which is the focus of the consensus. And if you see the consensus and what we have announced this quarter as compared to last quarter or the last 2 quarters or the last 3 quarters, it has grown quarter-on-quarter for this quarter. And so, that's a very promising sign. And that should continue to grow.



Priyank Chheda: No, perfect. So should we expect Site 3, say, in H2 of FY'25 should reach around 65%, 70% kind of utilization, which was our earlier expectations, too, and FY'24 at 65%? While whatever the delay that has happened because of the fire, should we expect Site 3, with all the new product launches, trials, audits, Site 3, what should be the utilization that we should look forward in H2 of FY'25? Aman Desai: Rohan? Rohan Desai: 65%. Priyank Chheda: So H2 should be 65%? Rohan Desai: Yes. Priyank Chheda: Got it. Thank you. Moderator: Thank you. Our next question is from Nitin Aggarwal. Please go ahead. Nitin Aggarwal: Hi sir, thanks for taking the question. Aman, on the, just taking off from the point that you made last time that you're expecting some more valid -- customer validations and audits to quantify going forward. So having largely in the newer vertical that you've mentioned or they are spread across -- they still you're still having conversations in pharma, agrochem verticals also? Aman Desai: These are basically -- I don't know if I heard your question right, but these are across the industry sectors and not in the oil and gas, renewables, sustainability, but also in the pharma and agro. Typically, we don't do very much CRAMS research in pharma. So primarily agro, material sciences, and oil and gas. And we -- these engagements are happening across the board across the sector, and they're all moving positively forward. Nitin Aggarwal: And in the kind of conversation that you've been having, size of potential contracts that you're looking to sign, are they increasing in scope [inaudible 47:07] kind of conversation you're getting off late? Aman Desai: I didn't get the last part of your question. You're cutting off. Nitin Aggarwal: I mean, in the sense of the quantum of the size and quantum of the some of the potential transactions that you're discussing with the various partners, are we looking at much larger size contracts versus what you've done in the past, both from a complexity perspective as well as the size of the contract perspective? Aman Desai: Both, yes, because that's the aim of having these partnerships with partners, basically test the other smaller projects -- a smaller value for the smaller complexity projects. And then as the partnership develops and blooms, they trust you with more and more of the complex things and the high-value things, which is what we a

re currently doing. And so, yes, the size and the scope and the value should be increased progressively. And that's what, hopefully, we'll be showcasing to our shareholders in the quarters to come.



Nitin Aggarwal: And if we take a last one, on the -- if I assume the most of your conversations around some of these transactions will be happening around when the projects are in the pilot stages. So is there a sense for us to for instance, which you can share in terms of how many products that you're working on currently are in late stage of this pilot phase scale up? Aman Desai: That's a number we'll have to go and compute and we'll have to get back to you on that. But typically, we don't share that information, because it's -- the number doesn't matter, but it's all confidential information with customers and so, but we can compute and there are multiple -- so at any give time, we have I think, 20, 25 -- overall, 50 on a very high level, overall, 50 projects going on in R&D. Typically, half of them are in-house and half of them are external, customer-driven, and you're looking about 24, 25 customer-driven projects. And at any given time, more than half of these projects are towards late stage, final validations and final supply campaigns and tox batches, and market development quantities towards launch. Nitin Aggarwal: Got it. Thank you so much. Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments. Shubhangi Desai: Thank you, everyone, for participating in the call. We hope that we have addressed majority of your questions. If you still have any further questions, please feel free to reach out to us. Thank you. Moderator: On behalf of HDFC Securities, that concludes the conference. Thank you for joining us, you may now disconnect your lines.

# Call: Oct 2024

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. October 23, 2024 Ref. No.: AIL/SE/54/2024-25 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Friday, October 18, 2024, on the financial performance of the Company for the Second Quarter ended on September 30, 2024, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

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"Aether Industries Limited Post Results Conference Call" October 18, 2024 MANAGEMENT: DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED MR. KUSHAL DOSHI – LEAD INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Aether Industries' Post Results Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you, and over to you, Mr. Ghuge. Nilesh Ghuge: Yes. Thank you, Renju. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter and half year ended September 2024. From Aether Industries, we have with us today, Dr. Aman Desai, Promotor and Whole Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; Mr. Kushal Doshi, Lead Investor Relations; and Ms. Shubhangi Desai, Executive IR. Without further ado, I will now hand over the floor to Ms. Shubhangi Desai to begin with the earnings call for Q2 FY'25. Over to you, Shubhangi. Shubhangi Desai: Thank you, Nilesh. A warm welcome to everyone. Today on October 18, 2024, our Board has approved the financial results for the second quarter and half year ended of the fiscal year 2025, and the same has been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded, and the transcript of the same will be made available on the website of Aether Industries Limited and exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise. Now Mr. Rohan Desai will begin by sharing Aether's business outlook, then Mr. Faiz Nagariya will cover the financial highlights for the period under review and Dr. Aman Desai will share the ongoing expansions and the strategy of the company going forward. Now I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, sir. Rohan Desai: Good evening. I hope everyone is doing well, and I'm delighted to connect with you all to share our company's performance during the second quarter of financial year 2025. During this quarter
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under review, total volumes has increased, but the prices remained low due to China's dumping. While we feel prices have bottomed out, the current change in the trend is only likely to start in the fourth quarter of financial year 2025. The demand for our products remains strong and we have added 12 new clients during this quarter. The accident affected Site 2 has been redesigned and is planned to be fully operational by mid-November 2024 in a highly compliant and safe manner as we are awaiting regulatory permissions to restart at 100% capacity. We expect to commission Site 3+ and 3++ in early quarter 1 of financial year 2025-'26. Our greenfield capex expansion is on track on Site 5, which is located in Panoli with Phase 1 being expected to be completed in quar

ter 3 of financial year 2025-'26. Due to a prior delay in finalizing the contracts and subsequent long lead times in procurement of raw materials for Baker Hughes contract, Site 4 is likely to witness an increase in production beginning from quarter 3 of this financial year. We have commissioned 10 megawatts of solar power plant, out of total order of 15 megawatts, which was given earlier. The remaining 5 megawatts power plant will be commissioned by the end of October 2024. This is a significant investment towards our sustainability goals, and will also help us save money on electricity overheads, which will enhance the company's operational profits. With respect to Aether's business model, we have seen 57% of contribution coming from large scale manufacturing business model, 27% coming from contract/ exclusive manufacturing business model and 14% coming from Contract Research & Manufacturing Services business model during the quarter 2. We have seen volume growth in all the three business models. Contract/ exclusive manufacturing is expected to rise significantly beginning from quarter 3 and quarter 4 of this financial year when the commercial orders from the SSA with Baker Hughes will begin to be shipped. Our exports and our domestic revenues stand at 50% of our total revenue each in quarter 2 of financial year 2025. Last week, we showcased ourselves in CPHI in Milan, which gave us great insights into the prospects of the current business dynamics landscape and helped us to position our capabilities globally. With this, I would like to conclude speaking and wish you all a very Happy Diwali in advance. I would now request our CFO, Faiz Nagariya, to touch upon the financial highlights for the period under review. Over to you, Faiz. Faiz Nagariya: Thank you, Rohan, and good evening, everybody. I'm glad to present the financial results of Aether Industries Limited for Q2 and half year ended for financial year '25. The total consolidated revenue of the company stood at INR2,098 million in the quarter 2 of financial year '25 as against INR1,920 million in quarter 1 of financial year '25, which is an increase of 9% quarter-on-quarter. This has resulted in EBITDA of INR613 million in Q2 of financial year '25 as against INR521 million in quarter 1 of financial year '25, an increase of 18% in the comparing periods. EBITDA margin stood at 29% in Q2 as against 27% in Q1 of financial year '25.

The PAT has amounted to INR348 million in Q2 of '25 as against INR299 million of quarter 1 of financial year '25, an increase by 16%. The PAT margin stood at 17% in Q2 of financial year '25 as against 16% in Q1 of financial year '25. The stand-alone PAT has been INR381 million in Q2 as against INR303 million in Q1 of financial year '25, resulting in healthy PAT margin of 18% against 16% in the comparing period. The consolidated revenue in H1 of FY'25 increased by 18% to INR4,017 million from INR3,417 million in first half of financial year '24, enabling an EBITDA margin of INR1,134 million in H1 FY'25 against INR1,071 million in H1 FY'24 and PAT being INR647 million in half year financial year '25 as against INR665 million in half year '24. The main reason in decline in the PAT margins on the consolidated basis on half year is the result of the operations to still begin in Aether's facility, whereas the expenditure of common natures like salaries, utilities, etcetera, coming up. We expect this to be turned around well by the end of financial year '25. During the quarter, we had submitted the stock loss claim resulting from the fire accident, which had taken place on 29th of November 2023 to the insurance surveyor, and the same will be processed and claims settled by the insurance company in Q3 of financial year '25. The revamping of the affected site is progressing as per the plan with certain delays from our regulators. Still, we anticipate 100% operations at the fire-affected s

ite within a month or so. The remaining claim for the fixed assets for the loss will be put up to the insurance company in the month of November '25, along with the loss of profit claim and we are confident to get the sum settled by the insurance company by or before the end of this financial year '25. We have been able to reduce the inventory cycle to 178 days as on 30th September 2024 as against 210 days as on March 31, 2024. The debtor cycle has also been reduced to 136 days on September 30, 2024, as against 142 days as on March 31, 2024, encompassing the payment flows from the customers. With the commercialization of SSA with Baker Hughes, we anticipate to have better debtors, inventory cycles in future. Now I will request Dr. Aman Desai to share updates on Aether's ongoing expansion plans and strategies going forward. Aman Desai: Thank you, Faiz, for the financial highlights. Good evening, everybody. I'm very pleased, as always, to connect with all of you again. To begin my section, we've been working diligently in augmenting our capabilities with our ongoing capex across multiple sites, integrated with the incremental additions in chemical reaction capabilities in our core competencies, where we begin all the way from R&D through pilot plant all the way to commercial scale. And this is aiding us significantly in enabling and developing newer technology, which we are translating into our CRAMS business model. We continue to witness a significant influx of business inquiries in the CRAMS business model against the backdrop of the various global scenarios. This business model of CRAMS has indeed

grown quarter-on-quarter. This is on the backdrop of our expanded state-of-the-art R&D infrastructure, what we think are cutting-edge technology and chemistry core competencies. With our efforts to broaden our range of end-use industry applications, we have again successfully proved this CRAMS business model by entering into and publicly announcing our contracts/ exclusive manufacturing contract with the SEQENS Group of Europe. It's a take-or-pay contract and under the take-or-pay contract, Aether will produce a series of natural bio-based products exclusively for the SEQENS Group. The innovative manufacturing process, which involves continuous reaction technology, which is one of our core competencies, was collaboratively developed at Aether by Aether and the SEQENS Group over the last three years in the CRAMS business model, and this is now translating into the contract/exclusive manufacturing business model under the current executed contract. Sustainability and renewables continues to be an important emerging area for us, now evidenced by numerous publicly announced collaborations with Saudi Aramco Technologies Company, Novoloop in the U.S., a major lithium-ion battery producer and now the current contract with SEQENS Group. We are further working on numerous other projects in this overall platform, and we anticipate several positive developments in the near future in this overall platform. Near future should also see significant projects being translated into the contract/exclusive manufacturing business model from the CRAMS business model, specifically a significant project for our Site 3++ as well as multiple projects in our Baker Hughes partnership. Our R&D expenses for the quarter 1 of the fiscal year '25, which is the current quarter past, stood at INR143 million, i.e., 7.5% of our total revenues was R&D spend. Our in-house pilot plant has enabled us in enhancing chemical development and scale-up of our in-house molecules as well as further expanding CRAMS portfolio. We have been working relentlessly to leverage the learnings from the upheaval that we faced because of the fire accident in the past year with continuous sustainable improvements and enhancements being made across the board to implement stringent safety measures, which are also p

rogressing and have been vouched by numerous full-scale HSE audits led by various regulatory bodies as well as our innovator customers across the globe. Just in the past quarter, we have faced nine customer audit, including four full-scale HSE -- multi-day HSE audits by four of our multinational global leading innovator customers, and we have successfully passed all these audits. And in the process, we have also reinvigorated our collaborations with these various innovators. So all in all, I believe we are proceeding in a significantly positive direction. And with that, thank you, everybody. Wish everybody a very Happy Diwali and a prosperous new year and a safe and satisfying vacation wherever you all are. Looking forward to your questions and Kushal, back to you. Moderator: Thank you. Shall we begin the Q&A?



Shubhangi Desai: Yes, sure. Moderator: The first question comes from the line of Krushan Mundada with NJ Wealth. Krushan Mundada: I have a couple of questions. Firstly, regarding the operating capacity utilization at our sites, what was the capacity utilization for second quarter at Site 2 and -- manufacturing Site 2 as well as Site 3? Faiz Nagariya: The capacity utilization at Site 2 was around 55%. And at Site 2, it was -- at Site 3 it was around 62%. Krushan Mundada: Okay. So we are improving gradually. And what is the target for the end of the year? Faiz Nagariya: Our target for the year-end is around -- we should be 100% on with the Site 2 also, and so we should reach again the 70% mark. And for the Site 3 also, we would expect to reach around 70%, 75%, which is the maximum we try to go ahead and then we keep the other capacities free for any kind of downtime or any contingencies. Krushan Mundada: Okay. And on the realization front, our product portfolio saw some growth at the... Faiz Nagariya: Your voice is not clear. Can you speak once again? Krushan Mundada: Okay. On the realization front, your product portfolio saw some growth at Site 3, the newly launched chemical site. What was the reason? Rohan Desai: The average realization stands the same as quarter 1. Krushan Mundada: Okay. So are we seeing any improvement in the realization or increased Chinese pressure would further cause it to go down? Rohan Desai: We expect the realizations to improve from quarter 1 of this financial year -- quarter 4, sorry. Quarter 4 of this financial year, calendar 1 -- quarter 1 of calendar year. Krushan Mundada: And since the Baker Hughes contract have not yet started contributing to your revenue, so our projections regarding Baker Hughes contract is INR200 crores top line this year and INR400 crores next year. Is it still intact? Rohan Desai: That would be impacted for this current year, but for the next year, it is standing still the same. Krushan Mundada: Okay. And like I have a question regarding the capacity. We have around 7,000 metric tons per annum capacity at Site 4 and our contract to manufacture the chemicals to Baker Hughes is around 17,000 metric tons. So are we going to expand from where we are going to supply the additional capacity? Rohan Desai: The capacities of Baker Hughes will be utilized from Site 4 basically. And Site 4 we already have the necessary approvals, which are in place, and it is available in the public domain. Moderator: The next question comes from the line of Ankur Periwal with Axis Capital.



Ankur Periwal: Sorry for the background noise. First question, in your opening remarks, you did alluded towards the new customer addition, the double-digit addition that we had done. Just your thoughts on which are these customers specific to some segment or end application and which geographies are we seeing good traction from? Rohan Desai: They are broadly aimed for pharma, agro division majorly. And we have two customers in coatings, which we are already selling that product on commercial level. Also we have added two customers in Contract Research & Manufacturing Services business model. And majorly seven customers are from India and the remaining are from outside. Ankur Periwal Okay. Great. And you did mention two of them to whom we are selling the existing products. Will it be fair to say that all of them will be -- we'll be selling our existing products to them? Or there are some new products as well, which is getting sold to these new clients? Rohan Desai: No, no, no, existing products only. Ankur Periwal: Okay. Secondly, on the new production and the new -- sorry, the new products and your discussion with clients, any feedback you can share across maybe even agro or pharma customers? How is the demand outlook there? We had seen some deferment in demand earlier. But any updates there will be helpful. Rohan Desai: Yes, in the earlier quarter, we have suggested that the demands are back. The pricing is still a challenge. The pricing of the products are derived by China and the competition and something of China, which is affecting the price levels for us. However, we are seeing demands on the new molecules are coming back to its normal -- normality and also new products are being discussed with a lot of customers and new opportunities are also being discussed with a lot of customers. So except for the price, everything seems to be good at the moment. Ankur Periwal: Sure. Just two follow-ups there, if I may. One, from a volumetric growth perspective, what is the thought process, both from existing customers as well as from the new ones? And secondly, you mentioned that Q1 CY '25 onwards, we should see some pricing uptick. What gives you the confidence there? Rohan Desai: It will be a new year for Chinese. We hope that in the new financial year, that is based on the calendar year under which they operate, we can assume that they will change their stance and start increasing the price. That is what we are assuming. And during our visits and in the exhibitions and meeting with the Chinese suppliers who are supplying to us, we understood that they are all in tremendous pressure. And so we hope and we are assuming that the prices which have bottomed out will start increasing from quarter 1 of the calendar year -- next calendar year. Moderator: Next question comes from the line of Krishan Parwani with JM Financial. Krishan Parwani: Congratulations on a great set of numbers. Just a couple of them from my side. First is, we can see there has been a sharp improvement in your agrochem intermediate sales. So by when do you think -- or when do you expect uptick in other segment sales?



Rohan Desai: We are seeing a good uptick in pharma segment also. Oil and gas is going to increase. It's just a matter of time at this moment. So we're not seeing any challenges on oil and gas. High-performance photography has been pretty stable. The textile divisions have shown great increase and which will also increase in the future, but not immediately. And on the coating side also, we expect certain percentage increase in the next 2 quarters. That is how we are seeing this business in the quarter 3 and quarter 4. Krishan Parwani: Understood. And when you mentioned that you are expecting price improvement from 4Q '25, so were you referring more to, let's say, pharma intermediates? Because I think pharma intermediates sales has been like flattish quarter-to-quarter. So were you referring more to that in your commentary? Rohan Desai: Yes, so we are referring to overall prices, so overall prices from commodities has to change to specialty has to change basically. So you should see a price correction in various pockets from quarter 1 of the next calendar year. That is what we are assuming. And as per our understanding and discussions, that could potentially happen. Krishan Parwani: Okay. And a follow-up to that. So with improvement in pricing, would we see fu

rther improvement in our EBITDA margins, which has jumped from 24% to 27% in this quarter? So would we see kind of this kind of trend continuing going forward? Faiz Nagariya: See, if there's a price correction, it will definitely increase the margins for us. But also remember that the raw material prices are also dependent upon China. So if the prices of our products increase, there is going to be a little bit increase in the raw material prices also. We see the traction, and we are on the target to reach our original margins of around 29% EBITDA margins. Krishan Parwani: Yes, yes. I was coming to that only. Yes, yes. Got it, got it. No, that's fair. And just last one from my side, sir, if I may. From which site will this SEQENS contract be served? Rohan Desai: Aman? Aman Desai: Yes. So it will be Site 3++. Krishan Parwani: Noted. And just last bit on that. So I'm not sure whether we have given any revenue potential from this, and if -- and also, are there any more products under work with SEQENS given this is, I think, in your opening remarks also you mentioned that looking at more sustainable products. So what's your view there? Aman Desai: Yes. So giving -- I think we are under strict confidentiality terms. And so giving a revenue outlook will be difficult in terms of the confidentiality agreement that we have. But we are working on other products. And also, this is a series of launch products for them. And so the 100-metric ton contract that we have currently is a launch and market development quantities and kind of a demo plant. And so if 100 tons is a launch quantity, then you can imagine that the ultimate commercialization, mature volumes will be significantly higher and that we are currently discussing with them as this project moves forward.

Moderator: Next question comes from the line of Nilesh Ghuge with HDFC Securities. Nilesh Ghuge: Congratulations for a good set of numbers despite these challenging times for the chemical industry particularly. So congratulations for Aether Industries team. My question -- first question is to Faiz, particularly on the working capital. So how is the current situation as far as the working capital inventory is concerned compared to FY'24 end? Faiz Nagariya: So in the FY'24, in the financial year '24, we had a fire incident and then we had started the facility in the month of February -- January, February. Most of the products are in the production and the inventory had increased tremendously, and it was around 210 days inventory which we have been able to bring it down to 178 days as of 30th September. So a good decrease and we are continuously working on that. And we are -- because most of the raw materials are now available in India, so we are taking the materials as and when required and for the production, which is -- for the production which is required. So we are -- we will be still working on that and our target is to bring it down to 160 days odd by end of this year or more than that. And the debtor cycle also, which was around 142 days has come down to 136 days odd. And as I have mentioned in my commentary also, with Baker Hughes, which is another contract manufacturing project start with other customers, this cycle also will be coming down, and our target is to reach around 130 days by end of this year and then further bring it down to 115, 120 days in the next year. And working capital cycle and also our cash flow from operations is positive just because of the good working capital cycle management which we have done in the 6 months. Nilesh Ghuge: Okay. And the second question is to Aman. Aman, can you just elaborate on the number of molecules and the type of molecules that we are planning to come out from our Panoli facility? Aman Desai: Yes, it's a good question. So we have -- currently, we are planning for 16 production blocks in Panoli. And we have line of sight and visibility for about 6 or 7 of these p

roduction blocks already in terms of the in-house molecules that we are developing in the pipeline as well as the exclusive contract manufacturing opportunities that we have in the CRAMS pipeline. And so we already have visibility of about 40%, 45% of the total production capacity of the Site 5, which is I think a really good place to be, considering where we are in terms of timeline. The products will be a mix of in-house as well as external manufacturing. We are currently into several advanced talks with several of our customers, especially in the renewables and sustainability segment and the oil and gas segment for contract and exclusive manufacturing partnerships in Site 5. And so we have various projects that are ongoing there in these industry applications. And then we have a few pharmaceutical advanced intermediates that we are developing in our large scale manufacturing business model currently, are in advanced stages and one or two -- one, I believe, agrochemical advanced intermediate in very advanced stages -- finishing of the

pilot plant phase validations right now, again, in our in-house large scale manufacturing business model. So it will be a mix of both models and in the large scale manufacturing model, it will be heavy on the pharma and ag sector, and in the exclusive/contract manufacturing business model, as it stands today, it will be heavy towards the renewals and sustainability segment as well as the oil and gas segment. Nilesh Ghuge: Okay. And just you touched upon this CRAMS segment. If I look at the numbers also, the CRAMS segment is continuously doing better and better with every quarter. So what kind of revenue we envisage, let's say, FY'25-'26 from our CRAMS business? Currently, we are doing a run rate of more than INR25 crores per quarter. Aman Desai: Yes. So let me not give you numbers on that, but let me give you an idea of what we are doing for that. We are -- we expanded our R&D significantly last year or 2 years ago. We are further expanding by additional 2x in the same site in an adjoining plot, R&D center that will happen by next year, 2025. We have what we've been calling the world's largest pilot plant. It's certainly one of the world's largest pilot plant, and I've been calling it the world's largest pilot plant. And both the R&D infrastructure and the pilot plant have significant extensive infrastructure and all of this is focused towards the CRAMS business model. And so our CRAMS business model has become the growth engine of the company. Our R&D is the growth engine of the company, it's the foundation upon which the company stands on. And so we are very upbeat and positive on the CRAMS business model going forward, and we are continuously adding new customers. And these customers are innovators and they are across the industry spectrum. And so we are not dependent on any industry spectrum. We are really across the industry spectrum, and our partnerships are in the pipeline of these customers, and we are working with the R&D directors and the technology directors and the CTOs of these companies, of these innovators. And so the vision of the CRAMS business model remains upbeat, even more upbeat than ever, which if it is possible, because I have always been very upbeat on this business model, but I'm even more upbeat than ever on this business model and we should be seeing --

and we should be having a really good fun with the numbers on this business model in the years to come. Moderator: Next question comes from the line of Atishray Malhan with Fortress Group. Atishray Malhan: I have a couple of questions, but first, a clarification. So in the investor presentation and the results disclosure you've provided, the stated revenue for large-scale manufacturing and contract manufacturing is about INR75 crores and INR64 crores, respectively. But in the corresponding quarter, the corresponding disclosures you ha

ve provided last year for Q2 and FY'24, the stated revenue seem to be INR112 crores and INR27 crores. So has there



been some sort of a reclassification for some products from large scale to contract manufacturing? Faiz Nagariya: Yes. Yes, there was a reclassification in the last year's quarter. That's why there was a change. Atishray Malhan: Okay. And can you maybe provide some names or some contracts, something of the sort? Faiz Nagariya: Pardon? Atishray Malhan: Will you be able to provide the names of the chemicals or some contracts that have been shifted from large scale to contract manufacturing? Rohan Desai: Unfortunately, no. For confidentiality reasons, we cannot do that. Atishray Malhan: Okay, fair enough. So I didn't hear you too well earlier. So I need a clarification regarding the Baker Hughes contract. So again, please correct me if I'm wrong. So last quarter, you had provided a guidance of about INR200 crores to INR250 crores from the contract for this fiscal year and about INR350 crores for next year. And now because of some of the delays that you had spoken about earlier, the guidance for next year seems to be intact, but the revenue guidance for this year will be a bit less than INR200 crores to INR250 crores, right? Rohan Desai: Yes. Atishray Malhan: Okay, fair enough. And just another question. I think last quarter, you had mentioned that there were some delays in the Otsuka contract. Has that been sort of figured out? And is that commercialized from this quarter? Rohan Desai: Yes. It's already back on track, and we have already received the orders. Atishray Malhan: Okay. So those numbers are reflecting in this INR56 crores in the contract manufacturing for this quarter? Rohan Desai: Yes, by 2026. Atishray Malhan: Okay, fair enough. Moderator: Next question comes from the line of Rohit Ohri with Progressive Shares. Rohit Ohri: Aman, congrats on adding one more feather to the hat, that is the SEQENS Group. And every 9 months or so, the team at Aether keeps surprising us with something or the other. So my question is that if you can take us through what exactly are these natural bio-based products? And where are the applications? And what is the market size that we intend to cater to? Aman Desai: Yes. Thank you, thank you for the kind wishes. If it is up to me, it will be much, much more frequent than 9 months. So I hope we will be making it even more briefer than that. As you can imagine, it takes a lot of efforts and coordination to be able to get approval for main release, especially for these innovators who are very, very selective with how their publicity is seen worldwide.



And so I think the fact that we are able to get a few of these, I think, speaks to the kind of partnerships that we have, but hopefully, it will be much more in the future and we are continuously working towards that. I'm afraid I'm not able to give a lot of information because, as you can imagine, these are R&D pipeline projects rolling off into commercialization for these innovators and we have been working with them on developing the process for the last 3 years now, and they have been -- and before that, they were in discovery for a couple of years and we can say these all things have been rolling off now for the last 5, 6 years from the pipeline into commercialization. And as you can imagine, these sort of companies are very, very secretive on what these products are, what their applications are and what the future looks like. But these are natural bio-based products, continuous reaction technology is very innovative technology of making these materials, which previously, as you can imagine, have been obtained from -- as raw materials, which were derived from crude oil. And so they are -- and the industry applications we are now switching out the products which were previously available from crude

oil to completely bio-based raw materials and product materials towards the sustainability of these end applications. And as I mentioned before and as an answer to a previous question, these are market development quantities for the customer and launch quantities. And so if 100-ton is the launch quantity, then the ultimate commercialization will be much bigger, which we do hope to be a partner for with the SEQENS Group. So hopefully, much more to come in the years to come on this as well. Rohit Ohri: Aman, is it possible to share from which of the segments that you will be working because SEQENS generally works on pharma, personal care and some specialty custom-made products. So if you can just share some more details whether -- which is the domain that you intend to work on with them? Aman Desai: It's not the pharma. Let me just say that. Rohit Ohri: Okay. That makes a lot of sense. Will you be interested in moving more towards certain products which are related to PEKK or certain resins or fluoropolymers or something like that? Aman Desai: I didn't get the first one. I got the fluoropolymers and then I didn't get first one. If you could... Rohit Ohri: Polyetherketoneketone, PEKK. Aman Desai: Okay. Yes. So in the general field of polymerization, we are entering into significantly. And so for example, the polyols, converge polyols that we make with the Saudi Aramco Technologies Company and that -- for their commercialization is a polyol example. We are -- for example, the Novoloop is the depolymerization of a PV polymer back into monomers and then circular economy and upcycle towards other polyols.



A lot of the Baker Hughes products are polymers in fact and used in oilfield services. And we are working on potential contract manufacturing of hydrocarbon resins with our other partners as well. And so we are in the general field of polymers, but I don't think we are in the ones that you're talking about. Rohit Ohri: Would you be interested in working -- as you say that going forward, there are many things more in the offering from this partnership that's come from SEQENS. Will you be interested in working with Arkema also? Aman Desai: Arkema? Rohit Ohri: Yes. A-R-K-E-M-A. Aman Desai: Well, we haven't -- we don't have any business with them currently. But for sure, we will be interested, yes. Rohit Ohri: Okay. So my next question is for Rohan. Sir, we used to -- there was a time when the molecules which were sold by Aether were at par or they were much, much better in terms of the pricing with the Chinese counterparts? And post that, and we see that since last 3 or 4 quarters, there's been immense pressure. Sir, your thoughts on where exactly and what is exactly that is going wrong because there was a time when we were in a position to sell certain products or molecules which were far better than the Chinese prices. Rohan Desai: Yes. So even today, we are holding majority market shares on all the products in spite of the fire accident, which has happened 9 months ago -- I mean 11 months ago. The raw material prices have also corrected quite a bit, and there's a pressure in the APIs and the AIs which is pharmaceutical end products and agro end products. And hence, the prices had to be in line with the Chinese competition. And we are still competitive or at par with the Chinese prices. And this is clearly reflected in our margins also in terms of the percentage margins, where we are producing more, we are still able to retain the same percentage margins, which shows that we are able to perform better. And again, if you see we have -- we do not have a better business edge as compared to China in terms of the currency devaluation, in terms of the export benefits and so on and so forth. So we are -- I consider that we are doing better in this dire circumstances also. Rohit Ohri: Rohan or Faiz, is it possible or is it fair to assume that going forward that you'll try to

inch more towards the traditional margin levels which you used to have in the past to the numbers of like 28% or 30% EBITDA margin kind of level for the second half of the year? Rohan Desai: Yes, that's the target. Moderator: As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.



Shubhangi Desai: Thank you, everyone, for participating in the call. We hope that we have addressed the majority of your questions. If you still have any further questions, then please feel free to reach out to us. Stay safe and have a great day ahead. Thank you. Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: Jan 2025

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. January 20, 2025 Ref. No.: AIL/SE/79/2024-25 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Friday, January 17, 2025, on the financial performance of the Company for the Third Quarter and Nine Months ended on December 31, 2024, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

Page 1 of 12 "Aether Industries Limited Post Results Call" January 17, 2025 MANAGEMENT: DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED MR. KUSHAL DOSHI – LEAD INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Aether Industries Post Results Call hosted by HDFC Securities. As a reminder, all participle lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Please go ahead. Nilesh Ghuge: Yes. Thank you, Ryan. Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended December 2024. From the Aether Industries, we have with us today, Dr. Aman Desai, Promoter and Whole Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; Mr. Kushal Doshi, Lead Investment Relations; and Ms. Shubhangi Desai, Executive IR. Without further ado, I will now hand over the floor to Mr. Kushal Doshi to begin with the earnings call for Q3 FY '25. Over to you, Kushal. Kushal Doshi: Thank you, Nilesh. Thank you, and a warm welcome to everyone. Today, our Board has approved the financial results for the third quarter and the 9 months ended FY '25 and the same has been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and the stock exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward looking statements, whether as a result of future events or otherwise. Now Mr. Rohan Desai will begin by sharing Aether business outlook, then Mr. Faiz Nagariya will cover the financial highlights of the period under review and Dr. Aman Desai will share the ongoing expansion and strategy of the company going forward. I hand over the call to Mr. Rohan Desai for his opening remarks. Rohan Desai: Good evening, everyone. I'm happy to connect this to you today to dwell into the details of our company's performance during the third quarter of financial year 2025. First of all, we talk about the market dynamics. We have witnessed an increase in total volumes while at the same time, maintaining stable prices across our product range.
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This stability reflects our resilient demand for our products, leading us to expand our client base by adding 8 new clients. While we have observed that the prices are likely bottomed out, we are expecting a potential uptrend to emerge post Chinese New Year, which could positively impact our future quarters. Operationally, we have some more worthy developments. Site 2, which was previously affected by the accident is now back to full capacity following the revocation of a restriction by Gujarat Pollution Control Board in January 2025. This is a testament to our commitment to safety and regulatory compliance. Meanwhile, our expansion efforts on Site 3 and 3++ are on track promising futur

e capacity increases. Our Greenfield Project at Site 5 in Panoli is also progressing as planned with first phase to expect fully to be operational by quarter 3 of financial year 2026. This expansion will increase our production capacity significantly. Site 4 has been particularly easy experiencing our surge in production, primarily due to new validation and trial quantities from Baker Hughes. Following our strategic supply agreement with them signed and announced on June 2024, we have finalized orders on the first 2 products in January 2025, which will be supplied from our site. We are gearing up for a ramp-up in Q4, which should further solidify our position in this market segment. Turning to our business model. We have observed a shift in our revenue streams. This quarter, large-scale manufacturing contributed 49% of our sales with contracts/ exclusive manufacturing increasing up to 38% and contract research and manufacturing services making up to 11% of our sales. As we pivoted our strategy towards enhancing our capacities in contract research and manufacturing services and contract/ exclusive manufacturing, we anticipate these areas to become even more pivotal. Volume growth across all 3 models has been encouraging with our export and domestic split at 54% and 46%, respectively, in quarter 3 of financial year 2025. Sustainability has been a core focus for Aether. We are now fully commissioned a 15-megawatt solar power plant, which not only powers our manufacturing facilities, but also marks a significant step towards reducing our carbon footprint. This initiative is expected to save us over INR150 million annually in energy costs. With 31-megawatt of solar power pants now under our belt, we stand as the only company in the spec chem space to source approximately more than 80% of our electricity from renewable sources, setting a new benchmark for environmental responsibility. I would now conclude and invite our CFO, Faiz Nagariya, to elaborate on financial highlights of the period under review. Over to you, Faiz. Faiz Nagariya: Thank you, Rohan, and good evening, everybody. I am glad to present the financial results of Aether Limited for Q3 and 9 months of financial year '25. The total consolidated revenue of company stood at INR2,333 million in the quarter 3 of financial year '25 as against INR2,098 million in quarter 2 of financial year '25. There is an increase of 11% quarter-on-quarter.



This has resulted in EBITDA of INR757 million in Q3 of financial year '25 as against INR630 million in quarter 2 of financial year '25, which is an increase of 23% in the comparing quarters. EBITDA margin stood at 32% in Q3 of financial year '25 as against 29% in Q2 of financial year '25. The PAT has reached INR434 million in Q3 of financial year '25 as against INR348 million in Q2, which is an increase by 25% quarter-on-quarter. The PAT margin stood at 19% in the Q3, which was 17% in Q2 of financial year '25. The consolidated revenue in the 9 months of financial year '25 increased by 25% from INR5,083 million in 9 months financial year '24 to INR6,351 million in 9 months financial year '25. EBITDA has increased to INR1,891 million in 9 months of financial year '25 against INR1,433 million in 9 months of financial year '24, resulting an increase of 32%. PAT stands at INR1,081 billion in 9 months of FY '25 as against INR839 million in 9 months of FY '24, which is an increase of 29% in comparing periods. During the quarter, we have submitted the stock loss claim resulting from the fire accident on November 29, 2024, to the insurance surveyor and the same will be processed and claims settled by the insurance company in Q4 of financial year '25. The revamping of the affected site is completed, 100% operations at the fire-affected site has been started in January 2025, post approvals from the regulators. The remaining claim for the fixed assets or the loss will be pu

t up to the insurance company in the month of February '25, along with loss of profit claim, and we are confident to get the same settled by the insurance company by or before the end of financial year '25 or maximum by Q1 of FY '26. We have been able to reduce our inventory cycle to 171 days as of 31 December 2024 as against 179 days as on September 30, 2024. The debtor cycle has also been reduced to 129 days as on December 31, 2024 as against 136 days as of September 30, 2024, and comprising a payment flow from the customers. With more of contract manufacturing business is unfolding in the near future, we anticipate to help the better, debtor and inventory cycles in future, resulting in better working cycles. Now I would request Dr. Aman Desai to share updates on Aether ongoing expansion plans and strategies going forward. Aman Desai: Thank you, Faiz, for the financial highlights. Good evening, everybody. I'm very pleased to connect with you all again. To begin with, as always, we've been working diligently in augmenting our capabilities with our ongoing capex across R&D, pilot and production. We integrate this with incremental additions in our chemical reaction capabilities and competencies of chemistry and technology beginning from R&D all the way to commercial scale. And this aids us in enabling and developing newer chemistries and technologies and addressing newer customers. The CRAMS business model has continued to grow with our 9 months CRAMS revenue, being equivalent to 95% of the entire fiscal year '24 already. We are currently working on over 50 research projects in our CRAMS business model across all the sectors with the majority of the projects being in the non-pharma and non-agro sectors.



As the New Year has started the world over, we have been witnessing a significant influx of business inquiries in our CRAMS business model. These inquiries -- these increased inquiries are primarily on agro and non-pharma and in the oil and gas and sustainability business segments of our company. And what is very interesting about these new inquiries is that they are more towards the late stages of the commercialization journey for new chemical entities for various innovators and these business segments. These means with the translation to contract manufacturing and exclusive manufacturing business model from the current business model for these molecules will be relatively much faster. Each such translation will represent a step change in the growth trajectory of the company. One exciting development in the recent few weeks have been the finalization of the first 2 product launches in our Site 4 our strategic customer, Baker Hughes, which we have recently announced in stock exchanges. This will now with immediate effect, initiate significant manufacturing activities in Site 4, which will represent the first commercialization at Site 4, which has been long abated. We anticipate multiple significant product launches in Site 4 for Baker Hughes other companies to sequentially kick in now in the very near future. Our R&D expenses for the quarter 3 of fiscal year '25, which is the current quarter stood at INR161 million, which is about 7% of our total revenues. We had 10 customer audits in this quarter. We successfully passed all these audits and we have reinvigorated our collaborations with these customers and the innovators. Capex at our Site 3+, 3++ and Site 5 is all well underway and as per schedule and on track, which represents very significant potential and possibilities for increased manufacturing assets for both the large manufacturing business model as well as the contract and exclusive manufacturing business model. So with that, I'll end here. Thank you, everybody, for your time and attention this evening, and I look forward to the questions. And Kushal, back to you. Kushal Doshi: Thank you. We shall now request the moderator to open the f

loor for question and answers. Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. The first question comes from the line of Priyank Chheda from Vallum Capital. Priyank Chheda: First, on the site 4, Baker Hughes. In this, you said that we have finalized our 2 products. Can you tell me what would be the volumes for these 2 products? And just to again reconfirm this total oil project of vehicle use was around -- somewhere around 16,000 metric tons. Is that right? And at an ASP of around $2.5? Aman Desai: Thank you for the question. But unfortunately, we will not be able to comment on the exact specific volumes and pricing for these 2 products as these are confidential in nature with Baker Hughes. But in the second half of your question, the volume and pricing that we have conveyed are what have been converted by us in the region that was onetime that we had published in the Stock Exchanges 1.5 years ago, and those remain.



Priyank Chheda: So nothing has changed since whatever the origin volumes and the numbers that you had conveyed for Baker Hughes, is that right? Ashwin Desai: We have only increased our partnership with Baker Hughes and we have only increased our collaboration across even more projects and products since then. And it's become only more interesting in the last 1.5 years. Priyank Chheda: So just to understand, when we had thought of the original communication, again, referring back to we had talked to get this full revenue in FY '25, but now because of all the delays that we know -- should we think that this full revenue potential gets shifted to FY '26. So there will be certain more validations that are required yet to establish that FY '26, we'll see the full revenue. Ashwin Desai: The field trials and the evaluations are all finished and we anticipate that the full brunt of our work that we are doing across all products in the Site 4 will be implemented in the very near future. You should shift to the next question. Priyank Chheda: Sir, can I continue? Aman Desai: Maybe perhaps you can come back in the queue. Moderator: The next question comes from the line of Bhumika from Neumerc Research Lab. Bhumika: First of all, I'd like to congrats the company in the recent numbers. My primary question is -- how are we planning to push the agrochem and the pharma verticals? And do we see any massive scope happening in material sciences or any other vertical for that matter? Aman Desai: I can take that. Thank you for the question. The pharma and the agro continue to be interesting, especially with the work that we are doing with the CRAMS players, especially in the agro business for the new chemical entities and the innovators. In the pharma world, in the generics advanced incomes worn for a large skin manufacturing. The demand is solidly in place. And as Rohan mentioned in his script, as the Chinese New Year ends and the industry sales over again, we anticipate an increased pricing trend to happen as well, which will be beneficial for us. And especially in the non-pharma non-agro world of material sciences, in oil and gas, which is very interesting. And as I've mentioned, we have numerous projects, including new projects that have kicked in, in the CRAMS model, which we anticipate translating into the contract and exclusive manufacturing business model in the very near future. And so I think we are very upbeat much more so on the material science, the oil and gas and the sustainability the business segments that we have in terms of manufacturing potential and possibilities for new projects. Bhumika: I have one more question. This was regarding Site 5 expansion. So the expansion that we've incurred, the capex that we've incurred. This expansion pertains to the agrochemicals segment or the pharma segment or the material segment? What are we trying to, are we trying to increase production capacity? And which products

will be increased there? Any clarity on that?



Aman Desai: It will be a mix of large-scale manufacturing business model as well as the exclusive manufacturing business model, which are the 2 primary business models that we have in production, and it will be a mix of pharmaceutical, agrochemical, material science and oil and gas. And so broadly speaking, the vision of the company ultimately is to have a mix of product mix of 25% pharma, 25% agro, 25% material sciences, and 25% oil and gas majorly and Site 5 is really our largest production site will reflect this proportionate ratio. Moderator: The next question comes from the line of Priyank Chheda from Vallum Capital. Priyank Chheda: On the site 4, again, project of Saudi Aramco that we had, we had targeted to do around 500 metric tons volume in FY '25 and then eventually scale it up to 2,000 tons over the next 2 years. Any project update on this would be helpful? Rohan Desai: Yes. So I'll take the question. We did a top line in 9 months of INR11 crores for Saudi Aramco project, which is converge. We are looking at anticipating net financial year to close to reach a revenue of INR40 crores. That's the plan and that is what we are looking at. We have one contract which we had done and commercialize that contract, which are with HB Fuller, and we are anticipating to new contracts to come in the next financial. Priyank Chheda: Sure. So, if I based on the number for FY '25, you said we're looking out for around INR40 crores. Is that right? Rohan Desai: Yes. Priyank Chheda: Okay. Rohan Desai: FY '25, '26. Priyank Chheda: '25, '26. So the full potential for this project was around 200 tons at $10, somewhere around INR200 crores. So is that something which we are looking out to reach in FY '27 later on? Rohan Desai: Yes, INR180 crores is the potential of revenue which we can generate out of 2 KTA plant. Priyank Chheda: Sure. Okay. And coming to... Kushal Doshi: So this is a five year contract, right, which was signed in FY '24 to FY '29 maturity having a 2 KTA plant. So this is a step-up buildup towards that 2 KTA which we are targeted in FY '28, '29. Priyank Chheda: Perfect. On site plus -- Site 3++. So I'm sure we are ready to start the plant with the construction fully commencing by end of this financial year. And we had planned somewhere around 2 molecules in agro, one in material science, as a pipeline so that when we start, we start ramping up the production also. So any update on that, site, 3+ and 3++ would be a helpful somewhere the products and capacity was around 3,500 tons is that what remains intact or not? And then



plans to reach a full potential of INR350 crores why should we think of that in that potential from that plant? Rohan Desai: So on Site 3++, there has been an interesting development also on CEM business model. So we are looking at it. Also on these 3 products, we are already completing the qualification with our customers. So either we go on the large scale manufacturing business model or CEM is just what we are looking at. We will come to know by February end. As on this direction which is going, and we will announce that decision public once we make that decision. Kushal Doshi: But in terms of execution, Priyank, yes, you are correct. We will look to complete the construction and condition of the plant by the end of this financial year. We look to stabilize this plant over the next 3 to 4 months, and then we see the full commercial production happening. Priyank Chheda: And the full revenue potential somewhere remains with the mix of the product that we plan to manufacture. The full potential remains at around INR350 crores, INR400 crores. Is that right understanding? Kushal Doshi: For Site 3+ and 3++? Priyank Chheda: Yes. Both combined at 6,500 tons, yes. Kushal Doshi: INR300 crores. Priyank Chheda: INR300 crores. Got it. Perfe ct. And now coming to Site 2, which is our core manufacturing side, which was -- which is now ready to again scale up fully what would have the revenue contribution, say, because we were running at some optimal level. What would have been the revenue contribution from that plant in this 9 months so that we get to know when we are ready for full commercial production, say FY '25, at full utilization, what can be the revenue from this? Faiz Nagariya: That is approximately INR265 crores in 9 months. Priyank Chheda: Okay. INR265 crores in 9 months. And this would have been running at what around 60% utilization, is that right? Faiz Nagariya: Yes, it is around 60% to 65% utilization and now the 100% revocation is received, in this quarter, we will be reaching around 70% to 72% utilization rate. Moderator: The next question comes from the line of Abhijit Akella from Kotak Securities. Abhijit Akella: Just a couple. One was regarding the comment you've made regarding the expectation of some improvement in prices in China following the Chinese New Year. So it's possible for you to please share some color about what Intel exactly you're picking up from your contacts there. What's the thought process? And has anything changed in China with regard to how they're looking at their strategy in the chemical industry going forward?

Rohan Desai: So the prices have already bottomed out. We do not see further reduction in the pricing. Usually the post-Chinese new year, the Chinese strategies evolve and the company restart afresh. And that is when the strategies and the pricing trends are decided for the whole year. So we are projecting that some changes and some corrections will happen. That's our understanding. Our teams, as we speak, are also in China, evaluating this. In terms of the procurement in terms of the sales. So I think that's our understanding and that's our assumption. Abhijit Akella: Okay. And does the proposed tariffs to be imposed by the U.S. on China, does that have a bearing on any of this? Or this is independent of starting your view? Rohan Desai: It's independent. Abhijit Akella: Okay. All right. And just the other thing I had was on the Baker Hughes contract since we expect that it will more or less run at close to full utilization during the upcoming financial year. So just sort of wanted to check what level of visibility we have or how far along the progress of the launches of those products has actually come along. So how much confidence can we sort of have in that projection? Aman Desai: We have a lot of confidence on the partnership in general. We are launching the first 2 products now as we speak, and we anticipate the remaining products in the very near future. Give me the chart that is the most difficult. And now as of today, we are starting. And so it's lot of confidence and very high -- it's a very strategic partnership for us, and we have visibility at the highest level. And these are very fast moving products also complement in a high degree of attention in the partnership and in general in site 4 to reach full utilization part. Moderator: The next question comes from the line of Krishan Parwani from JM Financial. Krishan Parwani: Congratulations on a good set of numbers. Just a couple from my side. First on the gross margin improvement in this quarter. So just wanted to know, is it linked to product mix improvement? Or is there some benefit from price revivals as mentioned by Rohan earlier? Rohan Desai: I would say some very less 5%, 7% could be contribution of the price improvement, but remaining is change in the product mix. Krishan Parwani: Okay. That's great. And so with commercialization of the Baker Hughes contract and then some volume uptick of Aramco projects. So are we expecting a similar EBITDA margin or an upward trajectory in your margin going forward? Rohan Desai: Yes. Krishan Parwani: I mean should we assume like a 29%, 30% margin? Wha

t should we assume for the gain? Faiz Nagariya: Currently, for a couple of months or a year or 2, we can expect around 30% margin. And then when we have new contracts coming up, and then you will see that the margins also increased beyond that.

Krishan Parwani: Okay. And secondly, on the tax rate, is there any normal payment in this quarter because I think it's 28%. So I think with the new facilities coming in, I remember you had mentioned that it should come down. So this 23%, 24% going for a tax rate this time? Faiz Nagariya: Yes, Krishan, good question. And the major reason is that the site for each started in third quarter the same stated in actually March 25, and the assets were capitalized. So this is basically deferred tax, which has increased on account of that. And the tax also, there was the assessment completed of our previous year, which is also around INR1.25 crores, which is also added to this. So that is the increase. Otherwise, the tax rate is 25.168% for Aether Industries and 17.16% for Aether Specialty. This is one update this time. Krishan Parwani: Okay. So with contribution from the Aether specialty increasing that mix would be -- tax rate could be lower than 25%, correct? Faiz Nagariya: Yes, correct. Krishan Parwani: Okay. And just a last bit, in terms of your working capital, so where do you aspire it to take it to, let's say, in the next 2 years to 3 years, maybe FY '27, FY '28. What's your targeted working capital there? Faiz Nagariya: As a finance person and a CFO, I would like to see the working cycle of the company after 2 years to around 150, 160 days, at least. Moderator: The next question comes from the line of Ashok Shah from Eklavya Invesco Family Office. Ashok Shah: So we have increased our R&D budget. So can you elaborate so how many scientists we have recruited and what's your future plan because we increased by almost 100%. Aman Desai: The Company is based on R&D foundation. And so we continuously expand the R&D assets and the pilot plant assets that we have. We today have more than 125, 130 R&D scientists, more than 100 chemical engineers in the R&D and product plan and ideas to continuously expand that and increase that. And on the backdrop of continuously increasing inquiries that we see from existing customers as well as new customers in the CRAMS business model. In fact, minus your -- in 2025, you plan to take a 2x expansion of the R&D infrastructure and create an entirely new R&D wing, which will be a 2x expansion of the R&D assets and that will start taking the whole and doing expiration for that in the very near future and the designs of made up and that will represent a significant expansion. And so this trend of increased R&D expenses and expenditure. This is a continuous feature for us and will continue. Faiz Nagariya: Ashok, I would like to add something here. Last year we spent around INR98 crores in financial year '24 on R&D expenses. And this year, in 9 months, we are at around INR47 crores. Where do you see double R&D expenses… Ashok Shah: No, 15%, I think it was a percentage-wise in comparison to the revenue?

Faiz Nagariya: Yes, last year, it was a one-off because the revenue was down because of the fire accident, and that it of 15.4%. If you see current year at 9 months, it is INR47 crores, which is 7.4% of total revenue. So we are again on the same track. Yes. Ashok Shah: Yes. And sir, what's the amount of claims we have submitted for the fire industry? Faiz Nagariya: INR100 crores. Moderator: The next question comes from the line of Yash from Stallion Asset. Yash: What is the capacity utilization right now? And how do you see that going forward overall? Faiz Nagariya: The capacity utilization at site 2, it is approximately 62%, which I told before some time also. And we expect that in end of March '2

5 when the entire facility is now operational, we expect it to be around 72%. And maybe next year when everything is going okay, we do not expect it to go more than 80%, 85% because we will give 15% always in hand for some kind of overall maintenance. Site 3 is operating at around 50% currently, and that is not because of the production but because of the pricing pressure which is there. And we expect it to rise up to around 65% next year. Moderator: The next question comes from the line of Bhumika from Neumerc Research Lab. Bhumika: My question is regarding the exports. This quarter, we were heavy on exports. There are a lot of wildfires going globally and there's global temperature uncertainties. Do we see our agro chemical exports being hampered because of that? Rohan Desai: Bhumika, I'll take this question. No, we do not see -- we are operating out of very few agrochemical products and we have annual contracts on them or long-term contract on them. And we do not see this because there are no single products. We are ongoing for approximately 8 months to 10 months in a year. So we do not see any change in demand because of this event. Bhumika: Okay. The other question that I had was, now we see a decrease in our large-scale manufacturing segment and a massive increase in our contract exclusive manufacturing. So at the company level, would you say the vision for the company is to enter more into the contract exclusive manufacturing for the pharma, agro and the material sciences space? Rohan Desai: Yes, Bhumika. That's the thought and that strategy of the company. That we want to do more CEM business and also focus on the large scale manufacturing business model. The large-scale in fact has not decreased. In fact, the CEM has increased. Hence, there is a pivot from large scale manufacturing to CEM business model. Moderator: Bhumika has left the question queue. And as there are no further questions, I now hand the conference over to the management for their closing comments. Kushal Doshi: Thank you, everyone. Thanks for connecting, and we look forward to connecting you post our Q4 results. Thank you.



Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: May 2025

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. May 8, 2025 Ref. No.: AIL/SE/10/2025-26 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Saturday, May 3, 2025, on the financial performance of the Company for the Fourth Quarter and Financial Year ended on March 31, 2025, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

Page 1 of 19 "Aether Industries Limited Q4 FY '25 Earnings Conference Call" May 03, 2025 MANAGEMENT: DR. AMAN DESAI – PROMOTER & WHOLE TIME DIRECTOR MR. ROHAN DESAI – PROMOTER & WHOLE TIME DIRECTOR MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER MR. KUSHAL DOSHI – LEAD INVESTOR RELATIONS MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of Aether Industries, hosted by HDFC Securities. As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you and over to you, sir. Nilesh Ghuge: Thank you, Rutuja. Good morning, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries' Conference Call to discuss the Results for the quarter ended March 2025 and Financial Year 2024-'25. From the Aether Industries we have with us today Dr. Aman Desai – Promoter and Whole Time Director; Mr. Rohan Desai – Promoter and Whole Time Director; Mr. Faiz Nagariya – Chief Financial Officer; Mr. Kushal Doshi – Lead Investor Relations, and Ms. Shubhangi Desai – Executive IR. Without further ado, I will now hand over the floor to Mr. Kushal Doshi to begin with the earnings call for the Q4 FY '25 and Financial Year '25. Over to you, Kushal. Kushal Doshi: Okay. Thank you, Nilesh. Thank you and a warm welcome to everyone. Yesterday, our Board has approved the financial results for the 4th Quarter and the Full Year Financial Year ended 2025, and the same has been filed with the Exchanges, as well as updated over our Website. Please note that this conference call is being recorded and the transcript of the same will be made available on the website of Aether Industries Limited and the stock exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in the press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call our discussion will include certain forward-looking statements which are predictions, projections, or other estimates of our future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise.
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Now, Mr. Rohan Desai will begin by sharing Aether's business outlook. Then Mr. Faiz Nagariya will cover the financial highlights of the period under review. And Dr. Aman Desai will share the ongoing expansion and strategy of the company going forward. I hand over the call to Mr. Rohan Desai for his opening remarks. Rohan Desai: Good morning, everyone. It is a pleasure to connect with you all today as we review Aether's outstanding performance for the Q4 of Financial Year 2025. I hope you are all doing well and I am excited to share our progress. We have achieved remarkable growth this quarter with overall volumes surging by 21% compared to the previous quarter. For the full year of the Financial Year 2025, volumes soared by an impressive 34% compared to the Financial Year 2024. Pricing for our products has remained stable over the past six months, reflecting our strong market position. Demand for our offerings continued to be robust, and we are thrilled to have welcomed six new clients in Q4 of Financial Year 2025, further expanding our reach. Aether's strategic pivot towards CRAMS, contract research and manufacturing services, and CEM, contract/ exclusive manufacturing business model, is yielding excellent results. In Q4 of Financial Year 2025, 38

% of our revenues came from contracts/ exclusive manufacturing, 10% came from CRAMS, contract research and manufacturing services, and 51% came from large-scale manufacturing. It is particularly exciting to note that CRAMS and CEM now contribute nearly 50% of our revenue. And trend we expect to strengthen as our robust CRAMS pipeline continues to drive opportunities for our CEM business model. Our goal is to achieve 70% contribution from CRAMS and CEM, with 30% from large-scale manufacturing. And we are well on our way to realizing this vision. Additionally, we have successfully commercialized Site-4 over the past two quarters and production is going on full-fledged manner in Site-4. Our expansion initiatives are progressing seamlessly. Site-3++ is being dedicated to a key client under a CEM business model, with installation of piping and reactors well underway. We anticipate production to begin in the end of Q3 of Financial Year 2026. This milestone highlights our ability to forge unique high value Contract Manufacturing relationships outside of agrochemical and pharmaceutical sectors, an achievement that underscores Aether's distinctive position in the industry. Similarly, Site-5 in Panoli is advancing steadily with first two production blocks on track for commissioning by December 2025. On the trade front, Aether's exposure to the US market remains minimal at 7% of the total sale, insulating us from potential tariff impacts, if any. We continue to monitor this development

closely. I will now hand over our phone to our CFO, Faiz Nagariya, who will share the financial highlights for this exceptional quarter. Over to you, Faiz. Faiz Nagariya: Thank you, Rohan. And good morning, everyone. I am glad to present the Financial Results of Aether Industries' Limited for Q4 of Financial Year '25 and the financial year ended on 31st March, '25. The total consolidated revenue of the company stood at Rs. 2,453 million in Q4 of Financial Year '25 as against Rs. 2,333 million in Q3 or Financial Year '25, resulting in an EBITDA of Rs. 819 million in Q4 as against Q3 of Rs. 757 million, an increase of 8% in the comparing periods. The EBITDA margin stood at 33% in Q4 as against 32% in Q3 of Financial Year '25. The PAT amounted to Rs. 504 million in Q4 or Financial Year '25, as against Rs. 434 million in Q3 of Financial Year '25, which is a 16% increase quarter-on-quarter. The PAT margin stood at 21% in Q4 of Financial Year '25 as against 19% in Q3 of Financial Year '25. The consolidated revenue of Financial Year '25 increased by 38% to Rs. 8,803 million from Rs. 6,374 million in Financial Year '24, enabling a very healthy EBITDA of Rs. 2,709 million, which is a 31% margin in Financial Year '25 as against Rs. 1,577 million, which was 25% in Finance Year '24, resulting in an increase of 72% year-on-year. PAT stood at Rs. 1,584 million in Financial Year '25 as against Rs. 825 million in Financial Year '24, which is an increase of 92% in the comparing periods. PAT margin increased from 13% in financial '24 to 18% in Financial Year '25. During the quarter, we have also received a stock insurance claim from the insurance company. The revamping of the affected site is completed, 100% operations at the fire-affected site has been started since January '25 post approval from the regulators. The remaining claim for the fixed assets for the loss has been put up to the insurance along with the loss of profit claim, and we are confident to get the claim settled by insurance company by or before the end of Q2 of Financial Year '26. We have been able to reduce the inventory cycle to 173 days on 31st March, '25, as against 210 days on 31st March, '24. The debtor cycle has also been reduced to 126 days as on March 31, 2025, as against 142 days as on March 31, 2024, encompassing the payment flow from the customers. With more of Contract Manufacturing businesses unfolding in the near future, we

anticipate to have better debtors and inventory cycles in future. The return ratios have also improved for us wherein the ROE has gone up to 7.12% in finance year '25 as against 4% in Financial Year '24, and ROCE has gone up to 8.5% in Financial Year '25 as against 4.7% in Financial Year '24.

We are continuously using the solar power benefit, and we will be expanding that to our other units as they come up. And the total benefit of solar power in Financial Year '25 has been Rs. 188 million as against Rs. 172 million in Finance Year '24, encompassing the sustainability initiative of Aether Industries, and we would continue to add capacities to the solar or wind or hybrid models of renewable energies for our upcoming new sites as well. Now, I would like to request Dr. Aman Desai to share updates on Aether's ongoing expansion plans and strategies moving forward. Aman sir. Dr. Aman Desai: Thank you. Thank you, Faiz, for the financial highlights. Good morning, everybody. I am very happy to connect with you all again. My thought for this call, perhaps I will start by giving an idea of the various five sites that we have, Faiz and Rohan have spoken extensively about how good the quarter has been, and the fiscal year has been. And so just to give you an idea of the five sites that we have and what's happening and how bullish we are. Site-1 is the R&D and the pilot plant. We have eight research groups, 63 hoods in the Site-1 in the R&D center. We are doing a double expansion of this Site-1 R&D center. The excavation has already begun. This represents our bullishness on the R&D and the CRAMS business model that we have. The CRAMS business model has grown by 24%, which is quite pleasing, and this continues to be the heart and the engine of Aether's new ventures. Our R&D expenses for the Fiscal '25 stood at Rs. 681 million, which is approximately 8% of the total revenues was R&D spending. We already have what we call the largest pilot plant in the world and that also reflects on the bullishness that we have on the CRAMS business model. The Site-2 and Site-3 were largely LSM, with some large-scale manufacturing, which is against Chinese import substitution, which was our original business model of significant portion. Now it was also Contract Manufacturing, exclusive manufacturing, but largely LSM business model, that has also stabilized. Both sites are running at full capacity. We have fully stabilized post the fire accident that happened in November 2023. Both sites are running at full capacity. Chinese pricing have flattened out and they are on the way up. The volumes are back, and the pricing is also inching upwards. Site-3+, as Rohan mentioned, is now fully dedicated for contract manufacturing, exclusive manufacturing for one particular material science company for one particular product. This particular product is transitioning from the CRAMS business model to the Contract Manufacturing, exclusive manufacturing business model. We have been working on this product for the last three to four years now for this particular customer, and now we are fully dedicating our Site-3+ to the exclusive content manufacturing of this particular product for the material science company.

The Site-4, which is for the oil field services company, a large part of that being towards Baker Hughes, is also running quite well. Very healthy order book already in that site and expanding more and increasing more on a monthly basis, and that is now fully on track. Site-5 is currently progressing very well in the Panoli side, which is a very large production site that we are constructing. We have full line of sight of about three to four plants in Site-5, and that's going to be the first couple of plants with the large-scale manufacturing business model, which were the products which were kept on hold for Site-3+

, which will now go into Site-5. And also, we have already finalized and are on the verge of finalizing several contracts for the Contract Manufacturing and exclusive manufacturing of various products in the material science arena from European and American customers for Site-5. And more of this will come in the next few months as you see these announcements unfold. I think especially the Site-3+, Site-4, but anyway I was mentioning, I just gave a highlight of the various five sites, and so especially Site-3+, Site-4 and Site-5, all the various contracts that we have either finalized or are finalizing right now, as I mentioned, are very firm validation. And I think absolute incontrovertible proof that our CRAMS business model is working in a very robust manner. We are forging relationships with innovators across the globe, across the industry spectrum. And these are actually completely non-pharma and largely non-agro. And by next year or definitely over the next two years, we will be firmly fully diversified with a very broad 25% pharma, 25% agro, 25% material sciences and 25% oil and gas into our overall pie of revenues. I think especially over the last few months, as the global conditions have intensified and, in some cases further exacerbated, CRAMS and the Contract Manufacturing business models have seen major inquiries and fast tracking of some of the CRAMS projects. We are seeing a palpable sense of urgency from various customers across the globe as they look towards expediting the finalization of contracts with companies, especially in India. And I think we are very well placed for that, considering all the relationships that we have already forged with these various companies. Currently we have over 50 CRAMS projects that we are working on, out of which 70% are in the R&D, non-pharma and non-agrochemical projects. And that is mostly almost 35 CRAMS projects in the R&D that are ongoing today which are non-pharma non-agro. Over the last three months we have also had numerous international customers who have come to visit our Site-5, which is the Panoli site, which I talked about already. They have a clear line of site, as I mentioned, for the various projects that we would like to start at Panoli at Site-5 in the first three to four plans.

For the Fiscal Year ‘25, the CRAMS and exclusive manufacturing business model has grown by 55%, which has also helped us to increase the company's margins as well as reduce the pricing pressure from which the LSM model has been suffering. So I always mentioned that this has been a golden age for the Indian chemical industry, and especially over the last three to six months we are seeing that this is especially the case. We are seeing tremendous potential and all the opportunities that are available to Indian specialty chemical companies who are diversified and have their fundamental pieces well in place. And we are working tirelessly towards converting these opportunities into actual projects which are going to start within Aether. So let me stop there. Thank you everybody for your time and attention today and we will be happy to answer any questions from the investor community. Again, thank you for all the support. Kushal, back to you. Kushal Doshi: Yes. Thank you. We shall now request the moderator to open the floor for questions-and-answers. Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Akshay from AK Investment. Please go ahead. Akshay Kaila: Yes, thanks for the opportunity. So my first question is, how much capacity we will increase by expanding our capacities in Site-3++, 4 and 5 combined, compared to Site-2? Rohan Desai: I will try and explain it to you, Akshay. It is very tough to measure the capacities in the specialty chemical field. Obviously, with the Site-3+ contract or whenever it happens, you will come to know about the

capacities and everything once it is available on the public domain. Site-4, we have always mentioned that we are putting about capacity of 16 KTA, that is 16,000 tons, that is for Baker Hughes plant. And Site-5, we are talking about each production block having capabilities and capacities of manufacturing above 500 tons of product. But as the product mix are differentiated and which plant the combinations will happen, we will soon let you know. But at this moment it would be very tough to mention this. I am sorry I could not answer it in a straight line, but this is a very complicated question which you asked. Akshay Kaila: Yes, sir. Not an issue. Sir, my second question is, can you put some light on our products and our competitive edge on all our products like in oil and gas sectors and in the material science sector? I am new to this company so I would like to understand what is our market share and product competitive edge. Rohan Desai: Aman?

Dr. Aman Desai: Yes. Akshay, thanks for the question. Again, we are very competitive. We are focused on chemistry and technology innovations across the spectrum of the productions that we do. And so the idea is to be the most competitive source in the world for any product that we take into manufacturing. We incorporate a lot of technological and engineering innovations in all the chemistries that we perform. And so there’s a marriage of chemistry, technology and engineering always, which brings a lot of efficiencies into the systems and drives down the costs. And so it's difficult to pin down specifically on any particular product because we are, as I mentioned, we are quite diversified into pharma, agro, material sciences, oil and gas. We are selling products which are $2, $3 per KG, and we are selling products which are $5,000 per KG, and everything in between. And so to pin down anything, it will be very difficult. But I think suffices to say that we are very competitive because we bring innovations which is aligned to our core competencies, which is the fundamental foundation of the company, to begin with, 13 years ago. Thank you, Akshay. Rohan Desai: Sir, if I may add two more points over here. For the large-scale manufacturing we manufacture products for the first time in India and we are the only manufacturer of most of the products which we manufacture on the large-scale manufacturing business model. In terms of the CEM and CRAMS, what we are doing currently is partnering with the innovators and launching the products for the first time in India. And now with the few launches which are coming up in Site-3++ and Site-5, we will be launching them for the first time in the world. Would that answer your question? Akshay Kaila: Yes, yes, very, very sufficient, sir. And lastly on the FY ‘26 outlook, so how much you are anticipating the growth and the margins in FY ‘26? Kushal Doshi: So, Akshay, we do not give forward guidance on numbers, but suffice to say that the margins will remain pretty much the same. Akshay Kaila: Okay, okay. Thank you so much, sir. Thank you. Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead. Abhijit Akella: Yes. Good morning and thank you so much for taking my questions. The first one is on the Q4 results. The EBITDA margins, even excluding other income, seem very strong at north of 33%. And it does seem like there's been a quarter-on-quarter decline in the OPEX lines, especially maybe other expenses, a little bit in employee cost as well. So if you could please just help us understand what has happened there, and do we expect to continue this 33% margin in upcoming quarters as well?

Faiz Nagariya: Yes, Abhijit, I will take this question. You are right that this time the EBITDA margin is more inclined towards the revenue from operations as we have the QIP funds which we had ra ised, we have deployed. And so now other income which was coming from mostly FD interest is reduced. And going forward, we will be at. 30% EBITDA margin for sure. And the expenses which have reduced, there is no reduction actually, what has happened is new projects have started. So as per the accounting standards, various capitalization of expenses of project and process teams is being done. So that is the thing, and that will be the CAPEX thing. Otherwise, there is no change in the expenses. Also, other expenses have reduced, because I think in my comment if you heard I had said that solar power plant is giving a good return to us, so that has also helped us reduce the electricity cost overall, which is also a good factor which has increased our EBITDA margins. Kushal Doshi: Abhijit, is just to add to that, if you see the CRAMS business model and the CEM have now started firing. Especially the CRAMS if you see, for the financial year FY '25, CRAMS has for the first time Rs. 100 crores of revenue. This is of course a very high EBITDA margin business which is for us. And as you realize that R&D is the core for this company, so now you are seeing the results of R&D coming in as well as the CEM now taking off with the two new CEM contracts which were mentioned by Rohan and Dr. Aman. Abhijit Akella: Got it. Yes, thank you. That's helpful. The other one was just on the working capital. There's been some improvement year-on-year, but for the year ahead, if you could please share some outlook regarding how you are seeing things moving now that the revenue mix has started to shift? Faiz Nagariya: Yes. So, we are trying to incline more towards the Contract Manufacturing and CRAMS more. And in Contract Manufacturing, there will be definite payment terms and also the inventory flushing will be continuously going on and so there will be no more piling of the inventories, because the context will be very much defining the quantities which we now have to sell to these customers. So, of course, we are looking forward to reducing this more. Currently we are at around 195 days of working capital, we expect it to bring it down to better levels. And within a couple of years or three years we would try to bring it down to 150 days level for sure. Abhijit Akella: Understood. Thank you so much. And on the revenue growth that we have seen in FY '25 in LSM and CEM, would it be possible to just share broadly which products or which contracts have sort of driven this kind of growth? Rohan Desai: Abhijit, we can connect separately on this. Basically, we do not want to mention the product names and the companies, because they are more of confidential in nature. So we can discuss this offline if required.

Abhijit Akella: Fair enough. Thank you. And the last thing for me is just on the tariff situation. I know our US exposure is only 5% to 6% of total revenues, but I mean, could there be some sort of indirect impact coming in from other geographies because of all this environment? And there's also some concern that Chinese may turn more aggressive outside of the US, in case they are blocked from the US market, so how are you seeing the industry environment evolving in that context? Rohan Desai: So, I do not know about people, but what we are seeing is lot of inbound inquiries and interest which are fast tracked towards conversion into contracts and commercialization. So in fact, we are seeing a lot of companies moving towards in a very, very fast manner towards getting things into the commercial stage, because they are worried about the tariff structures and what US might do in the next few months. And we are not seeing any negative impact for Aether, especially at this moment. And the contribution of our top line for the last financial year was only 7%. So we are not at all worried on this at the moment. Abhijit Akella: Most of our products are exempt from the tariffs or are they actually

subject to them? Rohan Desai: No, nothing is going into US. So I mean, except for the 7% nothing is going into the US. And that 7% is also mostly constituting of CRAMS businesses, so that's more of service-oriented business which we are in. Abhijit Akella: Okay, great. Thank you so much. I will get back in the queue for anymore. Rohan Desai: Thank you. Dr. Aman Desai: Thank you. Moderator: Thank you. The next question is from the line of Chaitanya Kamdar Anvestha Fund Management LLP. Please go ahead. Chaitanya Kamdar: Hi. Congratulations on the good results. I had a question, basically we see Aether as a major player in the material science space, which is unlike other players in India to the scale of what you are manufacturing. So, can you give us your strategy over the next two to three years as to how Aether is tapping into the segment and what can we expect? Dr. Aman Desai: Yes, I can take this. Thanks, Chaitanya, for the question, it is a good question. We are focusing consciously on increasing the partnerships and the CRAMS projects and the Contract Manufacturing projects and material sciences, as well as oil and gas. And so that's a conscious strategy adopted by the company. The focus is quite simple actually, it's strategic partnership with innovators in the material sciences and oil and gas space. And for everyone that we announced, we are working with four to five others in space as well. And so the strategy always has been and will continue to be quite simple as strategic partnerships with these innovators

where we would like to be their one-stop solution and their go-to partner for all complex chemistry and technology needs. And so if they have pipeline molecules of various launches in the future that involve complex chemistry and complex technology, then we want to be the first ones they connect with. Look, we are and we look to be considered as the internal research scale-up and commercial supply arm of these various innovators, which just happens to be a different company located in India. And so that's the strategy, that has always been the strategy and that will continue being the strategy. And we are focusing on this much more is focus on the core competencies of the company in chemistries and technologies and then focus on strategic partnership with innovators, having multiple eggs in the basket with the same partner. And so we want to be working with a partner for their R&D needs in the CRAMS business model for the scale-up and supply needs in the CRAMS business model, and then also be their partner for commercialization as the products are launched, which now we are seeing the proof in the pudding with the Site-3+ and the Site-4 and the Site-5 contracts that have been finalized already. Hopefully that answers your question, Chaitanya, happy to expand more. Chaitanya Kamdar: Yes, that's great, you answered that. And just a bit of a follow up to the previous question is, how is Site-5 shaping up in terms of Phase-1? And do we have any clarity on the first four plants? Dr. Aman Desai: Yes. So Site-5, as I mentioned in my little ramble earlier is shaping up quite well. We are in the Zone-1, the Phase-1 has four plants and we have more or less 80% clarity on the first four plants that we are going to be installing and operating. And actually we had three products that we were going to launch in the LSM model in Site-3+, which has now been dedicated to a content manufacturing customer, as I mentioned earlier. And so those three products are going to be launched first in the Site-5 in the LSM model, and then the next 2, 2.5 plants are going to be dedicated for Contract Manufacturing projects with various customers, the contracts for which have been and are being currently finalized. So, from the line of sight of the first four plants mostly. Chaitanya Kamdar: Okay, noted. Thanks a lot. That's it for me. Dr. Aman Desai: Thanks. Moderator: Thank yo

u. The next question is from the line of Krishna Parwani from JM Financial. Please go ahead. Krishna Parwani: Yes, hi, sir. Good morning. Congrats on very strong set of numbers. A couple of questions from my side. First, I think you mentioned that the revenue from Site-3++ would begin from 4Q FY



'26. So just wanted to check if you have already received the orders for the same or the orders will come in probably over the next couple of quarters? Rohan Desai: The contract is being finalized. Once the contract is being finalized we are on the very end to finalize this contract. And so once it is done, the orders will follow immediately. Krishna Parwani: Understood, sir. And from Site-4, was there a large revenue in 4Q FY '25, just from an understanding point of view given we have seen a good increase in our top line in 4Q. So just wanted to check whether the contribution has started from Site-4? Faiz Nagariya: Yes, from Site-4 in Q4 we had approximately around Rs. 25 crores of revenue, which were the validation quantities which was sent, and now the commercial purchase orders are received and we are going to do the commercial supplies to them from this quarter onwards. It's already started in April. Krishna Parwani: Okay, that's great, sir. And just the last bit, just can you highlight revenue trajectory for Site-4 and Site-3++ in case if you are able to publicly? I think in the past we had indicated that Site-4 will gradually ramp up to Rs. 250 crores, Rs. 300-odd crores. So, I just wanted to understand the trajectory for both the sites. Kushal Doshi: So Krishna, in terms of Site-4, our statement remains valid, what we had mentioned in the past. It will actually ramp up in FY '26 and then fully ramp up in FY '27. Site-3+, we cannot give you any projections for time being. We will come back to you later during the financial year. Krishna Parwani: Noted sir. And just last bit, I think on the EBITDA margin you answered to previous participant that EBITDA margin will go up from here, but just wanted to understand like, let's say, for FY '26, a 33% EBITDA margin is the prime number with or probably more like an average 30%, 31% kind of an EBITDA margin? Faiz Nagariya: Yes. So Krishna, it will be an average of around 29%, 30% and from there it will grow gradually. So currently we are not looking at 33%, it will gradually grow in a couple of years or so. But 29%, 30% average EBITDA margins is what we are expecting and we are working on. Krishna Parwani: That's great, sir. Thank you so much for patiently answering my question. Wish you all the best. Thank you so much. Moderator: Thank you. The next question is from the line of Krishna Mundra from NG Invest. Please go ahead.



Krishna Mundra: Hi, team. Congratulations on a good set of numbers. So, as you mentioned that US sales are just only of 8%, which is true from CRAMS business. So regarding the Baker Hughes contract, is it going to the US or other geography? So just wanted to like get a sense. Rohan Desai: Other geography. Krishna Mundra: And next is on the converge polyols business. So we had started commercialization with H.B. Fuller, so are there any developments on that part? Rohan Desai: Yes. So we have a contract with H.B. Fuller. And that contract is being well executed. In this financial year we are looking to close two new contracts in the converge platform, which will take us above 500 tons of manufacturing and sales as per our estimates for this financial year. Krishna Mundra: And the next is regarding, in the last quarter you said that we were evaluating for starting LSM or CEM business from the Site-3++. So, have you done that or have you taken any decision regarding that what we are planning to do? Rohan Desai: Yes, Site-3++ will be dedicated to CEM business model. Krishna Mundra: And in that CEM, if you can provide any like, which chemical we are plannin

g to manufacture any other chemical, pharma or material science? Rohan Desai: It's non-pharma, non-agro. That is the max I can say at this moment. Once the agreement and the contract is finalized, we will publish it in the public domain and we can discuss this more openly at that point of time. Krishna Mundra: Okay. And the next was regarding the pricing, like you said that starting the Chinese New Year we can see an upward trajectory in the pricing. So during the 4th Quarter, did we see the rise in top line was only due to volume increase or there was some price increase which we have seen? Rohan Desai: So price was stable. We have seen only volume growth. Krishna Mundra: Okay. Thank you. Moderator: Thank you. The next question is from the line of Manish Badani from B&K Securities. Please go ahead. Manish Badani: Congratulations for the good set of numbers. Sir, I am new to your company, so just to understand the rationale behind your strategic goal of, as you told, 70:30 split between CDMO, CEM service, and large-scale manufacturing, like what drives this mix and how does it align with your long term growth strategies?



Rohan Desai: Aman? Dr. Aman Desai: Yes. Thank you, Manish, for the question. Basically the focus is to, as I said earlier in a response to one of the questions, is to have strategic partnerships with various innovators across the industry spectrum across the globe. And that's the push towards the increased portfolio of contract manufacturing, exclusive manufacturing. The large-scale manufacturing business model is the business model where we pick our own products which are generic advanced intermediates for pharma and ag primarily, which are again Chinese import substitution. That was the business model that we started the company with. And that is a business model that we still continue to nurture and grow. But contract manufacturing, exclusive manufacturing is a business model that is driven by both us and the customer together, and that grows much faster. And that's what you see in the numbers that are being portrayed. And in the future going forward this will stay more or less the same. We will try our best to keep the large-scale manufacturing business model at least a 25% or more in the years going forward. But especially in terms of the global scenario that we are in today, the push towards Contract Manufacturing and exclusive manufacturing and partnering up with companies in India is significant from various companies and innovators across the industry spectrum across the globe. And so we see the increased numbers of the Contract Manufacturing. Thank you. Manish Badani: Okay. That's helpful. Thank you. Moderator: Thank you. The next question is from the line of Rohit Ohri from Progressive shares PMS. Please go ahead. Rohit Ohri: Hi team. A couple of questions. The first one on Site-5, if we see that you have acquired some more property, taking it from 31 acres to 46 acres. Dr. Aman and team, my question is that what gives us that sense of positivity or what are you looking at? Because Dr. Aman said that R&D is the backbone, and you need to be focusing more on R&D. But what gives us that since that we have added approximately 15 more acres of land? Dr. Aman Desai: Yes. Thank you, Rohit, for the question. We have always been very bullish in terms of our partnerships that we have been forging over the last 13 years now with the various customers, primarily in the non-pharma non-agro sector for the CRAMS business model. We are very bullish about the growth trajectory of the company going forward. It is a golden age for the chemical industry. It has always been a golden age for the chemical industry over the last few years, and especially since the last few months. As the global conditions have further exacerbated we are seeing a very sense of urgency for various customers to start finalizing partnerships with, especially companies in

India. And so everybody wants to be not in China

and the only obvious choice for everybody in the world is India, more or less. And so we are seeing this pan out in the kind of inquiries we are getting, the urgency we are sensing from customers to close contracts and finalize the contracts with us. We are based on R&D and technological and chemistry innovations as the fundamental base of the company, and so the fundamentals of the company are very sound in terms of chemistry and technology and innovation in R&D. We continue to expand that as well in terms of the infrastructure and the resources and the manpower. We are led techno commercially from the top. And we are seeing now actual proof in the pudding in the way the contracts have been finalized for Site-3+ and the Site-4, and some for Site-5 and these exclusive manufacturing, Contract Manufacturing business model, which are actually results of the efforts done in the CRAMS business model, in research for these various customers over the year. So it's actually proven business model that it is quite robust, and that leads us to be very bullish and that leads us to continuously expand on all fronts of the R&D pilot plant and production, as a result of which you see the additional land being bought next to Site-5 in Panoli. Rohit Ohri: I know it's slightly too early to kind of gauge the timeline for completion of the additional land because we already have probably 14 or 16 sub-units which are coming up in Site-5. But any thoughts on by when do you think that Site-5 construction and the entire work will be completed so that you move on to Site-5+? Dr. Aman Desai: I will let Kushal or Faiz answer in terms of what guidance we are giving to people. Rohan Desai: I will take this up. The goal is to complete Site-5 in three to four years. That's the internal goal, I mean, that's the thought. As the projects are developing it tends to accelerated based on the incoming projects and inquiries which are getting commercialized as we speak. Site-5 additional land which we have acquired which is 15 acres more, which makes the total land parcel at 46 acres. What we are projecting is trying to keep it isolated for large customers, which would give us space to expand the customers like the likes of Baker Hughes or similar kind of customer for whom we can dedicate the whole parcel of land for a very big manufacturing facility. Rohit Ohri: Faiz, is it possible to share the cost of acquisition of this property? Faiz Nagariya: It's approximately Rs. 420 million. Rohit Ohri: Okay. And with this quarterly run rate coming up to somewhere around Rs. 230 crores to Rs. 240 crores kind of a range, you think you will be able to sustain this going forward as well with the inquiries that are coming in the CRAMS business or maybe the CDMO business?

Faiz Nagariya: Yes, that's the target and the internal goal for the company to be at around 29%, 30% EBITDA margins and grow from there for sure. And we are seeing this coming up. Rohit Ohri: And is it possible to chalk out maybe 18% or 20% CAGR growth over the next three, four years, or maybe faster than that? Faiz Nagariya: Yes. So currently we closed at 18% PAT margins and we think that we can continue at 18% and grow from there. It's definitely possible as new Contract Manufacturing and CRAMS business customers are coming up and we are getting businesses with them. Rohit Ohri: Last question from my side, team, the promoter holding is somewhere around 81.7%. By when do you think that you will be able to come to this SEBI requirement or rules of 75%? How much time do we have for that? Kushal Doshi: The timeline for this regulatory requirement is May 31st. We are in a discussion with our bankers and we will come back to you all shortly once we have decided the right course of action. Rohit Ohri: Any thoughts whether you will be plac

ing to some strategic shareholders or maybe go OFS or something like that? Kushal Doshi: There are only certain mechanisms which are allowed by SEBI for allowing us to reach the minimum promoter shareholding, so we will be abiding by those requirements. So we will come back to you. Rohit Ohri: Okay, team, thank you for answering my question. All the best. Thanks a lot. Rohan Desai: Thank you. Moderator: Thank you. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead. Nilesh Ghuge: Yes, my question is to Aman. Aman, we look at Aether Industries as an R&D driven, technology-oriented organization. And this year also with the 8% of your revenues, if you look at the revenue spend on R&D is about 8%. So going ahead, let's say, couple of years down the line, your expansion in R&D, you are doubling your capacity, so will that number go up from. 8% to somewhere like 10% to 12%, are you looking at that kind of number? Dr. Aman Desai: Nilesh, thanks for the question. As you know, I am originally a scientist, unfortunately I have become a manager now. And so if it were up to me, I would be spending a lot more money. But I have the likes of Faiz and Kushal and Rohan slapping my wrists every now and then. But jokes aside, we anticipate to be investing significantly in R&D, continuing to invest. Just for example,

we are placing an order for NMR, which is analytical equipment which is almost a little less than $1 million of single equipment for R&D in the next few months. And so those are the kind of advanced technological, analytical and R&D tools that we will be investing in addition to the expansion of the infrastructure and the manpower that is going to be there. We have started an excavation for the new R&D center which is right adjacent to our existing R&D center, which is going to more than double the capacity of our R&D. And the excavation of that has already started and we are going to come above the ground before the monsoon, which is like 1.5 months from now. And so that activity has started, it's going to be a grand, very nice globally advanced R&D center for organic synthesis and organic chemistry. And so that's what we are already building. And so I think, at least for the next few years, we will continue to expand and continue to invest in R&D. These numbers will more or less stay the same. Faiz can comment more on the numbers. But especially the vision from our side is that the investment into R&D will be a continuous effort and work-in-progress. That would be your gene and that is what drives the company forward and that is going to be the sustained focus of the company for years and years to come. So Faiz, over to you. Faiz Nagariya: Yes. So, Nilesh, we will continue to invest in R&D, as Dr. Aman said. And we would be minimum around 6% to 6.5% for sure because we are expanding R&D and new products will be developed there, new people will be added. So our thought is that at least 6% to 6.5% of our revenues will be invested in R&D for the next few years for sure. Nilesh Ghuge: Okay. Thanks for that. So Aman, coming on the R&D, now you are expanding your infrastructure, so before that can you tell us or can you break up the number of projects or a molecule you are working on in two parts, firstly which you are working on your large-scale manufacturing and other is the CEM or Contract Manufacturing, can you break up now? And where do you see that number going after expansion? Because as you mentioned that R&D will reflect in your revenue terms over a longer period. So we would like to know the number of molecules you are working on so that we can estimate that one of projects which will be fulfilled into the large-scale manufacturing or Contract Manufacturing. Dr. Aman Desai: Yes, thanks Nilesh. Just to give a high-level summary. We have eight research groups, thes

e groups have a total of 120 R&D scientists, plus more than 100 engineers. In terms of broadly, we have eight research groups, issue research group handles between five to eight projects per research group. And so, if you take an average number of say 6, 6.5 multiply it by 8, you are at about 50, 60 projects going on in the R&D at any given time. And about 70%, 75% of those projects are towards the CRAMS and the Contract Manufacturing business model and about



25%, 30% are towards the LSM manufacturing business model, which is Chinese import substitution, largely. And so if you count 60-odd number of R&D projects and 70% of that you are at more than 40 projects in the CRAMS business model, and then the remaining 20, 25 projects are in the LSM business model, 20 projects let's say. And as we expand further, I think we will have to try hard and we will because it's going to be a sustained focus as to keep the LSM model alive and growing and nurture it. But we see a tremendous amount of inquiries coming in into CRAMS business model and projects. And so keeping the CRAMS, as we expand more, say even achieve a 2x expansion in the next two years of R&D, keeping the CRAMS at 70%, 75% is going to be I think personally straightforward and quite easy. And just in terms of the relationships we are forging and the inquiries we are seeing and the reputation and foundation that we are standing upon today. But we will try hard to make sure that the LSM business model stays at 20% ,25%, 30% at least in terms of the overall number of projects we do in the R&D. Hopefully that gives you a good sense of the numbers. Nilesh Ghuge: Yes, sir. Just a last bit to Rohan and Faiz, you mentioned in your comment that Contract Manufacturing and CSM, which is currently contributing to about 20% and in few years you are expecting it to reach to about 70% plus. So, do not you think that it will be easier for you to manage working capital much, much better way because of your share of your CSM Contract Manufacturing going up compared to current scenario and working capital cycle should reduce drastically with rising your share of contract manufacturers? Any thoughts? Faiz Nagariya: Yes, Nilesh, that's the total plan. And we have been hearing about working capital since various quarters, so we are happy that we are able to bring it down to good level. And we will be further working on it, and Contract Manufacturing and CRAMS business model business would definitely help us bring them down more. And our target, as I told to even one of the earlier speakers was, to bring it down to 150 days' levels in the next two to three years. Nilesh Ghuge: Yes, thanks. Thanks for answering all my questions patiently. Thanks a lot. Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead. Abhijit Akella: Yes. Thank you so much for the follow-up. Just to check if you could please help us with the capacity utilization at present across your key manufacturing plants. And by when you expect them to hit full capacity utilization? And what sort of revenue potential do you see from each of them? Thank you so much.



Faiz Nagariya: Yes. So Abhijit, Site-1 is R&D and pilot plant, and we do not measure the capacities because it's depended upon on the contracts and the R&D which is done. Site-2 is currently operating at around 70% capacities and we expect it, because the site has come up slowly with the regulatory approvals as it was hit by fire, so we expect that it would be working to full capacities of around 80% to 82% in the current year, means in the Financial Year '25-'26. And Site-3 is also approximately around 66% capacity utilization, and we expect that it should be around 75%, 80% in this current year itself. And the revenue trajectory, we would not be able to give any forward-l

ooking statements. Site-4, we have started the validation quantity, so currently we are at around 25% to 30% captivity utilization, and this year there it will be a great jump, and it will be around 75% utilization. Abhijit Akella: Understood. Thank you so much and all the best. Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Kushal Doshi: Thank you, everyone. We look forward to seeing you guys again for Q1 FY '26 financial results. If any further queries, you can reach out to Faiz, myself or Shubhangi. And we look forward to meeting you. Thank you. Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

## Call: Jul 2025

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. July 29, 2025 Ref. No.: AIL/SE/30/2025-26 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Thursday, July 24, 2025, on the financial performance of the Company for the First Quarter ended on June 30, 2025, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached



"Aether Industries Limited
Q1 FY '26 Earnings Conference Call"
July 24, 2025

MANAGEMENT : DR. AMAN DESAI – PROMOTER AND WHOLE TIME
DIRECTOR – AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER AND WHOLE TIME
DIRECTOR – AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER –
AETHER INDUSTRIES LIMITED
MR. KUSHAL DOSHI – LEAD INVESTOR RELATIONS --
AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR
RELATIONS – AETHER INDUSTRIES LIMITED

MODERATOR : MR. NILESH GHUGE – HDFC SECURITIES



Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Aether Industries, hosted by HDFC Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you, and over to you, sir.
Nilesh Ghuge : Yes. Thank you, Steve. Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended June 2025. From the Aether Industries, we have with us today, Dr. Aman Desai, Promoter and Whole-Time Director; Mr. Rohan Desai, Promoter and Whole-Time Director; Mr. Faiz Nagariya, Chief Financial Officer; Mr. Kushal Doshi, Lead Investor Relations; and Ms. Shubhangi Desai, Executive IR.
Without further ado, I will now hand over the floor to Mr. Kushal Doshi to begin with the earnings call for the Q1 FY '26. Over to you, Kushal.
Kushal Doshi: Thank you, Nilesh. A warm welcome to everyone. Apologies for the delay. Today, on July 24, 2025, our Board has approved the financial results for the first quarter for the fiscal year FY '26, and the same has been filed with the exchanges as well as updated over our website.
Please note that this conference call is being recorded, and the transcript of the same will be made available on the website of Aether Industries Limited and the Stock Exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific

and written consent of the company.
Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause the actual results to differ materially from what is expected or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise.
Now, Mr. Rohan Desai will begin by sharing Aether's business outlook and will be followed by Dr. Aman Desai, who will share the ongoing expansions and strategy of the company going forward. And then we'll have Mr. Faiz Nagariya, who will cover the financial highlights for the period under review.
Now, I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Rohan.


Rohan Desai: Thank you, Kushal. Good evening, everyone. I hope everybody is doing well, and I'm glad to connect with you all to discuss the performance of our company for Quarter 1 of financial year 2026.
Last quarter was marked by heightened geopolitical tensions and tariff uncertainties. On the back of this, I am pleased to inform you that the demand of our products in the large-scale manufacturing vertical grew by 9% year-on-year and 8% quarter-on-quarter basis. Overall, the company has seen an increase in volume on the back of CEM business model also. The demand for our products continue to remain buoyant, and we have added six new clients in this quarter.
Prices for our products in the LSM business model vertical has remained stable, and this is evident by our margins remaining stable for this quarter. With respect to Aether's business model, we have

seen 51% contribution of sales from large-scale manufacturing business model, 37% coming from Contract/Exclusive Manufacturing business model and 10% coming from Contract Research and Manufacturing Services business model during this quarter.
Contract/Exclusive Manufacturing is set to show a good growth where the orders towards Baker Hughes is expected to increase, and we will also start the manufacturing for Milliken products for Site 3+. Our exports revenue stood at 33% of the total revenues and domestic sales stood at 66%. Please note, major shift in the domestic revenues is attributable to the supplies made to Baker Hughes' Indian entity.
On the capex front, we are on track. Site 3+, which we have dedicated to Milliken is expected to commence production by quarter 4 of financial year 2026. Site 5, which is based out of Panoli continues to progress smoothly and the target to commission the first two production blocks in Phase 1 continues to be -- by the end of quarter 3 of financial year 2026.
On Site 5, we plan to launch our own large-scale manufacturing business products in the first production block, which are targeted towards pharmaceutical, agrochemical and material science sector. The average pricing for these products ranges between $30 to $40 a kilo. This product have been approved and qualified by our customers and are going to be manufactured for the first time in India.
We are confident that we will be able to operate the plant at optimum level in 18 months from commercial production of -- from the start of the commercial production. The capex cost per plant at Site 5 is approximately INR160 crores to INR180 crores, and we plan to achieve an asset turn of 1.75x at maturity. The second production block will be dedicated to CEM manufacturing.
In terms of the sectoral split, for this quarter, we have seen pharma and agro now contributing only 46% combined, while oil and gas and the material science segments are contributing 19% and 17%, respectively. This is on the expected line as we expect the share of pharma and agro to continue to remain at 50% levels as the share of oil and gas and material science sectors is expected to increase drastically.


Our vision in terms of revenue contribution from sectors continues to an equal share of revenues from; one, pharmaceutical and agro; second, oil and gas; third, material science; and the fourth is sustainability and renewables.

In summary, I would like to say, despite of the macro volatility or soft economic environment in the last few months, we have had heightened client visits at Aether with the number of projects either being fast track or new client discussions taking place, whereby Aether is becoming a preferred partner or the only partner for R&D and commercialization of the products. We are encouraged by the discussions which are being taking place.

With this, I would like to conclude speaking, and I would request Dr. Aman Desai to touch upon the research and development and new client initiatives for this period. Over to you, Aman.

Aman Desai: Very happy to connect with you all again. Just to continue where Rohan left off, I'm first pleased to inform you that during this quarter, Aether Industries executed a contract manufacturing agreement with Milliken Chemical & Textile India Company Private Limited, which is a wholly-owned subsidiary of U.S.A. headquartered Milliken & Company. This is a very important milestone for us and a testimony really to the CRAMS research model that is being practiced at Aether. This product is now going to transfer from the CRAMS business model to the exclusive contract manufacturing business model.

Under this agreement, Aether will be the sole contract manufacturing partner for a key strategic product for Milliken. The initial duration of this contract is 10 years, for which we will be fully dedicating our new S

ite 3+. We have been working on this product along with the customer over the last several years in the contract research and contract manufacturing services business model, where we were developing the process together, scaling up together. Then now this is being launched into commercial manufacturing at Aether, and we will be the sole contract manufacturing partner.

During the quarter, we also participated in the Chemspec Europe exhibition, where we had more than 20 one-on-one customers with various innovators and customers and industry leaders across sectors. It is clearly visible that in the West, the companies are unable to manufacture in the current environment, much more so in Europe and several companies, as you know, have been shutting down their commercial plants there. India is really a viable option in this for an alternate. Everybody does not want to be in China, and India is really the only option.

I'm currently right now on a 2-week work tour in the U.S., meeting various customers across various sectors in various cities and participating in an exhibition where we are exhibiting, and there is also over here in the U.S., a clear trend emerging of customers increasing the inquiries and fast tracking a lot of the projects that we have been discussing over the last several years. Customers are indeed looking to partner with reliable partners in India and are expediting in finalizing the contracts much faster than what we have experienced in the past. We believe that Aether is extremely well placed considering the relationships that we have already forged with



these customers at the highest levels in the technical echelons of these companies and also on the basis of the world-class infrastructure that we have built at Aether and are continuing to build.

This year, we will also be expanding further our R&D facilities. The plan is to incur a capex of INR30 crores to INR40 crores to increase the number of labs from the current 15 to -- current 8 labs to an additional 15 labs and the current 65 fume hoods to an additional 130 fume hoods, including 4 engineering labs. This clearly demonstrates that the number of inquiries we are getting from our customers are increasing rapidly. We are also trying to target new customers and also target additional products that fit into our core competency model with existing customers and new customers.

This helps in increasing our wallet share with each of our customers. Currently, in R&D, we have more than 50 projects, of which the majority of them are non-agro and non-pharma. With the ongoing capex at Site-5, we are extremely excited about this site. It is proceeding as per schedule and as per timeline, and we have a clear line of sight for the first 4 plants in which the first 2 are expected to be completed by the end of this calendar year, as mentioned by Rohan earlier.

We have a large number of projects in the pipeline in R&D and the pilot plant, and we are quite confident of being able to fill up the entire site with innovative and first time Made in India products in our LSM business model as well as significantly increasing number of products which are getting finalized now for the site 5 in the exclusive manufacturing business model.

In summary, I've always mentioned that this is going to be a golden age for the Indian chemical companies and a number of opportunities are available now to the Indian specialty companies who have invested in R&D capabilities and infrastructure. I do believe that this is

coming off age now, and this is proving to be true in the current global scenario.
We believe Aether is well poised to take maximum advantage of this opportunity that exists today in the global specialty chemical industry. Hopefully, we'll be at the forefront, taking advantage of these opportunities and translating these opportunities into actual projec

ts being
executed and actual revenue being generated for the company.
Thank you all again for being online with us for the call, and we are very happy to take questions. Now, before that, I will request Faiz, our CFO, to give you an overview of the financial results for the first quarter of FY '26. Faiz?
Faiz Nagariya: Yes. Thank you, Dr. Aman, and good evening, everybody. I'm glad to present the financial results of Aether Industries Limited for Q1 of FY '26. The total consolidated revenue of the company stood at INR2,587 million in Q1 of FY '26 as against INR1,920 million in Q1 of FY '25, which is a 35% increase year-on-year. This resulted in EBITDA of INR 781 million in Q1 of financial year '26 as against INR 402 million in Q1 of financial year '25, which is an increase of 94% in the comparing periods.


EBITDA margin stood at 30% in Q1 of FY '26 as against 22% in Q1 of FY '25. The PAT amounted to INR470 million in Q1 of financial year '26 as against INR299 million in Q1 of financial year '25, which is an increase by 57% year-on-year. The PAT margin stood at 18% in Q1 of FY '26 as against 16% in Q1 of financial year '25.
We have always been trying to reduce the working capital cycle, and we are happy to inform that we have been able to reduce the working capital cycle more to 190 days, which was 195 as on 31, March '25, wherein inventory days, which was 175 days has come down to 165 days.
We are planning to do capex of INR350 crores in financial year '26, which will be broken down into R&D, Site 3++ and Panoli, that is the Site 5. The remaining claim for the fixed assets for the loss has been put up to the insurance surveyor along with the loss of profit claim, and we are confident to get the same settled by the insurance company by or before Q2 of financial '26. In fact, the FLOP claim is submitted by the surveyor to the insurance company, and we are hoping to get the same within July '25 or August '25.
Thank you once again, and we look forward to good growth story here onwards. Back to you, Kushal.
Kushal Doshi: Thank you, Faiz. We request the moderator to open the call for question-and-answers.
Moderator: The first question is from the line of Abhijit Akella from KIE.
Abhijit Akella: Just a few to understand the numbers a little bit better. The CEM revenues seem to be up somewhat modestly this quarter on a sequential basis. Just sort of wondering, how much of that is attributable to Baker Hughes? If there was a significant ramp-up in Baker, then was there any other contracts that kind of maybe softened a little bit sequentially? That was one.
Then on the other hand, the LSM business seems to have shown fairly good growth sequentially. If you could please just help us understand what specific projects might have driven that growth?
Faiz Nagariya: Yes, I'll take the question. If required, Rohan can pitch in. Actually, the growth factor for contract manufacturing is the Baker, which has kicked in, which started from the last quarter slowly and then we have capitalized in that, and we have taken -- we have got a revenue of around INR410 million from them, and that is the driving force. Of course, we are also taking up various other contract manufacturing wherein the Aramco material Converge material has also been sold to a couple of customers, and we are ramping up on that. I hope I have answered your first question, Abhijit.
Abhijit Akella: Yes. Just the INR41 crores that we booked this quarter, what would the number have been in the fourth quarter, second?
Faiz Nagariya: It is only INR25 crores, I think so.
Abhijit Akella: Sequentially, it's an increase of about INR16 crores and yet the LSM revenue is up by only some INR4 crores?


Faiz Nagariya: Yes.
Abhijit Akella: Just trying to understand what happened -- I mean, any softening in the rema

inder of the
business?

Faiz Nagariya: See, the LSM is also, it's going up -- as Rohan said in his commentary also, there is a volume growth which we are witnessing since last few quarters. This time also in LSM, there is a volume growth itself. The prices are still subdued because of the Chinese dumping. All the 3 models are seeing a growth, and we see a growth trajectory in the future as well.
Abhijit Akella: Just one other thing on the outlook for this year. If you could please just help us with your outlook for the major growth projects, Baker Hughes, Milliken, Site-5, how much could we expect in terms of contribution in this year, fiscal '26 and then FY '27?
Faiz Nagariya: Yes, Abhijit, we would not like to give a forward-looking statement for the revenue potential, but of course, with the names which you have spoken will all be the driving forces for us, and we look forward to a good growth trajectory. I'm sorry for the same.
Abhijit Akella: Just one last thing from my side. On the insurance front, how much is the amount that we are expecting to collect?
Faiz Nagariya: Approximately, we expect that we will still receive approximately INR50 crores to INR60 crores more.
Moderator: The next question is from the line of Amay Sharda from Purnartha Investment Advisor.
Amay Sharda: I just had some basic questions. I'm relatively new to the company. Just wanted to understand when you first set up a plant, what is the minimum utilization level at which a plant becomes profitable for you?
Kushal Doshi: At maturity, these plants are expected to have a capacity utilization between 70% to 75%.
Amay Sharda: Then like below 70%, they are not profitable? Or are they still profitable?
Faiz Nagariya: Can you just repeat your question because there is some disconnect in your question.
Amay Sharda: My question was that like when you first set up a new plant, like, let's say, you're setting up Site 3++, so what is the minimum utilization level that the plant needs to get to 30%, 40%, 50% at which it becomes profitable for you to maintain the 20%, 30% of margins that you're having?
Faiz Nagariya: When we select the products, we initially select the products which are giving us an EBITDA margin of at least 25%-plus. Then only we take up and it's not that the margins start coming after the capacity or the capacity reached to some extent. We start getting the profits from the day we start the sales. Only thing is we give a trajectory of the ramping up. The full capacity utilization, which is approximately around 75% to 80% or maximum 85% of our plant, it takes approximately 2 years.


Rohan Desai: Let me try to answer this question differently. On the CEM side, what really happens is that the pricings are built up in a way that in the first year, you are utilizing only 40% of the capacity and you are developing that product and streamlining that product. The product will be at a x price. Then once the product is stabilized, the product will fall -- the price will come to a commercialized price of Y price.
Usually, the capacity utilization is not a concern over here when you are talking about CEM projects. If you're talking about the LSM projects, if you reach 40%, 45% of your capacity levels, you start generating profits out of it.
Amay Sharda: One more question I had was that for Site 3+ and 3++, these are 2 different sites? Or like is it one in the same site?
Rohan Desai: We bought Site-3 and then we bought Site 3++. That is adjoining land. We just named it as Site 3++ just for the stakeholders to understand, I mean, very clearly, what we are doing. Both the sites will be joined together and will be amalgamated, I mean, merged together to be Site-3 in future, which we'll make a notification of -- at the proper time. It's just an adjoining part of land, Site 3++.
Amay Sharda: One more question was regarding the electrolyte additives seg

ment that began some time ago.
This question was like how is it ramping up so far? What kind of scale up can we expect further? What were the revenues in FY '25, if you can help with that?
Rohan Desai: On the revenue-wise, we are not seeing any major revenues coming out of electrolyte additives for this current year. We would be seeing close to INR10 crores to INR15 crores of revenues at max coming out from electronic additives, but we are currently involved in a few CRAMS, Contract Research and Manufacturing Services activities with regards to additives, which will announce at the proper part of time.
Kushal Doshi: The current electrolytes are trading at; it does not make any economic sense of any commercial production at current levels. We are not manufacturing any electrolytes as we speak.
Amay Sharda: Regarding the Otsuka Chemicals contract, so like has the ramp-up been good in FY '25 for that or like we'll expect it from FY '26?
Rohan Desai: Yes. It is going as per the plan. There is no problems in that. It's going as per the timelines mentioned in the contract and as per the projections, which we had decided at the time of

signing of the contract.
Amay Sharda: We expect it to ramp up fully in FY '26? We can expect the INR500 million revenues for FY '26?
Rohan Desai: 26, no, 27. 26 would be approximately INR35 crores to INR40 crores.
Amay Sharda: One last question was regarding the Polaroid contract. When do we expect supplies to begin for the Polaroid MSA that you signed for CRAMS business?


Rohan Desai: We are already doing Polaroid since quite a few years. I mean, so it's ongoing. The contract is working out very well, and we are delivering the products to them.
Amay Sharda: But you signed a new MSA in FY '23, right?
Rohan Desai: On Polaroid? No.
Amay Sharda: In CRAMS, there was something for Polaroid, right?
Rohan Desai: No.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.
Krishan Parwani: A couple from my side. First, I wanted to understand what led to the degrowth in the agro and pharma business?
Rohan Desai: There is no degrowth in the agro and pharma business. There is a growth in oil and gas segment and the other segments. Hence, you are seeing the degrowth.
Krishan Parwani: Because last quarter and the previous year similar quarter, our agro revenue was in the range of INR40 crores to INR46 crores. This quarter, I think we are what, INR28 crores, if I'm not mistaken. Then pharma is INR90 crores, yes.
Rohan Desai: Yes. Quarter 1, we renewed the contract basically. It has been deferred by 2 months, but it's well in control. I think it's just phasing from one quarter to another. We do not see any pricing pressure on pharma and agro as of today. All the prices are stable, bottomed out and the demand is there. On the volume side, we are seeing increase in the demand, in fact. I think everything is well in control in pharma and agro side.
Faiz Nagariya: I will add to it that, Krishan, last quarter, we did approximately INR920 million in pharma, which is INR900 million. There's no degrowth. It's just -- it's almost flat. In agro, we had approximately INR400 million, which is around INR300 million. As Rohan said that there will be -- this is the first quarters, and the things ramp up in the next few quarters. There is no degrowth as such. The volumes are going up.
Krishan Parwani: Maybe just contract timing. In the large scale, good to see the revenue going up. What has led to this growth in the large scale? Because I think pharma is flat, so which other segment has contributed in the large-scale manufacturing growth?
Rohan Desai: We have material science, which I think has grown. Faiz, correct me if I'm wrong with that number.
Faiz Nagariya: Yes, correct. No. Apart from the last -- in the last material science, there is also an increase -- a bit of increase in other sect

ors wherein like we are supplying small -- some small quantities to the new entrants also. Those are there. The pharma is in line with the last quarter itself, no much changes. Material science as Rohan said. Otherwise, there is flattish for (inaudible).


Krishan Parwani: Understood. This is good given we have significantly seen a ramp-up in the sales. On the balance sheet side, I just wanted to understand how much of the gross block is expected to be capitalized in the current fiscal and capex outlook for this year?
Faiz Nagariya: Capex outlook for this year, as I spoke in my comment, is approximately around INR300 crores to INR350 crores. We will be capitalizing approximately the Site 3++, which is approximately INR200 crores to INR250 crores.
Krishan Parwani: In this fiscal, are you looking to pay off your debt? Just wanted to understand the interest outflow from that.
Faiz Nagariya: Can you just repeat your question?
Krishan Parwani: I was asking, do you intend to pay off your debt? I think you had INR180-odd crores of debt. I know you are on net cash side. Just wanted to understand the interest expense part because I think you are paying quarterly INR5 crores or so.
Faiz Nagariya: Krishan, all this is working capital and working capital debt will continue because we do not have any long-term debt. These are all short-term debt. For the working which we are using. We would continue this. I think so it will continue for the next couple of years unless we have good internal accruals to pay this off because we are not doing any kind of other fundraise

going forward currently.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: When we look through the remaining part of the year, from a growth perspective, do you see growth largely coming in from the existing kind of contracts scaling up? Or do you expect any newer sort of specific contracts, which will start -- which will get commercialized as we go along, which can be a meaningful driver for the growth in the remaining quarter of the year?
Rohan Desai: Yes. We are looking at Baker Hughes in a big way. That's Site-4, then we are looking at Site 3++, which is Milliken contract, which will be commercialized in this financial year, and then it will be ramped up in the next financial year.
Then we are also looking to start Site-5, 2 production blocks in this financial year, which will be ramped up in the next 18 months period. We are looking at this. This is all new molecules, which we will be launching and also some of the businesses will -- I mean, the top line of the existing molecules will also increase over year. But the major drivers will be these new sites and then these new projects.
Nitin Agarwal: On the contract manufacturing the CEM contracts, like the Milliken one that you announced recently, typically, what is the -- given the current environment, how much time does it take for you to typically -- how long the negotiation cycle with clients like? How many contracts do you think -- I mean, how many such conversations would you be in advanced stages where maybe something can close over the next few quarters?


Rohan Desai: Currently, we have a lot of malls in there, so approximately 12 to 18 projects which we are discussing, which are almost in the verge of finalization, or the talks are ongoing. The negotiations currently are very fast track because of the reasons which -- what Aman spoke about earlier in his commentary.
I think the timelines now is less than 4 to 6 months for finalization of the contracts, which was earlier 1, 1.5 years, which you usually take from the completion of the CRAMS activities and moving it into CEM business model. It has been shortened, and it is very fast now. It's moving in a very, very rapid pace.
Nitin Agarwal: That's gr

eat to hear. But the point as, given where our capacity today are, assuming you sign any such new contracts, we would have to necessarily create capacity in Unit 5 to get to these requirements? Or do we have capacities in the existing units to take care of some of these things which can potentially get signed up?
Rohan Desai: If the quantum is less than, let's say, assuming 100 tons, 200 tons, we can accommodate it in the Site-3 or Site-2. For Baker Hughes, we have Site-4, which is dedicated, so we can expand that and modify them and add in that site. If there are CEM contracts, which are bulk in nature, which are big in nature of about 200 tons to 500 tons or above 500 tons, then we have to go into Site-5. But we have a long -- we already have a good insight of which projects are going to be qualified in Site-5. We will not be delayed in terms of setting up the plants.
If you see the presentation and if you see the image of the site, you will see the other 2 production blocks are already up. It's already constructed. You just need to install the equipment and the pipings and it takes usually 6 months to 9 months to get the whole production block online now, which was earlier 18 months for the Greenfield sites.
Nitin Agarwal: Secondly, on the 2 commercial blocks that you -- 2 blocks that you will be starting Unit 5 this year on the 2 LSM, which are dedicated to LSM projects, by when do you see commercial revenues coming in from these -- from the LSM molecules for these products?
Rohan Desai: I think quarter 4 of this financial year, we will be how do you say, streamlining the site and this production block, but from quarter 1 of the next financial year, I think we will be seeing a good inflow of revenues coming out of this LSM model and the CEM model also.
Nitin Agarwal: These 2 LSM blocks, the products that you're looking to make in these blocks, like earlier in the past, you used to indicate some sort of addressable market for the products. I mean the products you've identified for these 2 blocks, what would be the potential market size for these products?
Rohan Desai: In terms of the value, I think we are looking at INR1,500 crores of market size of the -- all 3 products combined in LSM model. On the CEM side, I would not like to comment on it at the moment.
Nitin Agarwal: LSM is for 1 block or 2 blocks for LSM unit wise?
Rohan Desai: One block.

Nitin Agarwal: You said for LSM, for CEM.
Rohan Desai: Yes.
Moderator: The next question is from the line of Uttam Purohit from Monarch Networth Capital.
Uttam Purohit: As working capital days are different for each segment, if you could help me with what standard inventory days and debtor days we aim to maintain in each segment? What's the figure right now?
Faiz Nagariya: As I told in my commentary, the current working capital cycle is approximately around 190 days. For the 3 models, LSM is always on a higher side, CEM is on the lower side and CRAMS is the lowest one. We just try to maintain -- try to make an equilibrium and try to reduce the working capital cycle as much as possible. Our target is to reach around 165 to 165 days or 170 days by end of this financial year. The target in next 2 to 3 years is around 150 days of working capital.
Uttam Purohit: Currently, out of the exports, US is around 5% to 6%. Could you help with like what the other geographies are and how much they contribute?
Faiz Nagariya: Other geographies are Europe, wherein we have Germany, we are selling to Netherlands. We have China also, we have Japan. We are selling to Middle East also. We have sales to Korea. Various countries are there. Europe is approximately 6% to 7% -- sorry, 10% to 11%. China is approximately 4% to 5%. Japanese also approximately 3% to 4%. We are exporting to approximately 19 countries. Mexico is one of them.
Uttam Purohit: Last question on the CEM side capex. Generally,

when we establish a plant, so are those plants specifically designed for that product or there is -- plants are generally in standard, and they require some bit of complexity to cater to that product?
Rohan Desai: I'll try and answer this question. The plants are designed in a multipurpose manner, and they are fitted with the specific requirements of the particular products, but what we usually say is that our plants are true multipurpose plants, which can be shifted from one chemistry to another if required with some rechecks in the equipment and the pipings.
Uttam Purohit: We would require only INR10 crores to INR20 crores kind of capex for INR100 crores kind of plant to just change the product type, right?
Rohan Desai: Not INR15 crores, INR20 crores, that's very high number. I mean that's 20% of the capex which you are talking about. We are talking about less than INR50 lakh to move from chemistry to another chemistry.
Uttam Purohit: For the CEM, again, on the CEM capex side, so generally, we establish the CEM line after we get the confidence out of a CRAMS product, which can be converted into a CEM, or we establish, or we generally start to keep up capacity already for any product which can be there?
Rohan Desai: Yes. If you just go through investor presentations, earlier presentations, we are talking about 8 chemistries and 8 technologies, which are our core competencies. We operate out of this 8


chemistries and eigth technologies, and so moving from this -- we are not moving from eighth chemistry to the ninth chemistry, right? We know what we are going to do. That's how we fit the plants, and that is how we move from -- we are able to move from one chemistry to another chemistry with the least amount of modifications and capex required.
Moderator: The next question is from the line of Rohan Shukla from Anand Rathi.
Rohan Shukla: I just had one question. When we say that the capex target for FY '26 is INR350 crores, how much do we expect it to be infused in Site 5? What could be the asset turnover?
Faiz Nagariya: Around the INR350 crores, we will be approximately putting up approximately INR100 crores -- INR150 crores in Site 5. The asset turn on maturity will be approximately 1.5x to 1.75x.
Moderator: The next question is from the line of Rohit Nagraj from Batlivala & Karani.
Rohit Nagraj: Congrats on good performance and margins. First question is to Dr. Aman. Since you've been speaking to some of the U.S. customers, normally, what is the timeline from which we get some confirmation from the customer to our R&D and form and to commercialization?
Faiz Nagariya: Yes. Just a second. I'll just repeat this question to Aman because he's on the line. Sir, he is asking that, what is the timeline which you take to place the customer? What is the timeline in which you finalize the commercialization with them?
Aman Desai: Yes, it depends on the product-to-product and the project-to-project, but typically, we are finding that what was earlier a timeline of between, say, 1 year to 2 years to go towards commercialization with various customers or even 1 year to 3 years, depending upon the advancement of the commercialization on their end, it is now being fast tracked to within 1 year.
A lot of the people that actually, I'm talking to in this 2 weeks over here in the US, and the various customers we are discussing with, they are all portraying a sense of urgency to

translate their products into commercialization, either because of the problems they are having over here or because they want to expedite the launch of their products. So it's a very -- it really depends upon the process and the complexity, the number of steps and the advancement of their own internal pipeline, but anywhere between 6 months to 2 years is what we are seeing currently.

Rohit Nagraj: The second question on the Milliken contracts. Have we sh

ared in terms of what could be the size of the opportunity over a period of 10 years? In terms of the margin profile, will it be similar to the existing business margin profile?

Faiz Nagariya: I'll take this question, then Aman can speak. We have not given any revenue projections because we cannot comment on that. The margins will be similar or better than what we have at the company side.



Rohit Nagraj: Does this also open up more opportunities with Milliken in terms of other projects where we are currently working on and there is a greater likelihood that those projects will also get commercialized in the next foreseeable future?

Rohan Desai: I will take this question. Yes, we are working on multiple projects with various customers, including of Milliken. Yes, the answer to your question is, yes.

Moderator: The next question is from the line of Atishray Malhan from Fortress Group.

Atishray Malhan: I have a few questions pertaining to the Milliken contract. Firstly, can you maybe provide some insight into the application this product is used in?

Rohan Desai: This is used in material science polymer industry specifically. That's the best I can tell you about this product. We are -- we cannot tell you more than this at this moment. In the due time, we'll let you know the applications and the product name if the client gives us permission.

Atishray Malhan: Yes. I appreciate that. That's helpful. Just is this a fairly new product for Milliken? Or is this a fairly established one?

Rohan Desai: This is a new product for Milliken. We will be the only manufacturer and the first manufacturer of this product and to commercialize this product in the world.

Atishray Malhan: Just last one from my side. Any specific geographies this will be used in? Or is this fairly widespread?

Rohan Desai: Again, I cannot comment on it. It's under confidentiality; hence, I cannot give you more information at this point of time.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Kushal Doshi: Yes. I would like to thank everyone for attending the conference call. Apologies again for the delay from our side, and we look forward to seeing you on the call. Thank you, everyone.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Nov 2025

Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. November 18, 2025 Ref. No.: AIL/SE/52/2025-26 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Thursday, November 13, 2025, on the financial performance of the Company for the Second Quarter ended on September 30, 2025, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached



"Aether Industries Limited
Q2 FY'26 Earnings Conference Call"

November 13, 2025

MANAGEMENT : DR. AMAN DESAI – PROMOTER & WHOLE-TIME DIRECTOR, AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER AND WHOLE-TIME DIRECTOR, AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER, AETHER INDUSTRIES LIMITED
MR. KUSHAL DOSHI – LEAD INVESTOR RELATIONS , AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE IR, AETHER INDUSTRIES LIMITED
MODERATOR : MR. NILESH GHUGE – HDFC SECURITIES LIMITED



Moderator: Ladies and gentlemen, good day and welcome to the Aether Industries Limited Q2 FY'26 Earnings Conference Call hosted by HDFC Securities Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities Limited. Thank you and over to you, sir.

Nilesh Ghuge: Thank you, Bhoomika. Good afternoon all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended September 2025 and first half of the Financial Year 2025-'26.

From the Aether Industries, we have with us today Dr. Aman Desai – Promoter and Whole-Time Director; Mr. Rohan Desai – Promoter and Whole-Time Director; Mr. Faiz Nagariya – Chief Financial Officer; Mr. Kushal Doshi – Lead Investor Relations and Ms. Shubhangi Desai – Executive IR.

Without further ado, I will now hand over the floor to Mr. Kushal Doshi to begin with the earnings for the Q2 FY'26. Over to you, Kushal.

Kushal Doshi: Thank you, Nilesh. Warm welcome to everyone. Today, our Board has approved the Financial Results for the 2nd Quarter and the First Half of Fiscal Year 2026 and the same has been filed with the exchanges as well as updated over our website.

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Let me draw your attention to the fact that on this call, our discussion will include forward-looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations on future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise.

Now, Mr. Rohan Desai will begin by sharing Aether's business outlook, ongoing expansion. Then, Dr. Aman Desai will provide inputs on the R&D and new plan initiatives and strategy of the Company going forward and Mr. Faiz Nagaria will cover the financial highlights for the period under review.
Now, I hand over the call to Mr. Rohan Desai for the opening remarks. Over to you, Rohan.
Rohan Desai: Good evening, everyone. I hope everybody is doing well and I am glad to connect with you all to discuss the performance of our Company for Q2 of Financial Year 2026. I am happy to inform you that all the three business verticals at Aether are performing well, creating a solid foundation for the second half of Financial Year 2026.
This quarter, the sales mix was roughly 47% from contract and exclusive manufacturing, 41% from large-scale manufacturing and about 9% from contract research and manufacturing services. For the first time, CEM has contributed more than the LSM business vertical and CRAMS and CEM combined have contributed more than 50% of the sales. This is in line with our vision where CEM and CRAMS together will contribute 60%-70% of the sales in the next two years period.
Contracts with exclusive manufacturing is set to show good

growth as the pipeline looks
promising. We are ramping up volumes and sales to make a use of Site-4. We will start manufacturing for Milliken at Site-3+ coming Q4 of Financial Year 2026. And there is this new CEM contract kicking off from one of the blocks at Site-5 around the same time. I figure this site should stabilize and get to optimum output in 15-18 months or so. Sales from our subsidiary Aether Specialty Chemicals Limited in this quarter has increased to Rs. 50 crores approximately as compared to Rs. 41 crores in the last quarter. The current run rate is expected to continue for Financial Year 2026, and we see an increase in the trend in Financial Year 2027. The increase in volumes is expected as we start supplying to more of the sites of Baker Hughes as well as increase the product portfolio which is currently 8 products for Baker Hughes. We have seen an increase in sales of Converge Polyol in the quarter and are on track to achieve our target for this financial year.
The Converge Polyol for which we have completed life assessment cycle study is now being sampled by a number of multinational companies which are targeting to replace their current Polyol with the current Converge Polyol over the next couple of years. The Otsuka Chemicals contract is on track, and we are expected to achieve the target of 35 crores-40 crores of sales for the period of this Financial Year 2026. Shifting to LSM, the demand of our products and pricing for our products have remained stable. As mentioned, last quarter we will be launching three new products in the LSM block which will be the second production block at Site-5. The products are targeted towards pharmaceutical, agrochemicals and materials science sector and

the average pricing of these products would be $30 to $40 per kilo. The products are expected to be manufactured for the first time in India and are expected to be scaled up in Financial Year 2027.
In the quarter, we have added four new clients to our list of marquee clients. For the first half sector breakdown would be pharmaceutical and agrochemicals now contribute only 48% combined while oil and gas and materials science contribute 19% and 18% respectively. I expect the share of oil and gas and materials science sectors to scale up by the end of the year as the supply to Baker Hughes and Milliken increases by the end of the financial year.
On the CAPEX front, we have deployed Rs. 245 crores so far in the current financial year and all the sites are on schedule. Site-3+, which is dedicated to Milliken, is expected to commence production in Quarter 4 of Financial Year 2026. Site-5, which is based on Panoli, continues to progress smoothly and we target to commission the first two production blocks of Phase-1 by the start of Quarter 4 of Financial Year 2026.

These new sites will be ramped up in Financial Year 2027 and help Aether in maintaining its growth momentum. In summary, we remain extremely excited as we look to commence three new production blocks at Aether and our Company becoming a preferred partner not only for R&D, CRAMS but also for commercialization of these products.

With this, I would like to conclude speaking and I would request Dr. Aman to touch upon the R&D initiatives and new client initiatives for this period. Over to you, Aman.

Dr. Aman Desai: Thank you, Rohan. Good evening, everybody, again. I am very happy to connect with all of you again for this quarterly update.

Just to continue where Rohan left off, while the expansion on Site-3+, and Site-5 continues, as Rohan has detailed in length, which I will not go into, we are also in the process of increasing reasonably the R&D capacity at Aether, which was already world-class to begin with. We are targeting to add another two labs, including one engineering lab, which totals to 24 new fume hoods in the existing facility itself over the ne

xt couple of months. We have also started the construction of the new R&D plant extension, which is expected to have more than 130 fume hoods. That is a significant R&D expansion in the existing facility and a whole new R&D extension building that we are targeting, the first one by the next few months and the next one over the next one year or so. The number of inbound inquiries we are getting from customers across sectors on the CRAMS vertical gives us confidence in this expansion and will also enable us to add more chemistries and technologies and core competencies to our portfolio. Currently in R&D, in the eight research groups that we have, we have more than 55 projects ongoing, the majority of which are non-ag and non-pharma.



Over the course of the quarter, we have had a number of follow-ups and site visits from senior management in the R&D and technology side of current and prospective customers. It is clearly visible to us that the companies, the innovators are no longer able to manufacture in the West, in the current environment and have been shutting down the commercial plants in the West, in Europe and the US. India is increasingly becoming very viable and in some cases the only viable option. Customers are looking to partner with reliable partners in India and India is the first choice that these customers have and they are expediting in finalizing the contracts in the current scenario where they are closing down their manufacturing assets on a fast track basis. We believe we are at Aether, we are well placed considering all the relationships that we have already forged with all these customers and also the world-class infrastructure that Aether has already built and is currently building on an aggressive pace.

In the first half of Fiscal ‘26, we have also completed right now, as of date, 26 customer and certification audits. With the ongoing CAPEX at Site-5, our Panoli site, we are extremely excited for this site. We have a clear line of sight for this manufacturing Site-5, of which the first two production blocks, which are completely fitted out with the expected products, these are expected to be completed by the end of this financial year, as Rohan has alluded to earlier. We have a number of projects in the pipeline, and we are confident of filling up this entire Site-5 with innovative and first time made in India products.

In summary, I have always mentioned that there will be a ocean of opportunities that are available to Indian specialty companies who have invested in infrastructure, in R&D capabilities, in core competencies and with the assets and infrastructure that we have, we should definitely be tapping into these opportunities significantly and look to prosper going forward. We believe Aether is one of these companies that can take advantage of these ocean of opportunities with our cutting-edge R&D and hopefully will be at the forefront to take advantage of all these opportunities that are coming to us.

So again, thank you all for joining us today evening and being online with us for the call. Happy to answer questions at the end and Faiz, our CFO, will now give you the overview of the financial highlights and the results for the Q2 and the first half of fiscal 26.

Faiz Nagariya: Thank you, Dr. Aman and good evening, everybody. I am glad to present the financial results of Aether Industries Limited for Q2 and H1 of FY'26.

The total consolidated revenue from operations of the Company stood at Rs. 2,751 million in Q2 of FY'26 as against Rs. 1,988 million in Q2 of FY'25 which is a 38% increase year-on-year. This has resulted in EBITDA of Rs. 853 million in Q2 of FY'26 as against Rs. 503 million in Q2 of FY'25 which is an increase of 70% in the comparing quarters. EBITDA margin stood at 31% in Q2 of FY'26 as against 25% in Q2 of FY'25.

The profit after tax amounted to Rs. 540 million in Q2 of FY''26 as against Rs. 348 million in Q2 of FY'25 which is an increase of 55% year-on-year. The PAT margin stood at 19% in Q2 of FY'26 as against 17% in Q2 of FY'25. The consolidated revenue from operations of the Company stood at Rs. 5,312 million in H1 of FY'26 as against Rs. 3,788 million in H1 of FY'25 which is an increase of 40% in the comparing half years. This has resulted in EBITDA of Rs. 1,634 million in H1 of FY'26 as against Rs. 904 million in H1 of FY'25 an increase of 81% in comparing half years. The PAT amounted to Rs 1,010 million in H1 of FY'26 as against Rs. 647 in H1 of FY'25 which is a 56% increase in the comparing half years.
During the quarter we have received another Rs. 250 million from the insurance company towards the claim for fixed assets as on account payment. The remaining claim for fixed assets for the loss has been put up to the insurance service along with loss of profit and we are confident to get the same settled by the insurance company by or before the end of Q3 of FY'26. We have always been working towards working capital management since last few years and we are happy to inform that we have been able to reduce the overall working capital cycle to 149 days as on September 30, 2025 which was 194 days as on 31st March, 2025. This has been possible due to reduction in inventory cycle to 160 days as on September 30, 2025 from 173 days as on 31st March, 2025 and a reduction of data cycle to 106 days as on September 30, 2025 for 126 days as on 31st March, 2025.
I would like to give a glimpse of the capacity utilization of our three sites. Site-2, the capacity utilization in six months is approximately 76%, Site-3 is 68% and Site-4 is 46%.
Things are progressing as per the strategic planning done by the Company. I once again thank you and we look forward to better outcomes than this in future as well. Back to you, Kushal.
Kushal Doshi: Thank you, Faiz. I request the moderator to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Ravi Singh from Cosmic Horizon Capital. Please go ahead.
Ravi Singh: Hi, thank you for this opportunity. Sir, we are already at a PAT margin of approximately 21% prior to extraordinary items for Q2 when the ex-LSM business, which is CRAMS and CEM is at about, say, 57% of overall revenues. Now, say in the next two years, as you have mentioned on the call, when the CRAMS and CEM business goes to 70%-75% of revenue, is it and also by then most of our plans are able to ramp up, is it possible that from this 21% currently, the margins at PAT level can go up to, say, 24%-25% plus levels?
Kushal Doshi: Hi, this is Kushal out here. Unlikely that margins will go to 24%-25%, I think what we will be looking at and what the vision is to have 70% CRAMS CEM, 30% with LSM, which will take



some time. With also our ongoing CAPEX the depreciation is also expected to increase. So, we will be yet in the margin front on the net profit at around 19%-20% mark.
Ravi Singh: Okay, so even once the CRAMS and CEM ramps up, you will be still at 20% mostly because of the depreciation?
Kushal Doshi: Because the CAPEX is continuing at Site-5, Panoli, which is 16 production blocks. So, you only have the first two production blocks which have come up and subsequently you will be seeing the CAPEX going through for the second and third phase.
Faiz Nagariya: So, I would like to add that going forward now, see, we were using the QIP money for the CAPEX. Going forward, we will be using debt funds, whether from banks or financial institutions. So, that will also add to certain finance costs. Of course, that will be capitalized towards the CAPEX which will be done, but still certain working capital facilities will also

be
increased. So, that also will keep the margins at around 19%-20%.
Ravi Singh: I am talking once this ramps up fully, say 2 to 3 years down the line, once working capital also stabilizes and your revenues also ramp up, by then, is it possible that we can touch '22-'23 kind of levels?
Faiz Nagariya: We would like to be conservative and be around 19%-20% and keep the rest in our pockets to see how we ramp up in the future with the other products which have come up. Because with the other products also, we will have to see the costings and everything.
Ravi Singh: Makes sense. And on the asset turn, the same has been subdued for the last two years, mainly because of the kind of CAPEX that we have been undertaking for the last four years. So, just trying to understand once the CAPEX ramps up, is it fair to assume say 1.65x to 1.75x asset turn on the gross block for the Company as a whole? Is that possible or do you feel we can do better?
Kushal Doshi: So, we target between 1.5x to 1.75x asset turn. So, that is achievable. That is what we are going to be looking for.
Ravi Singh: Got it. And lastly, also on Site-5, just wanted to confirm, the CAPEX guidance is Rs. 500 crores with the peak asset turns of 1.75x, which should be achieved by FY'28. Is that right?
Kushal Doshi: No. The total CAPEX for Site-5 will be closer to Rs. 2,200 to Rs. 2,300 crores. This will go on

till around FY'30. This is what we have been planned and we have said in the past. The asset turns for this entire side once it's fully operational and all the plants are stabilized will be targeted at around 1.5x to 1.75x.

Ravi Singh: Okay. So, Rs. 2,000 crores will be the CAPEX, which will go on till FY'30. But the one which will be operational, the Phase-1 and Phase-2 which should be operational by Q4 FY'26, what will be the CAPEX for that for the first two phases?
Kushal Doshi: So, it's not Phase-1 and Phase-2. It's part of Phase-1, first of all. How we have broken up is that there are four phases. First Phase has first four production blocks along with the utilities. Because when you build up the entire site, the utilities are brought in for all the 16 production blocks.
Okay. The second phase will have the next four and subsequently Phase-3 and phase 4 will have the four production blocks each. So, that's how it will be growing. In terms of CAPEX, we will be starting off with the first two along with all the utilities for which have been built up for. So, you will not be spending Rs. 2,200 crores or Rs. 2,300 crores upfront. It will be on a phased manner.
Ravi Singh: Got it. Thank you and wishing you all the very best. Thanks.
Kushal Doshi: Thanks
Moderator: Thank you. The next question comes from the line of Kumar Saumya from Ambit Capital. Please go ahead.
Kumar Saumya: Hi. Good evening, sir. Sir, a couple of questions from my side. First question is on the material science business. We have seen contributions stepping up in the last three quarters at around 80%-90%. So, Kushal, can you please help me with that, is it entirely Saudi Aramco supplies or do we have something else over there as well?
Rohan Desai: No. There are multiple products out there which we cannot disclose because of the confidentiality. But there are multiple products out there.
Kumar Saumya: And secondly, on the Block 1 Panoli that you said, this is a long-term contract that you're setting up. Any guidance over there? What could be the product like and what is the potential over there?
Rohan Desai: It's an interesting molecule in the material science field, but we will wait for the right time to announce that.
Kumar Saumya: Okay. And lastly, on the CAPEX side, we were of the view that annual CAPEX would be somewhere between Rs. 350 crores to Rs. 400 crores, while we have already done Rs. 250 crores. So, is there somewhat revision in the CAPEX guidance because out of

the Rs. 2,200 crores,
something has already been done, right?

Faiz Nagariya: So, we have ramped up the CAPEX at Site-3+ and Site-5 on the requirements of the customer where in Site-3+. So, we have expedited the things. Otherwise, the guidance which we are given of around Rs. 350 crores is very much in line and it would be maybe a 5%-10% increase, not more than that.
Kumar Saumya: Okay, sir. Thank you. This was very helpful, sir. Thank you. That will be all, sir. I will come back.
Faiz Nagariya: Thank you.
Moderator: Thank you. The next question comes from the line of Amay Sharda from Punartha Investment Advisors. Please go ahead.
Amay Sharda: Just wanted to understand what is the revenue that we did from Baker Hughes site in this quarter?
Faiz Nagariya: Rs. 51 crores.
Amay Sharda: And the revenues for Saudi Aramco as well?
Faiz Nagariya: We cannot disclose on the open platform, sir.
Amay Sharda: Sure. So, I just wanted to understand what led to this huge increase in the CEM segment like Q-on-Q, I think from 95 went to 131. So, what was the reason? Any specific contract that ramped up?
Rohan Desai: So, we have multiple contracts which we cannot disclose, which are being ramped up because of the client's interest of moving faster since the last, if you have heard the transcript of the last two earnings calls, we have always mentioned that there are a lot of inquiries which are converting into opportunities at Aether and so we are ramping them up in the existing facilities and making use of it.
Amay Sharda: Sure. And regarding the margins that we have, I think since last 2-3 quarters, we are reporting 30% plus margins. So, is this sustainable going forward as well on the EBITDA level?
Faiz Nagariya: Yes. Definitely, it is sustainable because we are entering to more and more contract

manufacturing and CRAMS which is increasing. So, 30% margin is surely sustainable and we
would be sustaining them.
Amay Sharda: And even the Baker Hughes contract is at the same level of margins or is it slightly lower margin contract?

Kushal Doshi: We usually don't discuss CEM contracts on margin basis, but on the overall company level basis, we continue to maintain between 29% to 30% EBITDA margins.
Amay Sharda: Sure. Okay. Thank you so much. That is it from my end.
Moderator: Thank you. The next question comes from the line of Aagam from Aagam Investments. Please go ahead.
Aagam: Thank you. So, in terms of the CAPEX, what should those options, let's say the Site-3 CAPEX and the Site-5 CAPEX, so first thing is how much revenue can we expect for this financial year? And I know you don't give a guidance, but broadly, what should we end the year with? And once Site-3, Site-5 is operational, what is FY'27, FY'28 looking like? Whatever color you can give through, maybe not quantitatively or quantitatively, how is it? How are we looking? So, let's say we did around Rs. 850 crores last year. So, how is the number looking like 3 years down the line? If you can talk on this.
Kushal Doshi: Aagam, thank you for the question. So, for this financial year, Site-5 is not expected to generate any revenue because the plants will be getting operationalized by the first week of Q4 or end of Q3, first week Q4. So, they will be just getting stabilized. We do not expect any much revenue coming from the first two production blocks, which will be commencing. What we have always mentioned is the CAPEX for the first two sites is around Rs. 160 crores each, where we have targeted close to around 1.5x to 1.75x asset turn when they are fully operational and stabilized, which takes between 15 months to 18 months. In the first financial year, we expect these units to work at capacity utilizations of around 40% to 50% and then steadily ramp up. So, that's, giving a broad guidance and color

of the first two production blocks, which helps you get a sense
of the revenues for the first two production blocks over the next two years.
Aagam: How is the current year looking like, second half?
Kushal Doshi: It's looking strong. The first half has laid a solid foundation, as mentioned by Rohan. We have had all the three business verticals performing very well. As both Rohan and Dr. Aman mentioned, the number of inquiries which we are seeing from different customers and prospective customers continues to increase. There has been a ramp up also in the R&D site, as mentioned by Dr. Aman. We have 55 projects going on. 70% of them are non-agro, non-pharma. So, clearly, it's looking good. We are also seeing good trajectory in terms of our demand for our products at Baker Hughes. So, expect that trajectory to continue, growth trajectory. Secondly, I think the more important part is that we have three production blocks starting off. One is Milliken, which is Site-3+, and the two production on Site-5. So, once these three start ramping up in FY'27, the growth momentum is expected to continue.

Aagam: Should second half be better than first half?
Kushal Doshi: Historically, it has always been like that. For us at Aether, the the second half always sees a much faster growth compared to the first half. So, we expect that trend to continue.
Aagam: Okay. And also, on a statement, you mentioned that it's like CAPEX is Rs. 200 crores. So, maybe Rs. 180 crores-Rs. 200 crores which you are spending currently, so would we look like fundraising in the future or it will be entirely through internal accruals?
Kushal Doshi: It will be a mixture of internal accruals and debt as of now. There is no plan to raise any further equity going forward as we see right now for the next 5 to 7 years.
Aagam: Okay. So, probably we are in the range of 20%-25%. So, once this capacity is coming, should I assume we should grow northwards of 25%? A ballpark number just for understanding purpose.
Kushal Doshi: Yes, we should be growing at around 25% going forward.
Aagam: Okay. Thanks. I will get back in the queue.
Moderator: Thank you. The next question comes from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.
Abhijit Akella: Good evening. Thank you so much for taking my questions. It would just be great to get your updated perspective maybe on some of the newer growth projects we have in the pipeline. So, maybe particularly on Converge and maybe on Novoloop as well. I know it's been a little bit of maybe slower going early on in terms of adoption of the product, but are you seeing improving traction in terms of how customers are pursuing the end product and how sales are progressing there?

Rohan Desai: Let me take up Converge first, Abhijit, and Aman will add on to other projects afterwards. Converge is shaping up well. We were delayed after the launch of the product because the lifecycle assessment study was not completed on that product. So, we completed that. And at the parallel time, we had sent out a lot of samples which were turned into qualifications, quantities which we were able to sell in the previous 3-4 quarters. And now we are seeing a lot of inbound business inquiries coming in on these products where people want to shift from the traditional polyol to this wonderful Converge polyol. Aman, can you add more on to interesting opportunities out there?

Dr. Aman Desai: I am sorry, I missed this question. Is this about the large-scale manufacturing business model?



Abhijit Akella: Actually, I was asking about Converge and Novoloop and maybe some of the other interesting smaller businesses that we have in the portfolio, whether we are seeing improving traction in those.

Dr. Aman Desai: Yes, so Converge, as Rohan mentioned upon, Novoloop is a

lso progressing well in the work that we are doing. And then there's a whole bunch of other contracts and customers that we have, which we haven't been able to disclose externally yet, which we hope to be doing over the next few months and within the next year. And there's at least 4-5 different projects going on with specific customers at that scale, which are very promising and have the potential of growing up rapidly. And just to give you an example, Milliken started about four or five years ago as a small research project. And then today, we are dedicating a whole site to that project with a 10-year supply agreement. We have at least four or five such very promising contracts ongoing and shaping up towards that kind of scale currently. And as I mentioned, we have 55 plus projects going on in R&D today. And so even if 20% of those go through to commercialization, which is a conservative estimate, it's very promising next few years ahead. And so we are very excited about that.

Kushal Doshi: Abhijeet, just to add to what Dr. Aman mentioned, what we have seen is that once we are able to break into a client, whether it be Baker or Milliken, what has resulted is in also opening up a library of projects which they have internally. And with the way the development is happening on the R&D side, we clearly see a number of these new projects also being expedited within Europe, shutting down a lot of their plants. So this is resulting into many more opportunities on the CEM side going forward.

Abhijit Akella: Yes, thank you. Thanks for that. So just to clarify, these 55 plus projects that we have right now in the CRAMS model, what would this number have been, say, a year back or two years back, just for reference? That could be helpful. And maybe similarly on the CEM side as well, how many projects do we have at this point versus what the number was a year or two ago?

Dr. Aman Desai: 55 is the total number of projects, for example. Out of that, 70% would be CRAMS/CEM, and 30% would be internal molecules in the LSM model. So 70% of 55, which is about 38 or 40, say, 40 CRAMS CEM projects and 15 large-scale manufacturing projects. And this number, say, two years ago would have been 66% of this. So we have two-thirds of what we are doing right now would have been two years ago. We have been steadily growing since the last expansion that we did in R&D. We have jumped reasonably in the number of projects that are going on. And now with the expansion that is planned for the next two months, as I mentioned in my script, and especially with the new R&D extension next year, which will give us a 2x expansion, double expansion over the current capacity, we are looking at going over easily 120 projects by the next one and a half years ongoing in the R&D. And that's the line of sight that we kind of envision for the expansion that we are doing.



Abhijit Akella: Okay, so 55 going to 120 plus in the next couple of years, just to clarify.

Dr. Aman Desai: Hopefully.

Abhijit Akella: Got it. Okay. And just on the mix between LSM and CEM/CRAMS within this, as well as in the revenue. So this quarter, we have seen a big shift away from LSM towards CEM. Number one is that entirely discretionary. In other words, are you dedicating more of your available capacity towards CEM and away from LSM? And is there a similar kind of trend playing out on the R&D side as well? Is more of your capacity being dedicated towards CEM?

Dr. Aman Desai: So we continue to focus on LSM. We continue to nurture and build molecules in the LSM business model. But what happens is in the CEM and CRAMS business model, the customer drives it as much as you're driving. And we have always maintained that as time goes on, as we spread out more, as customers get more confidence in us, we become the preferred partner for everything to do from research to

scale up to supply. And right now, for a lot of these partners
that we have that are already out in the public domain, and more than three times that that are not in the public domain, we are being considered the preferred go-to partner for all of the needs and research and scale up and supply. And so those opportunities and projects that are incoming actually multiply as the years go on. And so it's an inherent feature of this business model that we have consciously built is that this will multiply significantly in years to come, which is what we are seeing in the numbers that you have seen and that we expect to continue to go forward. And so the CEM and CRAMS will grow and grow faster as compared to the LSM model, although we consciously make sure that every one of the eight research groups that are operating in the R&D department have a significant portion, at least 25% to 30% of the projects that they are doing should be focusing on LSM in our own model so that we are not dependent on any one business model.

Abhijit Akella: Right. So just to clarify on that. So the decline in LSM that we see this quarter in revenue terms is nothing to do with demand. It's purely capacity reallocation. Is that correct?

Kushal Doshi: Yes.

Abhijit Akella: Thank you. Sure. And just one last thing from my side on the financials before I get back in the queue. So just on the insurance front, this exceptional item is still continuing here, which I believe is the insurance charge that you're paying. What's the outlook for this? How long does this continue? Is there some visibility by when it can go down? And what is the total amount for which we have launched a claim? How much has been received so far? And sort of where exactly does it show up on the balance sheet, the asset side?



Faiz Nagariya: Sure. First of all, about the extraordinary items, this will continue till financial year at 27 end. The amount will be reduced. You can see that it's already reduced from the last year. So this because there is a third renewal, which is coming up in December. So there will be some markup of a premium in this. So this will continue till 31st March '27. After that, this will not be there. And then coming to your question for the total claim, which we have lost, these are approximately Rs. 100 crores. And we have received Rs. 60 crores already and Rs. 3.5 crores is earmarked to be given to us by the insurance company for the FLOP, which they will be giving us with the entire claim, which will be settled now. And we expect that every other entire claim will be settled by end of December. And in balance sheet, the claim for stock was already put up in the P&L account in the last quarter of the financial year '25, which was already informed to everybody. And the claim for assets which is received is standing in the balance sheet in the liability side. And once the entire claim is settled, the surplus or deficit will be put up to the P&L account.

Abhijit Akella: Okay, got it. So the exceptional items lying, we have high confidence that it sort of goes down to zero, basically from maybe...

Faiz Nagariya: I will just give you a volume figure that when after the fire, the insurance premium, which was increased was approximately 10 crores. In the next year, we had to pay approximately 6 crores more. So now maybe in this year, it will be 3 crores or 2 crores more, not more than that.

Abhijit Akella: Got it. Thank you so much for all the clarifications and all the best.

Kushal Doshi: Thank you.

Moderator: Thank you. The next question comes from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes. Hi, sir. Congrats on good numbers. Three questions from my side. Firstly, can you please highlight price and volume growth during the quarter on a QOQ and YOY basis?

Faiz Nagariya: Krishan, I think so we will hav

e to connect separately. We will not be giving guidance on public call.

Krishan Parwani: No problem. And so for FY'27, will Milliken be the major growth driver? And secondly, what sort of revenues are you let's say targeting from Site-5 in FY'27?

Kushal Doshi: So in terms of growth, it will not only be Milliken, but it will be a ramp up in Baker Hughes contract as well as Milliken. Also, in terms of Site-5, as I mentioned to you earlier in the call was that we spent around Rs. 160 crores per production block in Phase-1. That's primarily because the utilities have been built up. These will be all expected to work at capacity utilization



levels between 30% and 50%. And that's how we will be seeing our revenues ramp up for FY'27 from Site-5.

Krishan Parwani: Got it. And lastly, it's great to see reduction in working capital cycle. Really appreciate it. So what's your target for working capital days for FY'27?

Faiz Nagariya: Krishan, we are at around 150. We would be willing to go more down, but I think so 140 should

be a good number to go down. And then gradually as contract manufacturing kicks in more and more, we would be able to bring it down. But 140, you can see.
Krishan Parwani: Understood. That's great to hear. Congrats once again and thank you. Wish you all the best.
Kushal Doshi: Thank you.
Moderator: Thank you. The next question comes from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.
Nilesh Ghuge: Hi. The question is to Dr. Aman. Aman, in your remark, you mentioned that you are expanding your R&D lab and you are expecting that number of projects from 55 to about 120. So in that also, you mentioned that engineering lab. Can you elaborate on that? And secondly, the kind of customer base or end user industry you are targeting with the number of projects going up from 55 to 120?
Dr. Aman Desai: Great question, Nilesh. And I understand that comes from your chemical engineering background. And we can talk about this for two hours, I think. But the engineering lab is a very key lab. So in the current expansion in the existing facility, we are doing one engineering lab. I will try and keep this short, as tempting as it is to go into details. But in the current expansion, we will have one engineering lab and a new R&D extension. We are going to have up to four engineering labs. And this is very unique in the perspective of India, and the global companies do have this. But it's very unique in Indian perspective. These engineering labs focus on chemical engineering, chemical technology, scale up. So we will be focusing on unit operations and not the chemistry. And so the technology competencies will be focused on. And so things like high-tech infrastructural distillations, continuous wiper distillations, continuous unit operations, continuous reactor skids, small custom-built modular skids that go into fume hoods at the lab level, process intensification, process safety, reactive chemicals, and testing and hazard analysis. And so a lot of chemical engineering will go on in the R&D level, which will make things that implementation and scale up much more easier and faster and economical. And so this is a very nice aspect of R&D that most companies in India will miss out on these engineering labs that we will be focusing on in the expansions. And this will help us get into, which I will answer their second question, is that this will help us get into much more in the R&D pipeline of the

non-pharma and non-agro sectors that we are targeting so hard. And so these sectors, for example, oil and gas, petrochemicals, material sciences are much more, their molecules, their projects are much more chemical engineering than chemistry. And these engineering labs will help us deliver success on these very difficult chemical engin

eering problems that these companies throw at us. And so the focus of these expansions and especially these engineering labs will be these petrochemical and oil and gas and oil services and material science sectors that we are consciously targeting. So great question. That's what I hope I answered both your questions, Nilesh.
Nilesh Ghuge: Thanks. Thanks so much for answering my question. And the second question is to Rohan sir. See, sir, if I compare the one, one and a half year back with prices of all our LSM and other products, they are at a rock bottom. So how is the current pricing scenario? And how do you see the prices of the LSM product in, let's say, second half of FY'26 and '27?
Rohan Desai: So Nilesh, the pricing is stable at the moment. We see certain fluctuations here and there on the price going and trying to go upwards. But then because of the demand supply situation where the supply is more, the prices come back again to the original bottom, which is there. So I think in a second half of this financial year, I don't see a price uptrend happening in at least in any of our products at this moment, unless something extraordinary happens in the world, which I am not aware of at the moment. I don't think anything will lead to a price increase on our products.
Nilesh Ghuge: Okay. Thanks, sir. And just one clarification. In opening remarks, I mentioned that capacity utilization of our site 4, which is Baker Hughes, which is about 46%. But there is a still, there is a expansion scope, the land parcel is available at Site-4. Is my understanding correct?
Faiz Nagariya: Correct. Yes. I have given you the indication for the current CAPEX or the assets which are put up on ground for that, I have given you that.
Nilesh Ghuge: Okay. And that current land parcel is just a 50% roughly of the total site?
Faiz Nagariya: Yes. Yes. Approximately 50% to 60%.
Nilesh Ghuge: Thanks. That's all from my side.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to management for closing comments.
Kushal Doshi: We thank everyone for attending the Q&A as well as the conference call of Aether Industries Limited for 2nd Quarter. If there are any further questions, please do reach out to us. We will be happy to answer them. Thank you and looking forward to meeting you all in Q3. Thank you.

Moderator: On behalf of HDFC Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Page 1 of 1 Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India. February 10, 2026 Ref. No.: AIL/SE/64/2025-26 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Tuesday, February 3, 2026, on the financial performance of the Company for the Third Quarter and Nine Months ended on December 31, 2025, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer Mem. No.: F12563 Encl.: As attached

Page 1 of 18 “Aether Industries Limited Q3 FY '26 Earnings Conference Call” February 03, 2026 MANAGEMENT: DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED MR. KUSHAL DOSHI – LEAD INVESTMENT RELATIONS – AETHER INDUSTRIES LIMITED MODERATOR: MR. NILESH GHUGE – HDFC SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Aether Industries Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you, and over to you, Mr. Ghuge. Nilesh Ghuge: Yes. Thank you, Renju. Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended December 2025 and 9 months of the financial year 2025-'26. From the Aether Industries, we have with us today Dr. Aman Desai, Promoter and Whole Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; Mr. Kushal Doshi, Lead Investor Relations; and Ms. Shubhangi Desai, Executive IR. Without further ado, I will now hand over the floor to Mr. Kushal Doshi to begin with the earnings for the quarter 3 FY '26. Over to you, Kushal. Kushal Doshi: Thank you, Nilesh. A warm welcome to everyone. Today, our Board has approved the financial results for the third quarter and 9 months for financial year 2026 and the same has been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded, and the transcript of the same will be made available on the website of Aether Industries Limited and the stock exchanges. Please also note that the audio of the conference call is the copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about the future events. These estimates reflect management's current expectations on future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligation to publicly update any forward-looking statements, whether as a result of future events or otherwise. Now Mr. Rohan Desai will begin by sharing Aether's business outlook, ongoing expansion, then Dr. Aman Desai will provide inputs on the R&D and new client initiatives and strategy of the company going forward. And Mr. Faiz Nagariya will cover the financial highlights for the period under review. Now I hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Rohan.
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Rohan Desai: Good evening, everyone. I hope everybody is doing well, and I'm glad to connect with you all to discuss the performance of our company for quarter 3 of financial year 2026. I'm delighted to inform you that the construction and installation of Site 3++ and the first 2 production blocks of Site 5 has been completed and water plus and solvent trials have been commenced. Commercial production from these sites will comment shortly. The 3 business verticals continue to perform well, even though global environment continues to remain volatile. Last quarter, we have seen 43% of the sales from contracts plus exclusive manufacturing, 41% from large scale manufacturing and 8% from contract research and manufacturing services. Our export revenue stood at 36% of the total revenue and the domestic sales stood at 64%. In terms of the sectoral spread, for the quarter 3, pharma and agro is now contribu

ting only 45% combined, while oil and gas and material science contributes 22% and 18%, respectively. As mentioned in the previous call, we expect share of oil and gas and material science to scale up by the year-end. In large-scale manufacturing business vertical, the demand of our products remained robust, while price has remained stable in the quarter. Volume growth has been over 10% quarter-on-quarter basis, and over 25% year-on-year basis. We have added 3 new products in the large-scale manufacturing vertical from Site 5 which are targeted towards pharmaceutical and agrochemical sectors. Validation quantities have been sent out from the other plants. We have plan to launch the commercial production shortly in Site 5. All the 3 products will be manufactured for the first time in India and are currently priced between $30 to $40 per kilo. In the quarter, we have added 5 new marquee clients. Sales from Site 4, in this quarter have increased to INR60 crores as compared to INR50 crores in quarter 2 of financial year 2026, representing an impressive 20% growth quarter-on-quarter. The current run rate is expected to continue for the financial year 2026, and we see an increase in the trend in financial year

2027. The increase in volume is expected as we start to supply to more of the sites of Baker Hughes, and we are looking to add more products, which are currently in CRAMS and increase our wallet share. Converge polyol continues to see an increase in sales in this quarter, and we are on track to achieve our targets in financial year 2026. We are pleased to inform you that despite the volatile macro environment, we see a number of customers' inquiry increasing for this particular product. The acceptability and adaptation of the product makes us optimistic for financial year 2027 as we continue to further research on Converge polyol to see how the product can be adopted by companies which were not in our search to as a customer earlier. Our contract with Otsuka Chemical is on track and we are expected to achieve a target of INR35 crores to INR40 crores of sales in financial year 2026. In site 5, we have forayed into electronic chemicals, specifically related to semiconductor industry, the clients, which will be supplying our base in Japan, South Korea and Taiwan. The validation batches for these chemicals have been dispatched already.

In summary, we are extremely excited as we look to commence Site 3 -- sorry, we look to commence 3 production blocks in Site 3++, and Site 5, respectively, at Aether and our company becoming a preferred partner, not only in R&D, but also for commercialization of our products. With this, I would like to conclude speaking, and I would like -- I would request Dr. Aman to touch upon the R&D and new client initiatives for this period. Over to you, Aman. Aman Desai: Thank you, Rohan. Good evening, everybody. I hope all are doing well, and I'm very happy to connect with you again at the end of a promising quarter, I think. In the last few months, we have been extremely busy at Aether, Site 3+ as well as the first 2 production blocks of Site 5, will both more or less simultaneously commence commercial production in the very near future, so both Site 3+ and the first 2 blocks of Site 5. At the same time, we are also doing R&D expansion. So we are doing 2 R&D expansions. We are doing a short-term R&D expansion and a long-term R&D expansion. In the short-term R&D expansion right away in the next couple of months itself, we are installing 20 additional fume hoods in the existing facility, a major part of which will be engineering labs, similar to what we talked about in the last quarter. At the same time, we are also doing a long-term R&D expansion where we are installing 15 additional labs, 150 fume hoods out of which 5 will be engineering labs. And we are also going into advanced very modern cutting-edge a

nalytical equipment like NMR, nuclear magnetic resonance spectroscopy. The engineering labs, that is both in the short term and the long-term expansions of the R&D will help us to focus much more on chemical engineering, chemical technology and scale up from the R&D itself, which will enable us to further tap into what our current focus in CRAMS is, which is non-pharma and non-agro, oil and gas and material sciences. These sectors require much more chemical engineering at the inception of R&D along with organic chemistry. And that's what the expansions in the R&D are going to be focused on. The Site 1 as it stands, the R&D center is fully tapped -- fully utilized today, and that's why we made the decision of doing this short-term expansion of 20 fume hoods, along with the long-term expansion of the double expansion that we are doing in the R&D. Over the last few months, moving on to the interactions with customers, especially Europe, it is becoming increasingly evident to us that the manufacturing and chemical manufacturing in Europe is being especially hard hit. As a result, in the current environment, a number of plants are being shutting down in the Europe, increasingly so. Customers are looking to partner with reliable partners in India, the choice is definitely India and we are seeing a clear urgency and expedition of finalizing the contracts which we have been iterating and reiterating over the last few quarters. We are discussing significant contracts, significant ventures with the biggest chemical companies in Europe today. And you will see all of these pan out over the next few months, in the next few quarters in the announcements that we make. As mentioned by Rohan, not only have we entered into a CEM exclusive contract, manufacturing contract with electronic

chemicals related to semiconductors, but we have also entered into a CEM contract with a European, one of the largest chemical companies in Europe targeting the material science sector. This contract, although it is small right now, is on its way to becoming a significant large contract going forward within the next 1 year itself. One production line in Site 3, which currently houses LSM projects is currently being modified to house this particular CEM contract with the European multinational customer. This will help us in improving the capacity utilization of this plant in the Site 3 as well as save us time in setting up new capacity. In the existing customers, the business and the projects with Baker Hughes are ongoing significantly well. We are adding new products and new projects there. And the Site 3+, as I mentioned earlier, with Milliken is going to shortly commence commercial production in the very, very near future. So we have our hands full. The sites are busy, and we are expanding on all sites of Site 1, Site 3 and Site 5. And with this robust pipeline that we today have in CRAMS, we are quite confident of being able to fill up all these assets and fill up all these sites in the very near future with innovative customers and exclusive relationships with multinationals and innovators across the globe. And with our own business model of large-scale manufacturing, which are the first time made in India products. So let me stop talking. Happy to answer your questions as they come and hand over the call to Faiz, now, who will give you an overview of the financial highlights and over to you, Faiz. Faiz Nagariya: Thank you, Dr. Aman, and good evening, everybody. I'm glad to present the financial results of Aether Industries Limited for Q3 and 9 months of financial year '26. The consolidated revenue from operations of the company stood at INR3,171 million in Q3 of financial year '26 as against INR2,197 million in Q3 of financial year '25, which is an increase of 44% year-on-year. This has resulted in EBITDA of INR1,083 million in Q3 of financial year '26 as again

st INR620 million in Q3 of financial year '25, which is an increase of 75% in comparing quarters. EBITDA margin stood at 34% in Q3 of FY '26 as against 28% in Q3 of FY '25. The PAT amounted to INR645 million in Q3 of financial year '26 as against INR434 million in Q3 of financial year '25, which is an increase of 49% year-on-year. The PAT margin stood at 20% in Q3 of financial year '26 as against 18% of Q3 of financial year '25. The consolidated revenue from operations of the company stood at INR8,534 million in 9 months of financial year '26 as against INR5,985 million in 9 months of financial year '25, which is a 43% increase in the comparing 9 months. The EBITDA of INR2,716 million in 9 months of financial year of '26 as against

INR1,525 million in 9 months of financial year '25, which is an increase of 75% in the comparing 9 months. All this has resulted in PAT amount of INR1,655 million in 9 months of financial year '26 as against INR1,081 million in 9 months of financial year '25, which is a 53% increase in comparing 9 months.

PAT margins stood at 19% in 9 months of financial at '26 as against 17% in 9 months of financial year '25. The remaining claim for the fixed assets for the loss has been put up through the insurance surveys along with loss of profit claim and we are confident to get the same settled with the insurance company by or before the end of financial year '26. The net working capital cycle remains at 160 days as against 149 days as on September 30, '25, mainly because of inventory buildup for the start of Site 3++ and Site 5, which are expected to begin from March '26. The capacity utilization at all plants stand as under; Site 2 is 76%, Site 3, 70% and Site 4 it's 49%. These are progressing as per the strategic planning done by the company. Thank you once again, and we look forward to better outcomes than this in future as well. Back to you, Kushal. Kushal Doshi: Thank you, Faiz. We shall now request the moderator to open the forum for question and answers. Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Sajal Kapoor with Antifragile Thinking. Sajal Kapoor: Given the novel scale-up chemistry skills are scarce in India and attrition risk is structurally higher across the industry, how does Aether treat talent retention as a core priority and what hard trade-offs has management consciously made in favor of employee continuity? That's my first question. Aman Desai: Thank you for the question. A very relevant question. Companies all over the country in the chemical space are expanding and talent recruitment and retention is one of the topmost priorities. It should be one of the topmost priorities and is one of the most priorities with us. We spent a lot of time at the management level, at the family level, focusing on this issue. We have a lot of efforts that we undertake, including attractive ESOPs, attractive packages other benefits, other incentives across the company at all levels, starting from the workers to the top management where the focus is retention -- focus is retention of the talent once they're in. And also we are very, very careful and curative when it comes to the selection of the candidates into the team and into the Aether family. We are in a city of Surat, which is a nice city to live in. We are right in the middle of an industrial belt that starts from Mumbai and ends at Ahmedabad, and Surat is the largest city in the middle. We have good schools, good colleges in and around the city. There's a lot of factors that we think of, and this has been the focus of the company for the last 13 years, is finding the top talent and retaining the top talent. Sajal Kapoor: That's wonderful. Good to hear that, Dr. Aman. And my second question is, when scale-up experiments fail time lines sometimes slip or customer expectations rise how does Aether's culture show u

p on the ground? I mean, what behaviors from leaders and management signal psychological safety for employees and trust, during these, high-stress moments, perhaps for -- for some of the employees who are actively engaged in those experiments where -- because

experiments by definition are uncertain. So in that context, I mean, what sort of cultural attributes can one see or experience on the ground? Because ultimately, it's the culture that is one of the key differentiators in the fabric of any organization. Aman Desai: Happy to answer questions, which are not linked to ratios and numbers and ROCEs. But jokes apart, very relevant question. We -- the direct answer, I think, is that we lead from the top. We are family and our promoter family is a mix of techno-commercial excellence. Our Chairman and Managing Director, Ashwin Desai, our father, is a chemical engineer. I am a chemical engineer by bachelor's, and a PhD in organic chemistry, and so we lead from the top, especially when there are problems. We are very, very involved. We have about 50 projects going on in R&D today, and all of the 50 projects are directly led by myself and in dotted lines by our CTO, Jim Ringer. When the projects are scaled up in the pilot plant, the pilot plant reports directly to me. Production and operations, via the corresponding leaders, report directly to me, and we lead from the top. Especially when there are challenges or upsets, the first one on the ground is the leaders and myself. So we lead from the top is the short answer to your question, and I think that spreads a culture of responsibility and undertaking across the company. And also we have a culture of stop work at all levels, from the ground employees to the topmost leaders. All people have the capability to stop work whenever it's a safety issue. So that freedom and liberty is given across the organization, and that's the culture we establish. The nature of R&D is such that what we tell our leaders is research and development, there are 2 results and both are equally good results, one its success and one is failure. And so you can fail in experiments or you can succeed in experiments and both of them are acceptable outcomes. And that makes some glimpses of the culture that we have. And the other part of that answer also is that we try extremely hard not to fail when we scale up. And that's why we have what I call the largest pilot plant in the world. We have more than 200 reactors in the pilot plant. We have the right equipment for the right application. And so when we scale up the chemistry, we spend an incredible amount of time into developing the processes and the chemistry and the chemical engineering behind these scale ups that when we go to full-scale the dictum in the company is that we should scale up having a cup of tea, which means that the scale up should go so well that it never fails. So hopefully, that answers both parts of your question. Thank you. Sajal Kapoor: It does. It does. Very comforting, and thank you for detailing those responses. And by the way, that 50 projects that we have today should hopefully become 100 and 200 over time. Moderator: The next question comes from the line of Parikshit Gujarati with Niveshaay. Parikshit Gujarati: Congratulations on a very good set of numbers. So, my first question was on the CEM side. Given you -- so I was asking that what will be your strategy? Will you acquire new CEM customers over the time? Or you will gain the pocket share of the existing customers?

Aman Desai: Yes, thank you, and a good question also. The answer is both. We work extremely hard in curating and establishing these relationships, our relationships with these innovators is at the topmost levels in the techno-commercial domains. And these relationships are led directly by Rohan or myself or Norbert or Jim or Ray Roa ch, which are our business development leaders. And so we work very, very hard in establishing the relationships across the leaderships of these companies. The sole purpose being that we are the go-to partner. We are their one-stop solution for research, for scale-up and for commercial supply. And so basically, not only do we want the current projects that we are doing with Baker Hughes and Milliken, but we want the next 10 products in their pipeline and that they are generally required for research, scale-up, and supply. So that's number one. And number 2 is, of course, we are working with a lot of innovators across the globe. We are not working with all. The goal is to work with all, right? And so we are continuously looking for new customers, new contacts, new outreaches. We are exhibiting in about 10 shows worldwide every year. There are also references being given by our existing customers to their friends in the industry, and this has happened across 4 concrete projects where we have started new relationships simply by reference from our existing customers. And so going after new customers is a consistent goal. And the ultimate goal being that we want to be able to be in a luxurious position of being able to pick and choose the projects that we work on and the strategic partnerships that we focus on in our business development. Parikshit Gujarati: Okay, okay. And sir, my next question was that how much time does it take to convert the customer from CRAMS to CEM? Aman Desai: It really depends. We have examples where this has happened in 6 months. And then we have examples where it has taken 6 years to convert such customers into the context of exclusive manufacturing business. It simply depends upon their pipeline and the timeline of these pipelines. So if you look at a pharma molecule, the pipeline to take something from Phase I to commercial is 7, 8 years. If you look at oil and gas, the timeline is 1 year, right? And so everything in between. So it really depends. But on average, you should consider, I think, between 1 to 2 years. Parikshit Gujarati: Okay. Okay. And sir, down the line 2, 3 years, what contribution will be from the CEM segment, the total revenue of your business? Kushal Doshi: So what we are targeting is basically 70% of our revenue coming from CRAMS and CEM and 30% coming from large scale manufacturing. Moderator: Next question comes from the line of Maneesh Bhadane with 360 ONE Capital.



Maneesh Bhadane: Sir, as you mentioned in your opening commentary that your one of the future customer will be from the Europe, that will be the material science. So is the customer name Brenntag? Because they are also into the material science. Kushal Doshi: We do not name our customers. So this is confidential, but we can tell you that it's a customer from Europe in the material science sector. We'll not comment anything further than that. Moderator: Next question comes from the line of Darshan Garg with Tiger Assets. Darshan Garg: Hope I'm audible? Rohan Desai: Yes. Darshan Garg: Sir, so in the CEM segment, we understand that you cannot disclose the specific products. However, structurally, there appears to be a significant opportunity in the non-pharma, non-agro chemistries. So from an industry standpoint, how high are the individuals for the global chemical players in these products. So specifically, what makes customers prefer outsourcing to you rather than backward integrating themselves and how protected are these businesses from pricing pressure as more players enter in this specific products in the future? Aman Desai: Yes. I think as we said -- as I said in my commentary that in the West, it's increasingly impossible to manufacture any more or even scale up anymore. And so back integration for these customers is simply out of the question in Europe and America because it's just not economical for them to do so. The pricing has increased sign

ificantly across all fronts in the West, where, in our case, in India, the pricing is remaining consistent, slightly increasing. And so there is no way the process and product economics of the rest can compete with Indian economics. That's number one. And number two, especially in the non-pharma and non-agro sector, which I believe is what you're commenting on, these companies don't typically shop around too much once they're established strategic partnerships with companies like Aether, then we work on transparent costing, a very transparent relationship, very forthright communications, in which case both companies create a win-win for each other in terms of time line, in terms of costing, capex, opex everything is transparently discussed. And in this case, if we are aligning on these aspects with these innovators, there's really no second opinion that they seek or second supplier that they seek. And as such, there is no pricing pressure because these are transparently achieved goals for both companies. For the customer to achieve what their costing is required to be, to market and launch these new products, and for us, companies like Aether, to maintain where we want our EBITDA and profit margins to be, and that's all transparently discussed and aligned. And so in this case, there's no pricing pressure. There's no competition. And it's a long-term relationship that you establish and a strategic partnership that you establish, not for this year, not for 2 years, for the next 20 years, not for the 1 or 2 projects for the next 10 projects in their pipeline. And that's, I think, the niche that we have found in this non-pharma, non-ag sector, where we are the first of its kind in India going after these sectors. And now with these relationships, so



strongly established with these innovators, we are well ahead in our partnerships with them and being where we want to be as their one-stop solution and as their go-to partner for their needs. Darshan Garg: Okay. Thank you for the detailed answer, sir. Secondly, sir, could you help us understand the contract renewal cycle in your business? So typically, how often are these contracts renewed? And are they done at fixed prices or linked to the spot or raw material prices? Rohan Desai: So contracts are usually for 5-year, 10-year minimum and then it is auto renewed until the contract is canceled. The pricings are negotiated every year. It is based on open costing sheet platform, which we have derived, which has all the parameters, all the overheads, which are covered. And so every year, we sit and hash out and discuss for one day or two days with the customer and then close the contract in on win-win basis. Moderator: Next question comes from the line of Kumar Saumya, Ambit Capital. Kumar Saumya: Am I audible? Rohan Desai: Yes, Kumar. Kumar Saumya: So first question was on the contract manufacturing business. So if you see the Q-on-Q, the business has gone from INR131 crores to INR135 crores. And on front of it, your Baker Hughes business is up from about INR50 crores to -- sorry, about INR50 crores to INR60 crores. So could you please give some more clarity on how the other contracts are panning out right now? Where are we on the Converge polyol and then how is the base legacy contract business is doing? Rohan Desai: I will answer to the Converge polyol. The Converge polyol is, as I spoke earlier in my speech, the Converge polyol is picking up very well. A lot of new customers are sampling this product and testing this product and have already given certain quantities, small quantity orders to us. So we see this going through very well. In financial year 2026 and '27, we will be following this up very well. Also, Converge polyol is being used to make furthermore derivatives on this product side and which we are doing and developing and giving to our customer for qualifications. As far as the CRAMS, CEM business is ongo

ing, there are one product, which has a cyclical trend. So hence, that product for the quarter had been less sold, but in this quarter, it will be turning up good. Kumar Saumya: Okay. And sir, secondly, on the LSM side. So we have seen improvement in the LSM business on a sequential basis as well. So what would be the key product that would be driving that? Rohan Desai: We have several key products on this, but we would not like to disclose the products, but we can discuss it offline if you want, and we can explain to you on an offline basis. Kumar Saumya: Just on an overview, how you are seeing the demand in pharma and agro business right now, specifically in pharma API intermediates that you are in? How is the demand trend right now? Rohan Desai: Overall, the volumes are back. The volumes have increased quarter-on-quarter, 10%, year-on-year, 25% for us. So we are seeing good demand for our products in pharma and agro. And overall, also the demand has been good because there's a lot of pricing that bottomed out quite



a bit since last 2 or 3 quarters. So we are seeing the demand coming up properly. And we hope that the demand remains robust for all these products for us. That's the expectation from us. Kumar Saumya: When you say 25% year-on-year volume growth, you mean the overall business or just the pharma and agro? Aman Desai: Only for large-scale manufacturing. Kumar Saumya: Okay. Only on large scale. And lastly, sir, Faiz sir mentioned on the working capital side, so where are we on that? How is the working capital right now? You mentioned something on inventory side? Faiz Nagariya: Yes. So we are still able to manage the working capital, and it was 149, 150 days on 31st March, which is -- sorry, on 30th September, which is approximately 160 days only just because we have procured inventories, raw materials for the Site 3++ coming up and also Site 5. So we have built up some inventories because the production starts from March onwards. Otherwise, everything is in control, which was there in September 30. Kumar Saumya: Got it. Got it. And sir, lastly, on this other segment, we have seen material improvement Q-on-Q from about INR10 crores to INR25 crores, INR26 crores. If you could give some clarity as in what is the driving Q-on-Q improvement in that segment? Faiz Nagariya: No, see, this is onetime because our auditors have asked us to put the FLOP claim, which is received in this other section, which is approximately INR15 crores. Otherwise, there is no other business which is there in that. It will always remain at 1% or 2%, not more than that. So FLOP claim, which is, we said, it's the auditors have asked us to classify in revenue from other operations, so it is parked in the others currently. Kumar Saumya: And sir, lastly, on the margin side, will it be fair to assume that our sustainable EBITDA margin guide run rate would be roughly 34%, 35%? Faiz Nagariya: No, it will -- we would like to still be conservative and we'll always be around -- would like to be around 29% to 30% is not more than that. As I told you, there is a certain onetime this FLOP claim has come up. That has also increased the margins a bit because it's put up in the other revenues. Otherwise, we'll be around 29%, 30-ish percent. Kumar Saumya: Got it. And lastly, sir, in terms of capex, how much we have done so far in the 9 months? Faiz Nagariya: In the 9 months, we have approximately done the CWIP, which stands for Site 3++ and Panoli, the Site 5, approximately INR500 crores. Kumar Saumya: Okay. And how much are we targeting to close this year? Faiz Nagariya: This year, it will be -- both the sites will -- Phase 2 of -- sorry, 2 blocks of the Phase 1 will be ready for Panoli, which will be capitalized and there will be still approximately INR200 crores in the CWIP and Site 3++ also will be capitalized, which will be approximately INR250 crores or INR260 crores odd.



Kumar Saumya: So roughly INR550 crores to INR600 crores, we should see as a cash flow item in terms of capex? Faiz Nagariya: The full year? Kumar Saumya: Yes, yes, full year. Faiz Nagariya: No, full year, it will be approximately INR500 crores, INR450 crores to INR500 crores. Moderator: Next question comes from the line of Nitin Agarwal with DAM Capital. Nitin Agarwal: There has been a significant increase in our R&D expenses over the years and particularly for the 9 months. So if you can just help us understand, are there any -- which are any specific areas where we are particularly ramping up our R&D spend? Rohan Desai: Aman will add more on this, but we are specifically targeting non-pharma, non-agro sectors. There are a lot of inbound inquiries coming from material science segment, oil and gas segment, which we are addressing at the moment in the R&D. And so the R&D expenses and the R&D investments are quite high. Aman? Aman Desai: Yes. So we're doing short-term expansions in R&D as well, as I mentioned in my speech, with 20 fume hoods. We are installing a nuclear magnetic resonance spectroscopy equipment, which is a significantly expensive analytical tool for advanced organic synthesis. And so we are looking at expanding R&D quantitatively and qualitatively, and there's a cost to that. Nitin Agarwal: And second, we talked about some of some potentially large-scale contracts are getting signed up on the contract manufacturing side. But from infrastructure -- manufacturing infrastructure perspective, what does it mean? Does it mean that we need to accelerate some more rollouts in our Site 5, or there is enough capacity in the current network to take on some of the future contracts that you will probably sign up? Aman Desai: There is enough capacity in the current pipeline to fill up the assets as we are building them. So we are quite optimistic of our pipeline and the ability to fill up the vessels and the plants as they come online. Rohan Desai: Also, we are monitoring the inbound inquiries and that's being converted into commercialization. So if there is a requirement or a need to fast track the expansions, we would be able to do that also. Moderator: Next question comes from the line of Vignesh Iyer with Sequent Investments. Vignesh Iyer: Sir, congratulations on strong set of numbers. Sir, my only question is on the utilization that we are targeting for Site 3++ and Site 5 for FY '27, if you can share the same. Faiz Nagariya: So see, Site 3++, which starts from the month of March -- the next year, it will be the first year. We anticipate it to be approximately around 45% to 50% capacity utilization. And Site 5 will be just 2 blocks we are starting, and we expect that to be around 35% to 40% capacity utilization in the next year.

Vignesh Iyer: Okay. And the capex that you have done on Site 3++? Rohan Desai: It will be approximately INR260 crores. Moderator: Next question comes from the line of Bhavika Jain with Mehta Capital. Bhavika Jain: So basically, I have a question regarding one of your announcements related to lithium batteries chemical for some global player. So I just want to know like if you can share some light on the capacity and the ramp-up time line when it's expected to go live? Kushal Doshi: Bhavika, we are not into the electrolyte business. So I do not know where you got this information from. Bhavika Jain: Sorry, lithium batteries like chemical -- specialized chemicals for lithium batteries, something like that? Kushal Doshi: We are not manufacturing lithium batteries or additives, as of now. Bhavika Jain: Okay. And the second question is regarding that -- because you have a lot of CEM contracts. So I just want to know that apart from Baker and Milliken, how many number of contracts you have right now like in your portfolio? And in terms of clients, like how many cli

ents are onboard with Aether right now? Faiz Nagariya: Approximately 7 customers are onboarded for the CEM business. Moderator: Next question comes from the line of Saikumar with Family Fund. Saikumar: Congratulations on a great set of numbers. And my question is on the Converge polyol. So currently, you have around 2,000 tonnes per annum capacity, right? So when you see global market demand, it's around 850 tonnes per annum. Correct me if I'm wrong. So how do you see 2, 3 years down the line? So what kind of market share you are going to capture out of this large pipe? Can you please give us some number, like what's your thoughts on that? Rohan Desai: Current capacity is 500 tonnes only. Once we reach 500 tonnes, we will take a 2 KTA plant, that is 2,000 tonnes. We are slightly behind target on this, but... Moderator: Speakers, sorry for interrupting. Your voice is breaking. Can you come a little closer to the mic and speak? Rohan Desai: As I said earlier, 2026 financial year and 2027 is seeing a good demand on this product. So we will cover this gap soon enough. And then once we trigger a 2 KTA plant, we will let you know. The demand or the addressable market on case industry is 850 KTA and not metric tonnes. That is what the addressable demand is, and we will be only taking care of a 2 KTA plant to start with and then see how it goes from there. Saikumar: So you're expecting it to increase after 2 KTA, right? So like how much percentage of you want to capture it like from 850 KTA, so for 3 years down the line, like what's your thought on capturing market?

Rohan Desai: Three years down the line, we would be doing 2 KTA approximately. That's our target -- initial target. And once we achieve that, we will be discussing with the principal and see how we can take it forward and expand this capacity forward. Saikumar: Okay. And one more question, last question. So in your previous call, you just mentioned out of some projects that are under R&D, you are expecting around 3 to 4 molecules of the size of Milliken. Are you sticking with that? Or else, are you seeing any traction coming forward like further more molecules coming out of that scale? Aman Desai: Yes. Sticking with that and there's... Saikumar: And what is the timeline like what you're expecting in that kind of 3 to 4 molecules in the next year or some... Aman Desai: In the next -- between 1 to 3 years, all of these should be panning out into significant contracts. Moderator: Next question comes from the line of Bhavika Jain with Mehta Capital. Bhavika Jain: So basically, like in your Q3 presentation of FY '24, it's mentioned that there is an announcement partnership with a major global Lithium-ion battery producer. So I was asking regarding that. Aman Desai: Yes, that was one -- that was for electrolyte additives, where we had developed these for the first time in India, and we had tied up with a global partner for that. After this time last year, the pricing in China became extremely aggressive and tanked to almost half of what it was. And so at that time, it was not economically viable for us. And so we had put the entire project and the entire field on hold, on pause. These stand developed, these stand scaled up, these stand ready to be launched into manufacturing. We are continuously having discussions with this particular customer and other customers in this area. But until as and when the global pricing position doesn't improve to the -- from the absurd levels that they are today, we are going to put this on pause for the moment. So you're right, there was this announcement, and that is the current status. Bhavika Jain: Got it. And the other question I have regarding your Baker facility. So as per my understanding, you are currently manufacturing 8 products for the Baker. So I just want to understand from a long-term point of view, like how you're going to maintain this relation, like are you pl

anning to, like onboard more products for the company or because the oilfield, like as an application industry, it's quite volatile? So I just want to understand the management view on the Baker facility, like what's the view of the management? Aman Desai: We are positioning ourselves as a strategic partner to the customer with a low-cost, aggressive economically costing from the Indian manufacturing perspective, going after the entire portfolio of chemicals business in the oil and gas and the oilfield services and Baker Hughes is one of the biggest companies in this market. And so the potential across the number of products as well as the volume of each product is significant. And that is the focus is to be a strategic partner across a basket of products for the next decades to come. And so that's our position in respect to Baker Hughes and our other strategic partners.

Bhavika Jain: Okay. And just last question is regarding our margin side, like because you have 3 business models. So if you can share, if it's possible, like the margin breakup like approx, what margin can be expected from this business segment? Kushal Doshi: Sure, Bhavika. So the CRAM side of the business model has margins ranging between 60% to 65% at EBITDA level. At the CEM, it is between 27% to 30%. And for LSM, it is between 21% to 23% EBITDA margins. Moderator: Next question comes from the line of Ankur with Old Rice Invest. Ankur: I had one question to the management is regarding the working capital. So if we see it's a very heavy working capital business. So is it inherent with the business model? Or is there any other solution which we are looking going forward with the scale? What are the views of the management on the same? Faiz Nagariya: Yes. So see, the LSM business, which we are doing is we are directly competing with China, and China is offering very aggressive payment terms to the customers, which range from 180 to 250 days with LC terms also. That's why we are more -- not -- we cannot say more, but we are trying to focus more on towards CEM, wherein the payment terms are very much shorter than what we have in LSM and also the inventory flushing is quite faster in the CEM business than LSM. So strategically, we are trying to increase more on the CEM business and the CRAMS business. Moderator: Next question comes from the line of Amay Sharda with Purnartha Investment Advisors. Amay Sharda: I just had 2 questions. One was regarding the LSM business. Do we see any kind of increase in the prices of the chemicals now due to the anti-involution trend with China? Rohan Desai: Not at the moment. We are not seeing that. I believe so that after their annual holidays, which is happening in the next 2 weeks, we will see some traction or some policy change from them. So we have to wait for 2, 3 weeks to understand how China will react on the pricing. Amay Sharda: Okay. Got it, sir. And can you give me the 9 months CFO number for the 9 months? Rohan Desai: Cash flow from operations. Faiz Nagariya: We do not present cash flow from operations in the 9 months. It is only 6 months, which is there. So we are not present at that. Moderator: Next question comes from the line of Atishray Malhan with Abakkus Mutual Fund. Atishray Malhan: Congratulations on a good set of numbers. Two questions from my side. Firstly, on the semiconductor chemicals that you mentioned, now I appreciate you cannot dwell, delve into the specifics, but is this for a photoresist chemical? Rohan Desai: So let me tell you that there are 3 applications for this product. It's a low dielectric resin and substrate for high-speed PCB in advanced electronics. Also, it has application in silane coupling agents for electronic grade glass fibers and high-performance composites. And lastly, it has also



applications in specialty polymers, including ion exchange resins, phot

oresist and rubber resins modifiers for industrial and electronic applications. That's the best what I can see till now. I mean once we formalize this announcement, we will let you know more about this product. Atishray Malhan: No, no, fair enough. That was more than what I was expecting. The second question is on the Milliken contract. So are we on track to commercialize from Q1 FY '27? Aman Desai: Yes, absolutely. Atishray Malhan: Okay. So the commercialization will start from FY '27 onwards, right? Aman Desai: Yes. Moderator: Next question comes from the line of Chintan Shah with JM Financial Family Office. Chintan Shah: So I just had one question, and this is regarding to better understand the fungibility of our manufacturing plants. So I understand we have good long-term contracts with our customers, especially for CEM segment. But just in case, I mean, something doesn't work or the content doesn't work out. So I just want to understand, can we repurpose those plants to use it, say, LSM and how quickly we do that or we would have to probably find some other customer for those sort of products? Aman Desai: Yes. Thank you. We have the focus from day 1 in the manufacturing has been to build fungible plants and multipurpose plants across individual core competencies, our so-called 8x8 metrics. And so when we build plants, then we build them so that they are multipurpose and fungible across these core competencies, and we focus on these core competencies. And so in our R&D, in the 50 projects that we have, say, for example, most of them are focusing on these core competencies. And so in case things don't work out, if contracts change, if force majeure are incurred, if directions change for the customers or the products or China pressure comes in, we always go back to the pipeline and then introduce products in these fungible plants across those core competencies. Moderator: Next question comes from the line of Naushad Chaudhary with Aditya Birla. Naushad Chaudhary: Congrats on decent set of numbers. Few clarifications, sir, starting with gross margin. Just wanted to check if there is any benefit of the raw material prices softness, especially phenol or other materials. Is there any component of that benefit also in the gross margin? So first one, I wanted to understand if there is any benefit of raw material prices softness on the gross margin? Faiz Nagariya: No, currently, no benefit at all. Naushad Chaudhary: Because I remember in the down cycle, we had this issue of phenol on our gross margin when the prices of this phenol were spiking that was impacting our gross margin. I was wondering if the cycle is down for phenol should have some benefit. Anyway second, on the overall staff cost, if I compare your staff cost as a percentage of revenue versus many other domestic guys which are into a similar kind of business, your staff cost seems very, very efficient versus other guys



as a percentage of revenue despite we being heavy in terms of contract manufacturing and CRAMS. So how do we explain this kind of efficiency in terms of staff or overall staff productivity? Aman Desai: Good question. Yes. So we -- as I mentioned earlier in one of the answers to the questions, talent recruitment and talent retention is a key focus for the company. And we are very, very careful in our recruitment strategy across all levels, which keeps this number in check. And also, what I answered in the last question as well was that we lead from the top as well. And so the core team that we have in the promoter family and then in the top leadership circles, they all wear multiple hats and lead multiple portfolios and multiple domains, which keeps the organizational structure and the hierarchy quite flat, which keeps the number in check as well. And so great observation. It's a correct observation, and it's a conscious strategy of the company to enable that. Naushad Chaudhary: And w

hat would be the average age of the overall staff, especially which are in the R&D? Aman Desai: So in the R&D, the average staff age will be around 30. The average staff age across the company will be 32, 33. The average leadership average age will be around 40, 45, and that gives you an idea. Naushad Chaudhary: And last, on the Baker and Milliken, are we sole supplier in these 2 products? Aman Desai: We are one of the -- we are the only supplier, yes. Naushad Chaudhary: And just curious to know from a client point of view, what made them to keep you only for the -- to supply this product, why they would -- they should not think of mitigating the risk in terms of their concentration? Aman Desai: Multiple answers to that question, but it's a strategic partnership that is enabled. They are also very keen to have only single suppliers or because of the intellectual property protection, the confidentiality protection as well. They are innovators who want to protect their technology and not have it be in the hands of multiple people. Also, it's the confidence that we provide these customers and innovators and the relationship that we have and the executional innovation capabilities that we have, which lets them -- gives them enough confidence that having only partners will suffice. And also, we give redundant geographically separate manufacturing sites for these customers and their products. And so for example, we have multiple sites, Sites 2, 3, 4, 5 for manufacturing. And we can usually -- because we have fungible manufacturing plants across our core competencies, we can usually provide the supply from multiple sites, which also gives them resiliency of their supply in case of an event in one particular site. So multiple answers to that question. Hopefully, that gives you a flavor. Moderator: Next question comes from the line of Deep Sanghavi with Dalal & Broacha Stock Broking Private Limited.



Deep Sanghavi: Congratulations on a great set of numbers. So my first question was on CRAMS. So for CRAMS research, do the clients give the money in advance? Or like do we first invest and then we get the money? Aman Desai: Combination of both on strategic long-term projects, we are happy to invest as well. But at the typical strategies, customer pays for everything in advance and as the work goes along. Deep Sanghavi: Okay. Okay. And my second question is like what is the expected revenue coming from Baker going forward? Kushal Doshi: We will not be able to answer any forward-looking statements, especially for specific CEM clients. But what we can tell you is that the trend looks good. It's trending upwards. The growth has been 20% quarter-on-quarter for this quarter, for third quarter, and we see an increasing trend as we try to continue to service Baker in different sites and expand our products which we can offer Baker. Deep Sanghavi: Got it. Just a follow-up. Like is there any other future guidance that you could give or no? Kushal Doshi: We usually refrain from giving guidances for future. Moderator: Next question comes from the line of Lakshay Agarwal, an Individual Investor. Lakshay Agarwal: Also an amazing set of numbers. So my first question is that so for Baker Hughes contract, we had like 8 products in the pipeline, of which 2 products are giving us like the current quarter run rate of INR60 crores from Site 4 itself. So where are we with the remaining products? And what would be the potential market size for the same? Faiz Nagariya: Mr. Lakshya, I think so there is some misunderstanding at your end as we are currently doing 8 products, and there are other 7 to 8 products in pipeline. So this INR60 crores revenue, which has come -- it has come up from these 8 products and other products are in pipeline wherein the research is going on and the scale up is being done. Lakshay Agarwal: Okay. Understood. And so the pipeline, which you mentioned of the 7,

8 products, so what would be the potential market size for the same? Aman Desai: I think we probably should not comment on the potential market size of the pipeline molecules at this stage at least. Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments. Kushal Doshi: Thank you, everyone, for participating on the call. We hope that we have addressed majority of your questions. If you still have any further questions, please feel free to reach out to us. Stay safe, and have a great day. Thank you. Moderator: Thank you. On behalf of HDFC Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: May 2026


Aether Industries Limited Registered Office: Plot No. 8203, GIDC Sachin, Surat-394230, Gujarat, India. Phone: +91-261-6603000 || Email: info@aether.co.in || Web: www.aether.co.in II CIN: L24100GJ2013PLC073434 Factory: Plot No. 8203, Beside Shakti Distillery, Near Rajkamal Chokdi, Road No. 8, Sachin GIDC, Sachin, Surat-394230, Gujarat, India.
May 21, 2026 Ref. No.: AIL/SE/11/2026-27 To, BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400001, MH. Scrip Code: 543534 National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai-400051, MH. Symbol: AETHER Dear Madam / Sir, Subject: Transcript of the Earning Conference Call In accordance with Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, the Transcript of the Earning Conference Call scheduled on Friday, May 15, 2026, on the financial performance of the Company for the Fourth Quarter and Financial Year ended on March 31, 2026, is enclosed herewith. We request you to kindly take the information on your records. Thank you. For Aether Industries Limited Chitrarth Rajan Parghi Company Secretary & Compliance Officer
Mem. No.: F12563
Encl.: As attached


"Aether Industries Limited
Q4 and FY26 Earnings Conference Call "
May 15, 202 6

MANAGEMENT : DR. AMAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED
MR. ROHAN DESAI – PROMOTER AND WHOLE TIME DIRECTOR – AETHER INDUSTRIES LIMITED
MR. FAIZ NAGARIYA – CHIEF FINANCIAL OFFICER – AETHER INDUSTRIES LIMITED
MR. KUSHAL DOSHI – LEAD INVESTMENT RELATIONS – AETHER INDUSTRIES LIMITED
MS. SHUBHANGI DESAI – EXECUTIVE INVESTOR RELATIONS – AETHER INDUSTRIES LIMITED

MODERATOR : MR. NILESH GHUGE – HDFC SECURITIES



Moderator: Ladies and gentlemen, good day, and welcome to Aether Industries Limited Q4 and FY26 Earnings Conference Call , hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone telephone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you, and over to you, sir.

Nilesh Ghuge: Yes. Thank you, Yusuf . Good afternoon, all. On behalf of HDFC Securities, I welcome everyone to this Aether Industries conference call to discuss the results for the quarter ended March 2026 and financial year '26.

From the Aether Industries, we have with us today Dr. Aman De sai, Promoter and Whole -Time Director; Mr. Rohan Desai, Promoter and Whole Time Director; Mr. Faiz Nagariya, Chief Financial Officer; Mr. Kushal Doshi, Lead Investor Relations; and Ms. Shubhangi Desai, Executive IR.

Without further ado, I will now hand ov er the floor to Mr. Kushal Doshi to begin with the earnings for the quarter and financial year. Over to you, Kushal.

Kushal Doshi : Thank you, Nilesh. A warm welcome to everyone. Today, our Board has approved the financial results for the fourth quarter and fiscal year 2026, and the same have been filed with the exchanges as well as updated over our website. Please note that this conference call is being recorded, and the transcript of the same will be made available on the website of Aether Industries Limit ed and the stock exchanges.

Please also note that the audio of th e conference call is copyright material of Aether Industries Limited and cannot be copied, rebroadcasted or attributed in the press or media without specific and written consent of the compa ny.

Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectati ons on future performance of the company.

Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Aether Industries Limited or its officials do not undertake any obligations to publicly upd ate any forward -looking statements, whether as a result of future events or otherwise.

Now Mr. Rohan Desai will begin by sharing Aether's business outlook, ongoing expansion s. Then Dr. Aman Desai will provide inputs on the R&D and new client initiat ives and strategy of



the company going forward, and Mr. Faiz Nagariya will cover the financial highlights for the period under review.

I shall hand over the call to Mr. Rohan Desai for his opening remarks. Over to you, Rohan.

Rohan Desai : Thank you, Kushal. Good evening, everyone. Thank you for joining us today. Over the last 2 months since the conflict began, there has been unprecedented disruption at scale. Roughly 20% of global oil capacities went offline and nearly half of the global ethylene and propylene supplies -- polyethylene supplies have been disrupted.

These are unparalleled numbers, reflecting a combination of physical infrastructure damage, feedstock limitations and severe logistics disruptions. Despite broader near -term market volatilit y, we anticipate demand will remain resilient for our products, providing meaningful pricing potential, particularly in large -scale manufacturing business model as evident by recent March settlements.

Let me share what it actually means for Aether. Our la rge-scale manufacturing business ve

rtical

has seen a sharp increase in the price of our products in quarter 4 caused by the conflict. Importantly, those prices are still being maintained in April and May. Pricing has been exceptionally strong over 20% year -on-year and 18% quarter -on-quarter in Q4. We believe this pricing environment is sustainable in the medium term.

We are also in the cusp of major milestones. There are 3 new large -scale manufacturing products, 2 in pharmaceutical and one agrochemical fro m Site 5, which will be commissioned by May end or starting of June 1 st week. Validation batches are done and orders are already in hand. Large scale manufacturing business model contributed 43% of the sales and CRAM S and CEM together delivered a strong 55 % of our revenues.

Site 4 has seen a tremendous growth from INR50 crores to INR220 crores, a 4x increase and now represents 21% of our total sales. Pharma plus agro still at a healthy 46% and material science at 17% , a share we expect to grow meaningfully with Site 3++ ramping up very fast.

Let's talk about momentum with global customers. In the last few months, which has been incredibly exciting on the commercial front. We have participated in key chemical exhibitions in Japan and Europe and the quality of the conversations were insightful with respect to their strategies and future plans. Existing customers are deepening their commitment and new ones are actively qualifying us.

This year, we have completed 50 -plus customers and certification audits and added 19 marquee clients to our rosters. Multiple customers have already completed pre -audits for Site 5. These interactions have reinforced our confidence that CRAM S and CEM can contribute 70% plus sales in the coming years.



We have hit our targets on co nverge polyols, innovative high -margin product and have strong order visibility for FY 2027. And in the semiconductor materials space, the feedback from our customers have been very positive. We see this opportunity tripling by 2030.

Looking ahead, in sum mary, we are entering a new growth phase powered by 3 big levers ; successful commissioning of Site 3++ and Phase 1 of Site 5, deepening relationships with global technology and industrial leaders and sharp focus on operating cash flow and disciplined execu tion. With that, I would like to hand over this call to Dr. Aman, who will talk us through the exciting progress in R&D and our new client acquisition initiatives. Over to you, Aman.

Aman Desai : Thank you, Rohan. Good evening, everybody. I'm extremely happy to connect with you all again as we do every quarter. As we continue to navigate these volatile times that Rohan has talked about at length, let me talk about R&D and projects and competencies.

I'm very pleased to inform you that the interim R&D expansion with 2 new labs and 18 fume hoods, including 5 engineering fume hoods and a very nice 400 megahertz NMR nuclear magnetic resonance machine installation have been completed in the current R&D f acility, and we expect the commercialization of these new fume hoods and NMR machines to begin from Q2 onwards of this fiscal.
As we had expected over the last few quarters, the number of CRAM S inquiries continues to increase and these new fume hoods and the NMR, which corresponds to this interim R&D expansion that we are doing will hold us in good stead and help us address these increased inquiries.
We already have a number of new projects lined up in the material science and the oil and gas sectors for the new capacity that we have now commissioned, and that's the area that we are focusing on in terms of new business development.
The construction of the entirely new R&D plant and the new R&D wing that we are also undergoing is also progressing on schedu le and is completed -- expected to be commissioned in second quarter of FY28. This ne

w R&D building and the new R&D site will have 15 new labs,
including 5 engineering labs and a cumulative almost 140 fume hoods.
And this will represent a double expansion , a 2x expansion over the current R&D strength that we have, including the interim R&D expansion, 2x expansion over that, which is a significant R&D expansion. And this is being done with full visibility of additional load on the CRAM S business model that we foresee.
With the current leadership in R&D also having been set to address this increased demand of the R&D CRAMS inquiries and this significantly increased R&D infrastructure, we are also in the process of grooming the next generation of R&D leaders in the R&D organization. And so there's a huge focus on that. These new leaders are expected to take leadership roles in our new world - class R&D facility, which will be online in the next 1 or 2 years.


Also with my associations with premier institutes in the country like ICT, Mumbai; NCL, Pune and other institutes where I'm an official PhD co -guide as well as a member of the Board of studies, we are really tapping into this network that we have to groom our next generation of R&D leaders, and we are confid ent of having a young and dynamic team of R&D leaders, which are expected to work on these increased CRAMS projects coming through in the significantly expanded R&D infrastructure that we are -- we have set up and in the process of setting up.
Over the co urse of the quarter and the last few weeks, we have had a number of follow -ups and site visits from senior management and the highest levels of management of current and prospective customers. We have participated in chemical conferences in India, Japan an d Europe, and it is evidently clear that global chemical companies do want to get ahead of the curve accelerating the developmental plans with reliable partners and the focus in all these engagements that we have with all these innovators across the indust ry spectrum, especially material sciences, oil and gas is singularly India. They want to be in India , unless they can't. And so it's really up to us to maximize this potential of collaborations that we are seeing. We believe that we are well placed considering the relationships that we have already forged with these clients and also the world -class infrastructure that we are setting up in R&D, as I've already talked about, the pilot plant, which is one of the largest pilot plants in the world that we have and the new sites that Rohan has spent some time talking about.
I'm also very happy to inform you that we are also expanding and we have expanded our senior leadership team, which is what we call our global technology and business development team with the addition of Mr. Guenter Stevens. Guenter has extensive experience in chemical R&D, process development, raw material development and sustainable technology development within Germany.
So he started his career with Bayer and then ended his career w ith more than 3 decades in ALTANA and BYK Chemie, which is a leading additives company -- multibillion -dollar leading additives company in the world. He has extensive experience in the chemical industry and will be based out of Germany.
But specifically, what's very exciting about his repertoire and experience is his experience of technology and leadership in technology and R&D and product development for material sciences, performance materials and application testing, which is an area and a core competen cy of application testing that Aether is not amongst the -- forte of Aether's core competencies today. And he is expected to and he will be opening up an entirely new envelope and new frontier for core competencies and application areas for Aether to tap into. And so that's why his skill sets complement th

e core expertise which Aether currently has built. A nd with this, it is very exciting
in the terms of the new frontiers we'll be able to enter into and also thereby tap into new customers for additional projects and products in R&D, in pilot plant as well as in production.


We are -- in addition, we are loo king to add one more chemistry to our core competencies, which is what we are calling focused and integrated polymerizations, also leading for this core competency onto our core technology competencies of high -pressure chemistry, extreme process conditions and continuous technology. We are currently working on a few opportunities based on this focus on integrated polymerization, and we have identified a number of opportunities in the CRAMS space for this chemical process.

This chemistry is, again, being mo stly targeted towards the material science and the oil and gas sectors. We continue to focus on CEM opportunities, exclusive manufacturing opportunities. I expect quite a few of the CRAMS projects that we have in our pipeline today to shift to the CEM vertical in this financial year, which has just started, and most of these will be launched in Site 5.

We continue to develop and deepen our relationship with existing customers by entering into new CRAMS projects with them, which fills up the pipeline of the CRAMS , which will further on lead into exclusive manufacturing, contract manufacturing. In the last fiscal year, as Rohan mentioned, we have commercialized the Site 3++, increased our revenue from Site 4 and also commence the commercialization of a small CEM contract from Site 3 for our global customer. Site 5, as Rohan mentioned, is also very exciting and the first phases will be launched momentarily. With the current projects and the robust pipeline of projects which are expected to commence shortly, we are very confident of achieving our vision of 70% of revenues coming from CRAMS and contract exclusive manufacturing business models by fiscal year '30. So let me stop talking.

In summary, I would like to mention that we are extremely well placed to take advantage of the current golden age of the specialty chemical industry in India, the opportunities are expected in the next few years and our investments in the new R&D site interim and completely new as well as Site 5, which are world -class, will certain ly have a positive impact on the company. So thank you very much.

Looking forward to the questions. And again, thank you for joining us on Friday evening.

Kushal, Faiz, over to you.

Faiz Nagariya : Thank you, Dr. Aman. Good evening, everybody. I would like to present the financial results of Aether Industries Limited for Q4 of financial year '26 and full year of financial year '26. The total consolidated revenue...

Moderator: Sorry to interrupt, sir, your voice is not clear.

Faiz Nagariya : Now is it clear?

Moderator: Yes, sir. Please go ahead.



Faiz Nagariya : Yes. The total consolidated revenue from operations of the company stood at INR11,601 million in financial year '26 as against INR8,406 million in financial year '25. That is an increase of 38% year-on-year. This has resulted in EBITDA of INR3,547 million in financial year '26 as against INR2,312 million in financial year '25, which is an increase of 53% in the comparing financial years. EBITDA margin stood at 31% in financial year '26 as against 28% in financial year '25. The PAT amounted to INR2,195 million in financial year '26 as against INR1,584 million in financial year '25, which is an increase of 39% year -on-year. The PAT mar gin stood at 19% in financial year '26 as against 18% in financial year '25.

The consolidated revenue from operations of the company stood at INR3,051 million in Q4 of financial year '26 as against INR3,188 million in

Q3 of financial year '26. This has re sulted in
EBITDA of INR814 million in Q4 of FY26 as against INR1,099 million in Q3 of financial year '26. And the PAT has been INR540 million in Q4 of FY26 as against INR645 million in Q3.

The main reason for the decline in revenues and profitability in Q 4 as against Q3 of financial year '26 were on account of one -off items like one -time FLO P claim income, which was booked of INR20 million -- INR200 million in Q3 of financial year '26. The same has also impacted EBITDA by around INR150 million in Q3 of financial year '26, and it also was impacted -- also impacted the PAT by INR112 million in Q3 of financial year '26.

Further, a provision for loss of inventory on account of fire at an external warehouse near Site 1 on March 11, '26 a mounting to INR70 million has been provided in Q4 of financial year '26.

Further, year -end provisions coming for the first time of approximately INR10 million has also impacted the Q4 financial results.
I would like to give more glimpse on the claim of th e fire, which occurred in November 29, 2023 at Site 2. The final claim for the fixed assets lost in fire accident on November 29, 2023, has been submitted to the insurance surveyor and the same is being assessed at the insurance company with expectations t o get the claims settled by end of Q1 of FY27.
We have also taken -- we also removed the assets which were destroyed by fire, and it has been impacted in the financials of the financial year '26. We remain cognizant of the working capital and reduction in working capital is a priority for us. We have been able to reduce the overall working capital cycle to 179 days as on 31st March '26 from 194 days as of 31st March '25.
Even though these levels remain elevated, the inventory days increased primarily on a ccount of raw material purchase and the production of the new molecules going on at Site 3++ and the raw materials purchase at Site 5. We expect the working capital days to decline as we expect revenues from Site 3++ and the commencement of Site 5 very soo n.
Also with the increase in CEM contracts and expansion of CRAMS facilities should have a positive bearing on the reduction of working capital intensity. Cash flows from operations have


increased to INR1,424 million in financial year '26 from INR1,000 million in financial year '25 on account of increase in profitability and improvement in working capital cycles.
The total capex for financial year '26 was INR3,838 million and the capex expected for financial year '27 is INR3,000 million to INR3,500 million. The capex in financial year '27 will be primarily for Site 5 and also for the new R&D site, which is already progressing well. The capacity utilization at plant stands as under Site 2, 75%; Site 3, 70%; and Site 4, 55%.
Thank you once again, an d we look forward to better outcomes than this in future as well. Back to you, Kushal.
Kushal Doshi : Thank you, Faiz. Can we open for Q&A?
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. First question is from the line of Sajal Kapoor from Antifragile Thinking.
Sajal Kapoor: I'm getting a sense that there is a reinforcing flywheel likely emerging as the setup increasingly looks like more chemistry capabilities, attracting larger global cus tomers, which then enables more complex molecules which then improves margins and stickiness, generates more cash flow, funds more R&D and capex and creates even deeper capabilities.
So with that kind of a context, the question is, if the current capex and R&D cycle succeeds exactly as management imagines, what will be structurally different about Aether's business model 5 years from toda y that may not be visible today?
Aman Desai : Yes. I'll take it. This is Aman. Very interesting question. Precisely captu red the intention and the goa

l behind what we are trying to do. We want to establish ourselves as a company in specialty chemicals, agnostic of industry application, focusing on really innovation with a marriage of chemistry and technology and engineering and systems.
And so this was actually the very first slide that we made back in 2013 when we started the company was precisely this innovation in chemistry and technology and systems. And so it's nice to see how it's panning out and that we are sticking t o what was our foundational premise of the company.
We see it panning out in terms of what we are doing in the competencies, in the chemistry, technologies, leading to complex products, as you said, being aided by this really fundamentally solid and cutti ng-edge infrastructure that we are putting up in R&D and pilot plant and then complementing it with manufacturing assets, especially our Site 5.
And so what will be structurally different in 5 years from now, we hope not much. We hope it continues to stay the same, but only do it for the lack of a better word, bigger and better. And -- but at the same time, being fundamentally grounded in the foundational premise of the company, which is what we talked about. And so I don't know if this answered your quest ion, but thank you. Well said, and that's what exactly what we're trying to focus on as a company.


Sajal Kapoor: That's helpful. And then secondly, as Aether scales, what do you think becomes more important to sustain the moat or the competitive advantage, capital deployed, chemistry complexity or customer integration? And how has that answer kind of changed internal ly over the last few years, starting from 2013, as you said, right?

I mean what is -- is there any shift in internal kind of a benchmark between capital deployed, chemistry complexity or customer integration or perhaps it's a mix of everything? I mean how do you measure success internally above and beyond the visible numbers that we all see?
Aman Desai : Yes. It's -- initially, it was more about setting up the chemistry, setting up the products, establishing the customers, establishing -- proving ourselves in a way to ourselves and to the customers. Now it's more about there's plentiful opportunities. There's plentiful in the Indian context as well as in what we have done for ourselves. There's plentiful opportunities across the industry domain across custom ers.
Fortunately, and hopefully be in a position to be able to pick and choose as well what we want to work on and what we want to do. And then the challenge now is execution, execution, execution, translating these opportunities into practice in the R&D in the pilot plant and production for which, of course, the team needs to be built, which is what we are focusing on as well, which is a big chunk of my speech today was the leadership team that we are trying to build at all levels. And so now it's the cha llenge and the exciting part ahead is now putting these things into practice in a bigger and vaster scale than we have previously.
Moderator: Next question is from the line of Amay Sharda from Purnartha Investment Advisors.
Amay Sharda: So sir, just wanted to understand with the increase in the currency prices, do we get any kind of a benefit given that we export a lot of our finished goods?
Rohan Desai : Yes. But we do have a natural hedge where we are importing certain products also from various parts of t he world. So we have a natural hedge on this. We try to capitalize this as much as possible. However, our exports currently because of various uncertainties had been reduced by the CEM customers, which had structurally put their Indian subsidiaries ahead.
So we are selling to Indian subsidiaries and then they are exporting the same to various part of the world instead of us selling into the U.S. basically. But now that things have been resolve

d,
and I think in the quarters to come, you will see the exports growing and coming back to 50%, 60% of our total top line.
Amay Sharda: So does that mean that we may get some benefit going forward with the currency price? So maybe our margins will increase going forward?
Rohan Desai : Hopefully, yes.
Amay Sharda: Okay. And sir, is there any kind of a demand disruption because of this disruption going on in the oil market?


Rohan Desai : No. We have seen a steady demand in all our products as such. So there is no ho arding of material happening in this instance during this war.
Amay Sharda: Okay. And sir, you also mentioned that in the LSM segment, the prices have increased. So did that increase basically in the March month or maybe like before that as well, the prices have increased?
Rohan Desai : No. It has happened post the war scenario.
Amay Sharda: So the benefit of that again is expected in the coming quarters.
Rohan Desai : In this quarter also, we are seeing the pricing being sustained. So I think that will benefit quarter 1.
Amay Sharda: Okay. Okay. And are we seeing any kind of an increase in the -- so like you said we are seeing increase in the raw material prices as well. But like I think we have an open cost P&L with all of our clients. So that is not expected to impact us negatively or am I missing something?
Rohan Desai : Yes. It is not going to impact us.
Faiz Nagariya : For the CEM at least, which is an open cost P&L. So for that, it will not be -- it will not impact. But for LSM, there will be some delta wherein certain margins will go up and then it will subsid e.
Moderator: Next question is from the line of Sai Kumar from Family Fund.
Sai Kumar : So currently, I would like to know what's -- in this current quarter, what is the revenue for the Baker Hughes? Previous quarter, it was something around INR60 crores. S o is there any increase in this quarter? And we have a lot of -- I mean, Baker Hughes has some refineries in the Middle East. So due to this war, most of the refineries, they had some impact due to this war. So do you see any supply getting disrupted to Ba ker Hughes in this -- yes, that is the question, sir.
Faiz Nagariya : Yes. So the revenue to Baker Hughes in this last quarter was approximately INR76 crores. INR68 crores was from the subsidiary and also from our main company also, there were some CRAMS which was done for them. And INR68 crores has gone. And there is no disruption which has happened to the supplies which are doing to Baker Hughes. And in fact, we are getting continuous orders from them. Currently, we have not faced any reductions or delay or cancellation of orders from them.
Sai Kumar : Okay. So in this quarter, it was around -- compared to previous quarter?
Faiz Nagariya : Yes. It was INR68 crores in the material we have supplied to them.

Sai Kumar : Okay. And one more thing on the Baker Hughes side. You said there are 7 to 8 molecules that are going to be getting supplied to the last call you said. So is there any progress on that? Another new molecules you said, right? Do you see any progress on that side?


Kushal Doshi : It is currently in the CRAM S process. Once we have visibility, we will come back to you on that once it gets processed in CRAM S. But right now, the R&D continues on those products.
Faiz Nagariya : Okay. Yes. And the second question is on the Saudi Aramco JV, sir, on the polyol side. So what is the -- like are you seeing any impact for Saudi Aramco supplies to polyols? And what is the demand you are going to see for the polyols in the next 2 to 3 years.
Rohan Desai : There is no -- we have application which is niche in nature. We -- the application of the Converge polyol is in the CASE industry that is coating, adhesives, sealant and ela

stomers industry. It is a niche industry and has a niche application. So we have not seen any disruption happening on that. And the dem and has also not reduced because of the external situations which have faced since last 2 months.
Moderator: Next question is from the line of Prasad V from Union Mutual Fund.
Prasad V : Congrats on good set of numbers.
Moderator: There 's lots of disturbance.
Prasad V : Am I audible now?
Moderator: No, there is background noise coming from your end. Your line is distorted .
Prasad V : So my question was on this new Board member …
Moderator: Prasad, there is a disturbance coming from your line.
Prasad V : Okay. I'll join back the queue again . I'll try…
Moderator: Next question is from the line of Abhijit Akella from KIE.
Abhijit Akella: First one just on the LSM business. Is it correct that the revenues are a little bit lower on a sequential basis, just to check about -- I think they have about INR111 -- sorry, yes, INR111-odd crores compared to INR131 crores in the preceding quarter, whereas we were talking about almost 20% kind of price increases. So if you could please just help us understand what that might be?
Kushal Doshi : Abhijit, you're right. In terms of the absolute amount, it is a decline. That's primarily because in the last month -- in the month of March, we were not able to ship some of the products due to logistical issues. These have been shipped in the month of April and May as we speak. Coincidentally, also, they have been shipped at a higher price. So yes, you are righ t with that. With respect to the pricing, as Rohan mentioned, we have seen increase in pricing, which has sustained through April and May.
Abhijit Akella: Okay. But there's no sign of volume softness from any customers, right, in the face of higher prices?


Kushal Doshi : No, not yet.
Abhijit Akella: Okay. All right. Fair enough. Then just on the working capital, what's the outlook for next year now? I mean, with CEM ramping up significantly, how much of a reduction in working capital days could one expect fo r next year?
Faiz Nagariya : We are continuously working on the working capital reductions and lots of measures are being done. And we had considerably reduced in the first 6 months also, if you are aware. And this increase is on account of the new site, wh ich started for the Milliken, the Site 3++ wherein the raw materials and the work in progress of the materials was there. And we see that, again, this will subside when the -- because deliveries have started in April and May to Milliken. So now the flushi ng of inventory is going on, the debtors will be paid also. So we see that by end of this year -- this financial year '27, we'll be again having a healthy working capital reduction, which we expect to be around 160 days at least. Our try is to bring it dow n to 150 days, but 160 days is what we are expecting currently to be.
Abhijit Akella: Okay. So from 179 to 160, that's expectation, right? Okay.
Faiz Nagariya : Yes.
Abhijit Akella: And in terms of the debt number, which is about INR400-odd crores right now , what's the outlook for that? Will that increase a little bit further as capex goes up? Or do you think we can maintain it around these levels?
Faiz Nagariya : No, no, definitely, it will increase because we have been speaking about that the QIP monies have been completed in the Q3 itself. So we will now be requiring some debt. We already started

speaking with the bankers, and you will see the debt coming up -- increasing a bit in the current year. And it will gradually increase. It's not that it will incre ase in one go. We'll be taking the debt for the requirements of the project progress. And that will also ease certain other things. And so debt will increase, but not very fast. It will be sequential.
Abhijit Akella: Understood. And finally, jus

t one last thing from my side with regard to the growth outlook for next year -- revenue growth outlook. Any sort of guidance we'd like to put out there in terms of overall top line growth? And also if it's possible to just share with us, will most of the growth continue to be driven by the ramp -up in Milliken and Baker Hughes? Or are there other projects as well, which can start to contribute significantly, maybe Converge or maybe Site 5 or anything else, which can make a meaningful contribution? Any color around tha t would be helpful.
Kushal Doshi : Abhijit, so we don't usually give guidance in terms of revenue growth for the year. But what we can tell you is that, yes, the Site 4 and Site 3+ will continue to get ramped up in this financial year. We will also be havin g the 18 fume hoods and NMR, which will start contributing in terms of projects.


And the most important thing, I think, will be the commencement of commercialization of Site 5 in Phase 1, where we look to commercialize this entire phase in this financial year. These will be the major growth drivers in terms of revenues in this financial year FY27. We hope to keep margins stable between the 29% to 30% EBITDA margins as well as in the PAT around 19% to 20%.
Abhijit Akella: Sorry, just one last follow -up ques tion there. So Site 5, how much can one expect for the upcoming year and also the 18 fume hoods R&D expansion? How much time one expect from these initiatives?
Kushal Doshi : Abhijit, sorry, we'll not be able to -- we don't give the site -wise data. So I'll not be able to comment on that.
Moderator: Next question is from the line of Nikunj Gupta from AK Invest ments .
Nikunj Gupta: Sir, my first question is based on past quarter -to-quarter performance, why margins were not hit in this quarter?
Faiz Nagariya : Margins, actually, in my commentary also, I have given a very clear indication. The major reason was the INR70 million inventory write -off on account of fire, which took place at the external warehouse. Also in the third quarter, there was FLOP claim income, which was part of the revenues from other operations, which was not there in the fourth quarter.
Otherwise, the quarter has been -- and of course, year -end provisions which were not there in the 3 quarters initially, which were done. Otherwise, there is no problem in the margins as such. So again, you'll see the same thing coming up -- coming back in the first quarter. There's a one - off switcher there. So because of that, it's gone down.
Moderator: Next question is from the line of Jay Shah from Genuity Capital.
Jay Shah: The question is for Aman broadly, and it's more on the qualitative side. First of all, congratulations for a great set and being ICT alumni, you know, it feels proud to be an Aether shareholder the way the Aether Industr ies is scaling up .
Aman, the question is in the legacy products like 4MEP, NODG, the chemistries had been out there for a while, and we were competing against the likes of BASF, Lanxess, Eastman , etcetera, guys who have a 100 -year old legacy and still we've been able to s cale up, but as I see in our presentation also 2 areas and especially I want to focus on material science where a lot is being done by Aether and I think this is one of the fields of the future because the geopolitics is shaping up is more like you have to do more with less material and keep more and more R&D and the demand that semiconductor, AI, these kind of sectors are coming up with.
So I want to know now in these new chemistries or new products that will be needed by these industries when Aether is competing against Dow or a BASF or LANXESS , etcetera, what gives


Aether a fighting seat at the table so that the principal comes ahead and actually shakes the hand with you versus one

of these giants?
Aman Desai : Yes. Thanks for the question, and always happy to talk to ICT alumni and still very much involved in ICT. I think I visit once in 6 months at least. I'm an official PhD holder there . And so happy to meet in Munna Canteen over a cup of coffee. But to answer your question, basically,

we continue to focus on core technologies, core chemistries, core competencies, innovate.
I think we are one of the very few companies in specialty chemi cals, especially at our level in India that has a massive force of chemical engineering, chemical engineers along with chemists and chemistry in the R&D itself at the inception stages of any project. That's where we can truly innovate in terms of unit oper ations and chemical engineering outlook towards the processes that we develop, which ultimately translates into increased cost competitiveness when we go to scale up production.
And then also the economies of scale that we try to achieve are truly world -class in all the production facilities that we set up. And finally, I think it's also -- if you are competing with the BASF, Eastman, and LANXESS as you mentioned, those are placed in with assets in Europe and U.S., especially, then the cost competitiveness from the labor component of the production cost is truly very competitive in India, and this cost position will remain for a very long time.
We are a country of 1.6 billion with 60% under the age of 30. A billion under age of 30. And so this is going to r emain.
And so combining the innovations in chemistry and technology that we bring in into the processes which are truly new age and modern and economies of scale of anything that we do and then being strategically located in India provides us firmly a pre ferred seat at the table. It's not a seat at the table, a preferred seat at the table with these principals.
Jay Shah: Okay. That's lovely to hear. Just diving down more on advanced materials, Aman, if you can just explain me that when it comes to R&D or e ven product development, how is it that the whole process works? Maybe you can take any sector like an EV or semiconductor or maybe space or defense where a lot of new coatings are being required by the industry or new kind of solvents are being required b y the industry. So how is it that the Aether plus the principal, is it a pull and a push model?
Or is it Aether that is doing something bottom up on its own or is it the requirement of the customer -- like if you can throw some light on one of the breakth rough products that our Advanced Material division has currently, how has it developed something? I mean, obviously, I don't want the name, but just the whole process.
Aman Desai : I mean that's a whole business model, it will take much longer than a minute to explain. But in a very broad perspective, it's truly a collaborative approach. that we take with the customer, where the customer has the product innovation where they have proved the efficacy in a plant, in a body in a material or in some application, the efficacy is proven, where improving the


efficacy, they made the molecule, but they didn't really care about how the molecule was made. Just wanted to prove the efficacy on material in material sciences. And that's where we step in where we pretty much tend to start from scratch, start on paper.
A lot of times, we take apart the entire route that they use to make the molecule in R&D during discovery, where we take apart the whole molecule and the process that they have and put it back together in what will be the ultimate economical, sustainable manufacturing process, bringing in our innovation in chemistry and not only in chemistry, but also chemical engineering technology.
And so then we do the process development in the lab, validate the process, innovate in the lab and scale up in the pilot plant, which

is where we have on e of the largest pilot plants in the world
where we have more than 15 projects going on at the same time where we can really pilot our process to depth, and that's where you can really innovate by way of chemical engineering as well as in the pilot plant.
And then so that when you go into manufacturing, our internal mantra is that the first manufacturing should be had with a cup of tea. And so the process should be so well defined.
And that's broadly -- it's a collaborative approach that we take, where we really bring in the process side and the customer brings on the discovery side. Thank you for question.
Moderator: Next question is from the line of Bhavika Singhvi from Niveshaay.
Bhavika Singhvi: So my first question is on the R&D side. As you mentioned that you are doing an expansion in R&D side with 18 fumes already being installed. Can I get to know for what sector we are focusing like if you can give the bifurcation sector -wise that from the R&D, which sector we are targeting? And the second, how much the portion of R&D is going for the client specific for CEM section and for the LSM section?
Aman Desai : We focus on all sectors ; pharma, agro, material sciences and oil and gas are the 4 main sectors, and the pipeline is filled with projects from all sec tors. The current primary focus is material sciences and oil and gas. And in terms of the business models, you could say the pipeline is 70%, 75% CRAMS , product manufacturing, exclusive manufacturing and 20%, 25%, 30% LSM business model.

Bhavika Singhvi: Okay. And as you mentioned in the beginning that in the semiconductor material space, you are expecting the opportunity to triple by 2030. So can you tell me what the current opportunity you are getting in this segment of semiconductor.
Aman Desai : Details in terms of -- what exactly is the question?
Rohan Desai : Bhavika, Rohan here. We are looking at producing on the first phase of 400 tonnes of particular set of molecules and where the average price would be $40 to $50 per kilo. So I think you can do the m ath and you will have that number.


Bhavika Singhvi: Got it. And just the last one on the LSM side, as you said that Q1 was -- Q4 was impacted because of the current situation. So are we expected to see the growth in going forward if such situation get norm alized in future? And what the growth we can expect segment -wise from LSM, CRAM S and CEM?
Rohan Desai : As of today, what we think and what we are anticipating is that in the medium term, the prices will not decline. And so I think for the next 2 quarters, we are safe to say that this elevated prices will remain and it will -- we'll maintain this price momentum for the next 2 to 3 quarters.
Kushal Doshi : In terms of the business verticals, I don't think we can give you a split as to what vertical will be growing, but it's safe to assume that the CRAMS and CEM business models being shared in the pie will continue to increase, especially with the commercialization of Site 3++, increase in revenue from Site 4 and commercialization of Site 5. So I think this 55% from CRAMS and CEM will continue to rise in this financial year.
Moderator: Next question is from the line of Rohit Nagraj from 360 ONE Capital.
Rohit Nagraj: First question is in terms of the debt. So this year, you had mentioned that you'll be investing about INR300 crores to INR350 crores, and there is already debt sitting on the books, plus we will have additional revenues coming in for which the working capital requirement will also be there. So what is the number -- approximate number that we are look ing at FY27? And what is the current cost of debt?
Faiz Nagariya : Approximately by end of financial year '27, you can expect INR200 crores to INR250 crores additional in the debt, not more than that. And I'm sorry, on the open plat

form, I cannot give you
the cost of debt.
Rohit Nagraj: Sure. Second question, again, in terms of the capex . So if you could just let us know in terms of what is the remaining capex across the 3 sites, which we have already announced? So effectively, what would be the total capex that is still remaining, part of which probably will be commissioned during this year and part will fall in the next year?
Faiz Nagariya : It will be approximately all put together, the Site 5 is the major site and the Site 1 where we are expanding the R&D. So all put together, it will be approximately INR1,500 crores to INR1,600 crores , all in next 4 years, not in 1 year, next 4 years.
Rohit Nagraj: Okay. Fair enough. And any number on the asset turns for the entire INR1,500 crores ballpark?
Faiz Nagariya : I didn't get you.
Kushal Doshi : Asset turns. Asset turn for Site 5 is being targeted between 1.5 to 1.75.
Moderator: Next question is from the line of Prasad Hase from Spark Capital PWM.


Prasad Hase : Sir, my question was regarding CRAMS . So for last 3 years, if you see on annual level, our CRAMS was roughly around 12% to 14%. But this year, it has significantly fallen to 9%. So my question w as is there any structural development you see the contribution rising again to double digit maybe in FY27?
Faiz Nagariya : Prasad, I'll take this. In the absolute terms, the CRAMS numbers have increased, though there is a slow increase -- it's a service income. So it is increased because other verticals like the CEM is increasing well. So the percentage, it is showing at 10%. Otherwise, if you see on a year -on-year basis, last year , it was around, I think 100.
This time it is 107. Next year, we are expecting it to grow more. And this is going to grow in this way only because CRAMS is a service income and it will keep on coming when the customers want to develop some products.
Prasa d Hase : Okay. And sir, I just want to try my luck. Any ballpark mix that you look forward? Maybe you can guide us for FY28 at least?
Faiz Nagariya : Sorry, can you repeat that question again?
Prasad Hase : Any ballpark product mix, segment -wise mix, if you c an give guidance for at least FY28.
Kushal Doshi : FY28, but what we're looking over the next 3 to 4 years is 70% of the revenue coming from

CRAMS and CEM and 30 -odd percent coming from large -scale manufacturing.
Moderator: Next question is from the line of Prateek Shrivastava from Nivesh Wisdom.
Prateek Shrivastava: First, let me congratulate on a great set of numbers and a great product mix, 70 -30 which you are going toward. So the first question is on the fire safety. Now we have seen 2 fire incidents, one in November, now in March. So my question is what are the additional steps we are taking to sort of address this?
Aman Desai : Yes. Thank you. Obviously, needless to say this is -- safety remains the top most priority of the company in all aspects. The No vember 2023 fire incident was the major one where we have spoken quite a bit about it and there's no need to speak about it again, I believe. But in terms of the current fire incident that happened was truly non -event, minimal loss to property and no injury, no casualty, no injury even to anybody.
And it was completely caused by an event that was not under our control. It came from a neighboring premises. And in fact, the safety systems that were there in the warehouse worked exceedingly well to prote ct the majority of the properties inside the warehouse.
And what was remaining was the very top floor, which was impacted where it was only packing material, and we have obviously done a thorough study of why even that much was impacted, and we are puttin g in measures to prevent that.


And so actually, this last incident was completely out of our han

ds, away from all operations, no injury, systems worked very well to prevent this from escalating. And so we are satisfied with the level of response that was automatically triggered from that incident and whatever was missing has been taken care of, and we continue to improve on a daily basis on safety and it remains a top priority of the company.
Prateek Shrivastava: I think this is -- this should be taken at a higher priority given again the new management which you are setting up in the company. So I think this is very important and thank you, sir, for -- because I think we truly believe in the management and the company, but sometimes these incidents just ca uses some confusion, right, and chaos.
My second question is on the product mix. So first on the LSM revenue. So we are seeing that in Q4, our LSM revenue dropped 9% Y -o-Y despite 25% volume growth. Now if I take that, it means that there was a 25 -- sorry, 27% to around 30% price erosion in LSM. So what can this be attributed to? Is this China driven? Or can you share some more color on this?
Kushal Doshi : I'm not sure how you got the price erosion, but what we have seen is a price increase. There's been a volume decrease in LSM in Q4, which, as I mentioned to you earlier was that on account of the logistics issues, which has then been shipped to the respective customers in the months of April and May, which were done at a higher price.
Having said that, in terms of pricing as well as demand, it continues to sustain, and we are seeing good progress with respect to the LSM model, especially with our current products as well as the new products, which will be coming up on commercialization from Site 5.
Prate ek Shrivastava: Yes, sir. And coming to Site 5, we are saying that we'll have 3 new LSM products, right, at $30 to $40 per kg. Is that right, sir?
Kushal Doshi : Absolutely.
Prateek Shrivastava: Does China currently manufacture any of these molecules? And do we know what the market price would that be for around?
Rohan Desai : Two are Chinese. One is a Japanese manufacturer. So we are competing against majorly a Japanese manufacturer. But again, needless to say, China is present in all the molecules which we or anybody else in India is making. So for that reason, we have to indirectly or directly fight against China or compete against China.
On the pricing side, we always defend our pricing. We are never very aggressive in terms of selling at lower margins. So we always keep our pricing at par. And we also consider import duties as a delta between the Chinese price or foreign price and Asia price when we are selling in the domestic market.


Prateek Shrivastava: Got it, sir. And sir, we are moving towards a 70 -30 target, right? 70 for C EM and CRAMS and 30 for LSM. Any sort of guidance on the timeline when we can reach this distribution, this product mix?
Kushal Doshi : No, I don't think we would like to give you any time line, but we are targeting this in the next couple of years. So yes.

Moderator: Next question is from the line of Rohit Ohri from Progressive Shares.
Rohit Ohri: Three questions from my side. One, the tailwinds of China plus one and probably Europe plus one now, they're still supportive where s ome of these customers would be looking at alternative suppliers where we can play a big role as scaled specialty manufacturing platform. These recent wins which were there, these were basically because of either pricing or chemical capabilities or maybe b ecause of our supplier reliability?
Aman Desai : Yes. So China Plus One, Europe Plus One is all happening and accelerating and increasing so. And I think it's a mix of all the factors that you listed, it's chemical capabilities, proven track record. We talk ed quite a bit about our innovation and competencies. That's certainly the most attractive point, but also being p

laced strategically in India where the cost competitiveness, I think we are driving. And so combining both the competencies and innovation tru ly comparable to anywhere in the world, along with being a strategic location of India helps quite a bit. And yes, that's what pushes towards.
Rohit Ohri: Okay. If you can take us through at Site 5, how many production blocks are already constructed and pr obably running? And how many are still yet to be constructed in Phase 2?
Aman Desai : Kushal?
Rohan Desai : Rohan here. We have already completed the construction of 4 blocks. Two blocks are already ready to run. So water trials and solvent trials are ongoing. I think we'll have a good news very soon when we start the commercial production on 2 production blocks. However, we have started digging hole in the other 4 production blocks so that we are out of the ground before the rain hit us. And a total of 16 production blocks can come in on Site 5.
And then we also have 15 acres of Site 5 plus, which is the adjoining plot we recently bought. So over there, we think around 4 another production blocks can come in. So if you combine both the land bank, it's 45 -- 46 acres, and we'll have 20 production blocks coming in more or less as per our plan as of today, our plan in this Site 5.
Rohit Ohri: Okay. My last question, Dr. Aman, currently, we must be at around maybe 8x8. By when d o you think we will be at 10x 10?
Aman Desai : We started with 8x8. I think we are already at about, say, 9x 9, if you will, and 10x 10 should be for sure within the end of this year. And so we are rapidly accelerating the adoption of newer


competencies and chemistries and technologies supplementing and complementing the original 8x8. So that's the focus, remains the focus, will always be the focus. Thank you.
Rohit Ohri: Is it possible to share something on these upcoming chemistries that you're already working on?
Aman Desai : So I ment ioned in my speech earlier about integrated and focused polymerizations, specifically continuous high pressure and extreme process conditions polymerizations. That's literally the flavor of the quarter, doing quite a bit towards that.
Moderator: As there a re no further questions from the participants, I now hand the conference over to the management for the closing comments.
Kushal Doshi : We thank everyone for joining the conference call. If there are any further questions, please reach out to us directly. Thank you once again. Bye -bye.
Moderator: Thank you, sir. On behalf of HDFC Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.